

In the opinion of Squire Patton Boggs (US) LLP, Bond Counsel, under existing law (i) assuming continuing compliance with certain covenants and the accuracy of certain representations, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and (ii) interest on the Bonds is exempt from State of California personal income taxes. Interest on the Bonds may be subject to certain federal taxes imposed only on certain corporations, including the corporate alternative minimum tax on a portion of that interest. For a more complete discussion of the tax aspects, see "TAX MATTERS" herein.



\$25,130,000
CALIFORNIA MUNICIPAL FINANCE AUTHORITY
Insured Senior Living Refunding Revenue Bonds
(Pilgrim Place in Claremont), Series 2016A
and
\$10,925,000
CALIFORNIA MUNICIPAL FINANCE AUTHORITY
Insured Senior Living Revenue Bonds
(Pilgrim Place in Claremont), Series 2016B

Dated: Date of Delivery

Due: May 15, as shown on inside cover

The California Municipal Finance Authority Insured Senior Living Refunding Revenue Bonds (Pilgrim Place in Claremont), Series 2016A (the "Series 2016A Bonds") and the California Municipal Finance Authority Insured Senior Living Revenue Bonds (Pilgrim Place in Claremont), Series 2016B (the "Series 2016B Bonds" and, collectively with the Series 2016A Bonds, the "Bonds") will be issued as fully registered Bonds in the denomination of \$5,000 or any integral multiple thereof and, when delivered, will be registered in the name of Cede & Co., as nominee for The Depository Trust Company, New York, New York ("DTC"). Beneficial owners of Bonds will not receive physical certificates representing the Bonds purchased but will receive a credit balance on the books of the nominees of such purchasers. So long as Cede & Co. is the registered owner of the Bonds, principal of and premium, if any, and interest on the Bonds will be paid by U.S. Bank National Association, as trustee (the "Trustee"), to DTC, which, in turn, will remit such principal, premium, if any, and interest to its participants for subsequent disbursement to the beneficial owners of the Bonds, as described herein. Interest on the Bonds is payable on May 15 and November 15 of each year, commencing May 15, 2017. See APPENDIX G — "BOOK-ENTRY SYSTEM" hereto.

The Bonds are subject to optional, mandatory sinking account and special redemption prior to their respective maturities, as described herein.

The Bonds are limited obligations of the California Municipal Finance Authority (the "Authority"), secured under the provisions of the Indenture and the Loan Agreement (each as described herein), and will be payable from Loan Repayments (as defined herein) made by Pilgrim Place in Claremont (the "Corporation") under the Loan Agreement, and from certain funds held under the Indenture. Pursuant to the Regulatory Agreement (as defined herein), the Corporation may incur additional indebtedness secured on a parity basis with the Bonds, provided certain conditions are met. See "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS — Parity Debt" herein.

Pursuant to the California Constitution Article XVI, Section 4, and California Health and Safety Code, Division 107, Part 6, Chapter 1, payment of the principal of and interest on the Bonds will be insured by the Office of Statewide Health Planning and Development of the State of California, and all debentures issued in payment of any claims under such insurance will be fully and unconditionally guaranteed by the State of California, all as more fully described herein.

EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN, NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF REVENUES AND GROSS REVENUES UNDER THE INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONIES OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT EXCEPT, WITH RESPECT TO THE STATE OF CALIFORNIA, TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM. THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBER, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS EXCEPT, WITH RESPECT TO THE STATE OF CALIFORNIA, TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

This cover page contains certain information for general reference only. It is not intended to be a summary of the security or terms of the Bonds. Investors should read the entire Official Statement to obtain information essential to the making of an informed investment decision.

SEE MATURITY SCHEDULE ON INSIDE FRONT COVER.

The Bonds are offered when, as and if received by the Underwriter, subject to prior sale, to withdrawal or modification of the offer without notice, and to the approval of the validity of the Bonds and certain legal matters by Squire Patton Boggs (US) LLP, Bond Counsel to the Authority. Certain legal matters will be passed upon for the Authority by its counsel, Jones Hall; for the Corporation by its counsel, Hanson Bridgett LLP, San Francisco, California; for the Office by its staff counsel; and for the Underwriter by its counsel Foley & Lardner, LLP, San Francisco, California. It is expected that the Bonds in book-entry form will be available for delivery through the facilities of DTC on or about November 30, 2016.

CAIN BROTHERS

Dated: November 22, 2016

* For an explanation of the ratings, see "RATING" herein.

\$25,130,000
CALIFORNIA MUNICIPAL FINANCE FINANCING AUTHORITY
Insured Senior Living Refunding Revenue Bonds
(Pilgrim Place in Claremont)
Series 2016A

Maturity Date (May 15)	Principal Amount	Interest Rate	Yield	CUSIP[†]
2017	\$315,000	4.000%	1.100%	13049R AF3
2018	695,000	4.000%	1.350%	13049R AG1
2019	720,000	4.000%	1.630%	13049R AH9
2020	750,000	4.000%	1.850%	13049R AJ5
2021	780,000	4.000%	2.120%	13049R AK2
2022	810,000	4.000%	2.280%	13049R AL0
2023	845,000	4.000%	2.470%	13049R AM8
2024	880,000	4.000%	2.690%	13049R AN6
2025	915,000	5.000%	2.870%	13049R AP1
2026	960,000	5.000%	2.990%	13049R AQ9
	\$7,670,000			

\$5,560,000 5.000% Series 2016A Term Bond due May 15, 2031 –
Priced to Yield 3.440% C CUSIP[†] 13049R AR7

\$11,900,000 4.125% Series 2016A Term Bond due May 15, 2039 –
Priced to Yield 4.130% CUSIP[†] 13049R AS5

C Priced at the stated yield to the May 15, 2027 optional call date.

\$10,925,000
CALIFORNIA MUNICIPAL FINANCE FINANCING AUTHORITY
Insured Senior Living Revenue Bonds
(Pilgrim Place in Claremont)
Series 2016B

\$10,925,000 4.125% Series 2016B Term Bond due May 15, 2046
Priced to Yield 4.200% CUSIP[†] 13049R AT3

† CUSIP® is a registered trademark of the American Bankers Association.

This Official Statement does not constitute an offer to sell the Bonds or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by any person in any state or other jurisdiction to any person to whom it is unlawful to make such offer, solicitation or sale in such state or jurisdiction. No dealer, salesperson or any other person has been authorized to give any information or to make any representation other than those contained herein in connection with the offering of the Bonds, and, if given or made, such information or representation must not be relied upon.

The information relating to the Authority set forth herein under the captions “THE AUTHORITY” and “ABSENCE OF MATERIAL LITIGATION — The Authority” has been furnished by the Authority. The Authority does not warrant the accuracy of the statements contained herein relating to the Corporation nor does it directly or indirectly guarantee, endorse or warrant (1) the creditworthiness or credit standing of the Corporation, (2) the sufficiency of the security for the Bonds or (3) the value or investment quality of the Bonds. The Authority makes no representations or warranties whatsoever with respect to any information contained therein except for the information under the sections entitled “THE AUTHORITY” and “ABSENCE OF MATERIAL LITIGATION — The Authority.” The information set forth herein under the caption “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM” has been furnished by the Office of Statewide Health Planning and Development of the State of California (the “Office”), and the information relating to DTC and the book-entry system set forth herein under the captions “THE BONDS —General,” and “—Book-Entry System” and in Appendix G hereto has been furnished by DTC. Such information is believed to be reliable but is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Underwriter or the Corporation. All other information set forth herein has been obtained from the Corporation and other sources that are believed to be reliable, but the information herein, other than that described as being provided by the Authority in the first sentence of this paragraph, is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Underwriter or the Authority. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale of the Bonds made hereunder shall create under any circumstances any indication that there has been no change in the affairs of the Authority, the Office, the Corporation or DTC since the date hereof. The Underwriter has provided the following sentence for inclusion in this Official Statement. The Underwriter has reviewed the information in this Official Statement in accordance with and as part of its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information. This Official Statement is submitted in connection with the issuance of securities referred to herein and may not be used, in whole or in part, for any other purpose.

IN CONNECTION WITH THE OFFERING OF THE BONDS, THE UNDERWRITER MAY OVER-ALLOT OR EFFECT TRANSACTIONS THAT STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS OFFERED HEREBY AT LEVELS ABOVE THAT WHICH OTHERWISE MIGHT PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

CAUTIONARY STATEMENTS REGARDING FORWARD-LOOKING STATEMENTS IN THIS OFFICIAL STATEMENT

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements generally are identifiable by the terminology used, such as “plan,” “expect,” “estimate,” “budget” or other similar words. Such forward-looking statements include but are not limited to certain statements contained in the information under the captions “PLAN OF FINANCING” and “BONDHOLDERS’ RISKS” in the forepart of this Official Statement and the statements contained under the caption “FINANCIAL INFORMATION—Management’s Discussion and Analysis of Financial Data” in APPENDIX A — “INFORMATION CONCERNING THE CORPORATION” hereto.

The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The Corporation does not plan to issue any updates or revisions to those forward-looking statements if or when its expectations or events, conditions or circumstances on which such statements are based occur or do not occur.

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OFFICIAL STATEMENT

\$25,130,000

**CALIFORNIA MUNICIPAL FINANCE AUTHORITY
Insured Senior Living Refunding Revenue Bonds
(Pilgrim Place in Claremont), Series 2016A**

and

\$10,925,000

**CALIFORNIA MUNICIPAL FINANCE AUTHORITY
Insured Senior Living Revenue Bonds
(Pilgrim Place in Claremont), Series 2016B**

INTRODUCTORY STATEMENT

The following introductory statement is subject in all respects to the more complete information set forth in this Official Statement. The descriptions and summaries of various documents hereinafter set forth do not purport to be comprehensive or definitive and are qualified in their entirety by reference to each document. All capitalized terms used in this Official Statement and not otherwise defined herein or in Appendix C have the same meaning as in the Indenture or the Regulatory Agreement (each as defined herein). See APPENDIX C — “SUMMARY OF PRINCIPAL DOCUMENTS — DEFINITIONS OF CERTAIN TERMS.”

Purpose of this Official Statement

This Official Statement, including the cover page and the appendices hereto, is provided to furnish information in connection with the sale and delivery of \$25,130,000 aggregate principal amount of California Municipal Finance Authority Insured Senior Living Refunding Revenue Bonds (Pilgrim Place in Claremont), Series 2016A (the “Series 2016A Bonds”) and \$10,925,000 California Municipal Finance Authority Insured Senior Living Revenue Bonds (Pilgrim Place in Claremont), Series 2016B (the “Series 2016B Bonds” and, collectively with the Series 2016A Bonds, the “Bonds”). The Bonds will be issued under the Act (as defined herein), and pursuant to and secured by an Indenture, dated as of November 1, 2016 (the “Indenture”), between the California Municipal Finance Authority (the “Authority”) and U.S. Bank National Association, as trustee (the “Trustee”). The Authority will loan the proceeds of the Bonds to Pilgrim Place in Claremont (the “Corporation”), which loan will be evidenced by a Loan Agreement, dated as of November 1, 2016 (the “Loan Agreement”), between the Authority and the Corporation.

The Corporation

The Corporation is a California nonprofit public benefit corporation, incorporated in 1915. The Corporation is an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986, as amended. The Corporation owns and operates a continuing care retirement community located on a 32 acre campus in Claremont, California, consisting of 182 residential living units, 54 assisted living units and a 62-bed skilled nursing facility (collectively, together with all improvements thereon, the “Facilities”). The Corporation currently serves approximately 320 residents. See APPENDIX A — “INFORMATION CONCERNING THE CORPORATION” for additional information on the Corporation.

Purpose of the Bonds

The Corporation will use the proceeds of the Series 2016A Bonds, together with other available funds, to (i) advance refund the California Municipal Finance Authority Insured Senior Living Revenue Bonds (Pilgrim Place in Claremont) Series 2009A, currently outstanding in the principal amount of \$24,570,000 (the “Prior Bonds”); (ii) partially fund a debt service reserve account for the Bonds; (iii) pay a premium and related fees to the Office of Statewide Health Planning and Development of the State of California (the “Office”) in connection with the insurance of the Series 2016A Bonds; and (vi) pay certain of the costs of issuance of the Bonds. The Corporation will use the proceeds of the Series 2016B Bonds to: (i) finance the cost of various improvements to and rehabilitation of certain of the Corporation’s Facilities; (ii) partially fund a debt service reserve account for the Bonds; (iii) pay a premium and related fees to the Office in connection with the insurance of the Series 2016B Bonds; and (iv) pay certain of the costs of issuance of the Bonds. See “PLAN OF FINANCING,” “THE PROJECT” and “ESTIMATED SOURCES AND USES OF FUNDS” herein. See also APPENDIX H — “FEASIBILITY STUDY.”

Insurance of the Bonds by the Office

In accordance with the California Health Facility Construction Loan Insurance Law, Chapter 1 of Part 6 of Division 107 of the California Health and Safety Code (the “Insurance Law”), the Authority and the Office will enter into a Contract of Insurance, dated as of November 1, 2016 and effective as of the date of issuance of the Bonds (the “Contract of Insurance”), with the Corporation, pursuant to which the Office will insure the payment to the Trustee of principal of and interest on the Bonds in the event that amounts received by the Trustee pursuant to the Loan Agreement are not sufficient to pay in full, when due, principal of and interest on the Bonds. If monies are not available to pay principal of and interest on the Bonds, the Office will be obligated to continue to make payments on the Bonds or will instruct the Trustee to declare the principal of all Bonds then outstanding and interest accrued thereon to be due and payable immediately and make payment of such principal and interest and, upon the occurrence of certain events, shall notify the Treasurer (“Treasurer”) of the State of California (hereinafter referred to as the “State” or “California”) and the Treasurer will issue debentures to the Owners of the Bonds, fully and unconditionally guaranteed by the State, in an amount equal to the principal of and the accrued interest on the Bonds. In connection with the Contract of Insurance, the Corporation will enter into a Regulatory Agreement, dated as of November 1, 2016 and effective as of the date of issuance of the Bonds (the “Regulatory Agreement”), with the Authority and the Office.

For a more detailed description of the obligation of the Office to insure the payment of the principal of and interest on the Bonds, the procedures with respect to an insurance default, the obligations of the Corporation pursuant to the Regulatory Agreement and the financial condition of the Office’s Insurance Program (as defined herein) and the State, see “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM,” “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE,” “BONDHOLDERS’ RISKS—State Bond Insurance” and “RATING” herein, as well as APPENDIX C — “SUMMARY OF PRINCIPAL DOCUMENTS — CONTRACT OF INSURANCE” and “— REGULATORY AGREEMENT,” and APPENDIX D — “FORM OF CONTRACT OF INSURANCE” hereto.

Security for the Bonds

General. The Bonds are limited obligations of the Authority, secured under the provisions of the Indenture and the Loan Agreement and will be payable from payments made by the Corporation under the Loan Agreement (the “Loan Repayments,” and each a “Loan Repayment”) and from certain funds held under the Indenture. Pursuant to the Loan Agreement, the Corporation is required to make aggregate

payments in an amount sufficient to enable the Authority to pay in full, when due, the principal of, premium, if any, and interest on the Bonds.

Deed of Trust. Under a Deed of Trust with Fixture Filing, Security Agreement and Assignment Agreement, dated as of November 1, 2016 (the “Deed of Trust”), the Corporation will grant to the trustee named therein, for the benefit of the Office and the Trustee (as assignee of the Authority), as trustee for the Owners of the Bonds and the holders of Parity Debt, and in order to secure the obligations of the Corporation under the Loan Agreement, the Regulatory Agreement and the Contract of Insurance and with respect to Parity Debt, first liens on and security interests in the Facilities, subject to Permitted Encumbrances (as defined in the Indenture). With the consent of the Office, the Deed of Trust may be amended, subordinated or terminated at any time without the necessity of obtaining the consent of the Trustee, the Authority or the Owners of the Bonds or the holders of Parity Debt. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS — Deed of Trust.”

Gross Revenues. Pursuant to the Loan Agreement, the Corporation has pledged its Gross Revenues and the Gross Revenue Fund to the Trustee and the Office, as security for its obligations with respect to the Bonds and any Parity Debt. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS — Pledge of Gross Revenues” herein.

Debt Service Reserve Account. The Bonds are also secured by a Debt Service Reserve Account in the amount of the Debt Service Reserve Account Requirement. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS — Debt Service Reserve Account.”

For a further description of the security and source of payment for the Bonds, see “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS” herein.

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF REVENUES AND GROSS REVENUES UNDER THE INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT EXCEPT, WITH RESPECT TO THE STATE OF CALIFORNIA, TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN. THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS EXCEPT, WITH RESPECT TO THE STATE OF CALIFORNIA, TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

Parity Debt

In addition to its obligations with respect to the Bonds, the Corporation may incur other indebtedness that may be on a parity basis with the Corporation’s obligation to make Loan Repayments and Additional Payments under the Loan Agreement, if issued for the purposes and subject to the

conditions provided in the Regulatory Agreement (collectively, with the obligations of the Corporation with respect to the Bonds, “Parity Debt”). Parity Debt may not be incurred unless it is insured by the Office or unless it is issued with the consent of the Office. See APPENDIX C — “SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT— Limitation on Indebtedness” and “— Parity Debt”.

Feasibility Study

Hendrickson Consulting has prepared a Financial Feasibility Report, dated September 6, 2016 (the “Feasibility Study”), which includes management's financial forecast of the Project for the Fiscal Years ending December 31, 2016 to and including December 31, 2021. The Feasibility Study is attached hereto as Appendix H. As stated in the Feasibility Study, there will usually be differences between the forecasted data and actual results because events and circumstances frequently do not occur as expected, and those differences may be material. **THE FEASIBILITY STUDY SHOULD BE READ IN ITS ENTIRETY, INCLUDING THE FINANCIAL STATEMENT ASSUMPTIONS SET FORTH THEREIN.** See “FEASIBILITY STUDY” herein.

Bondholders’ Risks

There are risks associated with the purchase of the Bonds. For a discussion of certain of these risks, see “BONDHOLDERS’ RISKS” herein.

THE AUTHORITY

General

Under Title 1, Division 7, Chapter 5 of the California Government Code (the “Act”), certain California cities, counties and special districts have entered into a joint exercise of powers agreement (the “Agreement”) to form the Authority for the purpose of exercising the powers common to the members and exercising additional powers granted to the Authority by the Act and other applicable provisions of California law. Under the Agreement, the Authority may issue bonds, notes or any other evidence of indebtedness for any purpose or activity permitted under the Act or any other applicable law.

The Authority may sell and deliver obligations other than the Bonds. These obligation will be secured by instruments separate and apart from the Indenture and Loan Agreement, and the holders of such other obligations of the Authority will have no claim on the security for the Bonds. Likewise, the holders of such obligations of the Authority have no claim on the security for the Bonds and the Owners of the Bonds will have no claim on the security of such other obligations that may be issued by the Authority.

Neither the Authority nor its independent contractors have furnished, reviewed, investigated or verified the information contain in this Official Statement other than the information contained in this section and the section entitled “ABSENCE OF MATERIAL LITIGATION – The Authority.” The Authority does not and will not in the future monitor the financial condition of the Corporation or otherwise monitor payment of the Bonds or compliance with the documents relating thereto. Any commitment or obligation for continuing disclosure with respect to the Bonds or the Corporation had been undertaken solely by the Corporation. See “CONTINUING DISCLOSURE” herein.

THE BONDS

The following is a summary of certain provisions of the Bonds. Reference is made to the Bonds for the complete text thereof and to the Indenture for all of the provisions relating to the Bonds. The discussion herein is qualified by such reference.

General

The Bonds are being issued pursuant to the Indenture in the aggregate principal amount set forth on the cover of this Official Statement. The Bonds shall be issued as fully registered Bonds in the denomination of \$5,000 or any integral multiple thereof. The Bonds will bear interest from their date of delivery at the rates set forth on the inside cover page hereof. Interest will be payable semiannually on May 15 and November 15 in each year (each, an “Interest Payment Date”), commencing May 15, 2017, to the person whose name appears on the bond registration books of the Trustee as the registered owner thereof as of the close of business on the Record Date (which will be the 1st day of the calendar month in which an Interest Payment Date occurs, whether or not such day is a business day) for each Interest Payment Date (except with respect to interest in default, for which a Special Record Date shall be established by the Trustee).

The Bonds will be transferable and exchangeable as set forth in the Indenture and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”). So long as Cede & Co. is the registered owner of the Bonds, principal, premium, if any, and interest on the Bonds are payable by wire transfer by the Trustee to Cede & Co., as nominee for DTC, which, in turn, will remit such amounts to DTC Participants (as defined herein) for subsequent disbursement to the Beneficial Owners. See APPENDIX G — “BOOK-ENTRY SYSTEM.”

If the book-entry only system for the Bonds is discontinued, payment of interest on the Bonds will be made to the person whose name appears on the bond registration books of the Trustee as the registered owner thereof as of the close of business on the Record Date for each Interest Payment Date, such interest to be paid by check mailed by first class mail on each Interest Payment Date to the registered Owner at such Owner’s address as it appears on such registration books or at such address as such Owner may have filed with the Trustee for that purpose prior to the Record Date; provided that at the written request of any Owner of Bonds in the aggregate principal amount of \$1,000,000 or more received by the Trustee prior to the Record Date, interest shall be paid to such Owner by wire transfer to an account within the United States. If the book-entry only system for the Bonds is discontinued, payment of the principal or Redemption Price of the Bonds will be payable by check upon surrender or presentation thereof at the corporate trust office of the Trustee.

Redemption

(a) ***Optional Redemption.*** The Bonds maturing on or before May 15, 2026, are not subject to optional redemption prior to maturity. The Bonds maturing on or after May 15, 2031, are subject to optional redemption prior to their stated maturity, on or after May 15, 2027 at the option of the Authority (which option shall be exercised as directed by the Corporation), in whole or in part by lot (in such maturities as are designated by the Corporation, or if the Corporation fails to so designate, in inverse order of maturity, and by lot within a maturity) on any date, upon at least forty-five (45) days (or such fewer number of days acceptable to the Trustee in its sole discretion) prior written notice to the Trustee from the Corporation, from any source of available moneys, at a redemption price equal to the principal amount of the Bonds called for redemption, together with accrued interest to the date fixed for redemption.

(b) ***Mandatory Sinking Account Redemption.*** Bonds which are Term Bonds maturing on May 15, 2031, are subject to redemption (or paid at maturity, as the case may be) by application of Mandatory Sinking Account Payments in the amounts and on the dates set forth below, at the principal amount thereof, together with interest accrued thereon to the date fixed for redemption, without premium:

Mandatory Sinking Account Payment Dates (May 15)	Mandatory Sinking Account Payments
2027	\$1,005,000
2028	1,055,000
2029	1,110,000
2030	1,165,000
2031 [†]	1,225,000

[†] Final Maturity.

Bonds which are Term Bonds maturing on May 15, 2039, are subject to redemption (or paid at maturity, as the case may be) by application of Mandatory Sinking Account Payments in the amounts and on the dates set forth below, at the principal amount thereof, together with interest accrued thereon to the date fixed for redemption, without premium:

Mandatory Sinking Account Payment Dates (May15)	Mandatory Sinking Account Payments
2032	\$1,285,000
2033	1,340,000
2034	1,395,000
2035	1,450,000
2036	1,510,000
2037	1,575,000
2038	1,640,000
2039 [†]	1,705,000

[†] Final Maturity.

Bonds which are Term Bonds maturing on May 15, 2046, are subject to redemption (or paid at maturity, as the case may be) by application of Mandatory Sinking Account Payments in the amounts and on the dates set forth below, at the principal amount thereof, together with interest accrued thereon to the date fixed for redemption, without premium:

Mandatory Sinking Account Payment Dates (May 15)	Mandatory Sinking Account Payments
2040	\$1,380,000
2041	1,435,000
2042	1,495,000
2043	1,555,000
2044	1,620,000
2045	1,685,000
2046†	1,755,000

† Final Maturity.

Special Redemption. The Bonds are also subject to redemption prior to their respective stated maturities, at the option of the Authority (which option shall be exercised upon Request of the Corporation), in whole or in part (in such maturities as are designated by the Corporation, or if the Corporation fails to designate such maturities, in inverse order of maturity, and by lot within a maturity) on any date from certain insurance or condemnation proceeds received with respect to the Facilities, in each case, under the circumstances prescribed in the Regulatory Agreement, at a Redemption Price equal to the principal amount thereof, together with interest accrued thereon to the date fixed for redemption, without premium.

Selection of Bonds for Redemption. If less than all of the outstanding Bonds are to be called for redemption, the Trustee shall select the Bonds to be redeemed, from all Bonds subject to redemption or such given portion thereof not previously called for redemption, by lot, but from maturities selected by the Authority in accordance with the above provisions.

Notice of Redemption. Notice of redemption shall be mailed by first-class mail by the Trustee, not less than 30 days and not more than 60 days prior to the redemption date to the registered owners of any Bonds designated for redemption at the address appearing on the bond registration books of the Trustee. Each notice of redemption will state the redemption date, the place or places of redemption, the maturities, the date of issue of the Bonds, the CUSIP number (if any) of the maturity or maturities and, in case of Bonds to be redeemed in part only, the respective portions of the principal amount thereof to be redeemed. Each such notice shall also state that on the redemption date there will become due and payable on each of the Bonds designated for redemption the Redemption Price thereof or of said specified portion of the principal amount thereof in the case of a fully registered Bond to be redeemed in part only, together with interest accrued thereon to the redemption date, and that from and after such redemption date interest thereon shall cease to accrue, and shall require that such Bonds be then surrendered. Neither the Authority nor the Trustee shall have any responsibility for any defect in the CUSIP number that appears on any Bond or in any redemption notice with respect thereto.

Failure of the Trustee to give notice to an Owner or any defect in such notice shall not affect the validity of the redemption of any other Bonds. Failure of the Trustee to give notice as above provided to any one or more of the Information Services or Securities Depositories, or the insufficiency of such notices, shall not affect the sufficiency of the proceedings for redemption.

With respect to any notice of optional redemption of Bonds, the notice of redemption shall state that the redemption is conditioned upon receipt by the Trustee of sufficient moneys to redeem the Bonds on the anticipated redemption date, and that the optional redemption shall not occur if, by no later than the

scheduled redemption date, sufficient moneys to redeem the Bonds have not been deposited with the Trustee. In the event that the Trustee does not receive sufficient funds by the scheduled optional redemption date to so redeem the Bonds to be optionally redeemed, such event shall not constitute an Event of Default, the Trustee shall send written notice to the Owners, to the Securities Depositories and to one or more of the Information Services to the effect that the redemption did not occur as anticipated, and the Bonds for which notice of optional redemption was given shall remain Outstanding for all purposes of this Indenture.

Partial Redemption of Bonds. Upon surrender of any Bond redeemed in part only, the Authority shall execute and the Trustee shall authenticate and make available for delivery to the registered owner thereof, at the expense of the Corporation, a new Bond or Bonds of authorized denominations, and of the same maturity, equal in aggregate principal amount to the unredeemed portion of the Bond surrendered.

Effect of Redemption. Notice of redemption having been given in accordance with the Indenture and moneys for payment of the Redemption Price of, together with interest accrued to the redemption date on, the Bonds (or portions thereof) so called for redemption being held by the Trustee, on the redemption date designated in such notice, the Bonds (or portions thereof) so called for redemption will become due and payable at the Redemption Price specified in such notice and interest accrued thereon to the redemption date, interest on the Bonds so called for redemption shall cease to accrue, said Bonds (or portions thereof) shall cease to be entitled to any benefit or security under the Indenture, and the Owners of said Bonds shall have no rights in respect thereof except to receive payment of said Redemption Price and accrued interest to the date fixed for redemption.

Mandatory Purchase in Lieu of Redemption. Each Owner, by purchase and acceptance of any Bond, irrevocably grants to the Corporation the option to purchase such Bond, at the time such Bond is subject to optional redemption as above provided, at a purchase price equal to the then applicable Redemption Price of such Bond. In order to exercise such option, the Corporation shall secure the written consent of the Office and shall deliver to the Trustee and the Authority such written consent of the Office and an opinion of Bond Counsel to the effect that such purchase, will not, in and of itself, adversely affect any exclusion of interest on the Bonds from gross income for purposes of federal income taxation, and the Corporation shall direct the Trustee to provide notice of mandatory purchase, such notice to be provided, as and to the extent applicable, in accordance with the above provisions for notice of redemption, including periods of notice to the Trustee and of notice by the Trustee to the Owners. On the date fixed for purchase of any Bond, the Corporation shall pay the purchase price of such Bond to the Trustee in immediately available funds and the Trustee shall pay the same to the Owners of Bonds being purchased against delivery thereof. Following such purchase, the Trustee shall register such Bonds in accordance with the written instructions of the Corporation. No purchase of any Bond pursuant to these provisions shall operate to extinguish the indebtedness evidenced by such Bond. No Owner may elect to retain a Bond subject to mandatory purchase. The Corporation may exercise its option to purchase Bonds, in whole or in part, in accordance with these provisions and may rescind any notice of mandatory purchase delivered pursuant to this Section at any time on or prior to date of mandatory purchase specified in the notice of mandatory purchase.

Book-Entry System

The Bonds will be issued in book-entry form. DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee). One fully-registered Bond will be issued for each maturity in the total aggregate principal amount due on such maturity date and will be deposited with or held at the direction of DTC. See APPENDIX G — "BOOK-ENTRY SYSTEM."

The Authority, the Trustee and the Corporation cannot and do not give any assurances that DTC will distribute to DTC Participants or that DTC Participants or others will distribute to the Beneficial Owners payments of principal and Redemption Price of and interest on the Bonds or any redemption or other notices or that they will do so on a timely basis or will serve and act in the manner described in this Official Statement. Neither the Authority, the Trustee nor the Corporation is responsible or liable for the failure of DTC or any DTC Participant or DTC Indirect Participant (as defined herein) to make any payments or give any notice to a Beneficial Owner with respect to the Bonds or any error or delay relating thereto.

ANNUAL DEBT SERVICE REQUIREMENTS

The following table sets forth, for each bond year ending May 15, the amounts required to be made available for the payment of principal (including Mandatory Sinking Account Payments) and interest due on the Bonds and for the total debt service on the Bonds. All amounts shown below have been rounded to the nearest whole dollar.

Bond Year Ending (May 15)	The Bonds			
	Series 2016A Principal	Series 2016B Principal	Interest	Total Debt Service
2017	\$315,000.00		\$708,162.24	\$1,023,162.24
2018	695,000.00		1,532,481.26	2,227,481.26
2019	720,000.00		1,504,681.26	2,224,681.26
2020	750,000.00		1,475,881.26	2,225,881.26
2021	780,000.00		1,445,881.26	2,225,881.26
2022	810,000.00		1,414,681.26	2,224,681.26
2023	845,000.00		1,382,281.26	2,227,281.26
2024	880,000.00		1,348,481.26	2,228,481.26
2025	915,000.00		1,313,281.26	2,228,281.26
2026	960,000.00		1,267,531.26	2,227,531.26
2027	1,005,000.00		1,219,531.26	2,224,531.26
2028	1,055,000.00		1,169,281.26	2,224,281.26
2029	1,110,000.00		1,116,531.26	2,226,531.26
2030	1,165,000.00		1,061,031.26	2,226,031.26
2031	1,225,000.00		1,002,781.26	2,227,781.26
2032	1,285,000.00		941,531.26	2,226,531.26
2033	1,340,000.00		888,525.02	2,228,525.02
2034	1,395,000.00		833,250.02	2,228,250.02
2035	1,450,000.00		775,706.26	2,225,706.26
2036	1,510,000.00		715,893.76	2,225,893.76
2037	1,575,000.00		653,606.26	2,228,606.26
2038	1,640,000.00		588,637.52	2,228,637.52
2039	1,705,000.00		520,987.52	2,225,987.52
2040		\$1,380,000.00	450,656.26	1,830,656.26
2041		1,435,000.00	393,731.26	1,828,731.26
2042		1,495,000.00	334,537.50	1,829,537.50
2043		1,555,000.00	272,868.76	1,827,868.76
2044		1,620,000.00	208,725.00	1,828,725.00
2045		1,685,000.00	141,900.00	1,826,900.00
2046		1,755,000.00	72,393.76	1,827,393.76
TOTAL	\$25,130,000.00	\$10,925,000.00	\$26,755,450.04	\$62,810,450.04

SECURITY AND SOURCE OF PAYMENT FOR THE BONDS

General

The Bonds are limited obligations of the Authority and, except to the extent payable from Bond proceeds, investment earnings or proceeds of insurance or condemnation awards, are payable solely from Loan Repayments required to be paid by the Corporation to the Trustee under the Loan Agreement and from certain other funds held under the Indenture. In the Loan Agreement, the Corporation agrees to make payments to the Trustee, which payments, in the aggregate, are required to be in amounts sufficient for the payment in full of all amounts payable with respect to all Bonds, including the total interest payable on the Bonds to their respective stated maturities, the principal amount of the Bonds, any redemption premiums and certain other fees and expenses (consisting generally of fees and charges of the Trustee, accountants' fees and fees and expenses of the Authority associated with the issuance of the Bonds) (the "Additional Payments"), less any amounts available for such payment, as provided in the Indenture.

Office Deemed Owner of Bonds

For as long as the Contract of Insurance is in effect and the Office is not in default thereunder, the Office is deemed to be the Owner of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the Owners of such Bonds (including consenting to amendments to the Indenture or the Loan Agreement that materially adversely affect the interests of the Owners of the Bonds). Anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and continuance of an event of default, the Office shall be entitled to control and direct the enforcement of all rights and remedies granted to the Owner or the Trustee for the benefit of the Owner. See APPENDIX C — "SUMMARY OF PRINCIPAL DOCUMENTS — INDENTURE — Control Rights of the Office."

Insurance

The principal of and interest on the Bonds will be insured by the Office. If moneys are not available to pay the principal of or interest on the Bonds, the Office will be obligated to continue to make payments on the Bonds or shall instruct the Trustee to declare the principal of all Bonds then Outstanding and interest accrued thereon to be due and payable immediately and make payment of such principal and interest. Upon the occurrence of certain events, the Office shall notify the Treasurer and the Treasurer shall issue debentures to the Owners of the Bonds fully and unconditionally guaranteed by the State in an amount equal to the principal of and accrued interest on the Bonds. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM" herein.

Pledge Under the Indenture

Under the Indenture, the Authority has pledged all of the Revenues and any other amounts held in any fund or account established pursuant to the Indenture, other than the Rebate Fund, to secure the payment of principal of, premium, if any, and interest on the Bonds. The Authority has also assigned to the Trustee for the benefit of the Owners of the Bonds, all of the right, title and interest of the Authority in the Loan Agreement (except for the Authority's right to give consent or approvals under the Indenture and its right to receive Additional Payments, fees and compensation, to the extent payable to the Authority, and the right of the Authority to indemnification, to receive certificates and notices, and to

consent to amendments), the Contract of Insurance, the Regulatory Agreement (except for its rights to give consents and approvals) and the Deed of Trust.

Pledge of Gross Revenues

Pursuant to the Loan Agreement, the Corporation agrees that, so long as any of the Loan Repayments remain unpaid, all of the Gross Revenues of the Corporation shall be deposited as soon as practicable upon receipt in a fund designated as the “Gross Revenue Fund” which the Corporation shall establish and maintain in an account or accounts at such banking institution or institutions as the Corporation shall from time to time designate in writing to the Trustee and to the Office for such purpose (the “Depository Bank(s)”). Subject only to the provisions of this Loan Agreement permitting the application thereof for the purposes and on the terms and conditions set forth therein, the Corporation pledges and, to the extent permitted by law, grants a security interest to the Authority and to the Trustee as assignee of the Authority and to the Office in, the Gross Revenue Fund and all of the Gross Revenues of the Corporation to secure the payment of Loan Repayments and the performance by the Corporation of its other obligations under this Loan Agreement and the Regulatory Agreement and with respect to Parity Debt.

Amounts in the Gross Revenue Fund may be used and withdrawn by the Corporation at any time for any lawful purpose, except as provided in the Loan Agreement. In the event that the Corporation is delinquent for more than one Business Day in the payment of any Loan Repayment or any payment required with respect to Parity Debt, the Authority or the Trustee shall notify the Corporation, the Office and the Depository Bank(s) of such delinquency, and, unless such Loan Repayment or payment with respect to Parity Debt is paid within ten days after receipt of such notice, the Trustee shall cause the Depository Bank(s) to transfer the Gross Revenue Fund to the name and credit of the Trustee, but only with the consent of the Office (provided that such consent shall be required only if the Contract of Insurance is in effect and the Office is not in default thereunder). All Gross Revenues of the Corporation shall continue to be deposited in the Gross Revenue Fund but to the name and credit of the Trustee until the amounts on deposit in said fund are sufficient to pay in full, or have been used to pay in full, all Loan Repayments and payments with respect to Parity Debt in default and all other Loan Default Events and events of default with respect to Parity Debt actually known to the Trustee shall have been made good or cured to the satisfaction of the Trustee or provision deemed by the Trustee to be adequate shall have been made therefor, whereupon the Gross Revenue Fund (except for the Gross Revenues required to make such payments or cure such defaults) shall be returned to the name and credit of the Corporation.

During any period that the Gross Revenue Fund is held in the name and to the credit of the Trustee, the Trustee shall use the withdrawn amounts in said fund from time to time to make Loan Repayments, Additional Payments, and the other payments required of the Corporation under the Loan Agreement or with respect to any Parity Debt as such payments become due (whether by maturity, redemption, acceleration or otherwise), and, if such amounts shall not be sufficient to pay in full all such payments due on any date, then to the payment of Loan Repayments, Additional Payments and Debt Service on such Parity Debt ratably, according to the amounts due respectively for Loan Repayments and such Debt Service, without any discrimination or preference, and to such other payments in the order which the Trustee, in its discretion, shall determine to be in the best interests of the holders of the Bonds and such Parity Debt, without discrimination or preference, or as directed by the Office or the Owners of a majority in aggregate principal amount of the Bonds. During any period that the Gross Revenue Fund is held in the name and to the credit of the Trustee, the Corporation shall not be entitled to use or withdraw any of the Gross Revenues of the Corporation unless and to the extent that the Trustee, at its sole discretion (or as directed by the Office), so directs for the payment of current or past due operating expenses of the Corporation.

The Corporation shall execute and cause to be filed Uniform Commercial Code financing statements in form and substance satisfactory to the Office, shall execute a deposit account control agreement with the Depository Bank with respect to the security interest granted hereunder and shall execute and deliver such other documents (including, but not limited to, control agreements and continuation statements) as may be necessary or reasonably requested by the Authority, the Office or the Trustee in order to perfect or maintain as perfected such security interest or give public notice thereof.

Parity Debt

In addition to its obligations with respect to the Bonds, the Corporation may incur other indebtedness that may be on parity with the Corporation's obligation to make Loan Repayments under the Loan Agreement, if issued for the purposes and subject to the conditions provided in the Regulatory Agreement. Parity Debt may not be incurred unless it is insured by the Office or unless it is issued with the consent of the Office. See APPENDIX C — "SUMMARY OF PRINCIPAL DOCUMENTS — REGULATORY AGREEMENT — Limitation on Indebtedness" and "— Parity Debt."

Debt Service Reserve Account

The Indenture provides for a Debt Service Reserve Account, which must be funded and maintained at a level equal to the Debt Service Reserve Account Requirement, which is an amount equal to, as of any date of calculation, the least of: (i) 50% of Maximum Annual Bond Service, (ii) 125% of average annual debt service, and (iii) 10% of the principal amount of all Bonds Outstanding as of the measurement date. All amounts in the Debt Service Reserve Account shall be used and withdrawn by the Trustee solely for the purpose of making up any deficiency in the Interest Account or Principal Account (but, in each case, only with the consent of the Office, provided the Office is not in default of its obligations under the Contract of Insurance) or (together with any other moneys available therefor) for the payment or redemption of all Bonds then Outstanding. If amounts in the Debt Service Reserve Account are less than the Debt Service Reserve Account Requirement due to a prior withdrawal made for the purpose of making up a deficiency in the Interest Account or Principal Account, the Corporation is obligated to deposit one-twelfth of the aggregate amount of such prior withdrawal on or prior to the twenty-fifth day of each month until the amount withdrawn is fully restored. The Debt Service Reserve Account will be valued semi-annually on or before each June 1 and December 1, commencing June 1, 2017. On the fifth day of the month in which a valuation is made, any amount in the Debt Service Reserve Account in excess of the Debt Service Reserve Account Requirement shall be transferred to the Revenue Account. To the extent that amounts in the Debt Service Reserve Account are less than the Debt Service Reserve Account Requirement due to valuation, the Corporation is obligated to deposit the amount necessary to increase the balance in the account to an amount at least equal to the Debt Service Reserve Account Requirement. See APPENDIX C — "SUMMARY OF PRINCIPAL DOCUMENTS — INDENTURE — Establishment of Funds and Accounts; Allocation of Revenues — Allocation of Revenues" and "— Bond Reserve Account."

Deed of Trust

The Corporation will execute the Deed of Trust pursuant to which the Corporation will grant to the trustee thereunder, for the benefit of the Office and the Trustee (as assignee of the Authority), as trustee for the Owners of the Bonds, and the holders of Parity Debt, first liens on and security interests in the Facilities, subject to Permitted Encumbrances and subject to the right of the Corporation (with the prior consent of the Office) to remove property from the liens of the Deed of Trust, as security for the performance of the Corporation's obligations under the Loan Agreement, the Regulatory Agreement and the Contract of Insurance and with respect to Parity Debt. For as long as the Office is obligated under the Contract of Insurance, all rights under the Deed of Trust shall be exercised solely by the Office. With the

consent of the Office and the Corporation, the Deed of Trust may be amended, changed, modified or terminated at any time without the necessity of obtaining the consent of the Trustee, the Authority, the Owners of the Bonds or the holders of Parity Debt. See APPENDIX C – “SUMMARY OF PRINCIPAL DOCUMENTS – THE DEED OF TRUST.”

Title Insurance

An ALTA title insurance policy on the real property subject to the Deed of Trust in an amount not less than the principal amount of the Bonds will be delivered at the time of issuance of the Bonds.

Financial Covenants under the Regulatory Agreement

Under the Regulatory Agreement, the Corporation has a rate covenant, a current ratio covenant and a Days Cash on Hand covenant.

Specifically, the Corporation is required to fix, charge and collect, or cause to be fixed, charged and collected, rates, fees and charges that, together with all other receipts and revenues of the Corporation and any other available funds, are reasonably projected to be sufficient to produce Net Income Available for Debt Service equal to at least 1.25 times Maximum Aggregate Annual Debt Service in each Fiscal Year commencing with the Fiscal Year ending December 31, 2017, and each Fiscal Year thereafter.

The Corporation is also required to maintain as of the end of each Fiscal Year, commencing in the Fiscal Year ending December 31, 2017, a current ratio (a ratio of current assets to current liabilities, as determined in accordance with generally accepted accounting principles and as shown on the Corporation’s audited financial statements for such Fiscal Year) of at least 1.50:1.0.

The Corporation is also required to maintain as of the end of each Fiscal Year, commencing in the Fiscal Year ending December 31, 2017, at least one hundred fifty (150) Days Cash on Hand, as shown on the Corporation’s audited financial statements for such Fiscal Year. For purposes of this requirement, “Days Cash on Hand” means, for any Fiscal Year, the quotient obtained by dividing (a) the Corporation’s cash and cash equivalents (including board designated funds and funded depreciation) as of the end of such Fiscal Year by (b) the quotient of dividing (i) the Corporation’s operating expenses including interest expense (excluding depreciation, amortization, allowance for bad debts, and any other noncash expenses) for such Fiscal Year by (ii) the number of days in such Fiscal Year.

See APPENDIX C — “SUMMARY OF PRINCIPAL DOCUMENTS — REGULATORY AGREEMENT — Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand.”

Covenants contained in the Regulatory Agreement may be waived or amended by the Office without the necessity of obtaining the consent of the owners of the Bonds, the Authority or any other party.

Limited Liability of the Authority

EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN, NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF REVENUES AND GROSS REVENUES UNDER THE INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF

CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT EXCEPT, WITH RESPECT TO THE STATE OF CALIFORNIA, TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM. THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBER, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS EXCEPT, WITH RESPECT TO THE STATE OF CALIFORNIA, TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM

Description of the Insurance Policy

General. The Corporation has received a conditional commitment from the Office for insurance of the Corporation's payment of the principal and interest with respect to the Bonds. Insurance of the full amount of the principal and interest with respect to the Bonds (but not any premium, if any) is evidenced by the Contract of Insurance and the Regulatory Agreement, both of which will be entered into by the Office, the Authority and the Corporation, concurrently with the execution and delivery of the Bonds. See APPENDIX D — "FORM OF CONTRACT OF INSURANCE" for the form and terms of the insurance provided by the Office. The Regulatory Agreement sets out many of the financial covenants of the Corporation relating to, among other things, the maintenance of specified debt service coverage levels and the limitations on incurrence of additional indebtedness or disposition of assets by the Corporation. Prospective Owners of the Bonds should note that the provisions of the Regulatory Agreement may be amended with the consent of the Office without the necessity of obtaining the consent of the Owners of the Bonds or Parity Debt. See "—Rights of the Office Under the Regulatory Agreement" below and APPENDIX C — "SUMMARY OF PRINCIPAL DOCUMENTS—Regulatory Agreement."

Insurance Law section 129050, subsection (a) requires that a loan must be secured by a first mortgage, first deed of trust or first priority lien on an interest of the borrower in real property and any other security agreement as the Office may require. For this purpose, the Corporation will grant a security interest in the Gross Revenue Fund and all of the Gross Revenues under the Loan Agreement and enter into the Deed of Trust. Prospective Owners of the Bonds should note that the provisions of the Deed of Trust may be amended, subordinated or terminated at any time with the consent of the Office without the necessity of obtaining the consent of the Owners of the Bonds or the holders of Parity Debt.

Incontestability and Non-Cancelability. Under Insurance Law section 129110, the Contract of Insurance is incontestable from the date of execution thereof, except in case of fraud or misrepresentation on the part of the lender. The Insurance Law and the Contract of Insurance impose certain continuing obligations on the Corporation as a condition of insuring the Bonds but specify that the remedies for breach of these obligations shall not include withdrawal or cancellation of the insurance. The insurance provided by the Contract of Insurance will terminate under certain circumstances, including payment in full by the Office of the insurance with respect to the Bonds or defeasance of the Bonds pursuant to the Indenture, as more fully described in APPENDIX D — "FORM OF CONTRACT OF INSURANCE." See also APPENDIX C — "SUMMARY OF PRINCIPAL DOCUMENTS — CONTRACT OF INSURANCE."

Procedures upon Default. If there is an event of default as specified under the Indenture (an “Event of Default”), the Trustee must notify the Office. The Trustee also must notify the Office if 30 days prior to an interest or principal payment date there are not sufficient available moneys held by the Trustee in the Revenue Fund (other than in the Bond Reserve Account) to make the next payment of principal or interest with respect to the Bonds.

Pursuant to the Regulatory Agreement, if there is an Event of Default and the Trustee has notified the Office that available moneys in the Principal and Interest Accounts will be insufficient to pay in full the next succeeding payment of interest and/or principal when due, the Office shall cause a sufficient amount to be deposited in the Principal Account and/or Interest Account at least three Business Days prior to the date on which such payment is due. The money will come from the Bond Reserve Account held under the Indenture or from the Health Facility Construction Loan Insurance Fund (the “HFCLIF”) that is established by the Insurance Law (sections 129010, subsection (g) and 129200). The obligation of the Corporation to repay any money advanced from the HFCLIF is secured by the Deed of Trust.

Following an Event of Default, the Office may (i) continue to approve such transfers or make such payments described in the preceding paragraph as are necessary to provide for the timely payment of the principal of and interest with respect to the Bonds, (ii) accept title to the Facilities from the Trustee upon foreclosure pursuant to the Deed of Trust or otherwise, (iii) accept an assignment of the security interest created under the Deed of Trust and of all claims under the Indenture, or (iv) instruct the Trustee to declare the principal of the Bonds then Outstanding and the interest with respect thereto to be immediately due and payable and make such payment from the HFCLIF. If funds in the HFCLIF are not sufficient to make the required payments described above, the Office shall notify the Treasurer who is required to issue debentures in place of such Bonds. See “—The Office, the Insurance Program and the Insurance Fund—State Debentures” below.

Rights of the Office under the Regulatory Agreement. The Regulatory Agreement grants the Office extensive rights, including the right to attend and participate in all meetings of the Corporation Board of Directors. Additionally, the Regulatory Agreement prohibits the Corporation from taking certain actions without first obtaining the consent of the Office or meeting certain requirements in the Regulatory Agreement, including affiliating with, merging into, or consolidating with any entity; transferring cash or cash equivalents to any entity, including but not limited to a subsidiary or an affiliate of the Corporation; disposing of or acquiring property; and incurring indebtedness. Additionally, upon the occurrence of an event of default under the Regulatory Agreement, the Deed of Trust or the Indenture, the Office shall have the remedies provided in Insurance Law Section 129173. See APPENDIX C — “SUMMARY OF PRINCIPAL DOCUMENTS — REGULATORY AGREEMENT.”

Rate Covenant and Other Financial Covenants. Under the Regulatory Agreement, the Corporation is required to fix, charge and collect rates, fees and charges which are reasonably projected to be sufficient to produce Net Income Available for Debt Service equal to at least 1.25 times Maximum Aggregate Annual Debt Service in each Fiscal Year commencing with the Fiscal Year ending December 31, 2017, and each Fiscal Year thereafter. The Regulatory Agreement also requires the Corporation to maintain, as of the end of each Fiscal Year, commencing in the Fiscal Year ending December 31, 2017, a current ratio (a ratio of current assets to current liabilities, as determined in accordance with generally accepted accounting principles and as shown on the Corporation’s audited financial statements for such Fiscal Year) of at least 1.50:1.0, and to maintain as of the end of each Fiscal Year, commencing with the Fiscal Year ending December 31, 2017, at least 150 Days Cash on Hand, as shown on the Corporation’s audited financial statements for such Fiscal Year. Covenants contained in the Regulatory Agreement may be waived or amended by the Office without the necessity of obtaining the consent of the owners of the Bonds, the Authority or any other party. For a further description of the rate covenant, the current ratio covenant and the Days Cash on Hand covenant, see APPENDIX C — “SUMMARY OF PRINCIPAL

DOCUMENTS — REGULATORY AGREEMENT — Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand.” The Bonds will continue to be insured by the Office in the manner described above even if an Event of Default were to occur under financial or other covenants made by the Corporation.

The Office, the Insurance Program and the Insurance Fund

General. The California Health Facility Construction Loan Insurance Program (the “Insurance Program”) is authorized by Article XVI, Section 4 of the California Constitution and is provided for in the Insurance Law. The Insurance Program is operated by the Office, which has adopted regulations implementing the Insurance Program. Under the Insurance Law, the Office is currently authorized to insure health facility construction, improvement and expansion loans, as specified in the Insurance Law. Entities which may obtain insurance for their facilities include both public agencies and nonprofit corporations, and authorized health facilities include a wide range from acute care facilities to local clinics, dependency centers and community mental health centers. The Insurance Law authorizes the Insurance Program to insure not more than \$3,000,000,000 principal amount of loans at any time. As of June 30, 2016, the principal amount of loans insured under the Insurance Program was approximately \$1,637,990,120 comprised of 91 loans.

Finances of the Insurance Program; Financial Reports. The Insurance Program is financed by an application fee of 0.5% of the loan applied for, but not to exceed \$500 (Insurance Law section 129090), an inspection fee not in excess of 0.4% of the loan that is insured (Insurance Law section 129035), and an insurance premium due in full at closing not in excess of 3.0% of the total amount of principal and interest payable over the term of the loan (Insurance Law section 129040). The fees and premiums charged are deposited in the HFCLIF and are used to defray administrative expenses of the Insurance Program, to cure defaults on loans and to pay principal of and interest on insured bonds and certificates of participation prior to issuance of debentures by the Treasurer.

Under the Insurance Law, payments of principal and interest with respect to the Bonds or payments on the debentures would be made by the Office from the HFCLIF. As of June 30, 2016, the cash balance of the HFCLIF was approximately \$166,632,464. The moneys in the HFCLIF are continuously appropriated to pay obligations insured by the Office under the Insurance Law. Insurance Law section 129215 states: “The Health Facility Construction Loan Insurance Fund, established pursuant to Section 129200, shall be a trust fund and neither the fund nor the interest or other earnings generated by the fund shall be used for any purpose other than those purposes authorized by this chapter.” The moneys in the HFCLIF are invested in the State’s Pooled Money Investment Account.

The Office is required by law to submit certain reports to the Legislature, consisting of two Annual Reports, and a State Plan. The State Plan is prepared every two years, as of January 1 of each odd-numbered year. The 2015 State Plan has not yet been released but is expected to be available in 2016. The 2013 State Plan is available at the website of the Office. The Annual Reports for the year ended June 30, 2014 (the “2014 Annual Reports”) are available at the website of the Office. The Office also prepares monthly reports containing limited financial data. The most recent monthly report available from the Office is for the period ended June 30, 2016.

The following table provides certain statistics for the Insurance Program as of the end of the last five fiscal years for which reports are available from the Office:

	Fiscal Year Ended June 30				
	2012	2013	2014	2015	2016
Number of Loans Insured	122	117	109	105	91
Principal Amount of Loans Insured (\$000)	\$ 1,708,991	\$ 1,726,980	\$ 1,671,379	\$1,784,501	\$1,637,990
Cash Balance of HFCLIF	\$172,924,033	\$168,822,959	\$174,289,633	\$174,317,510	\$166,632,464

Program Loans; Status of Borrowers. The future financial status of the Insurance Program is directly affected by the financial performance of the borrowers in the Insurance Program and their current and projected ability to repay their loans. The Office has established a rating system to implement objective criteria and continues to monitor each borrower for compliance with loan covenants assigning a risk rating (A to F) to that borrower and all its loans.

The risk ratings have a corresponding relationship the financial status of the borrower and risk to the HFCLIF:

A Rating – no material problems;

B Rating – minor problems such as one or more of the following: for more than one fiscal year, some of the borrower’s covenant requirements have not been met; the borrower’s financial trends indicate potential problems; the borrower is more than 6 months late in providing its financial and other reports as required by its Regulatory Agreement.

C Rating – serious problems, such as one or more of the following: the borrower’s last insured loan payment was not paid within 30 days of the delinquency date defined in the borrower’s Regulatory Agreement; the borrower’s day’s cash on hand is low; the last calculation of the insured debt service coverage ratio was below 1.0 and the project does not have a substantial cash cushion either in days cash on hand or in relation to amount of insured debt; payables and receivables indicate inappropriate lag time; economic indicators locally, regionally or statewide are impacting the borrower; management turnover and/or board oversight is in question; borrower has filed for bankruptcy protection but is making full payments on insured debt.

D Rating – very serious problems such as one or more of the following: the debt service reserve fund has been invaded and the borrower is not making substantial progress in fully replenishing its debt service reserve fund, pursuant to the loan documents; financial trends have been escalating downward with no action plan in place to correct the problem; the borrower’s days cash on hand is exceedingly low, such that it does not appear that the borrower will be able to make its next payroll; payment(s) are not being made and HFCLIF may be used within the next 12 months.

E Rating – payments have been or are being made from the HFCLIF, but full recovery is expected. The Office has a work out plan with the borrower.

F Rating – payments have been or are being made from the HFCLIF and loss of some magnitude is expected.

As of June 30, 2016, there was one borrower with two loans in the portfolio with D Ratings, two borrowers with a total of five loans with E Ratings, and no borrowers with a F Rating; the total outstanding principal balance of these D and E rated borrowers’ loans was \$57,080,260.

Since the start of the Insurance Program in 1972, 20 borrowers (with 28 loans) have defaulted with all required payments coming from the HFCLIF (without cost to the State General Fund). Kern

Valley Healthcare District (“Kern Valley”) defaulted on its loan in the fiscal year ended June 30, 2011 and required payments from the HFCLIF during calendar year 2015 of approximately \$545,000. The Office anticipates that Kern Valley will require advances from the HFCLIF of approximately \$4,443,000 through August 2021. Kern Valley is making partial payments through a workout agreement with the Office and the shortfall is expected to be repaid with interest starting in August 2021 through August 2029. On October 17, 2012, Mendocino Coast Health Care District (“Mendocino Coast”) entered Chapter IX bankruptcy. The Office insured three bond issues totaling \$9,205,000 and a bank line of credit of \$1,000,000 for Mendocino Coast. Mendocino Coast continues to make bond payments. When Mendocino Coast entered bankruptcy, the bank declared the line of credit in default and the Office paid on its insurance and now asserts the claim in bankruptcy. The Office and Mendocino Coast have reached a settlement agreement which restructures the loan, but results in no loss to the Office.

The largest defaulted loan in the Insurance Program was a loan to Triad Healthcare Corporation in the original amount of \$182.3 million. The project is no longer in existence and the Triad loan is carried as a long-term liability of the Insurance Program. As of June 30, 2016, the remaining principal balance of the Triad loan is \$57,940,000. The payments from the HFCLIF (net of recoveries) for the Triad loan have been \$182,465,667. In December 2013, a portion of the outstanding bonds was refunded so the Insurance Program could realize interest expense savings. The payments from the HFCLIF (net of recoveries) for the Triad loan have been \$182,465,667. The HFCLIF will make payments for the Triad loan of approximately \$11.5 million each year until August 1, 2018, \$12.1 million in 2019 and 2020, and a final payment of \$8.2 million on August 1, 2021.

State Debentures. In the event the obligations of the HFCLIF to pay on an issue of defaulted bonds or certificates of participation exceeds the available balances in the HFCLIF, and upon receipt by the Office of title to subject facilities or assignment of the security interest in a deed of trust and upon surrender of the defaulted bonds or certificates of participation to the Office, the Office shall notify the Treasurer and request the Treasurer to issue debentures to holders of the defaulted bonds and certificates of participation so surrendered. Pursuant to Insurance Law section 129160, subsection (a), (1) the debentures shall bear interest at a rate equal to the insured loan or bonds, and shall be payable on a payment schedule identical to payments on the insured loan or bond, (2) the debentures are fully and unconditionally guaranteed as to principal and interest by the State, and (3) the amounts to be paid on the debentures will be continuously appropriated from the general fund of the State Treasury. Insurance Law section 129160, subsection (b) provides, “Any debenture issued under this article shall be paid on par with general obligation bonds issued by the state.” See “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE” and “RATING” below.

While the Office has not requested the issuance of and the Treasurer has not issued any such debentures since the inception of the Insurance Program, and while definitive procedures for their issuance have not been established, including procedures covering matters such as compliance with the provisions of the Code and the Treasury Regulations promulgated thereunder, the Office and the Treasurer have all necessary power to establish such procedures, and it is expected that such procedures would be established in advance of any issuance of debentures. It is expected that, to the same extent as interest on the Bonds is not includable in the gross income of the holders thereof for purposes of federal income taxation, interest on the debentures would not be includable in the gross income of the holders, and that interest on debentures would be exempt under the law as in effect on the date hereof from State personal income taxes. Upon the occurrence of certain Events of Default under the Indenture, there is the possibility that the interest on the Bonds could become subject to federal income taxation. The Indenture provides that there shall be no acceleration of the principal and interest on the Bonds upon the occurrence of an Event of Default under the Indenture without the consent of the Office. If the Bonds were declared taxable by the Internal Revenue Service (the “IRS”) or another appropriate authority, thereby resulting in an Event of Default under the Indenture, and if the Office did not consent to an acceleration, the holders

of the Bonds (and holders of any debentures exchanged for such Bonds) would continue to receive interest payments, but those interest payments would not be excludable from gross income for federal income tax purposes. See APPENDIX C — “SUMMARY OF PRINCIPAL DOCUMENTS — INDENTURE — Events of Default under the Indenture and Remedies.”

Actuarial Study. The Office obtains an independent actuarial review of the HFCLIF every two years. At the request of the Office, Oliver Wyman Actuarial Consulting, Inc. (“Oliver Wyman”) completed a study in July 2016 (the “2014 Actuarial Study”) to evaluate, among other matters, (1) the reserve sufficiency of the HFCLIF as of June 30, 2014; and (2) the risk to the State’s General Fund from the Insurance Program. Oliver Wyman compared the HFCLIF cash balance as of June 30, 2014 of \$174.29 million against the reserve and capital requirements standards set by the California Department of Insurance for private financial guaranty insurers; the 2014 Actuarial Study indicated that the Insurance Program’s assets were at least \$74.69 million below the level which would be required by the California Department of Insurance standards for private insurers (including reserves for projects which were anticipated to default in fiscal year 2014/15). As to the second subject, the 2014 Actuarial Study indicated that the HFCLIF as of June 30, 2014 under the “expected scenario” (which scenario assumed, among other things, a 6.20% default rate) should maintain a positive balance until at least the forecast period of 2043/2044. Even under the “most pessimistic scenario” in which a 10% probability of catastrophic loss was used, the 2014 Actuarial Study indicated that there was a 70% likelihood that HFCLIF reserves as of June 30, 2014 would protect against any General Fund losses until at least 2022/23, and a 90% likelihood that HFCLIF reserves as of June 30, 2014 would protect against any General Fund losses until at least 2019/20.

The 2014 Actuarial Study is based on stated assumptions and estimates including, but not limited to, default rates, investment yields, termination rates, claim severities, catastrophic losses and payment patterns. Variation from such estimates or assumptions may cause actual results to vary from the analysis in the 2014 Actuarial Study and such variations could be material. A copy of the 2014 Actuarial Study is available upon request to: Office of Statewide Health Planning and Development, Cal-Mortgage Loan Insurance Division, 400 R Street, Suite 470, Sacramento, CA 95811, Telephone: (916) 319-8800; e-mail: cminsure@oshpd.ca.gov, or at the Office’s website at www.oshpd.ca.gov. The actuarial study as of June 30, 2016 (the “2016 Actuarial Study”) is in progress.

See “BONDHOLDERS’ RISKS—State Bond Insurance” for a discussion of the risks related to the insurance provided by the Contract of Insurance. See “RATING” in this Official Statement for a discussion of the rating assigned to the Bonds due to the insurance by the Office of the Bonds.

FOR A FURTHER DESCRIPTION OF THE REGULATORY AGREEMENT AND THE CONTRACT OF INSURANCE, SEE APPENDIX C — “SUMMARY OF PRINCIPAL DOCUMENTS” AND APPENDIX D — “FORM OF CONTRACT OF INSURANCE.”

CERTAIN FINANCIAL INFORMATION REGARDING THE STATE

Information about the financial condition of the State, including the State budget and State spending, is available at various State-maintained websites. Information concerning the current year State budget may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading “California Budget.” Analyses of the current year budget and future budget proposals are posted from time to time by the independent Office of the Legislative Analyst at www.lao.ca.gov. Reference is made to the most recent preliminary official statement or official statement issued by the State in connection with general obligation bonds, lease revenue obligations or revenue anticipation notes, which can be accessed from the website of the State Treasurer’s office, www.treasurer.ca.gov, under the headings “Public Finance Division—Current Offerings” (for preliminary official statements) or EMMA at

<http://emma.msrb.org> (for final official statements). All of such websites and other sources are provided for general informational purposes only and the material on such sites and from such resources is in no way incorporated into this Official Statement. Readers are cautioned that such information is not necessarily fully current and that the reported financial condition of the State may have changed since the date such information was published or posted.

PLAN OF FINANCING

The Corporation will use the proceeds of the Series 2016A Bonds, together with other available funds, to (i) refund the Prior Bonds (described below), currently outstanding in the principal amount of \$24,570,000; (ii) partially fund a debt service reserve account for the Bonds; (iii) pay a premium and related fees to the Office of Statewide Health Planning and Development of the State of California (the “Office”) in connection with the insurance of the Series 2016A Bonds; and (vi) pay certain of the costs of issuance of the Bonds. The Corporation will use the proceeds of the Series 2016B Bonds to: (i) finance the cost of various improvements to and rehabilitation of certain of the Corporation’s Facilities (the “Project”); (ii) partially fund a debt service reserve account for the Bonds; (iii) pay a premium and related fees to the Office in connection with the insurance of the Series 2016B Bonds; and (iv) pay certain of the costs of issuance of the Bonds. See “ESTIMATED SOURCES AND USES OF FUNDS” below.

The Prior Bonds consist of the Authority’s Insured Senior Living Revenue Bonds (Pilgrim Place in Claremont) Series 2009A, currently outstanding in the principal amount of \$24,570,000. The proceeds of the Series 2016A Bonds that will be used to refund the Prior Bonds will be irrevocably deposited in an escrow fund (the “Escrow Fund”) established pursuant to an Escrow Agreement, dated November __, 2016, between the Corporation and U.S. Bank National Association, the trustee for the Prior Bonds, as escrow agent. The investments and cash on deposit in the Escrow Fund will be sufficient to pay principal of and interest when due on the Prior Bonds and to redeem the remaining Prior Bonds on May 15, 2019 at a redemption price of 102% of the principal amount so redeemed plus accrued interest thereon to the date of redemption. Concurrent with the delivery of the Bonds, Grant Thornton LLP, Minneapolis, Minnesota, will deliver its verification report indicating that it has verified certain information and assertions provided by the Underwriters, including verification of the adequacy of the Escrow Fund deposits to pay, when due, the various refunding requirements and the mathematical computations supporting the conclusion of Bond Counsel that the Bonds are not arbitrage bonds under the Code. Upon such irrevocable deposit, the Prior Bonds will be deemed paid and no longer outstanding under the Indenture. The deposit of moneys and investments into the Escrow Fund will constitute an irrevocable deposit for the sole benefit of the holders of the Prior Bonds. The Owners of the Bonds will have no rights to the Escrow Fund.

THE PROJECT

The Corporation owns and operates a continuing care retirement community in an approximate 32 acre campus in Claremont, California. Approximately \$9,000,000 of Series 2016B Bond proceeds will be used to upgrade, renovate and add to the Corporation’s continuing care retirement community (the “Project”). The Project includes the acquisition, installation and/or construction of the following: (i) new telephone, data and Wi-Fi equipment and wiring; (ii) solar energy generation equipment; (iii) a new chiller system; (iv) electronic medical record system; (v) central facilities LED lighting conversion; (vi) a new memory care unit; and (vii) a reconfiguration of existing facilities. Such work is expected to commence in January 2017 and to be completed in November 2019. Development of the memory care house is the only portion of the Project that is expected to require a conditional use permit. The Corporation intends to use a variety of contractors to complete the Project. See APPENDIX A — “INFORMATION CONCERNING THE CORPORATION.”

ESTIMATED SOURCES AND USES OF FUNDS

The following table sets forth the estimated sources and uses of funds related to the Bonds and the Project.

Sources of Funds	Series 2016A	Series 2016B	Total
Principal Amount of Bonds	\$25,130,000.00	\$10,925,000.00	\$36,055,000.00
Net Original Issuance Premium	1,463,507.60	-137,982.75	1,325,524.85
Funds Held for 2009 Bonds	2,267,332.80	-	2,267,332.80
Total Sources of Funds	\$28,860,840.40	\$10,787,017.25	\$39,647,857.65
Uses of Funds			
Deposit to Project Fund	-	\$9,000,000.00	\$ 9,000,000.00
Refunding of 2009 Bonds	\$27,396,142.15	-	27,396,142.15
Deposit to Debt Service Reserve Account(1)	198,990.63	915,328.13	1,114,318.76
Costs of Issuance (2)	525,933.51	221,675.99	747,609.50
Premium and Fees for Contract of Insurance	737,958.51	651,101.23	1,389,059.74
Additional Proceeds	1,815.60	-1,088.10	727.50
Total Uses of Funds	\$28,860,840.40	\$10,787,017.25	\$39,647,857.65

(1) Total combined deposit equal to the Debt Service Reserve Account Requirement.

(2) Includes legal, printing, rating agency and Authority fees and expenses, cost of title insurance required by the Office, Underwriter's discount and other miscellaneous issuance costs.

CONTINUING DISCLOSURE

The Authority

Because the Bonds are limited obligations of the Authority, payable solely from amounts received from the Corporation, financial or operating data concerning the Authority is not material to an evaluation of the offering of the Bonds or to any decision to purchase, hold or sell the Bonds. Accordingly, the Authority is not providing any such information. The Corporation has undertaken all responsibilities for any continuing disclosure to Owners of the Bonds, as described below, and the Authority shall have no liability to the Owners of the Bonds or any other person with respect to Rule 15c2-12 promulgated by the Securities and Exchange Commission (the "Rule").

The Corporation

In connection with the issuance of the Bonds, the Corporation will enter into a continuing disclosure agreement (the "Continuing Disclosure Agreement"), in which it will covenant for the benefit of the Owners and Beneficial Owners of the Bonds, to provide U.S. Bank National Association, as the initial dissemination agent (the "Dissemination Agent"), for dissemination each of the following: (i) annual reports consisting of the Corporation's annual financial statements prepared in accordance with generally accepted accounting principles, and audited by a firm of independent public accountants,

together with: (x) a statement of the Corporation's debt service coverage, current ratio and days' cash on hand, (y) a statement of the approximate total number of employees and total seniors served, and (z) an update of the information contained in Tables 4, 8 and 14 to Appendix A for the most recently completed fiscal year, by not later than 120 days following the end of the Corporation's Fiscal Year (the "Annual Report") commencing with a report for the Fiscal Year ending December 31, 2016; (ii) quarterly reports consisting of the Corporation's unaudited financial statements for the fiscal quarter then ended, compared to both the budget for such fiscal year and the same fiscal quarter for the prior years with management's explanation of material variances and trends, together with a statement of (v) occupancy statistics for the Corporation's facilities; (w) marketing data regarding residential living turnover including move-ins, deaths, transfers, withdrawals and waiting list size and activity (new deposits, cancellation and conversion to resident status); (x) any facility acquisitions or dispositions; (y) any program expansions or terminations; and (z) the Corporation's debt service coverage ratio for the trailing 12-month period ending as of the end of such fiscal quarter, its current ratio as of the end of such fiscal quarter, and its days cash on hand as of the end of such fiscal quarter (as all such terms are defined in the Regulatory Agreement, with such additions and modifications thereto to which the Office consents), by not later than 45 days following the end of the Corporation's fiscal quarter (the "Quarterly Report"), commencing with the Quarterly Report for the fiscal quarter ended December 31, 2016; and (iii) notices of the occurrence of certain enumerated events ("Event Notices"). The specific nature of the information to be contained in the Annual Report, the Quarterly Report and the Event Notices is described in Appendix E hereto. The Annual Reports, Quarterly Reports and Event Notices will be filed by the Dissemination Agent on behalf of the Corporation with the Municipal Rulemaking Securities Board (the "Repository") through its Electronic Municipal Market Access System ("EMMA"). These covenants have been made in order to assist the Underwriter in complying with the Rule. See APPENDIX E — "FORM OF CONTINUING DISCLOSURE AGREEMENT." The Continuing Disclosure Agreement also provides that, within thirty (30) days of posting each Annual Report, commencing with the Annual Report for the Fiscal Year ending December 31, 2016, the Corporation will host an investor call (the "Annual Call"), as described in Appendix E hereto, which call will be open to Owners and other interested parties.

In connection with the Prior Bonds, the Corporation entered into a Continuing Disclosure Agreement pursuant to which the Corporation agreed, within six months of the end of each year, to file audited financial statements together with supplemental information concerning historic utilization, sources of revenue for skilled nursing services and key financial ratios. The Corporation timely filed all the required information except: (i) for the year ended December 31, 2011, there was a failure to file the supplemental information (although historic utilization information and revenue sources for skilled nursing services was provided in subsequent year reports on a comparative basis); and (ii) the information for 2012 was filed 18 days late. The Corporation has now filed all information for 2011.

STATE REGULATION OF THE SENIOR CARE AND HOUSING SECTOR

Continuing care retirement communities generally provide housing, meals, residential services, other amenities and nursing care to individuals of retirement age who, initially, live independently in their own apartments. The operation of continuing care retirement communities usually involves (i) a written contract under which the provider of continuing care services agrees to provide the resident of the community with accommodations, meals, laundry services, housekeeping, social and recreational activities, assisted living services and certain health-related care; (ii) the payment of an entrance fee and monthly service fees (often varying in amount according to the size of a resident's residential living apartment and to the level of care a resident requires) by each resident designed to meet all general costs of the community's operation; (iii) the existence on the premises of specialized units for assisted living and often a skilled nursing facility; and (iv) the provision of facilities and services generally designed to meet the social, physical and psychological needs of residents. For information regarding the Facilities, see APPENDIX A — "INFORMATION CONCERNING THE CORPORATION."

Generally, an agreement to provide one or more elements of care to an elderly resident for the duration of his or her life or for a term in excess of one year in exchange for the transfer of consideration for the purpose of assuring care or related services is regarded as a continuing care contract and is subject to regulation under the California Health and Safety Code (the “Health and Safety Code”). Any person or organization agreeing to provide such care must first obtain: (i) one or more written licenses to operate a residential care facility for the elderly from the California Department of Social Services (“DSS”) pursuant to Division 2, Chapter 3.2 of the Health and Safety Code; (ii) where there is a skilled nursing facility on the premises, one or more written licenses to operate such facility from the California Department of Public Health (“DPH”) pursuant to Division 2, Chapter 2 of the Health and Safety Code; (ii) and (iii) a certificate of authority (“Certificate of Authority”) from DSS pursuant to Chapter 10 of Division 2 of the Health and Safety Code, to enter into continuing care contracts with residents.

For information regarding the current licensing of the Facilities and the types of contracts offered by the Corporation at the Facilities, see APPENDIX A — “INFORMATION CONCERNING THE CORPORATION.”

A provider under a continuing care contract (a “Continuing Care Provider”) must maintain at all times qualifying assets (“Qualifying Assets”) as a liquid reserve in an amount at least equal to the sum of (a) the amount the provider is required to hold as a debt service reserve under Section 1792.3 of the Health and Safety Code (the “Debt Service Reserve Amount”) and (b) the amount the Continuing Care Provider is required to hold as an operating expense reserve under Section 1792.4 of the Health and Safety Code (the “Operating Expense Reserve Amount”). The Debt Service Reserve Amount is the amount equal to the sum of (i) all regular principal and interest payments, and credit enhancement premiums, paid by the provider during the immediately preceding fiscal year on account of any fully amortizing long-term debt owed by the provider; (ii) facility rental or leasehold payments, and any related payments, paid by the provider during the immediately preceding fiscal year; and (iii) all payments paid by the Continuing Care Provider during the immediately preceding fiscal year on account of any debt that provides for a balloon payment. The Operating Expense Reserve Amount is an amount that equals or exceeds 75 days’ net operating expenses, which includes all expenses of the Continuing Care Provider except (w) interest and credit enhancement expenses factored into the Debt Service Reserve Amount described above, (x) depreciation or amortization expenses, (y) an amount equal to the reimbursement paid to the Continuing Care Provider during the past 12 months for services to residents other than residents holding continuing care contracts, and (z) extraordinary expenses that DSS determines may be excluded by the Continuing Care Provider. A Continuing Care Provider that has been in operation for less than 12 months calculates its net operating expenses by using its actual expenses for the months it has operated and, for the remaining months, the projected net operating expense amounts it submitted to DSS as part of its application for a Certificate of Authority. Qualifying Assets are: (1) cash; (2) certificates of deposit and United States Treasury securities with a maturity of five years or less; (3) certain investment securities (as defined in Section 1771(i)(2) of the Health and Safety Code); (4) certain equity securities, including mutual funds (as defined in Section 1771(e)(7) of the Health and Safety Code); and (5) certain lines of credit and letters of credit meeting the requirements of Section 1792.2(a)(5) of the Health and Safety Code. A Continuing Care Provider is not required to set aside, deposit into escrow, or otherwise restrict the assets it holds as its liquid reserve, unless DSS expressly requires it to do so because DSS has reason to believe the Continuing Care Provider is insolvent, in imminent danger of becoming insolvent, in a financially unsound or unsafe condition, or in a condition such that it may otherwise be unable fully to perform its obligations pursuant to continuing care contracts. As of June 30, 2015, the Corporation was in compliance with the liquidity reserve obligations described above.

Any provider offering refundable contracts is required to maintain a refund reserve in trust for each resident holding a refundable contract. The amount of the reserve for each resident is calculated by multiplying the refundable portion of the resident’s entrance fee by a factor, using an interest rate of six

percent or less from compound interest tables, that will grow at the assumed compound interest rate to one dollar at the end of the resident's life expectancy (based on the life expectancy table set forth in Section 1792.6). A contract is not deemed refundable and a provider does not need to establish a refund reserve where the provider's obligation to repay all or part of the resident's entrance fee is conditioned upon re-occupancy of the apartment and where the conditional repayment promise is not referred to as a "refund." For a description of the Corporation's various types of continuing care agreements in effect, see APPENDIX A — "INFORMATION CONCERNING THE CORPORATION." A new California law will, for repayable entrance fee agreements entered into on or after January 1, 2017, require payment of interest on amounts not repaid within specified periods after termination of the agreement. See "BONDHOLDERS' RISKS – California Legislation Affecting Repayable Entrance Fees" herein.

A Continuing Care Provider must also file an annual audit and report with DSS within four months after the end of such Continuing Care Provider's fiscal year. In addition, a Continuing Care Provider must file, on an annual basis, a report disclosing operational data, margin ratios, liquidity indicators and capital structure indicators. Continuing Care Providers offering "Type A" continuing care contracts, such as the Corporation, must also file an actuary's opinion with respect to the Continuing Care Provider's financial condition. Any forms, including the form of any exhibit, attachment or addendum referred to or incorporated by reference in a continuing care contract, must be filed with and approved by DSS prior to its implementation.

A Certificate of Authority may be suspended, conditioned or revoked by DSS if it finds that the Continuing Care Provider has done any of the following: (i) violated the statutes, or the rules and regulations governing continuing care (the "Continuing Care Law"); (ii) aided, abetted, or permitted the violation of the Continuing Care Law; (iii) had a license suspended or revoked; (iv) made a material misstatement, misrepresentation, or fraud in obtaining its licenses, permits or Certificate of Authority; (v) demonstrated a lack of fitness or trustworthiness; (vi) engaged in any fraudulent or dishonest practices or management in the conduct of business; (vii) misappropriated, converted, or withheld moneys; (viii) after request by DSS for an examination, access to records, or information, refused to be examined or otherwise to cooperate; (ix) manifested an unsound financial condition; (x) used methods and practices in the conduct of business so as to render further transactions by the provider hazardous or injurious to the public; (xi) failed to maintain at least the minimum statutory reserves required by the Continuing Care Law; (xii) failed to comply with the requirements of the Continuing Care Law for maintaining escrow accounts for funds; (xiii) failed to file its annual report; (xiv) violated a condition of its permit to accept deposits or Certificate of Authority; (xv) failed to comply with its approved financial and marketing plan or to secure approval of a modified plan; (xvi) materially changed or deviated from an approved plan of operation without the prior consent of DSS; (xvii) failed to fulfill its obligations under continuing care contracts; (xviii) made material misrepresentations to depositors, prospective residents or residents of a continuing care retirement community; (xix) failed to submit proposed changes to continuing care contracts prior to use, or using a continuing care contract that has not been previously approved by DSS; or (xx) failed to diligently submit materials requested by DSS or required by the Continuing Care Law. The suspension or revocation of a Certificate of Authority by DSS, or the voluntary return of such a Certificate by a Continuing Care Provider, does not release such provider from the obligations assumed at the time continuing care contracts were executed.

There is no guarantee that the Corporation's Certificate of Authority and licenses to operate the Facilities will not be suspended, conditioned or revoked. Further, there is no assurance that future legislation in California will not have an adverse impact on the ability of the Corporation to operate the Facilities as now operated. However, the Corporation's existing Certificate of Authority has never been suspended, conditioned or revoked.

In addition to suspending, limiting or revoking a Certificate of Authority, if a Continuing Care Provider fails to establish or depletes the reserves or escrow account required under the Continuing Care Law, is insolvent or in imminent danger of becoming insolvent, is in a financially unsound or unsafe condition, fails to submit a plan or to obtain DSS's approval of a plan submitted, is unable fully to perform its obligations under continuing care contracts or residents are otherwise placed in serious jeopardy, DSS may petition the superior court in the county in which such community is located for an order appointing a qualified administrator to operate the community and its assets.

In the case of any violation or threatened violation of the Continuing Care Law, DSS may institute a proceeding or may request the Attorney General of the State to institute a proceeding to obtain injunctive or other equitable relief in the superior court in and for the county in which the violation has occurred or will occur, or in which the principal place of business of the Continuing Care Provider is located. If at any time DSS determines that further efforts to rehabilitate the Continuing Care Provider would not be in the best interest of the residents or prospective residents, or would not be economically feasible, DSS may apply to the court for an order of liquidation and dissolution or may apply for other appropriate relief for dissolving the property and bringing to conclusion its business affairs. Upon issuance of an order directing the liquidation or dissolution of the provider, DSS shall revoke the Continuing Care Provider's Certificate of Authority.

Pursuant to Sections 1773 and 1789.4 of the Health and Safety Code, a provider may not sell or transfer ownership of a continuing care retirement community without the approval of DSS, including the granting of any interest in the community, such as a mortgage or deed of trust. Pursuant to Health and Safety Code Section 1779.4, as a condition to the receipt of a license to operate as a continuing care retirement community, a provider must also record a Notice of Statutory Limitation on Transfer with respect to the real property on which the community is located, indicating that use and transfer of the property is subject to the conditions and limitations imposed by the Health and Safety Code, which Notice is required to be recorded prior to encumbering the continuing care retirement community property with a proposed encumbrance securing financing. The limitations on transfer imposed by the Health and Safety Code Section 1789.4 include approval by DSS following review of an application that identifies the purchaser, the terms of the sale, a plan for ensuring performance of the existing continuing care contract obligations and notice to and acknowledgment by the residents. Further, unless a new provider assumes all of the continuing care obligations of the selling provider at the close of the sale or transfer, the selling provider must set up a trust fund or secure a performance bond to ensure the fulfillment of all of its continuing care contract obligations. The purchaser must also make application for and obtain the appropriate licenses and certificate of authority before executing any continuing care contracts or assuming the selling provider's continuing care contracts. The Corporation has recorded the foregoing statutory limitation on transfer with respect to the Facilities.

The Corporation's Facilities subject to a Certificate of the Authority consist of a residential care facility for the elderly and a skilled nursing facility that are licensed, respectively, by DSS and DPH. See APPENDIX A — "INFORMATION CONCERNING THE CORPORATION."

For information regarding risk of suspension or revocation of any of the Corporation's licenses, see "BONDHOLDERS' RISKS — Regulatory Environment — Licensing, Surveys, Investigations and Audits.

BONDHOLDERS' RISKS

The purchase of the Bonds involves certain investment risks that are discussed throughout this Official Statement. Accordingly, each prospective purchaser of the Bonds should make an independent evaluation of all of the information presented in this Official Statement in order to make an informed

investment decision. Among other things, careful evaluation should be made of the assumptions described in the Feasibility Study and certain factors that may adversely affect the ability of the Corporation to generate sufficient revenues to pay expenses of operation, including the principal of, premium, if any, and interest on the Bonds. This section on Bondholders' risks focuses primarily on the general risks associated with continuing care retirement communities, senior care and housing providers, the State and the State's Insurance Program, whereas Appendix A describes the Corporation specifically. These should be read together.

General

Except as noted herein under "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS," the Bonds are secured by the pledge of Gross Revenues under the Loan Agreement and by the liens created by the Deed of Trust and are payable from Loan Repayments made pursuant to the Loan Agreement. No representation or assurance can be made that revenues will be realized by the Corporation in amounts sufficient to make the payments under the Loan Agreement and, thus, to allow the Trustee (as assignee of the Authority) to pay principal of and interest on the Bonds.

The ability of the Corporation to generate revenues and its overall financial condition may be adversely affected by a wide variety of future events and conditions, including those summarized below. Neither the Underwriter nor the Authority has made any independent investigation of the extent to which any such factors may have an adverse effect on the revenues of the Corporation or its ability to meet its obligations with respect to the Bonds.

Significant Risk Areas Summarized

Certain of the primary risks associated with the Bonds and with the operations of the Corporation are briefly summarized in general terms below and are explained in greater detail in subsequent sections. The occurrence of one or more of these risks could have a material adverse effect on the financial conditions and results of operations of the Corporation and, in turn, the ability of the Corporation to make payments under the Loan Agreement. For discussions of the applicability of certain of these risks to the Corporation, see APPENDIX A — "INFORMATION CONCERNING THE CORPORATION."

Federal Health Care Reform and Deficit Reduction. In 2010, "The Patient Protection and Affordable Care Act of 2010" and "The Health Care and Education Affordability Reconciliation Act of 2010" (together referred to herein as the "ACA") were enacted. This legislation addresses numerous aspects of health care and provider operations and health care delivery, and is changing how health care services are covered, delivered and reimbursed. These changes will result in new payment models with the risk of lower reimbursement from Medicare, utilization changes, increased government enforcement and the necessity for health care providers to assess, and potentially alter, their business strategy and practices, among other consequences. While many providers may receive reduced payments for care, millions of previously uninsured Americans may obtain coverage. Federal deficit reduction efforts will likely curb federal Medicare spending further to the detriment of skilled nursing providers. See "Federal Deficit Reduction" and "Health Care Reform" below.

General Economic Conditions. The Corporation is economically influenced by the environment in which it operates. The economic recession that began in 2008 had and may continue to have negative repercussions upon the national and global economies, including a scarcity of credit, lack of confidence in the financial sector, extreme volatility in the financial markets, increase in interest rates, reduced business activity, increased consumer bankruptcies and increased business failures and bankruptcies. Further, the recession constrained corporate and personal spending, limited the availability of credit and increased the national debt and federal and state government deficits. Under such economic conditions, sales of

continuing care contracts may be reduced because prospective residents could not sell their homes in a declining real estate market. Declines in investment income of residents could result in their being unable to qualify for residency at a continuing care retirement community or being unable to pay their resident fees, thus requiring the Corporation to provide charity care. Declines in the Corporation's investment portfolio values could reduce or eliminate non-operating revenues of the Corporation. Potential failure of lenders, insurers or vendors could negatively impact the results of operations and the overall financial condition of health care providers.

The healthcare and senior care sectors were materially adversely affected by these developments. The consequences of these developments have generally included realized and unrealized investment portfolio losses, reduced investment income, limitations on access to the credit markets, difficulties in extending existing or obtaining new liquidity facilities, difficulties in remarketing revenue bonds subject to tender, requiring the expenditure of internal liquidity to fund tenders of revenue bonds, and increased borrowing costs. While the economy has made a recovery since the 2008 recession, the Corporation could experience lingering effects of the recession.

Market fluctuations have affected and will continue to affect materially the value of the Corporation's investment portfolio and those fluctuations may be and historically have been material. The market disruption has exacerbated the market fluctuations and has negatively affected the investment performance of securities in the Corporation's portfolio. See APPENDIX A — "INFORMATION CONCERNING THE CORPORATION."

Nonprofit Health Care Environment. The significant tax benefits received by certain nonprofit, tax-exempt healthcare organizations have increasingly caused the business practices of such organizations (including billing and collection, charity care and executive compensation) to be subject to scrutiny by public officials and the press, and to political and legal challenges of the ongoing qualification of such organizations for tax-exempt status. Multiple governmental authorities, including state attorneys general, the IRS, Congress and state legislatures, have held hearings and carried out audits regarding the conduct of tax-exempt organizations. The IRS has added new reporting requirements for tax-exempt organizations, including Schedule K of IRS Form 990. Significant changes in the obligations of nonprofit, tax-exempt healthcare organizations and challenges to or loss of the tax-exempt status of non-profit healthcare organizations generally, or the Corporation in particular, could have a material adverse effect on the Corporation. See "—Tax-Exempt Status and Other Tax Matters—Maintenance of the Tax-Exempt Status of Interest on the Bonds" below.

Reliance on Medicare. Payment from the federal Medicare program over the Corporation's past three fiscal years ranged from approximately 22% to 13% of the Corporation's total revenue. Recent changes in the underlying law and regulations, as well as in payment policy and timing, create uncertainty and could have a material adverse impact on the Corporation's Medicare revenues.

Government "Fraud and Abuse" Enforcement. "Fraud" in government funded health care programs, including skilled nursing, is a significant concern of federal and state regulatory agencies overseeing health care programs, and is one of the federal government's prime law enforcement priorities. The federal government and, to a lesser degree, state governments impose a wide variety of extraordinarily complex and technical requirements intended to prevent over-utilization based on economic inducements, misallocation of expenses, overcharging and other forms of "fraud" or "abuse" in the Medicare program, as well as other state and federally-funded health care programs. This body of regulation impacts a broad spectrum of health care provider commercial activity, including billing, accounting, recordkeeping, contracting and other functions and transactions.

Violations and alleged violations may be deliberate, but also frequently occur in circumstances where management is unaware of the conduct in question, as a result of mistake, errors, or negligence or where an individual participant does not know that his or her conduct is in violation of law. Violations may occur and be prosecuted in circumstances that do not have the traditional elements of fraud, and enforcement actions may extend to conduct that occurred in the past. Violations carry significant sanctions. The government periodically conducts widespread investigations covering categories of services, or certain accounting or coding and billing practices.

Violations and Sanctions. The government and/or private “whistleblowers” often pursue aggressive investigative and enforcement actions. The government’s remedies include a wide array of administrative, civil, criminal, monetary and other penalties, including suspending essential health care provider payments from the Medicare or Medicaid programs, or exclusion from those programs. Aggressive investigation tactics, negative publicity and threatened penalties can be, and often are, used to force health care providers to enter into monetary settlements in exchange for releases of liability for past conduct, as well as compliance plans and agreements imposing prospective restrictions and/or mandated compliance requirements on health care providers. Such negotiated settlement terms may have a material adverse impact on health care provider operations, financial condition, results of operations and reputation. Multi-million dollar fines and settlements are common. These risks are generally uninsured. Government enforcement and private whistleblower suits may increase in the health care sector. Many health care providers are likely to be adversely impacted.

Personnel Shortage. From time to time, shortages of nursing and other technical personnel occur, which may adversely impact the Corporation. Various studies have predicted that nurse shortages will become more acute over time, as health reform provisions go into effect, as practitioners retire and as patient volume exceeds the growth in new professionals. In California, regulation of nursing staff ratios can intensify the potential shortage of nursing personnel. In addition, shortages of other professional and technical staff such as pharmacists, therapists, laboratory technicians and others may occur. Operations, resident satisfaction, financial condition and future growth could be negatively affected by nursing and other technical personnel shortages, resulting in material adverse impact to the Corporation.

Costs and Restrictions from Governmental Regulation. Nearly every aspect of health care delivery is regulated, in most cases by multiple agencies of state and federal government. The level and complexity of regulation and compliance audits appear to be increasing, imposing greater operational limitations, enforcement and liability risks, and significant and sometimes unanticipated costs.

Labor Costs and Disruption. The delivery of senior care and housing services is labor intensive. Labor costs, including salary, benefits and other liabilities associated with the workforce, have significant impact on the Corporation’s operations and financial condition. Senior care employees are increasingly organized in collective bargaining units and may be involved in work actions of various kinds, including work stoppages and strikes. The Corporation does not have a unionized workforce. Pressure to recruit, train and retain qualified employees is expected to accelerate. These factors may materially increase costs of operation. Workforce disruption may negatively impact revenues and reputation.

Facility Damage. The Facilities are highly dependent on the condition and functionality of their physical facilities. Damage from earthquakes, floods, fires, other natural causes, deliberate acts of destruction, or various facilities system failures may have a material adverse impact on operations, financial conditions and results of operations.

State Bond Insurance

The principal and interest payments on the Bonds will be insured by the Office. See ‘CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM.’ If the principal and interest payments on the Bonds are not made by the Corporation, such payments would be made by the Office from the HFCLIF. The last actuarial study of HFCLIF obtained by the Office was as of June 30, 2014, and indicated that the HFCLIF could be depleted prior to the maturity date of the Bonds in the event a 10% probability of catastrophic loss was assumed. The 2014 Actuarial Study is available at the website of the Office. See ‘CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—The Office, the Insurance Program and the Insurance Fund.’

To the extent the HFCLIF reserves are depleted and subject to the requirements of the Insurance Law, the Office must request the Treasurer to issue debentures which are fully and unconditionally guaranteed as to principal and interest by the State in an amount equal to the then outstanding principal amount of the Bonds. Accordingly, any decline in the State’s fiscal condition could adversely affect the State’s ability to make payment on debentures in the event of a claim on such insurance. See ‘CERTAIN FINANCIAL INFORMATION REGARDING THE STATE.’

In addition, over certain time periods, deterioration in the State’s budget and cash situation may cause the nationally recognized rating services to reduce the State’s credit ratings. Standard & Poor’s Ratings Services, the rating agency for the Bonds, has indicated that it rates the Office’s insured bonds on par with the rating of the State’s general obligations bonds and that any rating action affecting the State will directly affect the rating on the Insurance Program. Therefore, any decline in the State’s fiscal condition could adversely affect the rating on the Bonds. See ‘CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—The Office, the Insurance Program and the Insurance Fund.’ See also ‘CERTAIN FINANCIAL INFORMATION REGARDING THE STATE’ and ‘RATING.’

Construction Draws

The ability of the Corporation to receive disbursements from the Project Fund held under the Indenture is subject to prior approval by the Office. If the conditions to receipt of such approval for disbursements are not met, construction draws may be suspended. A suspension of funding might cause delay in completion and related cost overruns.

Financial Forecast

The Project’s financial forecast contained in the Feasibility Study attached hereto as Appendix H is based upon assumptions made by management of the Corporation. As stated in such financial forecast, events and circumstances frequently do not occur as expected, there will usually be differences between the forecasted and actual results, and those differences may be material. In addition, the financial forecast does not cover the entire period during which the Bonds may be outstanding. See the Feasibility Study included herein as Appendix H, which should be read in its entirety.

BECAUSE THERE IS NO ASSURANCE THAT ACTUAL EVENTS WILL CORRESPOND WITH THE ASSUMPTIONS MADE, NO GUARANTY CAN BE MADE THAT THE FINANCIAL FORECAST IN THE FEASIBILITY STUDY WILL CORRESPOND WITH THE RESULTS ACTUALLY ACHIEVED IN THE FUTURE. ACTUAL OPERATING RESULTS MAY BE AFFECTED BY MANY FACTORS, INCLUDING BUT NOT LIMITED TO, INCREASED COSTS, FAILURE BY MANAGEMENT OF THE CORPORATION TO EXECUTE ITS PLANS, LOWER THAN ANTICIPATED REVENUES, EMPLOYEE REGULATIONS, TAXES, GOVERNMENTAL

CONTROLS, CHANGES IN APPLICABLE GOVERNMENTAL REGULATION, CHANGES IN DEMOGRAPHIC TRENDS, CHANGES IN THE RETIREMENT LIVING AND HEALTH CARE INDUSTRIES AND GENERAL ECONOMIC CONDITIONS.

Drought

California remains in one of its most extreme droughts on record. In 2014, California Governor Jerry Brown issued a State of Declaration of Emergency due to drought and severe water supply conditions in various parts of the State. In 2015, the California Public Utilities Commission ordered the water companies under its jurisdiction to notify customers of emergency regulations that were put into place by the State Water Resources Control Board in order to preserve sufficient potable water and ensure safe drinking water for Californians. While such limitations have been relaxed, increasingly limited water supplies in parts of the State, should the drought continue, could have significant negative impact on the economy of the State, which could have an adverse effect on the revenues and operations of the Corporation.

Uncertainty of Revenues

Except as described herein under “California Health Facility Construction Loan Program,” the Bonds are special obligations of the Authority, payable solely from the Revenues, which will consist primarily of Loan Repayments to be made by the Corporation under the Loan Agreement and from certain funds and interest, profits or other income derived from the investment of amounts in such funds held under the Indenture. For further information concerning the security for the Bonds, see “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS.”

No guarantee or assurance can be made that sufficient revenues will be available to pay the principal of, premium, if any, and interest on the Bonds when due. The receipt of future revenues by the Corporation will be dependent upon the capabilities of management of the Corporation and may be adversely affected by future economic conditions, technological or demographic changes affecting demand for senior living facilities and health care services, future federal or state regulation or funding of health care services, competition from other senior living or health care providers and facilities in the service area of the Corporation’s Facilities and other factors. Neither the Authority nor the Underwriter has made any independent investigation of the extent to which any such factors may have an adverse effect on the revenues of the Corporation.

For information concerning the Corporation, its operations and financial condition, see APPENDIX A – “INFORMATION CONCERNING THE CORPORATION” and APPENDIX B – “AUDITED FINANCIAL STATEMENTS OF THE CORPORATION.”

Health Care Regulation and Reform

Health Care Regulation. The health care industry and senior care sectors in general are highly regulated by a number of governmental and private agencies, including those which administer the Medicare and Medicaid programs. The health care and senior care sectors are also affected by federal, state and local policies developed to regulate the manner in which health care is provided, administered and paid for nationally and locally. As a result, these sectors are sensitive to frequent and substantial legislative and regulatory changes.

Congress and the states have consistently attempted to curb the growth of federal spending on health care programs, which include skilled nursing services furnished by senior care providers. In addition, Congress and other governmental agencies have focused on the provision of care to indigent and

uninsured patients, public access to emergency services regardless of ability to pay, the unlawful payment of remuneration in exchange for referral of patients, the unauthorized use or disclosure of patients' protected health information, billing for services not in accordance with governmental requirements and other issues. Cost shifting to private sources of payment to offset declining federal and state reimbursement for health care services is not as prevalent as in the past because private insurance companies have adopted cost containment measures similar to those used by government agencies.

Despite these efforts, due to, among other things, the growing percentage of older persons in the population, improved technology and administrative costs in a highly regulated industry, health care expenditures as a percentage of the gross national product continue to rise. Consequently, it can be expected that aggressive cost containment measures and fraud and abuse investigation and enforcement could have a material adverse effect on the Corporation's provision of skilled nursing services. Continued efforts in the form of statutory and regulatory activity to reduce the rate of increase in reimbursement for health care costs, particularly costs paid under the Medicare program, can be expected. The Corporation is subject to governmental regulation under the federal Medicare program in its provision of skilled nursing services. Skilled nursing providers, including the Corporation, have been and will continue to be affected by changes that have occurred during the last several years in the administration of the Medicare program.

Health Care Reform. Legislation is periodically introduced in Congress and in the State legislature that could result in limitations on revenues, reimbursements, or charges for health care facilities, including skilled nursing facilities. At this time, no determination can be made as to whether such additional federal or state legislation will be enacted or, if enacted, its impact on the Corporation.

The ACA was enacted in 2010 but soon after became the subject of court challenges and efforts to repeal or modify their substantive provisions. In 2012, the United States Supreme Court upheld the constitutionality of the ACA generally, but struck down certain provisions which would have permitted federal Medicaid funding to be entirely eliminated for states that do not comply with the expanded Medicaid coverage required under the ACA. Since the Supreme Court's decision was handed down, certain political leaders have announced their intention to proceed with legislation to repeal or amend provisions of the ACA. Attempts to repeal provisions of the ACA are pending in Congress while the constitutionality of the ACA continues to be challenged in the courts. Two federal appeals courts issued conflicting rulings with respect to whether tax credits are available to individuals who purchase health insurance in states that have a federally-facilitated health insurance exchange. These cases were appealed to the U.S. Supreme Court, and on March 4, 2015, the Court heard oral arguments in *King v. Burwell* on legal challenges to the tax credits. On June 25, 2015, by a vote of 6 to 3, the Court held that the tax credits are available to individuals in states that have a federally-facilitated exchange. The ultimate outcomes of legislative attempts to repeal or amend the ACA and legal challenges to the ACA are unknown.

Some provisions of the ACA took effect immediately, while others will continue to be phased in over time, ranging from a few months following final approval to ten years. Given the general complexity of the ACA, additional legislation modifying or repealing portions of the ACA is likely to be considered and enacted over time. The ACA also requires the promulgation of substantial regulations with significant effects on the health care industry and third-party payors. In response, third-party payors as well as suppliers and vendors of goods and services to health care providers, including skilled nursing providers, are expected to impose new contractual terms and conditions. Thus, the health care and senior care sectors will be subjected to significant new statutory and regulatory requirements as well as contractual terms and conditions, and consequently to structural and operational changes and challenges, for a substantial period of time. It is impossible to predict what, if

any, such new guidelines and regulations will entail or how they may affect the Corporation, its operations or its financial condition.

The ACA provides changes with respect to how consumers will pay for their own and their families' health care and how employers will procure health insurance for their employees. In addition, the ACA requires insurers to change certain underwriting practices and benefit structures in order to cover individuals who previously would have been ineligible for health insurance coverage. As a result, there has been a significant increase in the number of individuals eligible for health insurance coverage.

Some of the specific provisions of the ACA that may affect the Corporation's skilled nursing operations, financial performance or financial condition include the following (this listing is not, is not intended to be, nor should be considered to be, comprehensive):

- ☐ With varying effective dates, the annual Medicare market basket updates for many providers, including skilled nursing, would be reduced, and adjustments to payment for expected productivity gains would be implemented.
- ☐ With varying effective dates, the ACA mandates a reduction of waste, fraud and abuse in public programs by allowing provider enrollment screening, enhanced oversight periods for new providers and suppliers, and enrollment moratoria in areas identified as being at elevated risk of fraud in all public programs, and by requiring Medicare and Medicaid program providers and suppliers to establish compliance programs. The legislation requires the development of a database to capture and share healthcare provider data across federal healthcare programs and also provides for increased penalties for fraud and abuse violations, and increased funding for anti-fraud activities.
- ☐ Health care fraud and abuse and program integrity provisions as well as significant amendments to existing criminal, civil and administrative anti-fraud statutes. Increased compliance and regulatory requirements, disclosure and transparency obligations, quality of care expectations and extraordinary enforcement provisions that could greatly increase potential legal exposure.
- ☐ New transparency requirements for nursing homes requiring additional disclosures related to organizational structure and other items are mandated.

The ACA provides for the implementation of various demonstration programs and pilot projects to test, evaluate, encourage and expand new payment structures and methodologies to reduce health care expenditures while maintaining or improving quality of care, including bundled payments under Medicare and Medicaid, and comparative effectiveness research programs that compare the clinical effectiveness of medical treatments and develop recommendations concerning practice guidelines and coverage determinations. Other provisions encourage the creation of new health care delivery programs, such as accountable care organizations, or combinations of provider organizations, that voluntarily meet quality thresholds to share in the cost savings they achieve for the Medicare program. The outcomes of these projects and programs, including their effect on payments to providers and financial performance, cannot be predicted.

In addition, many states have enacted or are considering enacting, measures that are designed to reduce their Medicaid expenditures and change private health care insurance. States have adopted or are considering adopting legislation designed to reduce coverage and program eligibility, enroll Medicaid recipients in managed care programs and/or impose additional taxes on skilled nursing facilities to help finance or expand states' Medicaid systems.

The ACA also includes The Elder Justice Act, which provides funding for adult protective services aimed at elder abuse prevention and enhanced investigation of elder abuse and neglect. The Elder Justice Act requires prompt reporting to the U.S. Department of Health and Human Services (“DHHS”) by long term care facilities who receive at least \$10,000 per year in federal funds of any reasonable suspicion of a crime, as defined by local law, occurring at the long term care facility. This includes Medicare/Medicaid fraud and abuse. Reports are required to be made not later than two hours after forming the suspicion when serious physical injury occurs, and not later than 24 hours after forming suspicion where serious bodily injury was not involved. “Serious bodily injury” is not defined by the Elder Justice Act. Failure to report is subject to penalties up to \$200,000 plus potential exclusion from federal programs. Stricter penalties apply if delay led to further injury.

The ACA also includes the Patient Safety and Abuse Prevention Act, which authorizes DHHS to create a national program to identify best practices for background checks on long-term care facility employees who have direct access to patients. The Patient Safety and Abuse Prevention Act creates grants for states who wish to participate in the creation of a nationwide program.

The ACA includes a number of initiatives that impact skilled nursing facility reimbursement. On August 4, 2015, the Centers for Medicare and Medicaid Services (“CMS”) released its final rule on fiscal year (FY) 2016 Medicare payments for skilled nursing facilities. The rule marks the transition away from fee-for-service reimbursement and towards value-based payment. The rate provisions become effective for discharges on or after October 1, 2015. There is no assurance that payments made by CMS as a result of reimbursement reform measures will be sufficient to cover the facility's costs.

The final rule also implements the quality reporting provision of the Improving Medicare Post-Acute Care Transformation Act of 2014 (IMPACT Act). Beginning in FY 2018, the IMPACT Act requires a two percent penalty for those skilled nursing facilities that fail to submit required quality data to CMS under the SNF Quality Reporting Program (QRP). CMS has adopted three measures that skilled nursing facilities will be required to report for the FY 2018 QRP and subsequent years in three quality domains identified in the IMPACT Act: (1) skin integrity and changes in skin integrity; (2) incidence of major falls; and (3) functional status, cognitive function, and changes in function and cognitive function. CMS intends to propose additional quality measures in future rulemaking.

For federal FY 2019 and beyond, CMS is required by the Protecting Access to Medicare Act of 2014 (PAMA) to implement a value-based purchasing (VBP) program for skilled nursing facilities. In the final rule CMS adopted a 30-day all-cause, all-condition hospital readmission quality measure as the sole measure that will be used in the skilled nursing VBP program. CMS notes that it plans to address in future rulemaking a separate PAMA requirement that the agency specify an all-condition, risk-adjusted potentially preventable hospital readmission rate. In addition, any future Congressional action related to VBP or adjustments to market basket updates could negatively affect the Corporation’s revenues.

Furthermore, the final rule establishes new regulatory reporting requirements for skilled nursing facilities and nursing facilities to electronically submit staffing information based on payroll data and other auditable data related to agency and contract staff, as mandated by the ACA. As of July 1, 2016, both skilled nursing facilities and nursing facilities participating in the Medicaid program are required to electronically submit certain direct care staffing data.

In addition to the changes made in the FY 2016 Medicare payment rule, in its most comprehensive revision to the conditions of participation since 1991, CMS issued final rules effective on November 28, 2016, revising the standards that long-term care facilities must meet to participate in Medicare or Medicaid. CMS stated earlier that the rules would be aimed at “improving quality of life, care and services in long-term care facilities, optimize resident safety, reflect current professional

standards and improve the logical flow of the regulations.” When it proposed the rules, CMS estimated the total projected cost for implementation and compliance with the rules to be \$729 million in the first year and \$638 million in the second and subsequent years.

The final rules revise existing requirements and add new obligations. In addition to implementing provisions of the ACA related to: a) quality assurance and performance improvement, b) compliance and ethics programs, c) reporting of suspicion of a crime, and d) training requirements related to dementia and abuse prevention, CMS proposes new requirements related to, among other things: p) facility responsibilities associated with protecting residents’ rights and enhancing quality, q) comprehensive person-centered care planning, including new requirements related to specialized rehabilitative services, disciplinary team composition, and discharge planning, r) provision of behavioral health care services, including mental and psychosocial illnesses and non-pharmacological interventions, as well as staff competencies, s) pharmacy services, including a requirement that a pharmacist review a resident’s medical chart at least every six months and when the resident is new to the facility, returns or is transferred from a hospital or another facility and during each monthly drug regimen review when the resident is taking certain drugs, t) facility-wide assessments of the physical characteristics of the home, number and acuity levels of residents, range of diagnoses and care plan content which would be applicable to a variety of functions such as quality assurance and performance improvement programs, determining sufficient nursing and direct care staff and emergency preparedness, u) a compliance and ethics program; (v) infection control programs, including formal designation of an infection control and prevention officer for each facility, w) new limits on the number of residents who may share a bedroom and availability of private, in-room toilet facilities, x) specific requirements around training of existing and new staff, independent contractors and volunteers, y) competencies-based approach to facility staffing, and z) enhanced requirements around employment and independent contractor relationships designed to protect residents from abuse, neglect, mistreatment or misappropriation of property. The effects of the proposed changes to the conditions of participation, quality measures and implementation of VBP, including their effect on financial performance, cannot be predicted.

This focus on health care reform may increase the likelihood of significant changes affecting the health care industry. Possible future changes in the Medicare, Medicaid and other state programs may reduce reimbursements to the Corporation and may also increase operating expenses. Management of the Corporation is analyzing the ACA and will continue to do so in order to assess the effects of the legislation and/or regulations on current and projected operations, financial performance and financial condition. However, given the indeterminate long-term implications of the ACA, management cannot predict with any reasonable degree of certainty or reliability any interim or ultimate effects of the legislation or promulgated regulations.

Medicare Program

General. The Medicare program, a federal insurance program under the Social Security Act primarily for individuals aged 65 and over, provides coverage for skilled nursing care (i) up to 100 days per benefit period, (ii) immediately following at least three days of hospitalization and (iii) for care related to the condition treated by the prior hospitalization. The Balanced Budget Act of 1997 implemented a Prospective Payment System (“PPS”) for all skilled nursing facilities, which pays an all-inclusive per diem rate for routine, ancillary and capital costs, and is adjusted geographically for wages and case mix index to reflect a patient’s resource requirements. Higher acuity patients receive more reimbursement under the payment formula. The per diem prospective payment amount covers all Medicare Part A skilled nursing services and any items in therapy services furnished during the patient’s Medicare covered stay (with a few minor exceptions). “Ancillary” services furnished to skilled nursing residents are also covered under Medicare Part B and may be reimbursed after Medicare Part A coverage is exhausted. The Balanced Budget Act of 1997 also provided for the implementation of consolidated

billing for skilled nursing facilities, whereby skilled nursing facilities are required to bill the Medicare program for virtually all Medicare services and supplies provided to Medicare residents.

Medicare is administered by CMS, which delegates to the states the process for certifying health care organizations to which CMS will make payment. In order to achieve and maintain Medicare certification, skilled nursing facilities must meet CMS's "Conditions of Participation" on an ongoing basis, as determined by the state. The requirements for Medicare certification are subject to change, and, therefore, it may be necessary for senior care and housing facilities to effect changes from time to time in their equipment, personnel, billing, policies and services.

As the U.S. population ages, more people will become eligible for the Medicare program. Current projections indicate that demographic changes and continuation of current cost trends will exert significant negative forces on the overall federal budget. The ACA institutes multiple mechanisms for reducing the costs of the Medicare program. See "—Health Care Reform" and "—General Economic Conditions and Revenues" herein.

The Budget Control Act set in place a protocol for mandatory spending cuts known as "sequestration" that resulted in automatic federal spending cuts on March 1, 2013. Sequestration resulted in an automatic 2% reduction in Medicare program payments for all health care providers, including skilled nursing providers, which commenced April 1, 2013. Reductions in Medicare funding could result in a decrease in net patient service revenue attributable to Medicare. Further, with no long-term resolution in place for federal deficit reduction, provider reimbursement is likely to continue to be a target for reductions with respect to any interim or long-term federal deficit reduction efforts. Because Congress may make changes to the budget in the future, it is impossible to predict the impact any spending cuts that are approved may have upon the Corporation. Similarly, it is impossible to predict whether any automatic reductions to Medicare may be triggered in lieu of other spending cuts that may be proposed by Congress. The reduction in Medicare spending, annual revisions in the Medicare reimbursement rates and the implementation or incorporation of new Medicare payment methodologies could potentially have a significant and adverse financial effect on the operators of skilled nursing facilities, including the Corporation.

For each of the Fiscal Years ended December 31, 2013, 2014, and 2015, Medicare reimbursements accounted for 22%, 8% and 13%, respectively, of the gross revenues of the Corporation. See APPENDIX A — "INFORMATION CONCERNING THE CORPORATION."

General Economic Conditions and Revenues

General. The Corporation is economically influenced by the environment in which it operates. Economic downturns may increase the number of residents who are unable to pay for some or all of their resident fees and other expenses of care. These conditions may give rise to increased bad debt and charity care obligations of the Corporation. At the same time, non-operating revenue from investments may be reduced or eliminated.

Congress and state legislatures can be expected to continue to consider alternative payment methodologies for assisted living, and to try to deal with perceptions about the quality of care at retirement communities. Changes in the law, new interpretations of existing laws, and changes in payment methodology may have a dramatic effect on the definition of permissible or impermissible activities, the relative costs associated with doing business, and the amount of reimbursement paid by both government and other third-party payors. These changes may be applied retroactively. The ultimate timing or effect of legislative efforts cannot be predicted and may adversely affect the Corporation.

State Budgets. California has faced in the past severe financial challenges, including erosion of general fund tax revenues, falling real estate values, slow economic growth and high unemployment. Shortfalls between revenues and spending have in the past and may in the future result in cutbacks to State and local government health care programs. Nonetheless, California's economy has rebounded to steady growth, although slower than previous economic recoveries, with rising employment and recovery in the housing market.

It is impossible to predict what actions will be taken in future years by the State Legislature, the Governor of the State or citizen initiative actions to address California's economic situation. Despite current budget predictions, the financial challenges that California had faced in the past may return in the future. It is possible that such financial challenges could adversely affect the State's credit rating and, therefore, the credit rating on the Bonds. In addition, no assurance can be provided that any financial challenges that the State may face will not affect the State's ability to perform its obligations with respect to the Insurance Program.

Nature of Income of the Elderly. A large percentage of the monthly income of residents of the Facilities is expected to be fixed in amount, consisting of income derived from pensions, investments and Social Security payments. If due to inflation or other factors, substantial increases in monthly fees are required to cover increases in operating costs and other expenses, residents may have difficulty paying or may be unable to pay such increased fees. Similarly, residents may encounter difficulty paying fees if the yield on or value of their investments decline.

Sale of Personal Residences. Prospective residents of the Facilities may need to sell their current homes to pay the entrance fee prior to occupancy or to meet other financial obligations under their residency agreements. If prospective residents encounter difficulties selling their current homes due to local or national economic conditions affecting the sale of residential real estate, such prospective residents may not have sufficient funds to pay the entrance fee or to meet other financial obligations under their residency agreements, thereby causing delays or declines in occupancy or remarketing of vacated units, either of which could have an adverse impact on the revenues of the Corporation. See "Occupancy" and "Turnover" below.

Occupancy. The Corporation's revenues and financial strengths will depend in part upon maintaining certain occupancy levels. Several factors could, if implemented, affect demand for services of the Facilities including: (i) efforts by insurers and governmental agencies to reduce utilization of nursing and long-term care facilities by such means as preventive medicine and home care and home health care programs; (ii) advances in scientific and medical technology; and (iii) increased or more effective competition from nursing facilities, assisted living facilities and long-term care facilities now or hereafter located in the service areas of the Facilities. Moreover, if a substantial number of residents live beyond the anticipated life expectancies assumed by the Corporation or if the permanent transfers to the assisted living and skilled nursing beds of the Facilities are substantially less than assumed by the Corporation, or if market changes require a reduction in the amount of the Entrance Fees payable by new residents, the receipt of additional Entrance Fees would be curtailed, with a consequent impairment of the revenues of the Facilities. Such impairment would also result if the Corporation is unable to remarket units becoming available when residents die, withdraw, or are permanently transferred to a health care facility or any other facility. While the Corporation believes that its current occupancy levels are adequate for the Corporation to meet its debt service payments on the Bonds, there is no assurance that the current occupancy levels will be maintained. See APPENDIX A — "INFORMATION CONCERNING THE CORPORATION."

New Legislation Affecting Repayable Entrance Fee Contracts. On July 25, 2016, Governor Brown signed a bill which aims to protect CCRC residents and their estates against significant delays in

the repayment of residents' entrance fees when contracts condition the repayment on the reletting of CCRC units (the "Monning Bill"). The Monning Bill provides that any unpaid entrance fee repayments shall accrue interest at the following rates: 4% simple interest on entrance fee repayments unpaid after 180 days after termination of the contract, 6% simple interest on repayments unpaid after 240 days after contract termination, and annually compounded interest of 6% on repayments unpaid after one year and 240 days after contract termination. Such legislation could adversely affect the Corporation if it is unable to relet units previously occupied by repayable contract holders within the prescribed times. In such event, the Corporation would need to make the prescribed interest payments to the former residents or their estates. If the Corporation were unable to pass on the cost of any interest payments or foregone interest income in the form of increased monthly fees, the Corporation's cost of operations would increase, reducing the Corporation's net earnings and liquidity. For a further discussion of the types of contracts offered by the Corporation and impact of this legislation relative thereto, see APPENDIX A — "INFORMATION CONCERNING THE CORPORATION."

Turnover. The Corporation's revenues and financial strength also will depend in part upon the turnover of residential living units due to death or withdrawal of residents and the receipt of new entrance fees upon the re-occupancy of such units. Future revenues could be adversely affected if residential living units do not turn over as projected due to a lower than expected number of units becoming available or the inability to market and resell vacated units. A lower than expected turnover rate or a higher than expected number of residents transferred to the Corporation's skilled nursing facility could have a material adverse effect on the Corporation's financial condition and ability to make Loan Repayments, and thus debt service on the Bonds. If the Project fails to maintain occupancy levels as management forecasted in the Feasibility Study, there may be insufficient funds to pay the debt service on the Bonds. The Feasibility Study should be read in its entirety, including management's notes and assumptions set forth therein. See APPENDIX H — "FEASIBILITY STUDY" hereto.

Third Party Payments. Increases in the deductible, co-insurance and other amounts for which third party payment program beneficiaries are responsible could result in an increase in the proportion of health care costs being assumed by individual beneficiaries who are residents of retirement communities, which increased costs could adversely affect the financial strength of such residents and possibly such residents' ability to make monthly payments to the Corporation.

Reimbursement Policies Affecting Skilled Nursing Facilities. Skilled nursing providers such as the Corporation have been and will continue to be significantly impacted by changes in the last several years in federal health care laws and regulations, particularly those pertaining to Medicare. The purpose of much of the recent statutory and regulatory activity has been to reduce the rate of increase in health care costs, particularly costs paid under the Medicare program. The ACA, among other things, mandates significant reimbursement modifications with respect to Medicare.

Past federal budgets have contained cuts to the Medicare program budgets. While it is uncertain whether future federal budgets will propose cuts to these programs, any reduction in the level of Medicare spending or a reduction in the rate of increase of Medicare spending may have an adverse impact on the revenues of the Corporation derived from the Medicare programs.

Medicare Audits. CMS has implemented a Recovery Audit Contractor ("RAC") program on a nationwide basis pursuant to which CMS contracts with private entities to conduct post-payment reviews to detect and correct improper payments in the fee-for-service Medicare program. RAC audits are conducted to assure that payments made to health care providers, including skilled nursing providers, are correct. Payments deemed incorrect will be adjusted at the time of audit. These adjustments can be appealed following the guidelines of the Medicare program. The ACA expanded the RAC program's scope to include managed Medicare plans. The Corporation is subject to RAC audits of Medicare

payments and may experience disallowance and recoveries of Medicare reimbursement previously paid as a result of such audits. It is possible that such amounts in the future could have a material adverse impact on the Corporation.

The Health Insurance Portability and Accountability Act of 1996 established the Medicare Integrity Program (“MIP”). MIP was established to strengthen CMS’s ability to detect and deter potential fraud, waste, and abuse in the Medicare program. In 1999, as part of MIP, CMS created Program Safeguard Contractors (“PSCs”) to perform program integrity functions.

Beginning in 2009, program integrity activities were transitioned from PSCs to new entities called Zone Program Integrity Contractors (“ZPICs”). ZPICs perform program integrity functions in Medicare Parts A and B, DMEPOS, Home Health and Hospice and Medicare-Medicaid data matching. ZPICs investigate instances of suspected fraud, waste, and abuse that are identified through data analysis, complaints and referrals. According to CMS, their primary goal is “to identify cases of suspected fraud, develop them thoroughly and in a timely manner, and take immediate action to ensure that the Medicare Trust Fund moneys are not inappropriately paid out and that any mistaken payments are recouped.”

Unlike RACs, ZPICs do not conduct random audits, they have no specific look-back period, they can make unlimited document requests and can place a provider on up to 100 percent prepayment review. ZPIC audits can result in suspension of payment, recoupment of alleged overpayments, referral to enforcement agencies, such as the Department of Justice and the Office of Inspector General, and revocation of participation in Medicare. The Corporation is subject to ZPIC audits it is possible that such actions in the future could have a material adverse impact on the Corporation.

Competition

There can be no assurance as to the market or demand for the health care, housing and continuing care retirement services provided by the Corporation’s Facilities. See APPENDIX A – “INFORMATION CONCERNING THE CORPORATION.” The Facilities compete with other continuing care retirement communities, assisted living facilities, skilled nursing facilities, housing facilities for the elderly, and other providers of health care and services to seniors. Some of the competing facilities may not be subject to the same licensing and other restrictions applicable to the Corporation, which may be a competitive advantage to such facilities. The operations of the Corporation could also be adversely affected by increased competition, which could take several different forms, including: competition from new facilities in the service areas of the Corporation which offer newer physical facilities, new services, extended services or reduced charges; and competition from home health agencies, rehabilitation and therapy centers and other health care providers for many services for which patients currently rely on skilled nursing facilities. See “FEASIBILITY STUDY” in Appendix H hereto. The Feasibility Study should be read in its entirety, including management’s notes and assumptions set forth therein.

Other factors that could affect demand for services of the Corporation include: (i) efforts by insurers and governmental agencies to reduce utilization of skilled nursing and long-term care facilities by such means as preventative medicine, home health care programs and changes to reimbursement methodologies; (ii) advances in scientific and medical technology; and (iii) a decline in the population, a change in the age composition of the population or a decline in the economic conditions of the service area of the Facilities.

Future Organizational Review and Planning

As part of its ongoing planning and property management functions, the Corporation reviews the use, compatibility and business viability of the Corporation's operations and may, from time to time, pursue changes in the uses of such facilities and operations. As a result, it is possible that the organization and assets and other facilities that currently comprise the Corporation may change from time to time, including through affiliation, acquisition, merger or divestiture, subject to the restrictions imposed in the Loan Agreement and by the Office in the Regulatory Agreement.

Nonprofit Senior Care Environment

As a nonprofit tax-exempt organization, the Corporation is subject to federal, state and local laws, regulations, rulings and court decisions relating to its organization and operation, including its operation for charitable purposes.

Retirement communities have been the subject of adverse attention from governmental regulatory agencies, consumer attorneys, and the press for alleged substandard care resulting in injuries to residents. In certain circumstances, consumer attorneys will use the laws designed to prevent elder abuse as a means of obtaining large settlements or judgments from facilities whose residents have suffered injury. This has led to periodic discussions at both the federal and state levels regarding possible reform legislation. See also “—Professional Liability Claims and General Liability Insurance” herein.

There also exists common law authority and authority under certain statutes for the ability of the courts to terminate the existence of a nonprofit corporation or undertake supervision of its affairs on various grounds, including a finding that such corporation has insufficient assets to carry out its stated purposes. Such court action may arise on the court's own motion or pursuant to a petition of the State Attorney General or such other persons who have interests different from those of the general public, pursuant to the common law and statutory power to enforce charitable trusts and to see to the application of their funds to their intended charitable uses.

The operations and practices of nonprofit, tax-exempt health care or senior care organizations are routinely challenged or criticized for inconsistent or inadequate compliance with the requirements for, and societal expectations of, nonprofit tax-exempt organizations. These challenges, in some cases, are distinct from concerns about compliance with federal and state statutes and regulations, such as Medicare and Medicaid compliance, and instead in many cases are examinations of core business practices of the health care or senior care organizations. A common theme of these challenges is whether nonprofit organizations fail to confer community benefits that justify the financial benefits received as a result of their tax-exempt status. Areas that have come under examination have included pricing practices, billing and collection practices, charitable care, methods of providing and reporting community benefit, executive compensation, exemption of property from real property taxation, private use of facilities financed with tax-exempt bonds and others. These challenges and questions have come from a variety of sources, including state attorneys general, the IRS, labor unions, Congress, state legislatures and patients, and in a variety of forums, including hearings, audits and litigation. The challenges and examinations, and any resulting legislation, regulations, judgments or penalties, could have a material adverse effect on the Corporation. These challenges or examinations include the following, among others:

Congressional Hearings. Senate and House committees have conducted several nationwide investigations of hospital billing and collection practices and Congress has imposed new “community benefit” standards on tax-exempt hospitals. See “IRS Examination of Compensation Practices and Community Benefit” below. Senior care and housing experts speculate that senior care and housing organizations may be vulnerable to similar changes.

It is uncertain whether any of these committees will pursue investigations of or Congress will adopt legislative changes negatively impacting tax-exempt senior care and housing organizations. An overarching concern is whether certain tax-exempt organizations provide charity care or community benefit at levels that justify the benefits of tax exemption.

IRS Bond Examinations. From time to time, the IRS audits tax-exempt bonds in the charitable sector with specific review of private use. Schedule K to Form 990 is intended to address what the IRS believes is significant noncompliance with recordkeeping and record retention requirements. Schedule K also requires tax-exempt organizations to report on the investment and use of bond proceeds to address IRS concerns regarding compliance with arbitrage rebate requirements and the private use of bond-financed facilities. See “—Tax-Exempt Status and Other Tax Matters—Maintenance of Tax-Exempt Status of Interest on the Bonds” herein.

IRS Examination of Compensation Practices and Community Benefit. The IRS has historically scrutinized executive compensation arrangements, practices and procedures of tax-exempt hospitals and other tax-exempt organizations and, has, in certain circumstances, conducted further investigations or imposed fines on such tax-exempt organizations. Senior care and housing experts believe that similar scrutiny could be applied to the senior care sector.

California Attorney General. California nonprofit public benefit corporations, including the Corporation, are subject to oversight and examination by the California Attorney General to ensure their charitable purposes are being carried out.

Challenges to Real Property Tax Exemptions. Real property tax exemptions allowed to certain nonprofit health care and senior care providers by state and local taxing authorities have been challenged on the grounds that the providers were not engaged in sufficient charitable activities. These challenges have been based on a variety of grounds, including allegations of aggressive billing and collection practices, excessive financial margins and operations that closely resemble for-profit businesses. All of the real property of the Corporation is exempt from real property taxation. Although the real property tax exemption of the Corporation is not, to the knowledge of management of the Corporation, under challenge by State or local authorities, an investigation or audit could lead to a challenge that could ultimately adversely affect the real property tax exemption of the Corporation. See “—Tax-Exempt Status and Other Tax Matters—State and Local Tax Exemption herein.

Class Actions. Senior care providers have long been subject to a wide variety of litigation risks, including liability for care outcomes, employer liability, and property and premises liability, among others. In recent years, consumer class action litigation has emerged as a potentially significant source of litigation liability for senior care providers. These class action suits may have material adverse consequences on senior care providers in the future.

The foregoing are some examples of the challenges and examinations facing nonprofit senior care organizations. They are indicative of a greater scrutiny of the practices of these organizations and may indicate an increasingly difficult operating environment for senior care and housing organizations. The challenges and examinations, and any resulting legislation, regulations, judgments, or penalties, could have a material adverse effect on senior care providers, including the Corporation, and, in turn, the ability of the Corporation to make payments under the Loan Agreement.

Tax-Exempt Status and Other Tax Matters

Maintenance of the Tax-Exempt Status of the Corporation. The tax-exempt status of the Bonds depends upon maintenance by the Corporation of its status as an organization described in Section 501(c)(3) of the Code. The maintenance of such status is contingent on compliance with general rules promulgated in the Code and related regulations regarding the organization and operation of tax-exempt entities, including its operation for charitable and other permissible purposes and its avoidance of transactions that may cause its earnings or assets to inure to the benefit of private individuals. As these general principles were developed primarily for public charities that do not conduct large-scale technical operations and business activities, they often do not adequately address the myriad operations and transactions entered into by a modern senior care and housing organization. Many activities or categories of activities have not been fully addressed in any official opinion, interpretation or policy of the IRS.

If the IRS were to find that the Corporation has participated in activities in violation of certain regulations or rulings, the tax-exempt status of the Corporation could be jeopardized. Although the IRS has not frequently revoked the 501(c)(3) tax-exempt status of nonprofit senior care corporations, it could do so in the future. Loss of tax-exempt status by the Corporation potentially could result in loss of tax exemption of the Bonds, of other tax-exempt debt of the Corporation, if any, and defaults in covenants regarding the Bonds and other related tax-exempt debt and obligations, if any, likely would be triggered. Loss of tax-exempt status also could result in substantial tax liabilities on the income of the Corporation. For these reasons, loss of tax-exempt status of the Corporation could have a material adverse effect on the financial condition and results of operations of the Corporation.

In lieu of revocation of exempt status, the IRS may impose penalty excise taxes on certain “excess benefit transactions” involving 501(c)(3) organizations and “disqualified persons.” An excess benefit transaction is one in which a disqualified person or entity receives more than fair market value from the exempt organization or pays the exempt organization less than fair market value for property or services, or shares the net revenues of the tax-exempt entity. A disqualified person is a person (or an entity) who is in a position to exercise substantial influence over the affairs of the exempt organization during the five years preceding an excess benefit transaction. The statute imposes excise taxes on the disqualified person and any “organization manager” who knowingly participates in an excess benefit transaction. These rules do not penalize the exempt organization itself, so there would be no direct impact on the Corporation or the tax status of the Bonds if an excess benefit transaction were subject to IRS enforcement, pursuant to these “intermediate sanctions” rules.

State and Local Tax Exemption. It is possible that legislation may be proposed to strengthen the role of the California Franchise Tax Board and the Attorney General of the State in supervising nonprofit senior care organizations. It is likely that the loss by the Corporation of federal tax exemption would also trigger a challenge to its state tax-exemption. Depending on the circumstances, such event could be material and adverse.

State, county and local taxing authorities undertake audits and reviews of the operations of tax-exempt senior care providers with respect to their real property tax exemptions. In some cases, particularly where authorities are dissatisfied with the affordability of the community, the real property tax-exempt status of the senior care and housing providers has been questioned. Although the real property tax exemptions of the Corporation with respect to its facilities are not, to the knowledge of management of the Corporation, under challenge or investigation, an audit could lead to a challenge that could adversely affect the real property tax exemptions of the Corporation.

It is not possible to predict the scope or effect of future legislative or regulatory actions with respect to taxation of nonprofit corporations. There can be no assurance that future changes in the laws

and regulations of state or local governments will not materially adversely affect the financial condition of the Corporation, by requiring payment of income, local property or other taxes.

Maintenance of Tax-Exempt Status of Interest on the Bonds. The Code imposes a number of requirements that must be satisfied for interest on state and local obligations, such as the Bonds, to be excludable from gross income for federal income tax purposes. These requirements include limitations on the use of bond proceeds, limitations on the investment earnings of bond proceeds prior to expenditure, a requirement that certain investment earnings on bond proceeds be paid periodically to the United States Treasury, and a requirement that issuers file an information report with the IRS. The Corporation has covenanted in the Loan Agreement that it will comply with such requirements. Future failure by the Corporation to comply with the requirements stated in the Code and related regulations, rulings and policies may result in the treatment of interest on the Bonds as taxable, retroactively to the date of issuance. The Authority has covenanted in the Indenture that it will not take any action or refrain from taking any action that would cause interest on the Bonds to be included in gross income for federal income tax purposes.

The IRS has issued Revenue Rulings that address the Section 501(c)(3) status of care and housing facilities for the elderly. Revenue Ruling 72-124 states that, if otherwise qualified, a facility is exempt under Section 501(c)(3) if it meets the primary needs of seniors for housing, health care, and financial security. The need for housing is generally met if the residential facilities are specifically designed to meet the physical, emotional, recreational, social, religious, and similar needs of senior residents. The need for healthcare is generally met if the facility directly provides or arranges healthcare designed to maintain the physical and mental well-being of residents. The need for financial security is met if the facility retains residents who encounter financial difficulty (without jeopardizing its sound financial operations) and that provides services “at the lowest feasible cost.” Revenue Ruling 79-18 states that senior care and housing may limit admissions to residents who are able to pay its full fees, provided the fees are within the financial reach of a “significant segment” of the community’s elderly persons. Revenue Ruling 79-18 also states that the organization must be committed, by established policy, to maintaining persons as residents, even if they become unable to pay the monthly charges after being admitted to the community.

The IRS has from time to time sent questionnaires to nonprofit corporations that have borrowed on a tax-exempt basis regarding their post-issuance compliance with various requirements for maintaining the federal tax exemption of interest on their bonds. The questionnaire includes questions relating to the borrower’s (i) record retention, (ii) qualified use of bond-financed property, (iii) compliance with arbitrage yield restriction and rebate requirements, (iv) debt management policies, and (v) voluntary compliance and education. In a 2011 report, the IRS stressed the importance of formal post-issuance compliance and record keeping procedures. IRS representatives indicate that more questionnaires will be sent to additional nonprofit organizations.

Various schedules to IRS Form 990 reflect additional reporting responsibilities. Schedule K requires detailed information related to all outstanding bond issues of tax-exempt borrowers, including information regarding operating and management contracts as well as private use compliance. Tax-exempt organizations must also complete Schedule J, which requires reporting of compensation information for the organizations’ officers, directors, trustees, key employees and other highly compensated employees.

There can be no assurance that responses by the Corporation to a questionnaire or IRS Form 990 will not lead to an IRS review that could adversely affect the market value of the Bonds or of other outstanding tax-exempt indebtedness of the Corporation. Additionally, the Bonds or other tax-exempt

obligations issued for the benefit of the Corporation may be, from time to time, subject to examinations or audits by the IRS.

Management of the Corporation believes that the Bonds properly comply with the tax laws. In addition, Bond Counsel will render an opinion with respect to the tax-exempt status of the Bonds, as described herein under the caption “TAX MATTERS.” No ruling with respect to the Bonds has been or will be sought from the IRS, however, and opinions of counsel are not binding on the IRS or the courts. There can be no assurance that an examination of the Bonds will not adversely affect the Bonds or the market value of the Bonds, nor that future legislative action, regulations, rulings or court decisions might limit or remove the tax-exempt status of interest on the Bonds. See “TAX MATTERS” herein.

Unrelated Business Income. The IRS and State, county and local taxing authorities may undertake audits and reviews of the operations of tax-exempt corporations with respect to the generation of unrelated business taxable income (“UBTI”). Management believes it has properly accounted for and reported any UBTI generally; nevertheless, an investigation or audit could lead to a challenge that could result in taxes, interest and penalties with respect to UBTI, as well as the exclusion from gross income for federal income tax purposes of the interest payable on the Bonds. Based on the results of its annual audit by an independent public accounting firm, the Corporation has not reported any UBTI for each of its past 10 Fiscal Years.

Regulatory Environment

Licensure. The Corporation is subject to an extensive degree of State regulation, including but not limited to licensure by DSS as a residential care facility for the elderly, licensure by DPH as a skilled nursing facility, and a requirement of a certificate of authority from DSS. See “STATE REGULATION OF THE SENIOR CARE AND HOUSING SECTOR” herein. Failure to comply with its obligations under state law can lead to enforcement actions by the State pursuant to applicable State laws. In particular, any transaction to encumber the Facilities or the Corporation’s revenues is subject to approval by DSS, and the Facilities are subject to a recorded statutory limitation on transfer that prohibits the Corporation from selling or transferring ownership of the Facilities without approval of DSS. The Corporation enters into residency agreements with its residents that give to each resident a contractual right to use space and do not grant any ownership rights in the Facilities. In the event the Bond Trustee or the Owners of the Bonds seek to enforce any of the remedies provided by the Bond Indenture or the Deed of Trust upon the occurrence of a default, Corporation management is unable to predict how a court might resolve competing claims between the Bond Trustee, the Authority, the Office or the Owners of the Bonds and a resident of the Facilities who has fully complied with all the terms and conditions of his or her residency agreement.

“Fraud” and “False Claims.” Health care “fraud and abuse” laws at the federal and state levels broadly regulate the provision of services to government program beneficiaries and the methods and requirements for submitting claims for services rendered. Under these laws, health care providers, including skilled nursing providers, and others can be penalized for a wide variety of conduct, including submitting claims for services that are not provided, billing in a manner that does not comply with government requirements or including inaccurate billing information, billing for services deemed to be medically unnecessary, or billings accompanied by certain proscribed inducements to utilize or refrain from utilizing a service or product.

Federal and state governments have a broad range of criminal, civil and administrative sanctions available to penalize and remediate health care fraud, including the exclusion of a health care organization from participation in the Medicare/Medicaid programs, civil monetary penalties, and suspension of Medicare/Medicaid payments. Fraud and abuse cases may be prosecuted by one or more government

entities and/or private individuals, and more than one of the available sanctions may be, and often are, imposed for each violation.

Laws governing fraud and abuse may apply to skilled nursing facilities and to nearly all individuals and entities with which a skilled nursing facility does business. Fraud investigations, settlements, prosecutions and related publicity can have a material adverse effect on health care organizations. See “Enforcement Activity” below. Major elements of these often highly technical laws and regulations are generally summarized below.

The ACA authorizes the Secretary of DHHS to exclude a provider from participation in Medicare and Medicaid, as well as suspend payments to a provider pending an investigation or prosecution of a credible allegation of fraud against the provider.

False Claims Act. The federal False Claims Act (“FCA”) makes it illegal to knowingly submit or present a false, fictitious or fraudulent claim to the federal government. A person may be charged with knowledge of the falsity of a claim based not only on actual knowledge but also based on deliberate ignorance or reckless disregard of the relevant facts. The FCA has become one of the federal government’s primary weapons against health care fraud. Due to the broad range of conduct covered by the statute, FCA investigations and cases are common and may cover a range of activity from intentionally inflated billings, to highly technical billing infractions and to allegations of inadequate care. Damages under the FCA may include “treble damages” (*i.e.*, damages up to three times the amount of the false claims) plus civil monetary penalties of up to \$11,000 per false claim. Some FCA investigations and cases have occurred in the senior care sector. As a result, violation or alleged violations of the FCA frequently result in settlements involving multi-million dollar payments and corporate integrity agreements. The FCA also permits individuals to initiate civil actions on behalf of the government in lawsuits called “qui tam” actions. Qui tam plaintiffs, or “whistleblowers,” can share in the damages recovered by the government. FCA violations or alleged violations could lead to settlements, fines, exclusion or reputation damage that could have a material adverse impact on a senior care facility.

Under the ACA, the FCA has been expanded to include overpayments that are identified by a health care provider and not promptly reported or refunded to the applicable federal health care program, even if the claims relating to the overpayment were initially submitted without any knowledge that they were false. This expansion of the FCA exposes hospitals and other health care providers to liability under the FCA for a considerably broader range of claims than in the past.

Anti-Kickback Law. The Medicare and Medicaid anti-fraud and abuse provisions of the Social Security Act (the “Anti-Kickback Law”) make it a felony, subject to certain exceptions, to engage in illegal remuneration arrangements with physicians and other health care providers for the referral of Medicare beneficiaries or Medicaid recipients. Violation of these provisions constitutes a felony and may result in imprisonment for up to five years and fines of up to \$25,000. In addition, DHHS has the authority to impose civil assessments and fines, and may exclude providers engaged in prohibited activities from participation in the Medicare and Medicaid programs, as well as certain other state and federal health care programs.

Violations or alleged violations of the Anti-Kickback Law may result in settlements that require multi-million dollar payments and onerous corporate integrity agreements. The Anti-Kickback Law can be prosecuted either criminally or civilly. A criminal violation may be prosecuted as a felony, subject to a fine of up to \$25,000 for each act (which may be each item or each bill sent to a federal program), imprisonment and/or exclusion from the Medicare and Medicaid programs. In addition, civil monetary penalties of \$50,000 per item or service in noncompliance (which may be each item or each bill sent to a federal program) and an “assessment” of three times the amount of remuneration may be imposed.

Violations of the Anti-Kickback Law are increasingly being prosecuted under the FCA, triggering the FCA penalties discussed above. In addition, the IRS has taken the position that organizations which are in violation of the Anti-Kickback Law also may be subject to revocation of their tax-exempt status. See “—Tax-Exempt Status and Other Tax Matters” below.

Stark Physician Self-Referral Law. The federal “Stark” statute prohibits any physician or immediate family member with a financial relationship with an entity from making a referral for a Medicare- or Medicaid-covered “designated health service” to that entity, and prohibits that entity from billing for such services. “Designated health services” do not include assisted living services, but do include many services that senior care and housing providers furnish to their residents.

The Medicare program may deny payment for all services performed based on a prohibited referral and an organization that has billed for prohibited services may be obligated to refund the amounts collected from the Medicare program. Moreover, if the violations of the Stark law were knowing, the government may also seek civil monetary penalties of up to \$15,000 per claim, and in some cases, an organization may be excluded from the Medicare and Medicaid programs. In addition, violations of the Stark law are increasingly being prosecuted under the FCA, triggering the FCA penalties discussed above. Potential repayments to CMS, settlements, fines or exclusion for a Stark violation or alleged violation could have a material adverse impact on an organization.

CMS has established a voluntary self-disclosure program under which hospitals and other health care providers or suppliers may report potential Stark violations and seek a reduction in potential refund obligations. However, the program is relatively new and therefore it is difficult to determine at this point in time whether it will provide significant monetary relief to organizations that discover inadvertent Stark law violations.

State “Fraud” and “False Claims” Laws. Health care organizations in California, including skilled nursing providers, also potentially are subject to a variety of State laws related to false claims (similar to the FCA or generally applicable false claims laws), anti-kickback (similar to the federal Anti-Kickback Law or generally applicable anti-kickback or fraud laws), and physician referral (similar to Stark). These prohibitions while similar in public policy and scope to the federal laws have not in all instances been avidly enforced to date. However, in the future they could pose the possibility of material adverse impact for the same reasons as the federal statutes. See discussion under the subheadings “—False Claims Act,” “—Anti-Kickback Law” and “—Stark Physician Self-Referral Law” above.

Antitrust. Antitrust liability may arise in a wide variety of circumstances, including joint ventures, mergers, affiliation and acquisition activities, certain pricing or salary setting activities, as well as other areas of activity. The application of the federal and state antitrust laws to senior care is evolving (especially as the ACA is implemented), and therefore not always clear.

Violation of the antitrust laws could result in criminal and/or civil enforcement proceedings by federal and state agencies, as well as actions by private litigants. In certain actions, private litigants may be entitled to treble damages, and in others, governmental entities may be able to assess substantial monetary fines.

HIPAA. The Health Insurance Portability and Accountability Act of 1996 (“HIPAA”) provides sanctions for health care fraud and applies to all health care benefit programs, whether public or private. HIPAA also provides for punishment of a health care provider for knowingly and willfully embezzling, stealing, converting or intentionally misapplying any money, funds, or other assets of a health care benefit program. A health care provider convicted of health care fraud could be subject to mandatory exclusion from Medicare.

HIPAA also addresses the confidentiality of individuals' health information. Senior care and housing communities with skilled nursing components are required to implement comprehensive health information security measures in the skilled nursing facility. In addition, most continuing care retirement communities voluntarily extend HIPAA to their entire campus in order to allow the free sharing of residents' health information between levels of care. Disclosure of certain broadly defined protected health information is prohibited unless expressly permitted by regulation or authorized by the patient. HIPAA's confidentiality provisions extend not only to resident medical records, but also to a wide variety of individually identifiable health care clinical and financial information. These patient privacy requirements also impose communication, operational, and accounting obligations that add costs and create potentially unanticipated sources of liability.

HIPAA imposes civil monetary penalties for violations and criminal penalties for knowingly obtaining or using individually identifiable health information. The civil penalties range from \$100 to \$1,500,000 per claim, depending on the nature of the conduct underlying the violation, with a maximum penalty of \$1,500,000 per year for each type of violation. The criminal penalties include imprisonment for up to 10 years.

The HITECH Act. Provisions in the Health Information Technology for Economic and Clinical Health Act (the "HITECH Act"), enacted in 2008 as part of the economic stimulus legislation, increase the maximum civil monetary penalties for violations of HIPAA and grant enforcement authority of HIPAA to state attorneys general. The HITECH Act also (i) extends the reach of HIPAA beyond "covered entities," (ii) imposes a breach notification requirement on HIPAA covered entities, (iii) limits certain uses and disclosures of individually identifiable health information and (iv) restricts covered entities' marketing communications. The HITECH Act also requires health care providers, including skilled nursing providers, to report certain breaches of the security of individually identifiable health information to the affected individual and to the DHHS.

The breach notification obligation, in particular, may expose covered entities such as skilled nursing facilities to heightened liability. Under HITECH, in the event of a data privacy breach, covered entities are required to notify affected individuals and the federal government. If more than 500 individuals are affected by the breach, (1) the covered entity must also notify the media and (2) the federal government posts a description of the breach on its website. These reporting obligations increase the risk of government enforcement as well as class action lawsuits, especially if large numbers of individuals are affected by a breach.

In January 2013, DHHS issued comprehensive modifications to the existing HIPAA regulations that became effective on September 23, 2013 to implement the requirements of the HITECH Act, commonly known as the "HIPAA Omnibus Rule." Key aspects of the HIPAA Omnibus Rule include, but are not limited to: (i) expanding the circumstances in which a breach of protected health information is reportable, (ii) increasing the possible civil monetary penalties assessed for HIPAA violations, (iii) holding providers liable for the violations of HIPAA by some contractors, (iv) modifications to the rules governing research, (v) stricter limits on the sale of patient information and its use for marketing, (vi) modifications to providers' notices of privacy practices, and (vii) stricter requirements regarding the protection of genetic information. These additional obligations and restrictions could have a material adverse effect on the financial condition of the Corporation.

Security Breaches and Unauthorized Releases of Personal Information. State and local authorities are increasingly focused on the importance of protecting the confidentiality of individuals' personal information, including health information. Many states, including California, have enacted laws requiring businesses to notify individuals of security breaches that result in the unauthorized release of

personal information. Notification requirements may be triggered even where information has not been used or disclosed, but rather has been inappropriately accessed.

In California, two medical privacy laws that became effective in 2009 penalize unlawful access, use or disclosure of patient's medical information by health care providers, including skilled nursing facilities. One law imposes penalties for improperly obtaining, using, or disclosing health information in violation of the law. The other requires the reporting of security breaches involving health information to the patient and DPH. Administrative penalties under these medical privacy laws may reach \$250,000 per violation. DPH has issued substantial fines under these laws.

State consumer protection laws may also provide the basis for legal action for privacy and security breaches and frequently, unlike HIPAA, authorize a private right of action. In particular, as discussed in “—The HITECH Act” above, the public nature of security incidents exposes health organizations to increased risk of individual or class action lawsuits from patients or other affected persons, in addition to government enforcement. Failure to comply with restrictions on patient privacy or to maintain robust information security safeguards, including taking steps to ensure that contractors who have access to sensitive patient information maintain the confidentiality of such information, could consequently damage a provider's reputation and materially adversely affect business operations.

Business Associates. Under existing HIPAA regulations, covered entities must include certain required provisions in their contractual relationships with organizations that perform functions on their behalf which involve use or disclosure of protected health information. These organizations are called business associates, and have been indirectly regulated by HIPAA through those contractual obligations. The HITECH Act and the final rules promulgated thereunder provide that all of the HIPAA security administrative, physical, and technical safeguards, as well as security policies, procedures and documentation requirements now apply directly to all business associates. In addition, the HITECH Act makes certain privacy provisions directly applicable to business associates. These changes are significant because business associates will now be directly regulated by DHHS for those requirements, and as a result, will be subject to penalties imposed by DHHS and/or state attorneys general. Likewise, to the extent a business associate is deemed to be an agent of the covered entity under federal common law, the covered entity will be liable for the breaches of the business associate. Covered entities have had to review and amend their business associate agreements in recent years in order to comply with these changing rules, which can be costly and administratively burdensome.

Exclusions from Medicare Participation. The government may exclude a senior care provider from Medicare/Medicaid program participation if it is convicted of a criminal offense relating to the delivery of any item or service reimbursed under Medicare, any criminal offense relating to patient neglect or abuse in connection with the delivery of health care, including skilled nursing care, fraud against any federal, state or locally financed health care program, or an offense relating to the illegal manufacture, distribution, prescription, or dispensing of a controlled substance. The government also may exclude individuals or entities under certain other circumstances, such as an unrelated conviction of fraud, or other financial misconduct relating either to the delivery of health care in general or to participation in a federal, state or local government program. Exclusion from the Medicare program means that a senior care provider would be decertified and no program payments could be made. Any senior care provider exclusion could be a material adverse event. In addition, exclusion of senior care organization employees under Medicare may be another source of potential liability for senior care organizations based on services provided by those excluded employees.

Administrative Enforcement. Administrative regulations may require less proof of a violation than do criminal laws, and, thus, senior care and housing providers may have a higher risk of imposition of monetary penalties as a result of administrative enforcement actions.

Compliance with Conditions of Participation. CMS, in its role of monitoring participating providers' compliance with conditions of participation in the Medicare program, may determine that a provider is not in compliance with its conditions of participation. In that event, a notice of termination of participation may be issued or other sanctions potentially could be imposed.

Licensing, Surveys, Investigations and Audits. The Facilities are subject to numerous legal, regulatory, professional and private licensing, and certification requirements. These include, but are not limited to, requirements relating to Medicare participation and payment, of state licensing agencies (including DSS and DPH). Many continuing care retirement communities, including the Corporation, also seek accreditation from CARF-CCAC (as defined in Appendix A hereto); such accreditation is voluntary. Renewal and continuation of certain of these licenses, certifications and accreditations are based on inspections or other reviews generally conducted in the normal course of business of senior care facilities.

Loss of, or limitations imposed on the Corporation's licenses or certifications could reduce utilization or revenues, or the Corporation's ability to operate all or a portion of the Facilities. The loss of the license for the Corporation's skilled nursing facilities would have an adverse impact on the ability of the Corporation to operate its Facilities under its existing continuing care contracts, in that it would be required to contract out the skilled nursing services for a fee to a third party, which would likely result in increased operating expenses. In the event the Corporation were to lose its licenses to operate any portion of the Facilities that are not under a skilled nursing facility license, it would be required to close the Facilities. See "STATE REGULATION OF THE SENIOR CARE AND HOUSING SECTOR" herein. See also APPENDIX A — "INFORMATION CONCERNING THE CORPORATION — FACILITIES AND SERVICES – Licenses, Certificates and Memberships."

Environmental Laws and Regulations. Health facilities are subject to a wide variety of federal, state and local environmental and occupational health and safety laws and regulations. These include but are not limited to: air and water quality control requirements; waste management requirements; specific regulatory requirements applicable to asbestos and radioactive substances; requirements for providing notice to employees and members of the public about hazardous materials handled by or located at the health facility; and requirements for training employees in the proper handling and management of hazardous materials and wastes.

Health facilities may be subject to requirements related to investigating and remedying hazardous substances located on their property, including such substances that may have migrated off the property. Typical operations include the handling, use, storage, transportation, disposal and discharge of hazardous, infectious, toxic, radioactive, flammable and other hazardous materials, wastes, pollutants and contaminants. As such, operations are particularly susceptible to the practical, financial and legal risks associated with the environmental laws and regulations. Such risks may result in damage to individuals, property or the environment; may interrupt operations and increase their cost; may result in legal liability, damages, injunctions or fines; and may result in investigations, administrative proceedings, civil litigation, criminal prosecution, penalties or other governmental agency actions; and may not be covered by insurance.

As of the date of this Official Statement, management of the Corporation is not aware of any pending or threatened claim, investigation or enforcement action regarding such environmental issues which, if determined adversely to the Corporation, would have material adverse consequences.

Under the federal Comprehensive Environmental Response, Compensation and Liability Act (CERCLA), a secured party which takes a deed in lieu of foreclosure, purchases a mortgaged property at a foreclosure sale or operates a mortgaged property may become liable in certain circumstances for the cost of remedial action if hazardous waste or hazardous substances have been released or disposed of on

the property. Such remedial action costs could subject the collateral property to a lien and reduce or eliminate the amounts otherwise available to pay the owners of the Bonds if such remedial action costs were incurred. See “ - Trustee’s Conditional Obligation to Foreclose” with respect to limitations on the circumstances in which the Trustee will foreclose under the Deed of Trust.

Limitations on Enforceability of Security Interest in Gross Revenues

The pledge of Gross Revenues and Entrance Fees and Deposits will be perfected to the extent that such security interest can be perfected by filing or notice as the Uniform Commercial Code of the State may require and may, in several instances, be subordinated to the interests and claims of others. Some examples of cases of subordination or prior claims are (i) statutory liens, (ii) rights arising in favor of the United States of America or any agency thereof, (iii) present or future prohibitions against assignment in any federal statutes or regulations, (iv) constructive trusts, equitable liens or other rights impressed or conferred by any state or federal court in the exercise of its equitable jurisdiction, (v) federal or State bankruptcy or insolvency laws that may affect the enforceability of the Loan Agreement or pledge of Gross Revenues and Entrance Fees and Deposits and (vi) rights of third parties in Gross Revenues and Entrance Fees and Deposits converted to cash and not in the possession of the Trustee or the Depository Bank(s). In addition, enforceable security interests in certain types of Gross Revenues (e.g., restricted donations, certain insurance proceeds, payments from Medicare and Medi-Cal, and other revenues derived from governmental programs) prior to actual receipt by the Corporation may not be feasible in certain circumstances.

Bankruptcy

In the event of bankruptcy of the Corporation, the rights and remedies of the Bondholders are subject to various provisions of the United States Bankruptcy Code. If the Corporation were to commence a proceeding in bankruptcy, payments made by the Corporation during the 90-day (or, in certain circumstances, one-year) period immediately preceding such commencement may be voided as preferential transfers to the extent such payments allow the recipients thereof to receive more than they would have received in the event of the Corporation’s liquidation. Security interests and other liens granted to a Trustee and perfected during such preference period may also be voided as preferential transfers to the extent such security interest or other lien secures obligations that arose prior to the date of such perfection. Such a bankruptcy filing would operate as an automatic stay of the commencement or continuation of any judicial or other proceeding against the Corporation or and each of its property, and as an automatic stay of any act or proceeding to enforce a lien upon or to otherwise exercise control over its property as well as various other actions to enforce, maintain or enhance the rights of the Trustee. If the bankruptcy court so ordered, the property of the Corporation, including accounts receivable and proceeds thereof, could be used for the financial rehabilitation of the Corporation despite any security interest of the Trustee therein. The rights of the Trustee to enforce its security interest and other liens could be delayed during the pendency of the rehabilitation proceeding.

The Corporation could file a plan for the adjustment of its debts in any such proceeding which could include provisions modifying or altering the rights of creditors generally, or any class of them, secured or unsecured. The plan, when confirmed by a court, binds all creditors who had notice or knowledge of the plan and, with certain exceptions, discharges all claims against the debtor to the extent provided for in the plan. No plan may be confirmed unless certain conditions are met, among which are conditions that the plan be feasible and that it shall have been accepted by each class of claims impaired thereunder. Each class of claims has accepted the plan if at least two-thirds in dollar amount and more than one-half in number of the class cast votes in its favor. Even if the plan is not so accepted, it may be confirmed if the court finds that the plan is fair and equitable with respect to each class of non-accepting creditors impaired thereunder and does not discriminate unfairly.

Pursuant to the Indenture, the Office shall have the right to vote in the place and stead of all Owners of Bonds with respect to any plan of reorganization on any agreement for composition of creditors and on any assignment for the benefit of creditors.

In the event of bankruptcy of the Corporation, there is no assurance that certain covenants, including tax covenants, contained in the Loan Agreement or other documents would survive. Accordingly, a bankruptcy trustee could take action that would adversely affect the exclusion of interest on the Bonds from gross income for federal income tax purposes. Notwithstanding the effect of bankruptcy on operations of the Corporation, the Contract of Insurance will remain in effect.

Seismic Activity

Much of California is seismically active and contains numerous faults that could be earthquake sources. The Corporation currently does not carry earthquake insurance because it is not available at a commercially reasonable price for the coverage provided. The Corporation has historically been granted a waiver from such coverage from the Office. In the future, earthquake insurance periodically may be required by the Office. See APPENDIX A — “INFORMATION CONCERNING THE CORPORATION — INSURANCE MATTERS.”

If seismic activity caused significant damage to the Facilities, the value of the Facilities could be adversely affected and the security for the Bonds could be impaired. In addition, seismic activity in the general vicinity of the Facilities could adversely affect real estate prices generally and/or the rate at which real estate sales occur, thus adversely impacting the security for the Bonds by generally reducing real estate values. Management of the Corporation is not able to predict whether or to what extent these results might occur. Further, there can be no assurance that the occurrence of a significant seismic event in any area in which the Corporation operate would not have a material adverse effect on the Facilities, the operations of the Corporation or the ability of the Corporation to make the Loan Repayments.

Additional Debt

The Bonds are payable solely from Revenues, which consist primarily of Loan Repayments to be made by the Corporation pursuant to the Loan Agreement. The Regulatory Agreement permits the issuance of additional indebtedness secured equally and ratably with the Loan Agreement provided certain conditions are met. See “APPENDIX C — SUMMARY OF PRINCIPAL DOCUMENTS.” While the Regulatory Agreement permits the Corporation to incur such parity debt only if certain financial and other requirements are met, such indebtedness would increase debt service requirements, reduce Bondowners’ interest in the collateral securing the Bonds and could adversely affect debt service coverage on the Bonds. Moreover, the parity debt requirements can be amended or waived by the Office, without the consent of the Bondowners. See — “Amendments to Financing Documents” below.

Trustee’s Conditional Obligation to Foreclose

The Indenture provides that, so long as the Contract of Insurance is in effect and the Office is not in default thereunder, the Office, as co-beneficiary under the Deed of Trust, may foreclose in place of the Trustee.

The Trustee is authorized by the Loan Agreement and the Deed of Trust to foreclose on real property owned by the Corporation following certain Events of Default. However, the Trustee is not obligated to take possession unless the Trustee determines that certain conditions relating to its potential liability under applicable environmental laws have been satisfied. See APPENDIX C — “SUMMARY OF PRINCIPAL DOCUMENTS”.

Limitations Relating to Remedies Under the Deed of Trust

Valuation. The Facilities, like all real estate are subject to fluctuations in value. In the event of any proceeding for any remedy available to the Trustee under the Indenture or the Deed of Trust, the Facilities of the Corporation do not consist of general purpose buildings and generally would not be suitable for many industrial or commercial uses. There can be no assurance that, if the Corporation were to default in making the payments under the Loan Agreement (i) any part or all of the Facilities could be foreclosed upon and sold for an amount sufficient to fully pay the outstanding principal of and interest on the Bonds and any Parity Debt or (ii) any bid would be received for the Facilities and, if received, that such bid would be sufficient to fully pay the outstanding principal of and interest on the Bonds and any Parity Debt. In addition, the Facilities are subject to a recorded notice of statutory restriction on transfer evidencing the Health and Safety Code requirement of prior approval by DSS of any sale or transfer. Applicants for such approval must meet a number of statutory conditions, including assumption of continuing care contracts or the provision of a trust fund or performance bond securing the continued performance of continuing care contracts not assumed by the purchaser, in addition to other requirements. See “STATE REGULATION OF THE SENIOR CARE AND HOUSING SECTOR.”

Priority of the Liens. The liens created under the Deed of Trust delivered by the Corporation constitute first liens on and security interests in the Facilities described therein. The liens are subordinate to and independent of liens for general property taxes, special taxes and assessments and pre-existing encumbrances of record. Additional special taxes or assessments may be imposed on the Facilities by other public agencies that have jurisdiction over the Facilities. Such future special taxes or assessments would have priority over the liens created under the Deed of Trust. Additionally, the Corporation may create Permitted Encumbrances which have priority over the liens created under the Deed of Trust.

Hazardous Substances. While governmental taxes, assessments and charges are common claims against the value of property, other less common claims may be relevant. One of the most serious in terms of the potential reduction in the value that may be realized is a claim with regard to hazardous substances. In general, the Corporation may be required by law to remedy conditions of the Facilities relating to release of hazardous substances. The federal Comprehensive Environmental Response, Compensation and Liability Act of 1980, sometimes referred to as “CERCLA” or the “Superfund Act,” is the most well-known and widely applicable of these laws. California laws with regard to hazardous substances are stringent and similar to the federal acts. Under many of these laws, the owner (or operator) is obligated to remedy a hazardous substance condition on property, whether or not the owner (or operator) had or has anything to do with the creation or handling of the hazardous substance. Consequently, if any part of the Facilities is affected by a hazardous substance, the marketability and value of the parcel may be substantially reduced, even beyond the cost of remedying the condition, due to the stigma associated with these problems. Further, such liabilities may arise not simply from the existence of a hazardous substance but from the method of handling, arranging for disposal, or disposing of the hazardous substances. Any of these circumstances could significantly affect the value of the Facilities that would be realized upon a delinquency and foreclosure.

Procedural Limitations of Foreclosure. There are two methods of foreclosing on a deed of trust under California law: by non-judicial sale and by judicial sale. Foreclosure under a deed of trust may be accomplished by a nonjudicial trustee’s sale under the power of sale provision in the deed of trust. Prior to such sale, the trustee must record a notice of default and election to sell and must send a copy to the trustor, any person who has recorded a request for a copy of the notice of default and notice of sale, any successor in interest of the trustor and the beneficiary of any junior deed of trust. Following the lapse of three months after recording the notice of default and election to sell, the trustee may give notice of sale. The notice of sale must be posted in a public place and published once each week throughout a 20-day period prior to the trustee’s sale. Such notice of sale must be posted on the property and must be sent to

the trustor, to each person who has requested a copy, to any successor in interest of the trustor and to the beneficiary of any junior deed of trust at least 20 days prior to the sale. The trustor, any successor in interest of the trustor, or any person having a junior lien or encumbrance of record may cure the default during the statutory reinstatement period by paying the entire amount of the debt then due under the terms of the deed of trust and the obligations secured thereby (exclusive of principal due by virtue of acceleration upon default) plus costs and expenses actually incurred in enforcing the obligation and certain statutorily limited attorneys' and trustee's fees. In addition, the notice of sale must be recorded with the county recorder at least 14 days prior to the date of sale. Following the sale, neither the trustor nor any junior lien holder has any right of redemption, and the beneficiary may not ordinarily obtain a deficiency judgment against the trustor.

If foreclosure under a deed of trust is sought in the form of a judicial foreclosure, it generally is subject to most of the delays and expenses that occur with other lawsuits. Judicial foreclosure sometimes requires up to several years to complete. The primary advantage of a judicial foreclosure is that the beneficiary is entitled, subject to other limitations, to obtain a deficiency judgment against the trustor to the extent that the amount of the debt is in excess of the fair value of the property. Following a judicial foreclosure sale, the trustor or its successors in interest may redeem the property for a period of one year (or a period of three months if the entire amount of the debt is bid at the foreclosure sale).

Antideficiency Legislation and Other Limitations on Lenders. The State has four principal statutory prohibitions limiting the remedies of a beneficiary under a deed of trust. Two of these prohibitions limit the beneficiary's right to obtain a deficiency judgment, one being based on the method of foreclosure and the other on the type of debt secured. Under the former, a deficiency judgment ordinarily is barred when the foreclosure is accomplished by means of a non-judicial trustee's sale, except where the deed of trust is given to secure the payment of bonds authorized or permitted to be issued by the California Commissioner of Corporations. Under the latter (not intended to be applicable in this situation), a deficiency judgment is barred where a foreclosed deed of trust secures certain purchase money obligations.

Another California statute, commonly known as the "one form of action" rule, requires the beneficiary to include a judicial foreclosure cause of action for any lawsuit to enforce an obligation secured by California real property. If a court were to hold that this rule were applicable to the Deed of Trust and the Authority, the Office or the Trustee were to file suit to collect the debt under the Loan Agreement, the Regulatory Agreement or the Indenture without at the same time seeking to foreclose the deed of trust judicially, the suit could be dismissed.

Another statutory provision limits any deficiency judgment obtained by a beneficiary following a judicial sale to the excess of the outstanding debt above the fair value of the property at the time of sale. This prevents a beneficiary from obtaining a large deficiency judgment against the debtor as the result of low bids at a judicial sale.

Other statutory provisions (such as the federal bankruptcy laws) may have the effect of delaying enforcement of the lien of the Deed of Trust in the event of a default by the Corporation, as applicable.

Rights of Residents. The Corporation enters into residency agreements with its residents. Although these agreements give to each resident a contractual right to use space and do not grant any ownership rights in the Corporation's communities, in the event that either the Trustee, the Office or the Owners of the Bonds seek to enforce any of the remedies provided by the Indenture upon the occurrence of a default or the Trustee or the Office seeks to enforce remedies under the Deed of Trust, management is unable to predict the resolution that a court might make of competing claims between the Trustee, the

Authority, the Office or the Owners of the Bonds and a resident of the Corporation's communities who has fully complied with all the terms and conditions of his or her residency agreement.

Professional Liability Claims and General Liability Insurance

The senior care and housing sector, in particular the nursing sector, periodically face a crisis in which professional and general liability insurance become increasingly expensive and at times unavailable. Premiums and coverage can be volatile, due in part to the absence of meaningful tort reform.

Spikes in insurance premiums can be attributed to a number of factors, including, most notably, a dramatic increase in litigation against retirement communities. Professional liability, elder abuse and other actions alleging wrongful conduct and seeking punitive damages often are filed against senior care and housing providers. In many instances, plaintiffs in elder abuse actions have access to enhanced remedies, such as attorneys' fees, pre-death pain and suffering, and punitive damages in certain circumstances. As a result, simple negligence cases are increasingly re-characterized as abuse cases. Congressional reports on abuse and increased enforcement activities by state regulatory agencies have also contributed to this phenomenon. Liability insurance does not provide coverage for judgments for punitive damages where prohibited by law, or for the payment of claims of intentional acts, and may not provide coverage of elder abuse claims.

Litigation also arises from the corporate and business activities of the Corporation, and from the Corporation's status as an employer. As with professional liability, many of these risks are covered by insurance, but some are not. For example, some antitrust claims, business disputes and workers' compensation claims are not covered by insurance or other sources and, in whole or in part, may be a liability of the Corporation if determined or settled adversely. As noted above, claims for punitive damages are not covered by insurance. Although the Corporation currently carries malpractice and general liability insurance, which management of the Corporation considers adequate, the Corporation is unable to predict the availability, cost or adequacy of such insurance in the future. For a discussion of the insurance coverage of the Corporation, see APPENDIX A — "INFORMATION CONCERNING THE CORPORATION — INSURANCE MATTERS."

Nursing and Health Care Professionals Shortage

California periodically experiences shortages of qualified, available nurses and other health care professionals. Various studies have predicted that this shortage will become more acute over time and grow to significant proportions. In California, state regulation of nurse to patient ratios will likely intensify the nursing shortage. The Corporation's operations, resident satisfaction, financial condition and future growth could be adversely affected by nursing and other professional shortages, potentially resulting in material adverse impact to the Corporation.

Marketability of the Bonds

There is no assurance as to the liquidity of markets that may develop for the Bonds, the ability of beneficial owners to sell their Bonds or the price at which beneficial owners would be able to sell their Bonds. Neither the Underwriter nor any other financial institution is obligated to make a market in the Bonds, and if the Underwriter or any other financial institution does so, it may discontinue its market-making activities at any time without notice. Any market that does develop for the Bonds may be subject to disruption that could adversely affect the prices at which beneficial owners could sell their Bonds. The Bonds may trade at a discount from their original purchase prices depending upon then-current market interest rates, the market for obligations similar to the Bonds, the financial condition of the Corporation and other factors.

No assurance can be given that the market price for the Bonds will not be affected by the introduction or enactment of any future legislation (including without limitation amendments to the Internal Revenue Code), or changes in interpretation of the Internal Revenue Code, or any action of the Internal Revenue Service, including but not limited to the publication of proposed or final regulations, the issuance of rulings, the selection of the Bonds for audit examination, or the course or result of any Internal Revenue Service audit or examination of the Bonds or obligations that present similar tax issues as the Bonds.

Bond Rating

The rating assigned to the Bonds at the time of issuance may be suspended, lowered or withdrawn at any time, any of which actions could adversely affect the market price for, and marketability of, the Bonds. See “RATING.”

Amendments to Financing Documents

While the Contract of Insurance is in force and effect, the Office shall exercise the rights of the Owners of the Bonds with respect the granting of consent to certain amendments to the Indenture, the Loan Agreement and the Deed of Trust. The Office may also consent to amendments to the Regulatory Agreement or waivers of certain provisions thereof. Such amendments or waivers could adversely affect the security for the Bonds.

Other Factors

In the future, the following factors, among others, may adversely affect the operations of the Corporation, or the market value of the Bonds, to an extent that cannot be determined at this time.

The Corporation has holdings in a range of investments. Market fluctuations may affect the value of those investments and those fluctuations may be material. For a discussion of the Corporation’s investments, see APPENDIX A — “INFORMATION CONCERNING THE CORPORATION.”

(i) The Corporation could be required by a change in the federal income tax or other federal, state or local laws to render substantially greater services without charge or at a reduced charge.

(ii) Employee strikes and other adverse labor actions could result in a substantial decrease in revenues without corresponding decreases in costs.

(iii) Natural disasters, including floods and earthquakes, could damage the Facilities, interrupt utility service to the Facilities, or otherwise impair the operations of the Corporation and the generation of revenues by the Facilities.

(iv) A decline in the population, a change in the age composition of the population or a decline in economic condition in the Corporation’s market area could have a material adverse effect on the Corporation’s revenues.

(v) A mandated increase in staff-to-resident ratios could increase the Corporation’s costs without a corresponding increase in revenues.

(vi) Unfavorable trends in the national, state or local economy or political climate may adversely affect the operations of continuing care retirement communities. There could be unfavorable changes in state legislation which currently regulates the senior care and housing sector;

increased governmental regulations which could adversely affect the Corporation's ability to deliver services to clients; governmental changes or reductions in rates and other methods of reimbursement of the Corporation for services delivered; loss of confidence in the Corporation's ability to deliver quality services by state or county officials, health care professionals, or the public which would adversely affect the level of revenue forecasted; increasing malpractice and other claims; competition by other for-profit or nonprofit entities; unforeseen major repairs of the Corporation's properties; or increases in insurance or other operating costs without the Corporation being able to obtain corresponding increases in revenues.

ABSENCE OF MATERIAL LITIGATION

The Corporation

There is no controversy or litigation of any nature now pending against the Corporation or, to the knowledge of its officers, threatened, restraining or enjoining the issuance of the Bonds or in any way contesting or affecting (i) the validity of the Bonds, or (ii) any proceedings of the Corporation taken concerning the issuance or sale thereof or the collection of Revenues pledged under the Indenture.

As with most senior care providers, the Corporation is subject to certain legal actions that, in whole or in part, are not or may not be covered by insurance because of the type of action or amount or types of damages requested (e.g., punitive damages), because of a reservation of rights by an insurance carrier, or because the action has not proceeded to a stage that permits full evaluation.

There is no litigation of any nature now pending against the Corporation or, to the knowledge of the Corporation's officers, threatened, which, if successful, would materially adversely affect the operations or financial condition of the Corporation.

The Authority

To the knowledge of the officers of the Authority, there is no litigation of any nature now pending (with service of process having been accomplished) or threatened against the Authority, seeking to restrain or enjoin the issuance, sale, execution or delivery of the Bonds, or in any way contesting or affecting the validity of the Bonds, any proceedings of the Authority taken concerning the issuance or sale thereof, the pledge or application of any moneys or security provided for the payment of the Bonds, or the existence or powers of the Authority relating to the issuance of the Bonds.

TAX MATTERS

In General

In the opinion of Squire Patton Boggs (US) LLP, Bond Counsel, under existing law: (i) interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986, as amended (the "Code"), and is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations; and (ii) interest on the Bonds is exempt from State of California personal income taxes. Bond Counsel expresses no opinion as to any other tax consequences regarding the Bonds.

The opinion on tax matters will be based on and will assume the accuracy of certain representations and certifications, and continuing compliance with certain covenants, of the Authority and the Corporation contained in the transcript of proceedings and that are intended to evidence and assure the foregoing, including that the Bonds are and will remain obligations the interest on which is excluded from gross income for federal income tax purposes. In addition, Bond Counsel has relied on, among other

things, the opinion of Hanson Bridgett LLP, counsel to the Corporation, regarding the current status of the Corporation as an organization described in Section 501(c)(3) of the Code and the use of the facilities financed with the Bonds in activities that are not considered “unrelated trade or business” activities of the Corporation, as defined in Section 513(a) of the Code, which opinion is subject to a number of qualifications and limitations. Failure of the Corporation to maintain its status as an organization described in Section 501(c)(3) of the Code, or to operate the facilities financed by the Bonds in a manner that is substantially related to the Corporation’s exempt purpose under Section 513(a) of the Code, may cause interest on the Bonds to be included in gross income retroactively to the date of the issuance of the Bonds. Bond Counsel will not independently verify the accuracy of the Issuer’s and the Corporation’s certifications and representations or the continuing compliance with the Issuer’s and the Corporation’s covenants and will not independently verify the accuracy of the opinion of the Corporation’s counsel.

The opinion of Bond Counsel is based on current legal authority and covers certain matters not directly addressed by such authority. It represents Bond Counsel’s legal judgment as to exclusion of interest on the Bonds from gross income for federal income tax purposes but is not a guaranty of that conclusion. The opinion is not binding on the Internal Revenue Service (“IRS”) or any court. Bond Counsel expresses no opinion about (i) the effect of future changes in the Code and the applicable regulations under the Code or (ii) the interpretation and the enforcement of the Code or those regulations by the IRS.

The Code prescribes a number of qualifications and conditions for the interest on state and local government obligations to be and to remain excluded from gross income for federal income tax purposes, some of which require future or continued compliance after issuance of the obligations. Noncompliance with these requirements by the Authority and the Corporation may cause loss of such status and result in the interest on the Bonds being included in gross income for federal income tax purposes retroactively to the date of issuance of the Bonds. The Corporation and, subject to certain limitations, the Authority have each covenanted to take the actions required of it for the interest on the Bonds to be and to remain excluded from gross income for federal income tax purposes, and not to take any actions that would adversely affect that exclusion. After the date of issuance of the Bonds, Bond Counsel will not undertake to determine (or to so inform any person) whether any actions taken or not taken, or any events occurring or not occurring, or any other matters coming to Bond Counsel’s attention, may adversely affect the exclusion from gross income for federal income tax purposes of interest on the Bonds or the market value of the Bonds.

A portion of the interest on the Bonds earned by certain corporations may be subject to a federal corporate alternative minimum tax. In addition, interest on the Bonds may be subject to a federal branch profits tax imposed on certain foreign corporations doing business in the United States and to a federal tax imposed on excess net passive income of certain S corporations. Under the Code, the exclusion of interest from gross income for federal income tax purposes may have certain adverse federal income tax consequences on items of income, deduction or credit for certain taxpayers, including financial institutions, certain insurance companies, recipients of Social Security and Railroad Retirement benefits, those that are deemed to incur or continue indebtedness to acquire or carry tax-exempt obligations, and individuals otherwise eligible for the earned income tax credit. The applicability and extent of these and other tax consequences will depend upon the particular tax status or other tax items of the owner of the Bonds. Bond Counsel will express no opinion regarding those consequences.

Payments of interest on tax-exempt obligations, including the Bonds, are generally subject to IRS Form 1099-INT information reporting requirements. If a Bond owner is subject to backup withholding under those requirements, then payments of interest will also be subject to backup withholding. Those requirements do not affect the exclusion of such interest from gross income for federal income tax purposes.

Bond Counsel's engagement with respect to the Bonds ends with the issuance of the Bonds, and, unless separately engaged, Bond Counsel is not obligated to defend the Authority, the Corporation or the owners of the Bonds regarding the tax status of interest thereon in the event of an audit examination by the IRS. The IRS has a program to audit tax-exempt obligations to determine whether the interest thereon is includible in gross income for federal income tax purposes. If the IRS does audit the Bonds, under current IRS procedures, the IRS will treat the Authority as the taxpayer and the beneficial owners of the Bonds will have only limited rights, if any, to obtain and participate in judicial review of such audit. Any action of the IRS, including but not limited to selection of the Bonds for audit, or the course or result of such audit, or an audit of other obligations presenting similar tax issues, may affect the market value of the Bonds.

Prospective purchasers of the Bonds upon their original issuance at prices other than the respective prices indicated on the inside cover of this Official Statement, and prospective purchasers of the Bonds at other than their original issuance, should consult their own tax advisers regarding other tax considerations such as the consequences of market discount, as to all of which Bond Counsel expresses no opinion.

Risk of Future Legislative Changes and/or Court Decisions

Legislation affecting tax-exempt obligations is regularly considered by the United States Congress and may also be considered by the State legislature. Court proceedings may also be filed, the outcome of which could modify the tax treatment of obligations such as the Bonds. There can be no assurance that legislation enacted or proposed, or actions by a court, after the date of issuance of the Bonds will not have an adverse effect on the tax status of interest on the Bonds or the market value or marketability of the Bonds. These adverse effects could result, for example, from changes to federal or state income tax rates, changes in the structure of federal or state income taxes (including replacement with another type of tax), or repeal (or reduction in the benefit) of the exclusion of interest on the Bonds from gross income for federal or state income tax purposes for all or certain taxpayers.

For example, recent presidential and legislative proposals would eliminate, reduce or otherwise alter the tax benefits currently provided to certain owners of state and local government bonds, including proposals that would result in additional federal income tax on taxpayers that own tax-exempt obligations if their incomes exceed certain thresholds. Investors in the Bonds should be aware that any such future legislative actions (including federal income tax reform) may retroactively change the treatment of all or a portion of the interest on the Bonds for federal income tax purposes for all or certain taxpayers. In such event, the market value of the Bonds may be adversely affected and the ability of holders to sell their Bonds in the secondary market may be reduced. The Bonds are not subject to special mandatory redemption, and the interest rates on the Bonds are not subject to adjustment in the event of any such change in the tax treatment of interest on the Bonds.

Investors should consult their own financial and tax advisers to analyze the importance of these risks.

Original Issue Discount and Original Issue Premium

Certain of the Bonds ("Discount Bonds") as indicated on the inside cover of this Official Statement were offered and sold to the public at an original issue discount ("OID"). OID is the excess of the stated redemption price at maturity (the principal amount) over the "issue price" of a Discount Bond. The issue price of a Discount Bond is the initial offering price to the public (other than to bond houses, brokers or similar persons acting in the capacity of underwriters or wholesalers) at which a substantial amount of the Discount Bonds of the same maturity is sold pursuant to that offering. For federal income

tax purposes, OID accrues to the owner of a Discount Bond over the period to maturity based on the constant yield method, compounded semiannually (or over a shorter permitted compounding interval selected by the owner). The portion of OID that accrues during the period of ownership of a Discount Bond (i) is interest excluded from the owner's gross income for federal income tax purposes to the same extent, and subject to the same considerations discussed above, as other interest on the Bonds, and (ii) is added to the owner's tax basis for purposes of determining gain or loss on the maturity, redemption, prior sale or other disposition of that Discount Bond. The amount of OID that accrues each year to a corporate owner of a Discount Bond is taken into account in computing the corporation's liability for federal alternative minimum tax. A purchaser of a Discount Bond in the initial public offering at the price for that Discount Bond stated on the inside cover of this Official Statement who holds that Discount Bond to maturity will realize no gain or loss upon the retirement of that Discount Bond.

Certain of the Bonds ("Premium Bonds") as indicated on the inside cover of this Official Statement were offered and sold to the public at a price in excess of their stated redemption price at maturity (the principal amount). That excess constitutes bond premium. For federal income tax purposes, bond premium is amortized over the period to maturity of a Premium Bond, based on the yield to maturity of that Premium Bond (or, in the case of a Premium Bond callable prior to its stated maturity, the amortization period and yield may be required to be determined on the basis of an earlier call date that results in the lowest yield on that Premium Bond), compounded semiannually. No portion of that bond premium is deductible by the owner of a Premium Bond. For purposes of determining the owner's gain or loss on the sale, redemption (including redemption at maturity) or other disposition of a Premium Bond, the owner's tax basis in the Premium Bond is reduced by the amount of bond premium that is amortized during the period of ownership. As a result, an owner may realize taxable gain for federal income tax purposes from the sale or other disposition of a Premium Bond for an amount equal to or less than the amount paid by the owner for that Premium Bond. A purchaser of a Premium Bond in the initial public offering at the price for that Premium Bond stated on the cover of this Official Statement who holds that Premium Bond to maturity (or, in the case of a callable Premium Bond, to its earlier call date that results in the lowest yield on that Premium Bond) will realize no gain or loss upon the retirement of that Premium Bond.

Owners of Discount and Premium Bonds should consult their own tax advisers as to the determination for federal income tax purposes of the amount of OID or bond premium properly accruable or amortizable in any period with respect to the Discount or Premium Bonds and as to other federal tax consequences and the treatment of OID and bond premium for purposes of state and local taxes on, or based on, income.

APPROVAL OF LEGALITY

The validity of the Bonds and certain other legal matters are subject to the approving opinion of, Squire Patton Boggs (US) LLP, Los Angeles, California, Bond Counsel to the Authority, substantially in the form set forth as Appendix F. Certain legal matters will be passed upon for the Corporation by its counsel, Hanson Bridgett LLP, San Francisco, California, and for the Authority by its counsel, Jones Hall. Certain legal matters will be passed upon for the Underwriter by its counsel, Foley & Lardner LLP, San Francisco, California. None of the counsel mentioned above undertakes any responsibility for the accuracy, completeness or fairness of this Official Statement.

FEASIBILITY STUDY

Hendrickson Consulting has prepared a Financial Feasibility Report, dated September 6, 2016 (the "Feasibility Study"). The Feasibility Study includes management's financial forecast for the Fiscal Years ending December 31, 2016 to and including December 31, 2021. The Feasibility Study is attached

hereto as Appendix H. As stated in the Feasibility Study, there will usually be differences between the forecasted data and actual results because events and circumstances frequently do not occur as expected, and those differences may be material. **THE FEASIBILITY STUDY SHOULD BE READ IN ITS ENTIRETY, INCLUDING THE FINANCIAL STATEMENT ASSUMPTIONS SET FORTH THEREIN.**

UNDERWRITING

The Bonds are being purchased by Cain Brothers & Company, LLC (the “Underwriter”). The Underwriter has agreed to purchase the Bonds at a purchase price of \$37,044,100.12, representing the aggregate principal amount thereof, plus net original issue premium of \$1,325,524.85, less an Underwriter’s discount of \$336,424.73. The Bond Purchase Contract provides that the Underwriter will purchase all of the Bonds, if any are purchased, and requires the Corporation to indemnify the Underwriter and the Authority against certain liabilities. The Bond Purchase Contract provides that the fees of counsel for the Underwriter will be paid by the Corporation. The initial public offering prices set forth in the inside cover page of this Official Statement may be changed without notice from time to time by the Underwriter.

INDEPENDENT AUDITOR

The consolidated financial statements of the Corporation as of and for the Fiscal Years ended December 31, 2014 and December 31, 2015, included in Appendix B to this Official Statement, have been audited by Vicenti, Lloyd & Stutzman LLP, independent public accountants as stated in its report appearing therein.

VERIFICATION OF MATHEMATICAL COMPUTATIONS

Concurrent with the delivery of the Bonds, Grant Thornton will deliver its verification report indicating that it has verified certain information and assertions provided by the Underwriters. Included in the scope of its verification will be a verification of mathematical accuracy of (a) the mathematical computations of the adequacy of the various escrow deposits to pay, when due, the various refunding requirements and (b) the mathematical computation supporting the conclusion of Bond Counsel that the Bonds are not “arbitrage bonds” under the Code and the regulations promulgated thereunder.

RATING

Standard & Poor’s Ratings Services, a Standard & Poor’s Financial Services LLC business, which is a subsidiary of The McGraw-Hill Companies, Inc. (“S&P”), has assigned its municipal bond rating of “AA-” to the Bonds with the understanding that, upon delivery of the Bonds, payment of the principal of and interest on the Bonds will be insured by the Office. The “AA-” reflects S&P’s current assessment of the creditworthiness of the State, the Office and the ability of the Office to pay claims under the Insurance Program. See “BONDHOLDERS’ RISKS – State Bond Insurance” herein. No application was made to any other rating agencies for the purpose of obtaining additional ratings on the Bonds. Any explanation of the significance of such rating may only be obtained from S&P. There is no assurance that the rating mentioned above will remain in effect for any given period of time or that it might not be lowered or withdrawn entirely by S&P, if, in its judgment, circumstances so warrant. The Underwriter has undertaken no responsibility either to bring to the attention of the Owners of the Bonds any proposed change in or withdrawal of any rating or to oppose any such proposed revision or withdrawal. Any such downward change in or withdrawal of any rating might have an adverse effect on the market price or marketability of the Bonds.

MISCELLANEOUS

The foregoing and subsequent summaries or descriptions of provisions of the Bonds, the Contract of Insurance, the Indenture, the Loan Agreement, the Regulatory Agreement and the Deed of Trust and all references to other materials not purporting to be quoted in full are only brief outlines of some of the provisions thereof and do not purport to summarize or describe all of the provisions thereof. Reference is made to said documents for full and complete statements of the provisions of such documents. The appendices attached hereto are a part of this Official Statement. Copies, in reasonable quantity, of the Indenture, the Loan Agreement, the Contract of Insurance, the Regulatory Agreement and the Deed of Trust may be obtained during the offering period upon request to the Underwriter and thereafter upon request to the principal corporate trust office of the Trustee.

The Authority furnished only the information in this Official Statement contained under the captions “THE AUTHORITY” and “ABSENCE OF MATERIAL LITIGATION—The Authority” and, except for such information, makes no representation or warranty as to the adequacy, completeness or accuracy of this Official Statement.

This Official Statement has been delivered by the Authority and approved by the Corporation. This Official Statement is not to be construed as a contract or agreement among any of the Authority, the Corporation or the purchasers or Owners of any of the Bonds.

APPROVED:

By: PILGRIM PLACE IN CLAREMONT

By: /s/ Audrey Morabito
Vice President and CFO

APPENDIX A
INFORMATION CONCERNING THE CORPORATION

APPENDIX A

INFORMATION CONCERNING PILGRIM PLACE IN CLAREMONT

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BACKGROUND

Pilgrim Place in Claremont (the “*Borrower*”) is a California nonprofit public benefit corporation exempt from federal income tax under Section 501(a) of the Internal Revenue Code of 1986, as amended (the “*Code*”), as an organization described in Section 501(c)(3) of the Code. The Borrower currently owns and operates a continuing care retirement community known as Pilgrim Place (“*Pilgrim Place*”), located in Claremont, California. The Borrower was incorporated by the Claremont Community Church and Pomona College in 1915 to provide a furlough destination for international missionaries and their families. It soon also became known as a retirement option for that same constituency, and by 1926, it moved a few blocks from the college campus to its present location in Claremont, where it began admitting retired clergy and church workers. Over the years, Pilgrim Place’s admissions qualifications have been expanded to include not only those who have served religious organizations in a professional capacity, but also those who have served the wider arena of charitable nonprofit organizations. Drawn from a national and international constituency, there are now 320 residents living in three levels of care on the Borrower’s 32-acre campus (the “*Campus*”).

Residents choose Pilgrim Place to continue their lifelong service and outreach to others while exploring new opportunities for personal growth and learning within a caring community. Pilgrim Place residents share a common commitment to social justice, peaceful living, and environmentalism.

Under the Borrower’s Articles of Incorporation, which were updated in 2008, the Borrower’s purpose is to develop and operate housing specially designed for the elderly, with arrangements for residents’ health care and financial security, and otherwise to promote the interests and serve the needs of the elderly; to promote health through the operation of health facilities and services including nursing care facilities; and to engage in other charitable activities.

The mission of the Borrower is to sustain an intentional community offering quality retirement living and care for persons who have served in careers in religious or charitable nonprofit organizations. The Borrower also serves the wider community by providing short-term and long-term care services to individuals who do not reside on the Campus.

GOVERNANCE AND MANAGEMENT

GOVERNANCE

The Borrower is currently governed by a Board of Directors (the “*Board*”), consisting of 20 voting members, all of whom live throughout Southern California and serve without compensation. Pursuant to the Borrower’s bylaws, the Board must consist of not fewer than 17 and not more than 21 members. Individual directors are elected by the Board at each annual meeting. Each director serves for a three-year term and may be elected to not more than two consecutive terms. Under California’s continuing care law, the Borrower is required to accept one person nominated by the resident association to serve as a resident director if the board

consists of twenty or fewer directors and two nominees if it consists of 21 or more directors. The Borrower complies with this law. Resident directors serve one term to enable other residents to have this opportunity.

BOARD OF DIRECTORS MEMBERSHIP

The Board currently consists of the following members:

TABLE 1
PILGRIM PLACE BOARD OF DIRECTORS JANUARY 1 – DECEMBER 31, 2016

Board Officers

Ginger Elliot (Chair)	Retired Executive Director
John Hill (Vice-Chair)	Deputy Sheriff/Non-Profit Professional
Vicki Shae (Secretary)	Attorney, Stafford, Shae & Held
Johanna Sweaney Salt (Treasurer)	CPA, Gray, Salt and Associates

Board Members

Charles Bayer*	Retired Pastor
Amy Bibbens	Director, Center for Civic Engagement – Claremont McKenna College
Martha Boesch	Retired Church Administrator
Cynthia Cecil	Senior Staff, The Clinebell Institute
Keith Clark	Spiritual Director/former Executive Associate Conference Minister, So Cal-Nev Conference of the UCC
David Crist	Retired High School Principal
Terry Donnelly*	Retired Long Term Care Advocate
Jill Dwyre	Retired, Teacher, Journalist, Retail Manager
Jerome Garris	V.P./Dean Emeritus Claremont McKenna College
Denise Hayes	V.P. for Student Affairs, Claremont University Consortium
Pat Hynds*	Retired Maryknoll Missionary
Kae Lewis*	Retired Non-Profit Homeless Services Professional
Darlene McPherson	Director, Operations Family Health Center Pomona Valley Hospital Medical Center
Tembi Sukuta	V.P. Bluefield Associates
Maia Thomas	Director/Advisor at Valda Partners LLC
Bob Wallace*	Retired Pastor

* Resident Board Member

MANAGEMENT

The daily operations of the Borrower have been delegated by the Board to the President/Chief Executive Officer of the Borrower. The President/Chief Executive Officer is given authority and responsibility to operate the business of the Borrower in all of its day-to-day activities, subject to such policies as may be adopted and such direction as may be issued by the Board. Summary biographical information for the key management positions at the Borrower is set forth below. These people together comprise the "Management" of the Borrower.

Ann R. Schiff, President and Chief Executive Officer. Ms. Schiff has served as the President and Chief Executive Officer of the Borrower since January 2016 and is responsible for operating the business of the Borrower in all of its day-to-day activities. Ms. Schiff has general supervision, direction, and control of the business and officers of the Borrower. She reports to the Board of Directors of the Borrower and, by virtue of her position, attends all Board meetings. Before serving as the Borrower's President, Ms. Schiff served as the Executive Director of Ingleside at Rock Creek in Washington DC from 2010 – 2015 and as Ingleside at Rock Creek's Administrator of Health Services from 2008 - 2010. From 2002 – 2007 she served as the Administrator for Asbury Methodist Village in Gaithersburg, Maryland. Ms. Schiff has more than 30 years of experience in the administration of long term care, including Continuing Care Retirement Communities, assisted living communities, and skilled nursing facilities. She received a Bachelor of Science degree in Sociology from Virginia Polytechnic Institute and State University in Blacksburg, VA and a Master of Arts in Health Care Administration from The George Washington University in Washington, D.C.

Audrey Morabito, Vice President and Chief Financial Officer. Ms. Morabito was appointed as the Vice President and CFO in February 2016 and prior to that was a CFO Consultant to Pilgrim Place from August 2015 to February 2016. Ms. Morabito is responsible for business functions including finance, the business offices of the retirement community, the skilled nursing facility, and purchasing. She is also responsible for the development and implementation of financing plans for capital projects along with the annual budget process. Ms. Morabito oversees the planning and completion of Pilgrim Place's annual audit as well as audits performed by federal and state government agencies. Ms. Morabito is responsible for information systems, annual budgets, annual audits, Medicare cost reports, tax returns, cash management, investment management, and the accuracy of the financial statements for the Borrower. Ms. Morabito has more than 20 years of accounting and management experience. She received a Bachelor of Arts degree in Law with Minors in Business & Geology from University of the Pacific in Stockton, CA.

Rich Rodas, Vice President of Health Services Center. Mr. Rodas has been an employee of the Borrower since April 2016. He is responsible for overseeing all health services of the community and serves as licensed Administrator of the skilled nursing facility and licensed Administrator for the Assisted Living Lodge. Mr. Rodas has over 21 years of health care administration experience. Prior to joining the Borrower, he worked as the Administrator for Covina Rehabilitation Center (77 Bed SNF/22 Bed SAU) and before that, as the Administrator for Casa Bonita Convalescent Hospital (77 Bed SNF/29 Bed SAU). He received a Bachelor of Arts Degree in Business Administration/Finance from California State University San Bernardino.

Steve Rogers, Vice President for Campus Services. Mr. Rogers, an employee of the Borrower for twenty-two years, is responsible for oversight of operations which include facilities maintenance, landscape maintenance, renovation, construction, dining services, housekeeping/laundry, and security. He has also served the Borrower as project manager for construction of several major campus facilities as well as renovations of numerous single family homes and community building additions. Prior to his employment by the Borrower, he served for over twenty-three years as operations manager for ServiceMaster Management Services, where he oversaw two acute care hospitals, four public schools, and one retirement community. He attended Phoenix College in Arizona and served in the US Navy.

Joyce Yarborough, Vice President of Advancement. Ms. Yarborough has been with the Corporation since 2006. In her position, she is responsible for all aspects of internal and external advancement and fundraising. In the area of internal advancement, her work covers volunteer recognition, grant writing, and coordination of the annual campaigns and annual events. In the area of external advancement, her work includes donor cultivation and Board member recruitment and education. Ms. Yarborough has a long history of directing programs in organizations in the Claremont community serving children with special needs and in providing shelter and hunger programs for needy families. She holds a Bachelors of Education from the Moray House College in Edinburgh, an English as a Second Language (ESL) Certification from Brunell University in London, England, and a Title 22 Certification (Administration of Licensed Facilities).Facilities and Services

DESCRIPTION OF THE FACILITIES

Since 1925, the Borrower has continually developed the Campus in Claremont, California. Once isolated amid the orange and lemon groves that shaped the early economy of the Pomona and San Gabriel Valleys, the Campus is now in the midst of a college town halfway between Los Angeles and Palm Springs.

Over the years, the Borrower has made many additions, renovations and replacements to the Campus. Beginning in 1926 with four residences, Pilgrim Place rapidly expanded in the early 1930s to include the construction of numerous additional cottages and homes, and an administrative center. The following table describes the facilities now located on the Campus (the “*Facilities*”), including the date of construction, function, number of units, and approximate square footage of each.

Building Name	Date Constructed	Function	Number of Units
Homes and Apartments	1925-2003	Residential Living	163
Pitzer Lodge	1950-1998	Assisted Living and Museum	40 beds
Health Services Center	1980	Skilled Nursing Facility	62 beds
Worth George Activity Center	1998	Aquatics and Fitness Center	N/A
Abernethy/Decker Dining Room	1935-1989	Dining/Auditorium	N/A
Porter Hall	1930	Library, Guest Rooms	9 rooms
Pendleton Arts and Crafts	1996	Workshops	N/A
Festival Building	1989	Annual Festival Activities	N/A
Friendship Court (FKA Brooks Davis)	1940-1975 2009	Assisted Living	14
Service Building	1945-1950	Maintenance	N/A
Norton Building	2009	Administration/ Residential Living	13
Amistad (2 nd Floor Friendship Court)	2009	Residential Living	6
Napier Community Center	2010	Resident Activities & Meeting Rooms	N/A

At present, there are 182 residential homes and apartments in one -, two-, and three-bedroom layouts on the Campus. These residential units serve 283 people. All of the residential living homes and apartments are unique, which makes Pilgrim Place similar to non-retirement neighborhoods. There are 150 residential homes in single, duplex and triplex configurations which range in size from 600 to 2,000 square feet. There are 32 apartments which average approximately 630 square feet in size and 12 guest apartments for temporary stays. 19 of these residential apartments were built in 2009 as part of an expansion and renovation project that was funded with proceeds of Series 2009 Bonds.

Pilgrim Place also includes Pitzer Lodge, which serves 58 residents in 54 assisted living apartments. In 2009 the assisted living component of the campus was expanded with the construction of Friendship Court, a 14,021 square foot building containing 14 assisted living apartments, a dining room, and activity areas.

Pilgrim Place is currently converting one of the existing residential homes to a six-bed memory care building. This building will be the first residential setting on campus designed for residents requiring memory support. Part of the fundraising for this project will include conferring naming rights to a large donor.

The skilled nursing facility, the Health Services Center, is licensed by the Department of Public Health for 68 beds. Currently, 75% of the residents in the skilled nursing facility are from the surrounding communities of Claremont, Pomona, Upland, LaVerne and Rancho Cucamonga.

TABLE 3
UNIT TYPES AND MIX

	Number of Units		
	Pre-2009	2009 Expansion	Total
Residential Homes and Apartments			
Studio/One Bath	0	1	1
One-Bedroom/One Bath	35	17	52
One-Bedroom/Den/One Bath	33		33
Two-Bedroom/One Bath	37	1	38
Two-Bedroom/Two Bath	23		23
Three-Bedroom/Two Bath	32		32
Four-Bedroom/Two Bath	3		3
Total Residential Living	163	19	182
Assisted Living			
Studio	12	0	12
Studio – Large	18	0	18
One-Bedroom	4	13	17
Two-Bedroom	6	1	7
Total Assisted Living	40	14	54
Health Services Center – Nursing Care			
Semi-private	56		56
Private	6		6
Total Nursing Care	62	0	62
Campus Totals	265	33	298

In addition to the residential living, assisted living, and skilled nursing facilities, the Campus includes a number of community facilities that provide an opportunity for residents to be actively engaged. These facilities include the Aquatic Fitness Center, a staffed exercise center, the Petterson Museum, Abernethy/Decker Hall (dining room and auditorium), Porter Hall (resident library, conference room and nine guest rooms), Pendleton Arts and Crafts Center, the Festival Building, administration and maintenance buildings, and the Napier Community Center, which is a multi-purpose resident activity center. The Campus is lushly landscaped and has numerous flower and vegetable gardens and hundreds of fruit trees.

A-7



FIGURE 1: CAMPUS MAP

DESCRIPTION OF SERVICES

Residential Living. Residents receive accommodations that include individual homes, cottages and apartment-style units with private bathrooms, a 24-hour emergency call system, window coverings, wall-to-wall carpeting or hard wood flooring, and phone hook-ups. All of the residential living apartments have full kitchens and are part of Pilgrim Place's fully licensed residential care facility for the elderly ("RCFE"). (One license covers all of Pilgrim Place's residential areas.) Residential living services/utilities include water, gas, electric, phone, Internet and trash collection; one meal per day; storage space; parking; building and grounds maintenance; recreation; fitness, cultural, educational, spiritual, and social programs; catering services; chaplain and worship services; and access to transportation services. Assistance with self-administered medications, nutrition services, wellness and clinical services, and care of minor ailments are provided for an additional charge. Optional services including housekeeping and home health care are also available for an additional charge.

Assisted Living. Pitzer Lodge is part of Pilgrim Place's RCFE and is composed of three separate, adjoining buildings that contain 54 assisted living apartments, now inhabited by 44 individuals and 20 couples. Pitzer Lodge is supervised by a director and staffed by Licensed Vocational Nurses (LVNs) and Certified Nursing Assistants 24 hours a day, seven days a week. The buildings feature lounges with large screen televisions, a recreation area, outdoor seating (on porches and in an atrium), a dining room, a kitchen preparation area, a beauty parlor, and a clinic room.

Memory Care. The memory care home will be part of the RCFE and will consist of one building containing 6 beds, a living room, a kitchen, bathrooms, and a secure wandering garden area. Designed using the 'small house' concept, the memory care house will enable residents with Alzheimer's Disease, dementia and other forms of memory loss to live in a secure, home-like environment. It will be supervised by a Director of Clinical Services and staffed by Licensed Vocational Nurses (LVNs) and Certified Nursing Assistants 24 hours a day, seven days a week.

Nursing Care. Residents of Pilgrim Place and surrounding communities receive licensed skilled nursing care, as needed, 24 hours a day, 7 days a week in Pilgrim Place's Health Services Center. Skilled nursing care includes care planning, skin and wound care, incontinence care, and coordination of diagnostic and therapeutic services, all of which are performed under the supervision of the nursing home administrator, Director of Nurses, and Medical Director. Rehabilitation services, social services and specialized dietary care are provided on an ongoing basis.

LICENSES, CERTIFICATES AND MEMBERSHIPS

Pilgrim Place is licensed as an RCFE and as a skilled nursing facility. In addition, the Borrower has a certificate of authority ("COA") to enter into continuing care contracts with residents. All three forms of approval are described in more detail below.

The residential portion of Pilgrim Place is licensed by the State of California Department of Social Services, Community Care Licensing Division ("*Social Services*") as an RCFE. This license gives Management the flexibility to tailor services to a variety of resident populations.

The basis for this licensure is Social Services' determination that the residential living apartments and residential living and assisted living programs comply with specific requirements of California law related to RCFEs. The memory care home will be licensed under the RCFE law, as well.

Pilgrim Place was originally licensed for 54 RCFE units based on shared occupancy of a number of units. In addition to the entire Campus being certified by Social Services as a Continuing Care Retirement Community (a "CCRC") in 2009, it has been modified throughout its history to respond to changing consumer preferences. Some units have been combined to create larger units, others have been remodeled or replaced, and others have been eliminated. Pilgrim Place currently serves approximately 415 seniors, in a combination of ambulatory, non-ambulatory and bedridden capacities.

The Health Services Center is licensed by the California Department of Public Health ("*Public Health*") as a skilled nursing facility. The basis for this licensure is Public Health's determination that the Borrower has complied with state laws relating to skilled nursing facilities. Pilgrim Place has a licensed nursing bed capacity of 68; however, due to operational considerations, the functional nursing bed capacity of Pilgrim Place is 62. The budgeted census for 2016 is 54. All 62 nursing beds are certified under the Medicare and Medi-Cal programs.

The Borrower received a Certificate of Authority ("*COA*") issued by Social Services, Continuing Care Contracts Branch on February 5, 2009. A COA permits the Borrower to enter into continuing care contracts, defined by the State of California as an express or implied agreement between a person 60 years of age or older and the provider where, in exchange for payment of an entrance fee and/or periodic charges, a promise is made to provide one or more elements of care at a facility for the duration of the resident's life or a period longer than one year. The Borrower must submit annual audited financial statements, reserve reports, and key indicators reports to Social Services to maintain its COA.

The Borrower is a member of LeadingAge (formerly known as American Association of Homes and Services for the Aging) and its state affiliate, LeadingAge California, the leading trade associations representing nonprofit aging services providers.

EMPLOYEES

As of October 1, 2016, the Borrower employed approximately 224 full-time equivalent employees and 286 total employees. The Borrower does not have any collective bargaining agreements in place. Management believes that the salary levels and benefit packages for its employees at Pilgrim Place are competitive and that the Borrower's relationship with its employees is good.

ADMISSION POLICY

Persons may apply for residence at Pilgrim Place after completing 10 years of full-time (or the equivalent) employment with religious or charitable nonprofit organizations. Examples include commissioned or ordained missionaries, ministers, theological seminary faculty,

denominational executives, YMCA/YWCA staff, community organizers, and employees of various nonprofit organizations, including human services organizations.

Before moving to Pilgrim Place, an applicant must have completed at least 15 years of full-time employment with a religious or charitable nonprofit organization. Spouses/partners of applicants who meet this qualification are also eligible to apply for admission. A spouse/partner, even if now widowed or divorced, who shared a 15-year marriage/commitment during the service years of the qualified person is also eligible to apply. Pilgrim Place is open to all such qualified persons regardless of gender, religion, race, ethnicity, national origin, disability, marital status, or sexual orientation.

Exceptions to the admission policy are reviewed by the Borrower's Board on a case-by-case basis.

RESIDENT CONTRACTS AND FEE STRUCTURE

Introduction. The Borrower currently offers two types of Continuing Care Residence and Care Agreements (“*Care Agreements*”) at Pilgrim Place: the Classic Agreement, a 90% Deferred Repayment Agreement, and a Monthly Fee Agreement. Effective December 1, 2016, the Borrower will cease offering the 90% Deferred Repayment Agreement (of which it now has 16 such agreements with existing residents), and commence to offer a 50% Deferred Repayment Agreement. All of the Care Agreements include a promise of care for life or until termination, subject to the terms and conditions of the Care Agreement. All of the Care Agreements, except the Monthly Fee Agreement, require payment of an entrance fee.

Care Agreements Generally. The Care Agreements at Pilgrim Place share certain common features. For example, the resident has the right to cancel such resident's Care Agreement with or without cause within 90 days of the date the resident first occupies the residential living unit (the “*Cancellation Period*”), as mandated by state law. In case of cancellation by the resident during the Cancellation Period, the Borrower must repay any monies paid by the resident less a reasonable processing fee and the reasonable value of items provided and services rendered to the resident. Additionally, under all of the Care Agreements, all residents pay a monthly care fee (the “*Monthly Fee*”) for residency, care and services.

Classic Agreement. The Classic Agreement requires that a resident pay an initial Entrance Fee and ongoing Monthly Fees. The amount of the Entrance Fee that is repayable pursuant to the Classic Agreement is reduced at a rate of 2% per month. If a resident terminates a Classic Agreement after the Cancellation Period but before the end of the 50th month of residency, the resident is entitled to a refund of the unamortized balance of his Entrance Fee. There is no refund of the Entrance Fee after 50 months of residency or upon the death of a resident under the terms of the Classic Agreement.

90% Deferred Repayment Agreement. The 90% Deferred Repayment Agreement requires that a resident pay an initial Entrance Fee and ongoing Monthly Fees. After the Cancellation Period, 90% of the Entrance Fee is repayable after a new resident enters into a Residence and Care Agreement with the Borrower for the departing resident's unit. This Agreement was introduced in 2009 and, as noted above, will be discontinued as of November 30, 2016.

50% Deferred Repayment Agreement. The 50% Deferred Repayment Agreement requires that a resident pay an initial Entrance Fee and ongoing Monthly Fees. After the Cancellation Period, 50% of the Entrance Fee is repayable after a new resident enters into a Residence and Care Agreement with the Borrower for the departing resident's unit. As noted above, this Agreement will be introduced on December 1, 2016.

Monthly Fee Agreement. The Monthly Fee Agreement requires that a resident pay ongoing Monthly Fees but no entrance fee. This option is limited to residents with limited assets who occupy units of less than 1,000 square feet.

As of October 30, 2016, the resident mix by Care Agreement for Pilgrim Place was as follows:

TABLE 4
RESIDENT CONTRACT MIX

Type of Care Agreement	Number of Care Agreements*	Current Accommodation Level		
		RL	AL	SNF
Classic	200	146	48	6
90% Deferred Repayment	16	16		
50% Deferred Repayment	0	0		
Monthly Fee	10	10		

* Source: Management.

FEE SCHEDULES

Residential Living. The fee schedule for residential living services at Pilgrim Place as of October 1, 2016 is summarized below for existing units. Residential living fees are increased January 1st each year. Fee structures are based on single occupancy of residential living units.

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TABLE 5
CURRENT ENTRANCE FEES AND MONTHLY SERVICE FEES

Unit Square Footage	Classic Agreement		90% Deferred Repayment Agreement		No Entrance Fee ⁽³⁾ (Monthly Fee Agreement)	
	Entrance Fee ⁽¹⁾⁽⁴⁾	Monthly Service Fees ⁽²⁾	Entrance Fee ⁽¹⁾⁽⁴⁾⁽⁵⁾	Monthly Service Fees ⁽²⁾	Entrance Fee ⁽⁴⁾	Monthly Service Fees ⁽²⁾
Existing Units						
650 – 800	\$118,093 – 145,345	\$1,901 – 2,161	\$200,758 – 247,087	\$1,901 – 2,161	\$0	\$2,631 – 3,060
900 – 1,000	163,513 – 181,682	2,334 – 2,506	277,972 – 308,859	2,334 – 2,506	0	3,345 – 3,629
1,100 – 1,200	199,850 – 218,018	2,679 – 2,852	339,745 – 370,631	2,679 – 2,852	0	3,915 – 4,200
1,300 – 1,400	236,186 – 254,354	3 025 – 3 198	401,516 – 432,402	3 025 – 3 198	0	4,486 – 4,771
1,500 – 1,600	272,522 – 290,690	3,371 – 3,544	463,287 – 494,173	3,371 – 3,544	0	5,056 – 5,342
1,700+	308,859 – 327,027	3,716 – 3,889	525 060 – 555,946	3,716 – 3,889	0	5,626 – 5,911

⁽¹⁾ Based on single occupancy; the entrance fee for the second person is an additional 25%.

⁽²⁾ Monthly service fees cover occupancy, residential services, and dining services. The occupancy component of the monthly service fee is based on square footage, while the residential services and dining components of monthly service fees are set at the same rates for all persons (currently \$426 and \$352 respectively for a total of \$778). In FY 2016, the occupancy component of the monthly service fee for residential living is \$1.73 per square foot for units with entrance fees and \$2.85 per square foot for “no entrance fee” units. Couples (about 40% of total occupants) pay a higher monthly service fee that reflects additional residential services and dining fees (combined \$778).

⁽³⁾ Application fee is \$250 per person for all plans.

⁽⁴⁾ The 90% Deferred Repayment Agreement entrance fee is 170% of the Classic Agreement (non-refundable) entrance fee. The monthly fees are the same as above.

⁽⁵⁾ The 50% Deferred Repayment Agreement entrance fee will be 170% of the Classic Agreement (non-refundable) entrance fee. The monthly fees are the same as those for the Classic Agreement and 90% Deferred Repayment Agreement.

Source: Management.

Assisted Living and Memory Care. The fee schedule for assisted living services at Pilgrim Place as of October 1, 2016, is summarized below. Assisted living and memory care fees are increased on January 1 each year. Residents receiving assisted living services have their care needs assessed annually or upon a change of condition to determine the appropriate level of care.

TABLE 6
ASSISTED LIVING MONTHLY FEES

Pitzer South	
One room	\$1,876
Suite	3,199
Two room combinations	3,247
Pitzer North	
Studio	1,754 - 2,204
Larger Studio	1,856 - 2,639
One room	3,740
Pitzer East	
One room	2,742
Two rooms	4,004
Friendship Court	
One room	2,648 - 2,879
Two room	4,304
Second Occupant Fee	220
Enhanced Care Fee - Level 1	351
Enhanced Care Fee - Level 2	633
MC House (6 bed) Jan. 2018	7,500*
MC House (6 bed) end of FY 2020	7,500*

* In FY 2016 dollars

Source: Management.

Skilled Nursing Care. The fee schedule for skilled nursing services at Pilgrim Place as of October 1, 2016 is summarized in the following table. Nursing fees are increased on January 1 each year.

TABLE 7
NURSING CARE DAILY RATES

Large private room (suite)*	\$511
Private room	330
Two-bed semi-private room	290
Two-bed semi-private deluxe room	318

* Large private room is established at resident's request by converting a two-bed area into a private room.

Source: Management.

HISTORICAL UTILIZATION

The following tables set forth the average percentage of occupancy for the residential and assisted living units and nursing beds at Pilgrim Place, as well as the move-ins, move-outs, and deaths of residential living residents.

TABLE 8
AVERAGE OCCUPANCY

Residential and Assisted Living				Skilled Nursing Care		
Fiscal Year Ended December 31	Total Units ⁽¹⁾	Units Occupied	Occupancy	Total Beds ⁽²⁾	Beds Occupied ⁽³⁾	Occupancy
2012	242	234	97%	60	53	88%
2013	242	235	97%	60	54	89%
2014	242	236	98%	60	54	89%
2015	242	236	97%	60	51	85%

(1) 185 residential units and 57 assisted living units.

(2) Utilized skilled nursing bed capacity of 62 is less than the skilled licensed nursing bed capacity of 68.

(3) Pilgrim Place residents in skilled nursing for a temporary stay are included only in the skilled nursing census. However, since their residential living apartments are not available for occupancy, they are considered occupied in the above statistics.

Source: Management.

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Residential Living Transfer Patterns. The information in the following table reports individual occupancy changes for Pilgrim Place residents. It does not include information about individuals admitted directly to the Health Services Center from the outside community.

TABLE 9
RESIDENTIAL LIVING TRANSFER PATTERNS

Fiscal Year Ended December 31	Move-ins	Transfers to Skilled Nursing	Move-outs	Deaths
2012	31	11	4	13
2013	29	2	2	12
2014	10	8	1	6
2015	16	3	5	14

Source: Management.

Waiting List. As of October 1, 2016, The Borrower maintained a wait list of approximately 230 individuals or couples who have been interviewed by a resident admission committee. These individuals have paid an application fee of \$250 each to the Borrower for a place on the approved applicant list with a desired year of entry between 2016 and 2021. Potential residents are contacted when units become available in the year of their desired admission.

THE CAMPUS DEVELOPMENT PROJECT

In 2009, the Borrower funded an expansion project with a portion of the Series 2009 bond proceeds that added 19 Residential Living units, 14 Assisted Living units, and administrative offices, and relocated and upgraded the existing fitness center. 14 Residential Living units were demolished as part of the project. Additionally, approximately \$1.12 million of the 2009 bond proceeds reimbursed Pilgrim Place for prior expenditures for upgrading and reconfiguration improvements.

CAPITAL EXPENDITURES

As part of the new financing, the Borrower will fund \$9 million in routine capital expenditures and upgrade projects and a second six-bed memory care expansion. The second memory care house will allow for an addition of up to six occupants. The Borrower is currently awaiting city approval of its first memory care house, involving the conversion of an existing unoccupied single family residence into a six-unit memory care house. The Borrower submitted drawings to the City of Claremont for this first memory care house in 2016 and expects to complete construction by the end of fiscal year 2017. Construction will be funded with cash and donations. A second memory care house is also planned and should be completed in 2019. Both memory care houses involve the conversion and renovation of existing residential living facilities and both will share the same tract of land and an enclosed garden area. Other components of the capital expenditures include technology infrastructure (phone, data, Wi-Fi), solar panel installation, and an electronic monitoring system.

DESCRIPTION; RATIONALE, SCHEDULE, BUDGET

Pilgrim Place has identified \$9,000,000 worth of routine capital and upgrade projects that will be financed with the 2016A Bonds. The projects and estimated costs include the following:

Project Costs

Project	Estimated Cost
Situational Awareness Response Assistant	\$500,000
Phone, Data and Wi-Fi	1,900,000
Electronic Medical Records	100,000
Solar for Commercial Buildings	1,700,000
Unit Subdivision (3-4 Homes)	360,000
Second Memory Care House (MCH)	500,000
HSC Chiller System	600,000
Central Facilities LED Light Conversion	180,000
Annual Capital Expenditures	
Homes & Apartments – 20 homes @\$80k each	1,600,000
Buildings & Grounds	500,000
Pitzer Lodge	500,000
Health Service Center	200,000
Abernathy Dining Room	115,000
Other Central Facilities	245,000
Total	\$9,000,000

Construction is expected to be done over three years. The first project will be the phone, data, Wi-Fi project and is expected to begin in early 2017. With the exception of the second memory care home, the other projects are not expected to generate direct revenue but will add needed upgrades to the facilities. Pilgrim Place is in the process of converting a single residence house into a second 6-unit MCH. No bond proceeds will be going towards the first MCH, and

construction will be funded with cash reserves and donations from a charitable fundraising campaign. Pilgrim Place has submitted drawings to the City of Claremont for the first MCH and hope to receive approval no later than early 2017. The second MCH will be nearly identical to the first MCH and is expected to be completed by the end of 2019.

FEASIBILITY ANALYSIS

Hendrickson Consulting, located in Sausalito, California (the “*Feasibility Consultant*”), has completed a financial feasibility study of the proposed financing plan and has issued the Financial Feasibility Report, dated September 6, 2016 (the “*Feasibility Study*”). The Feasibility Study was undertaken to assess the ability of the Borrower to meet principal and interest payments on the Bonds and contemplated operating and working capital requirements for the five fiscal years ending December 31, 2021. The study is based upon estimates, assumptions, forecasts and other information as stated therein. While the Feasibility Consultant believes these underlying assumptions provide a reasonable basis for Management’s forecast, the assumptions may vary significantly from actual future conditions due to unanticipated events and circumstances, and there can be no assurance that the assumed conditions will, in fact, occur. To the extent that actual future conditions vary from those assumed in the Feasibility Study, the actual results will vary from those contained in the Feasibility Study. The forecasted results cannot be assured. THE FEASIBILITY STUDY IS CONTAINED IN APPENDIX H HERETO AND SHOULD BE READ IN ITS ENTIRETY FOR A FULL UNDERSTANDING OF THE ASSUMPTIONS AND RATIONALE UNDERLYING THE FORECASTS AND CONCLUSIONS CONTAINED THEREIN. SEE APPENDIX H – “FEASIBILITY STUDY.” (SEE THE ITALICIZED TEXT UNDER THE HEADING “FEASIBILITY STUDY” in the forepart of this Official Statement.)

UNDERLYING ASSUMPTIONS AND CONCLUSIONS

The financial forecast contained in the Feasibility Study is based on assumptions that are enumerated throughout the Feasibility Study and that were provided by or reviewed with and approved by Management (which assumptions include, as to the Bonds, a \$37.5 million aggregate proceeds amount (with premium) to be repaid over 30 years with a maximum coupon rate of 5.00% and a maximum yield rate of 3.00%). The financial forecast indicates that sufficient funds could be generated during the forecast period to meet operating expenses, working capital and other capital requirements, and principal and interest payments on the Bonds.

PROJECTED KEY FINANCIAL RATIOS

The following table, developed from information contained in the Feasibility Study, shows for each of the indicated years certain estimated funds available for debt service coverage on the Bonds, the extent to which estimated debt service is covered by such funds, the unrestricted Days Cash on Hand, and the cash to debt ratio exclusive of the Reserve Fund.

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TABLE 10
PROJECTED KEY FINANCIAL RATIOS

	2019	2020	2021
AVAILABLE FUNDS (\$000)			
Increase in Unrestricted Net Assets	\$ 190	\$ 230	\$ (391)
Unrealized Losses (Gains)	-	-	-
Specific Purpose Revenues	(400)	(400)	(400)
Depreciation and Amortization	2,376	2,511	2,550
Amortized Entrance Fees	(2,154)	(2,219)	(2,285)
Net Entrance Fees	2,711	2,793	2,877
Interest/Premium Amort. Internal/External	1,350	1,326	1,292
Net Cash for Debt Service	4,072	4,241	4,424
TOTAL DEBT SERVICE (\$000)	\$ 2,652	\$ 2,158	\$ 2,154
Maximum Annual Debt Service	2,175	2,175	2,175
Unrestricted Cash/Investments	12,739	13,432	14,310
Annual Operating Expenses	18,677	19,399	20,024

KEY RATIOS

Maximum Annual Debt Service Coverage Ratio	1.87	1.95	2.03
Days Cash on Hand	249	253	261

Source: Hendrickson Consulting

MARKET AND COMPETITION

Due to its history, international reputation, and an admission policy that requires that residents have 15 years of service to a religious or nonprofit charitable organization before move-in, Pilgrim Place attracts people from all over the world who are seeking an intentional retirement community where they and those around them continue lives of service. Thus, Pilgrim Place's market area has historically been much larger than that of a continuing care retirement community that did not serve an affinity group or have a unique mission.

Pilgrim Place attracts a different mix of applicants than it did before 2009, for two reasons. First, religious workers are now more frequently compensated with salaries that are closer to market rates and benefits that are less likely to include housing. This gives them access to more retirement living options than what is offered at Pilgrim Place. Second, the Borrower's admission criteria were expanded in 2009 to allow people who devoted their careers to nonprofit service to apply to live at Pilgrim Place. This group is applying in increasing numbers and in fact represents about 50 percent of current applicants. In light of these trends, the Borrower is

increasingly interested in attracting applicants from the nonprofit world and in understanding the local geographic markets as a source of occupancy.

As part of the planning for the Campus Development Project, the Borrower contracted with Gerontological Services, Inc. (“GSI”) in 2006 to perform a market analysis of its strategic plans. GSI is a multi-disciplinary company that works with clients to assess consumer demand, position new and existing product lines, and develop strategies for successful implementation.

The analysis provided by GSI in 2006 established a market area for Pilgrim Place based on its experience with providers within the same geographic area. The scope of GSI’s 2006 study and the definition of the market area were limited in comparison to other market studies because historically, the Borrower did not market itself in the surrounding communities. The market area included a 138-square mile area that extends 21 miles from east to west and 11 miles from north to south. The Primary Market Area is 55 square miles and includes Claremont, Pomona, LaVerne, Upland and Montclair and the Secondary Market Area is 83 square miles and includes Rancho Cucamonga, Glendora and San Dimas.

Management has determined that the GSI study continues to describe the Borrower’s competition accurately. Recent marketing efforts within the geographic market area have confirmed the definitions of both the Primary Market Area and Secondary Market Area.

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FIGURE 2:

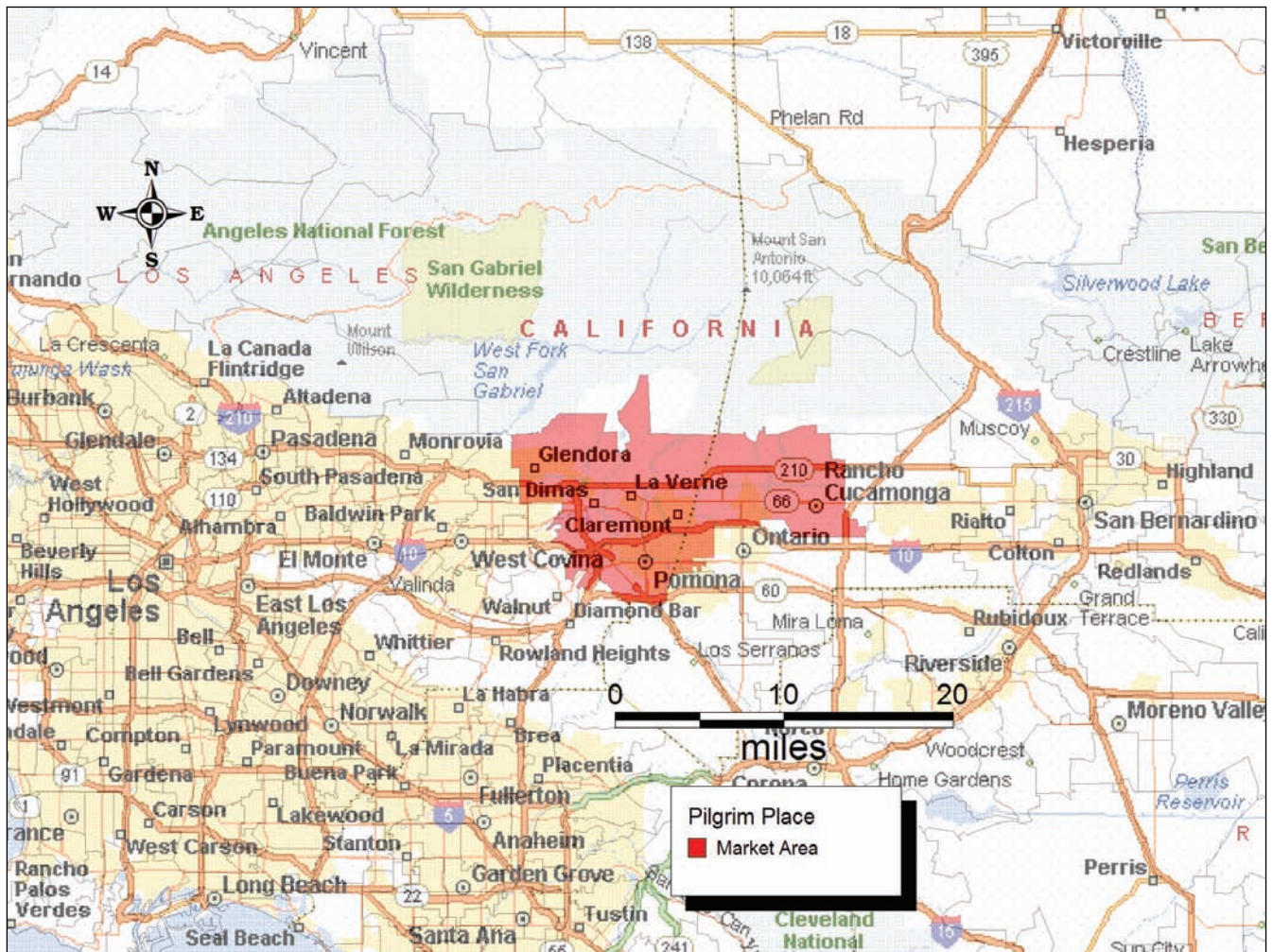
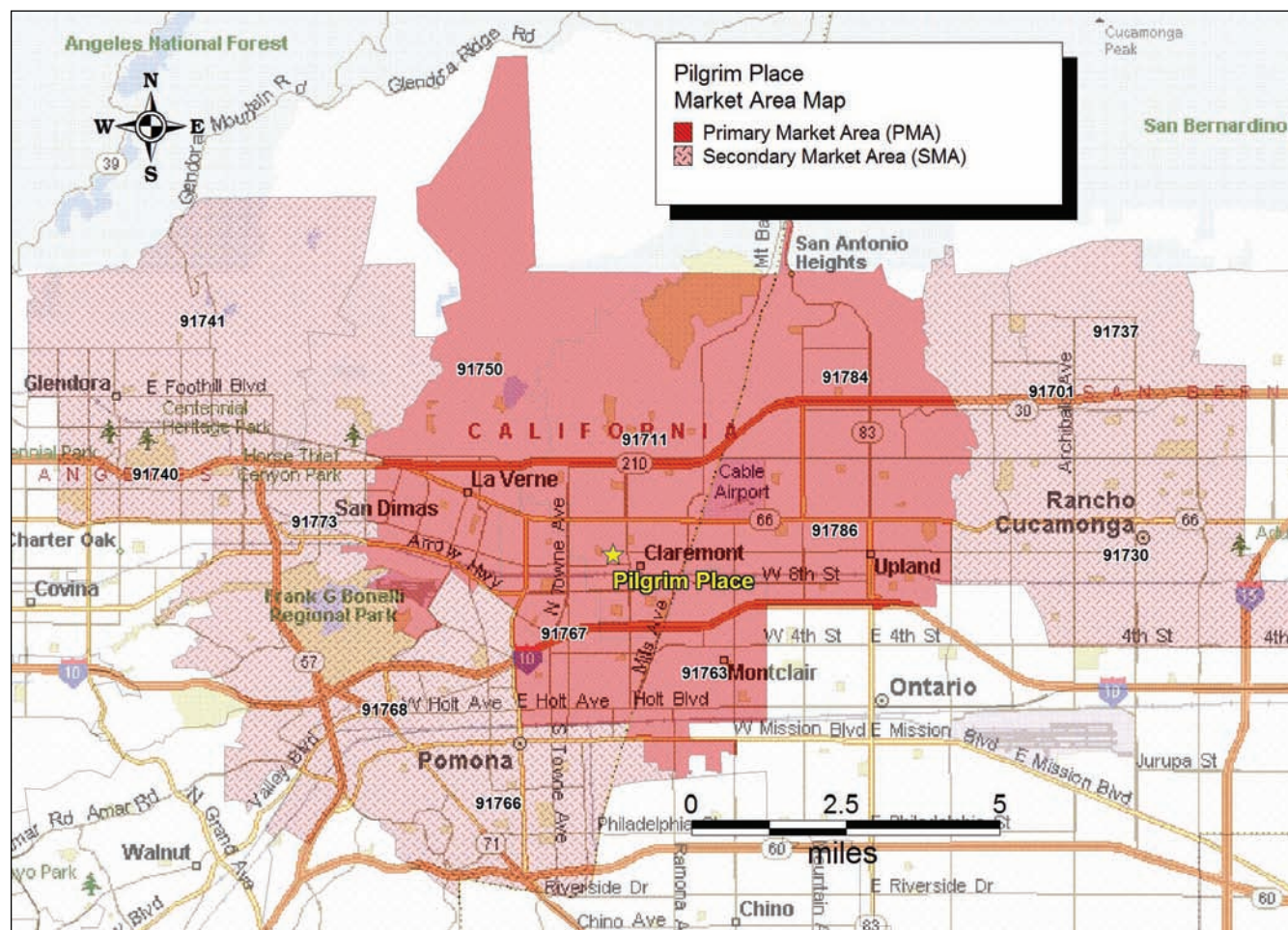


FIGURE 3:

Management has updated the competitive market data as reported by GSI in 2006,. Management of the Borrower has prepared the following description of the primary competition for Pilgrim Place. The Borrower has estimated the current occupancy of its competitors based on telephone calls to its competitors made in October 2016.

Residential and Assisted Living. Management has identified five licensed RCFEs that offer similar living accommodations and services and are competitive with Pilgrim Place.

TABLE 11
COMPETITIVE LICENSED RCFES

Name of Facility	Date of Original Construction	Location	Miles from Pilgrim Place	Number of RCFE Units	Contract Type	Occupancy
Claremont Manor	1949	Claremont	.2	200	MLRC** – CM is entering into no new continuing care contracts	88%
Monte Vista Grove Homes*	1924	So. Pasadena	18	AL 16	CCRC	90%
Hillcrest	1949	La Verne	4	273	CCRC	91%
Mt. San Antonio Gardens	1961	Pomona	1	407	CCRC	98%
Westminster Gardens*	1950	Duarte	15	129	CCRC	89%

Source: Management

* Retirement community which serves retired religious workers and clergy outside PMA.

** Multilevel retirement community.

Skilled Nursing Care. The Health Services Center at Pilgrim Place has consistently admitted approximately 75% of its residents directly from the outside community and approximately 25% of its residents from the Campus. These residents generally have a chronic health condition that requires 24-hour nursing care. The primary source of direct admissions to skilled nursing at Pilgrim Place is hospital discharges from Pomona Valley Hospital, Medical Center Hospital and San Antonio Hospital in Upland. The direct admissions to the nursing facility generally are residents requiring medically complex restorative care covered under Medicare, Medi-Cal, or another health insurance program. These residents are a combination of

short-term stay residents for rehabilitative therapy following an operation or stroke, long-term memory support residents, and those on hospice receiving end-of-life care.

TABLE 12
SKILLED NURSING CENSUS DATA

Fiscal Year Ended December 31	Daily Census of Pilgrim Place Residents	Daily Census of Community Residents	Total Average Daily Census	Average Occupancy
2013	9	45	56	54
2014	15	38	53	54
2015	11	41	52	54
2016*	13	39	52	54

Source: Management.

Management has identified five licensed skilled nursing facilities that offer similar services and facilities, are located within the same geographic area, and are considered competitive with Pilgrim Place.

TABLE 13
COMPETITIVE LICENSED NURSING FACILITIES

Name of Facility	Location	Miles from Pilgrim Place	Number of Nursing Beds	Medicare Certified	Census*
Woods Health Center (Hillcrest)	LaVerne	3	78	Yes	63
Mt. San Antonio Gardens SNF	Pomona	1	58	Yes	53
Claremont Manor SNF	Claremont	0.2	59	Yes	50
Claremont Care Center	Claremont	2	99	Yes	90
Indian Hill Rehabilitation Center	Claremont	0.3	99	Yes	90

* Based on telephone survey, October 2016.

Source: Management.

SOURCES OF REVENUE FROM NURSING CARE SERVICES

The Borrower derives its nursing care revenues from Medi-Cal, Medicare and private pay patients. As of December 31, 2015, approximately 22% of the nursing facility patients were residents transferring from residential living or assisted living at Pilgrim Place. The remaining 78% were admitted directly to a nursing bed from the broader community. The following table sets forth the percentage of combined gross revenues derived from nursing services provided by

payor. The information is presented for the fiscal years ended December 31, 2013, 2014 and 2015.

TABLE 14
SOURCES OF REVENUE FROM NURSING CARE SERVICES

	Fiscal Year Ended December 31,		
	2013	2014	2015
Resident Private Pay	56%	54%	68%
Medicare	22%	8%	13%
Medi-Cal	22%	38%	19%
Total	100%	100%	100%

Source: Management.

For further discussion of Medi-Cal, Medicare and other payors, please refer to the section in the forepart of this Official Statement entitled “BONDOWNERS’ RISKS.”

OTHER FINANCIAL DATA

TABLE 15
OTHER FINANCIAL DATA

	Fiscal Year Ended December 31,			9 Months Ended Sept 30,	
	2013	2014	2015	2015	2016
	(Audited)			(Unaudited)	
Net Assets (\$000)					
Unrestricted	\$19,698	\$20,524	\$20,567	\$20,607	\$20,453
Temporarily Restricted	4,127	4,288	3,743	4,802	3,868
Permanently Restricted	5,846	5,869	5,930	5,994	6,046
Total Net Assets	\$29,671	\$30,681	\$30,240	\$30,683	\$30,366
Unrestricted Cash and Investments (\$000)	\$8,454	\$8,743	\$8,409	\$6,586	\$6,187
Total Debt Service (\$000)	2,017	2,021	2,085	1,648	1,624
Unrestricted Days Cash on Hand	195	190	182	143	134

Source: Management.

FY 2014 compared to FY 2013. Unrestricted cash and investments increased by \$289k from FY 2013 (from \$8,454 to \$8,743). This increase is primarily due to funds received from the Centennial Campaign.

FY 2015 compared to FY 2014. Unrestricted cash and investments decreased by \$334k from FY 2014 (from \$8,743 to \$8,409). This decrease is primarily due to greater capital expenditures.

YTD 2016 compared to YTD 2015. Unrestricted cash and investments decreased by \$399k from YTD 2015 (from \$6,546 to \$6,187). This decrease is primarily the result of capital expenditures on the renovation of Porter Hall.

INVESTMENTS

The Board is responsible for general oversight of the Borrower's endowment funds and investment activities and for establishing an Investment Policy for the Borrower. The Investment Policy provides that overall investment objectives and goals should be achieved through a diversified portfolio that balances return expectations and risk tolerances. The portfolio is managed by external investment managers whose performance is reviewed regularly and compared to agreed-upon guidelines and benchmarks and who periodically report to the Board.

The Board's long-term objectives with respect to the Borrower's investment portfolio are: the preservation of the principal; production of a reliable stream of current income from interest and dividends to help meet operating expenses at Pilgrim Place; and growth of principal so that current income will continue to expand and cover inflated operating expenses. The Investment Policy requires a total real rate of return exceeding inflation in order to meet investment objectives. This return is to be achieved within the risk tolerances adopted by the Board and according to the asset allocation guidelines established in the Investment Policy. Asset allocation is reviewed by the Board annually, or as may be necessary to address any significant change in the operations or financial condition of the Borrower.

The Board is responsible for overseeing the Borrower's investment program, selecting an external investment manager, monitoring the performance of the Borrower's investment manager(Vanguard), and determining the strategic asset allocation for the investment program.

The Borrower's Vice President and CFO manages the investment program according to the Board's Investment Policy and implements the asset allocation strategy through the external investment managers who invest the assets according to the Investment Policy and specific investment guidelines incorporated into investment management agreements.

The Board periodically reviews the Investment Policy. The Investment Policy provides that the Borrower's investments should be allocated approximately 40-70% to publicly-traded domestic and international equity securities, and the balance to fixed income securities and money market instruments. As of December 31, 2015, approximately 76% of the Borrower's investments were in publicly-traded domestic and international equity securities, approximately 23% were in fixed income securities, and approximately 1% was in money market investments. Included in the fixed income securities are inter-fund loans, which are eliminated on the audited financial statements and the value of investments chart below.

The values of invested funds by asset class as of the end of the fiscal year ended December 31, 2013 through 2015, and unaudited figures through September 30, 2015 and 2016, are shown in the following table.

TABLE 16
INVESTMENTS VALUE

	VALUE OF INVESTMENTS			As of September 30,	
	2013	As of December 31, 2014	2015	2015	2016
	(Audited)			(Unaudited)	
Stocks	\$7,204,372	\$7,386,130	\$6,675,570	\$6,523,718	\$7,065,695
Bonds	1,148,886	1,576,003	1,673,818	1,677,783	1,739,906
Subtotal	\$8,693,258	\$8,962,133	\$8,349,388	\$8,201,501	\$8,805,601
Real estate owned (undeveloped land)	45,000	45,000	45,000	45,000	45,000
Gift Annuities	869,413	768,466	726,627	722,324	840,972
Total investments	\$9,607,671	\$9,775,599	\$9,121,015	\$8,968,825	\$9,691,573

Gift annuity assets are limited in use to the payment of required annuity payments to the annuitants during their respective lives in accordance with their annuity agreement with the Borrower. When the annuitant dies, the balance in the annuitant's account is distributed to the Borrower's unrestricted net assets or to the fund designated by the annuitant in their agreement.

BUDGET PROCESS

The Borrower is managed under a budgetary plan adopted each year by its Board. Department directors prepare management plans and operational budgets with detailed input from other members of the staff. Senior management recommends the final budget that is presented to the Board for approval.

The budgeting process begins each June with the establishment of a budget timetable, budget process and service demand projections. The budget is completed and presented to the Board for approval by early November each year, for implementation at the beginning of the next fiscal year. Senior management meets regularly to review operational performance and plan corrective action as necessary.

INSURANCE MATTERS

The Borrower is insured with Health Cap RRG, a risk retention group for comprehensive liability, including corporate, general and professional liability pursuant to insurance policies that cover the Campus for a limit of \$1,000,000 per occurrence with an aggregate policy limit of

\$3,000,000. Additionally, the Borrower has a \$5,000,000 umbrella insurance policy that provides property and liability coverage, \$8,000,000 of business income insurance that provides coverage if the Borrower's operations are interrupted, and \$5,000,000 of flood insurance. The Campus is not covered by earthquake insurance. Management has determined that obtaining earthquake insurance at current rates is not economically justified. However, the Borrower reviews this determination from time to time.

The Borrower is a member of GuardianComp, Inc. which, through risk-sharing provisions, provides insurance coverage for workers' compensation liability exposure. GuardianComp was established in 2003 and currently includes 25 participant organizations. Participation is limited to California, nonprofit senior living organizations that have strong quality operational programs that meet the criteria established by GuardianComp. The Borrower was one of the founding members of GuardianComp.

FINANCIAL INFORMATION

SUMMARY STATEMENTS OF HISTORICAL REVENUES AND EXPENSES AND CHANGES IN NET ASSETS

The following summary statements of historical revenues and expenses and changes in net assets for the three fiscal years ended December 31, 2013, 2014 and 2015 are derived from the audited financial statements of the Borrower. Copies of the Borrower's audited financial statements for the fiscal years ended December 31, 2014 and 2015 are included in Appendix B to this Official Statement. The summary statement of revenues and expenses and changes in net assets for the nine-month periods ended September 30, 2015 and September 30, 2016 are derived from the unaudited financial statements of the Borrower prepared by Management and include adjustments, consisting of normally recurring accruals, that Management considers necessary for a fair presentation under generally accepted accounting principles of the financial position, and the results of operations for the periods covered by such unaudited financial statements. The operating results of the Borrower for the nine months ended September 2016 are not necessarily indicative of the results that may be expected by the Borrower for its entire fiscal year ending December 31, 2016. The data for the three fiscal years ended December 31, 2013, 2014 and 2015 set forth in the following table have been derived from and should be read in conjunction with the financial statements and related notes included in Appendix B.

TABLE 17
HISTORICAL STATEMENT OF OPERATIONS

	Fiscal Year Ended December 31,			9 Months Ended September 30,	
	2013	2014	2015	2015	2016
	(Audited)			(Unaudited)	
REVENUES:					
Residential living	\$5,789,278	\$6,192,908	\$6,221,672	\$4,790,921	\$4,898,851
Assisted living	2,112,031	2,276,848	2,387,004	1,845,486	1,838,461
Skilled nursing, net	6,070,635	6,004,570	6,209,651	4,650,148	4,896,290
Entrance fees - program	1,929,698	2,016,001	1,837,337	1,368,547	1,352,458
Other income - program	289,341	174,652	132,599	133,000	75,690
Net assets released from restrictions	331,666	403,000	432,304	335,654	317,182
Contributions - designated	132,112	1,647,834	730,926	549,662	102,337
Annual giving - designated	89,044	75,847	75,309	5,363	5,838
Total Revenues:	\$16,743,805	\$18,791,660	\$18,026,802	\$13,678,781	\$13,487,107
OPERATING EXPENSES:					
Residential living	736,584	708,330	694,245	512,121	566,853
Assisted living	1,487,605	1,776,815	1,776,490	1,333,049	1,189,890
Skilled nursing	4,801,968	4,929,163	5,127,707	3,832,919	3,957,174
Housekeeping, laundry, and dietary	3,411,683	3,581,621	3,684,156	2,719,645	2,902,411
Resident services	30,145	36,297	39,633	28,988	16,911
General and administrative	1,657,576	1,786,476	1,841,146	1,290,419	1,266,398
Interest	1,585,314	1,551,045	1,590,600	1,192,375	1,140,288
Plant operations and maintenance	1,776,875	1,888,240	1,809,942	1,367,293	1,312,366
Fundraising	347,726	501,257	405,466	323,856	375,572
Depreciation expense	1,928,134	2,007,472	2,080,446	1,564,488	1,564,488
Total Expenses:	\$17,763,610	\$18,766,716	\$19,049,831	\$14,165,153	\$14,292,351
NON-OPERATING ACTIVITY:					
Annual giving - undesignated	507,493	286,253	238,073	135,672	120,036
Investment income	248,209	55,495	55,614	4,760	116,106
Realized and unrealized investment gains	478,849	13,297	(1,345)	31,625	129,599
Amortization of deferred revenue from capital gifts	95,280	77,100	77,100	57,825	57,825
Gifts - collections	6,944	7,391	10,778	-	1,192
Gifts - other designated	45,265	-	1,825	-	175,251
Gifts - other capital projects and housing agreements	264,504	129,630	364,875	358,986	-
Net assets released from restrictions - board allocation	-	223,877	287,196	215,397	215,397

Net assets released from restrictions - matured gift annuities	-	3,303	8,019	-	-
Net assets released from restrictions - miscellaneous	2,538	4,455	24,088	-	270
Total Non-Operating Activity:	\$1,649,082	\$800,801	\$1,066,223	\$804,265	\$815,676
CHANGE IN UNRESTRICTED NET ASSETS	\$629,277	\$825,745	\$43,194	\$317,893	\$10,432

TABLE 18
HISTORICAL STATEMENTS OF FINANCIAL POSITION

	Fiscal Year Ended December 31,			9 Months Ended September 30,	
	2013	2014	2015	2015	2016
	(Audited)			(Unaudited)	
ASSETS:					
Cash and money market funds	\$5,734,552	\$6,005,362	\$6,037,069	\$4,286,764	\$4,005,393
Restricted cash and money market funds	275,416	61,539	99,601	44,825	52,227
Cash with trustee - bonds	235,008	247,045	427,303	822,218	835,546
Accounts receivable	1,646,106	1,501,452	1,894,113	1,366,593	1,474,855
Inventories	40,526	55,943	54,528	55,664	56,337
Prepaid expenses	77,680	16,222	103,974	276,109	408,180
Total Current Assets:	8,009,288	7,887,563	8,616,588	6,852,173	6,832,538
OTHER ASSETS:					
Cash with trustee - bonds	2,006,585	2,006,877	1,993,314	2,006,877	1,993,341
Pledges receivable	104,480	885,862	624,297	774,503	376,971
Charitable remainder trust	65,518	65,518	65,518	65,518	65,518
Investments	2,719,823	2,737,680	2,371,353	2,298,918	2,181,199
Restricted investments	6,887,848	7,037,919	6,749,662	7,328,451	7,474,272
Capitalized fees	2,102,301	2,022,251	1,942,201	1,962,214	1,896,514
PPE	44,598,790	43,737,032	43,703,475	43,800,198	44,504,087
Total Assets:	\$66,494,633	\$66,380,702	\$66,066,408	\$65,088,852	\$65,324,440
CURRENT LIABILITIES:					
Accounts payable	\$746,082	\$461,430	\$688,473	\$989,989	\$831,963
Salaries and benefits payable	683,813	827,383	420,710	564,661	467,381
Line of credit	600,000	500,000	500,000		-
Current portion insured senior living revenue bonds	470,000	495,000	520,000	520,000	545,000
Deposits and deferred revenue	579,227	548,625	1,072,857	196,812	240,069
Total Current Liabilities:	3,079,122	2,832,438	3,202,040	2,271,462	2,084,413
OTHER LIABILITIES:					
Promissory notes	-	-	460,000	-	490,000
Insured senior living revenue bonds	25,525,511	25,032,827	24,515,143	24,514,564	23,971,880
Annuities payable	771,109	738,333	648,702	676,862	567,223
Deferred revenue entrance fees	4,354,493	3,839,522	3,184,866	3,743,568	3,108,872
Deferred revenue capital giving	2,834,321	3,074,716	3,710,480	3,074,716	4,688,094
Deposits and deferred revenue	259,514	182,414	105,314	124,589	47,489
Total Liabilities:	36,824,070	35,700,250	35,826,545	34,405,761	34,957,971

NET ASSETS:					
Unrestricted	19,697,840	20,523,585	20,566,779	20,607,070	20,452,851
Temporarily restricted	4,126,661	4,287,731	3,743,090	4,082,450	3,867,945
Permanently restricted	5,846,062	5,869,136	5,929,994	5,993,570	6,045,673
Total Net Assets	29,670,563	30,680,452	30,239,863	30,683,090	30,366,469
Total Liabilities & Net Assets	\$66,494,633	\$66,380,702	\$66,066,408	\$65,088,851	\$65,324,440

Source: Management.

MANAGEMENT'S DISCUSSION OF FINANCIAL PERFORMANCE

The Borrower's operations have been relatively stable from year to year. The variances in the financial results have been primarily related to the Centennial Campaign that began in 2013 and ended in 2015.

Fiscal Year ended December 31, 2014 ("FY 2014") compared to Fiscal Year ended December 31, 2013 ("FY 2013").

Total Operating Revenue increased \$2,047,855 from \$16,743,805 to \$18,791,660 due primarily to a \$1,515,722 increase in contributions that came from the Centennial Campaign and also due to increased residential living and assisted living revenue due to a 4% increase implemented for 2014.

Total Operating Expenses increased \$1,003,106 from \$17,763,610 to \$18,766,716 due to an overall increase in employee wages and benefits and an increase in purchased services and professional fees.

Total Non-Operating Activity decreased \$848,281 from \$1,649,082 to \$800,801 due to a decrease in the investment portfolio and a decrease in donor contributions.

During FY 2014, although Total Assets for the period was essentially unchanged, Pledges receivable increased \$781,382 from \$104,480 to \$885,862 due to the Centennial Campaign that was largely offset by an \$861,758 decrease in PPE due to lower than average number of house preparations.

Total Liabilities decreased \$1,123,820 from \$36,824,070 to \$35,700,250 primarily due to a 514,971 decrease in deferred revenue entrance fees, repayment of \$492,684 of insured senior living revenue bonds, a decrease in the line of credit by \$100,000 and a decrease in accounts payable of \$284,652 due to the timing of end of year payments. These amounts were slightly offset by an increase in salaries and benefits of \$143,570 and a \$240,395 increase in deferred

repayment entrance fees due to the number of payroll accrual days recognized for 2014 and the addition of a deferred repayment entrance fee. Very few entrance fees are deferred repayments. At year-end 2014, only 13 existed.

Total Net Assets increased by \$1,009,889 from \$29,670,563 to \$30,680,452 due to an increase in Unrestricted net assets equal to \$825,745 due to contributions from the Centennial Campaign and an increase in Temporarily restricted net assets equal to \$161,070 due to other miscellaneous contributions.

Fiscal Year ended December 31, 2015 ("FY 2015") compared to FY 2014.

Total Operating Revenue decreased \$764,858 from \$18,791,660 to \$18,026,802 due primarily to a decrease in contributions of \$848,281, due to the wind down of the Centennial Campaign that was somewhat offset by an increase in assisted living and skilled nursing revenue.

Total Operating Expenses increased \$283,115 from \$18,766,716 to \$19,049,831 due to increased professional fees from Management turnover and increased contracted food costs. Total Non-Operating Activity increased \$265,422 from \$800,801 to \$1,066,223 due to increased revenue from resident housing agreements.

During FY 2015, although Total Assets for the period was substantially unchanged, investments decreased \$654,584 due to annual draws from the endowment for operations and Residents Health and Support Program that did not have the benefit of an interest return from the market and pledges receivable decreased \$261,565 due to collected pledges, which was largely offset by an increase cash with the trustee of \$166,695 plus an increase in accounts receivable of \$392,661.

Although Total Liabilities remained relatively unchanged there was a repayment of \$517,684 of insured senior living revenue bonds, a decrease in salaries and benefits payable of \$406,673 due to the number of payroll accrual days recognized for 2015 and the vacation accrual payout of two senior management positions, that were largely offset by an increase in accounts payable of \$227,043, an increase in deposits and deferred revenue of \$524,232 due to timing of payments and deposits received on units and an additional promissory note balance of \$460,000 issued to various individuals at a 3% interest rate to be repaid in 2019.

Total Net Assets decreased \$440,589 due primarily to a decline in Temporarily restricted net assets due to realized and unrealized losses on restricted investments.

Nine Months Ended September 30, 2016 ("YTD 2016") compared to Nine Months Ended September 30, 2015 ("YTD 2015").

Total Operating Revenue decreased \$191,674 from \$13,678,781 to \$13,487,107 due primarily to a decline in contributions of \$447,325 due to Centennial Campaign contributions that were recognized in 2015, that was somewhat offset by an increase in residential living and skilled nursing revenues of \$107,930 and \$246,142, respectively.

Total Assets increased \$235,588 from \$65,088,852 to \$65,324,440 due primarily to an increase in PPE of \$703,889 due to construction on Porter Hall that was somewhat offset by a decline in cash of \$281,371 and a decline in pledges receivable of \$397,532 due to pledges collected and some small pledge write-offs.

Total Liabilities increased \$552,210 from \$34,405,761 to \$34,957,971 due to a \$1,613,378 increase in deferred repayment entrance fees and an additional promissory note balance of \$490,000 issued to various individuals at a 3% interest rate to be repaid in 2019 that was largely offset by a \$542,684 reduction in insured senior living revenue bonds, and a \$634,696 increase in deferred revenue entrance fees due to additions of \$2,200,000, amortization of \$1,300,000, and a returned entrance fee of approximately \$250,000.

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APPENDIX B
AUDITED FINANCIAL STATEMENTS OF
PILGRIM PLACE IN CLAREMONT

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PILGRIM PLACE IN CLAREMONT

**Financial Statements for the
Years Ended December 31, 2015 and 2014
and
Independent Auditor's Report**



PILGRIM PLACE IN CLAREMONT

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INDEPENDENT AUDITOR'S REPORT

Board of Directors
Pilgrim Place in Claremont

We have audited the accompanying financial statements and the related notes to the financial statements of Pilgrim Place in Claremont (Pilgrim Place) as of December 31, 2015 and 2014 and for the years then ended, as listed in the accompanying table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to Pilgrim Place's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Pilgrim Place's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

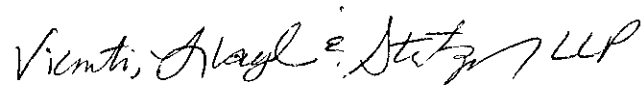
Board of Directors
Pilgrim Place in Claremont

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Pilgrim Place as of December 31, 2015 and 2014, and the results of its operations, changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matter

Our audit was conducted for the purpose of forming an opinion on the financial statements as a whole. The schedule of functional expenses in the supplemental information section is presented for purposes of additional analysis and is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.



VICENTI, LLOYD & STUTZMAN LLP
Glendora, California
April 18, 2016

PILGRIM PLACE IN CLAREMONT

STATEMENTS OF FINANCIAL POSITION

December 31, 2015 and 2014

<u>ASSETS</u>	<u>2015</u>	<u>2014</u>
Current Assets:		
Cash and money market funds	\$ 6,037,069	\$ 6,005,362
Restricted cash and money market funds	99,601	61,539
Cash with trustee - bonds	427,303	247,045
Accounts receivable	1,894,113	1,501,452
Inventories	54,528	55,943
Prepaid expenses	103,974	16,222
Total Current Assets	8,616,588	7,887,563
Cash with Trustee - Bonds	1,993,314	2,006,877
Pledges Receivable (Note 2)	624,297	885,862
Charitable Remainder Trust (Note 3)	65,518	65,518
Investments (Note 4)		
Investments	2,371,353	2,737,680
Restricted investments	6,749,662	7,037,919
Total investments	9,121,015	9,775,599
Capitalized fees	1,942,201	2,022,251
Property, Plant and Equipment, net (Note 5)	43,703,475	43,737,032
Total Assets	\$ 66,066,408	\$ 66,380,702
<u>LIABILITIES AND NET ASSETS</u>		
Current Liabilities:		
Accounts payable	\$ 688,473	\$ 461,430
Salaries and benefits payable	420,710	827,383
Line of credit (Note 8)	500,000	500,000
Current portion Insured Senior Living Revenue Bonds (Note 10)	520,000	495,000
Deposits and deferred revenue	1,072,857	548,625
Total Current Liabilities	3,202,040	2,832,438
Long-Term Debt, less current portion		
Promissory notes (Note 7)	460,000	-
Insured Senior Living Revenue Bonds (Note 10)	24,515,143	25,032,827
Annuities Payable	648,702	738,333
Other Liabilities		
Deferred revenue entrance fees	3,184,866	3,839,522
Deferred repayment entrance fees	3,710,480	3,074,716
Deferred revenue capital giving	105,314	182,414
Totals Liabilities	35,826,545	35,700,250
Net Assets:		
Unrestricted	20,566,779	20,523,585
Temporarily restricted (Note 11)	3,743,090	4,287,731
Permanently restricted (Note 11)	5,929,994	5,869,136
Total Net Assets	30,239,863	30,680,452
Total Liabilities and Net Assets	\$ 66,066,408	\$ 66,380,702

The accompanying notes are an integral part of these financial statements.

PILGRIM PLACE IN CLAREMONT**STATEMENTS OF OPERATIONS****For the Years Ended December 31, 2015 and 2014**

	2015	2014
<u>REVENUES</u>		
Independent living	\$ 6,221,672	\$ 6,192,908
Assisted living	2,387,004	2,276,848
Skilled nursing, net (Note 13)	6,209,651	6,004,570
Entrance fees - program	1,837,337	2,016,001
Other income - program	132,599	174,652
Net assets released from restrictions -		
Resident Health and Support Program Supplements	432,304	403,000
Contributions - designated	730,926	1,647,834
Annual Giving - designated	75,309	75,847
Total revenues	<u>18,026,802</u>	<u>18,791,660</u>
<u>EXPENSES</u>		
Independent living	694,245	708,330
Assisted living	1,776,490	1,776,815
Skilled nursing	5,127,707	4,929,163
Housekeeping, laundry and dietary	3,684,156	3,581,621
Resident services	39,633	36,297
General and administrative	1,841,146	1,786,476
Interest	1,590,600	1,551,045
Plant operations and maintenance	1,809,942	1,888,240
Fundraising	405,466	501,257
Total expenses before depreciation	<u>16,969,385</u>	<u>16,759,244</u>
Operating gain before depreciation and other revenues	1,057,417	2,032,416
Depreciation expense	<u>2,080,446</u>	<u>2,007,472</u>
Operating gain (loss)	<u>(1,023,029)</u>	<u>24,944</u>
<u>OTHER REVENUES, GAINS AND (LOSSES)</u>		
Annual Giving - undesignated	238,073	286,253
Investment income	55,614	55,495
Realized and unrealized investment gains	(1,345)	13,297
Amortization of deferred revenue from capital gifts	77,100	77,100
Gifts -		
Collections	10,778	7,391
Other designated	1,825	-
Other capital projects and housing agreements	364,875	129,630
Net assets released from restrictions -		
Board allocation from endowment	287,196	223,877
Matured gift annuities	8,019	3,303
Miscellaneous	24,088	4,455
Total other revenues, gains	<u>1,066,223</u>	<u>800,801</u>
Change in unrestricted net assets	<u>\$ 43,194</u>	<u>\$ 825,745</u>

The accompanying notes are an integral part of these financial statements.

PILGRIM PLACE IN CLAREMONT**STATEMENTS OF CHANGES IN NET ASSETS****For the Years Ended December 31, 2015 and 2014**

	2015	2014
<u>UNRESTRICTED NET ASSETS</u>		
Operating gain (loss)	\$ (1,023,029)	\$ 24,944
Other revenues, gains and (losses)	<u>1,066,223</u>	<u>800,801</u>
Increase in unrestricted net assets	<u>43,194</u>	<u>825,745</u>
<u>TEMPORARILY RESTRICTED NET ASSETS</u>		
Annual residents' festival - net revenue	178,683	194,830
Contributions	81,252	170,676
Investment income	209,702	17,979
Realized and unrealized investment gains (losses)	(256,301)	412,037
Present value adjustment of gift annuities payable	(6,370)	183
Net assets released from restrictions:		
Resident Health and Support Program Supplements	(432,304)	(403,000)
Board allocation from endowment	(287,196)	(223,877)
Matured gift annuities	(8,019)	(3,303)
Miscellaneous	<u>(24,088)</u>	<u>(4,455)</u>
Increase (decrease) in temporarily restricted net assets	<u>(544,641)</u>	<u>161,070</u>
<u>PERMANENTLY RESTRICTED NET ASSETS</u>		
Contributions	1,367	2,087
Contributions from new gift annuities	29,538	35,609
Present value adjustment of gift annuities payable	<u>29,953</u>	<u>(14,622)</u>
Increase in permanently restricted net assets	<u>60,858</u>	<u>23,074</u>
INCREASE (DECREASE) IN NET ASSETS	(440,589)	1,009,889
NET ASSETS - BEGINNING OF YEAR	<u>30,680,452</u>	<u>29,670,563</u>
NET ASSETS - END OF YEAR	<u>\$ 30,239,863</u>	<u>\$ 30,680,452</u>

The accompanying notes are an integral part of these financial statements.

PILGRIM PLACE IN CLAREMONT**STATEMENTS OF CASH FLOWS****For the Years Ended December 31, 2015 and 2014**

	<u>2015</u>	<u>2014</u>
<u>CASH FLOWS FROM OPERATING ACTIVITIES:</u>		
Cash received from resident fees	\$ 14,950,143	\$ 14,593,448
Cash received from entrance fees	1,818,445	1,739,864
Cash received from other operating activities	178,863	194,830
Contributions	1,059,216	1,196,558
Investment income received	249,594	498,808
Interest payments	(1,533,121)	(1,551,038)
Cash paid to suppliers and employees	<u>(14,968,805)</u>	<u>(15,260,238)</u>
Net cash provided by operating activities	<u>1,754,335</u>	<u>1,412,232</u>
<u>CASH FLOWS FROM INVESTING ACTIVITIES:</u>		
Purchase of investments	(33,539)	(520,603)
Proceeds from sale of investments	431,603	941,014
Acquisition of property and equipment	<u>(1,671,239)</u>	<u>(1,138,323)</u>
Net cash used by investing activities	<u>(1,273,175)</u>	<u>(717,912)</u>
<u>CASH FLOWS FROM FINANCING ACTIVITIES:</u>		
Payments on line of credit	(500,000)	(600,000)
Borrowing from line of credit	500,000	500,000
Borrowing of promissory notes	460,000	-
Payments on insured senior living revenue bonds	(495,000)	(470,000)
Payments on annuity obligations	(109,907)	(124,981)
Proceeds (payments) from contributions restricted for:		
Investment in plant	(116,235)	25,532
Investment subject to annuity arrangements	<u>16,446</u>	<u>44,391</u>
Net cash used by financing activities	<u>(244,696)</u>	<u>(625,058)</u>
NET INCREASE IN CASH	<u>236,464</u>	<u>69,262</u>
CASH BALANCES - BEGINNING OF YEAR	<u>8,320,823</u>	<u>8,251,561</u>
CASH BALANCES - END OF YEAR	<u><u>\$ 8,557,287</u></u>	<u><u>\$ 8,320,823</u></u>

The accompanying notes are an integral part of these financial statements.

PILGRIM PLACE IN CLAREMONT

STATEMENTS OF CASH FLOWS

For the Years Ended December 31, 2015 and 2014

	<u>2015</u>	<u>2014</u>
<u>CASH FLOWS FROM OPERATING ACTIVITIES:</u>		
Change in net assets	\$ (440,589)	\$ 1,009,889
Adjustments to reconcile change in net assets to net cash provided by operating activities:		
Actuarial adjustment of annuity obligation	23,583	14,439
Amortization of capitalized fees	80,050	80,050
Amortization of bond discount	2,316	2,316
Amortization of deferred revenue from capital gifts	(77,100)	(77,100)
Amortization of entrance fees	(1,837,337)	(2,016,001)
Contributions restricted for long term purposes	(385,750)	(129,630)
Depreciation	2,080,446	2,007,472
Net realized and unrealized (gain) loss on investments	257,646	(425,334)
Non-cash contributions	(10,778)	(7,391)
Decrease (increase) in operating assets:		
Accounts receivable	(276,426)	119,122
Pledges receivable	261,565	(781,382)
Inventories	1,415	(15,417)
Prepaid expenses	(87,752)	61,458
Increase (decrease) in operating liabilities:		
Accounts payable	227,043	(284,652)
Salaries and benefits payable	(406,673)	143,570
Deposits and deferred revenue	<u>2,342,676</u>	<u>1,710,823</u>
Net cash provided by operating activities	<u>\$ 1,754,335</u>	<u>\$ 1,412,232</u>
Breakdown of ending cash balance:		
Cash and money market funds	\$ 6,037,069	\$ 6,005,362
Restricted cash and money market funds	99,601	61,539
Cash with trustee - bonds	<u>2,420,617</u>	<u>2,253,922</u>
Total	<u>\$ 8,557,287</u>	<u>\$ 8,320,823</u>

The accompanying notes are an integral part of these financial statements.

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

General - Pilgrim Place in Claremont (Pilgrim Place) was incorporated in 1915 as a not-for-profit corporation described in Section 501(c)(3) of the Internal Revenue Code (IRC), for the purpose of maintaining a home for persons who have served in careers in charitable non-profit organizations. Pilgrim Place is exempt from federal income taxes under IRC Section 501(a) and contributions to Pilgrim Place qualify as deductible charitable contributions for income tax purposes under IRC Section 170(a)(viii). Pilgrim Place is exempt from state franchise taxes under similar provisions from the State of California. Pilgrim Place operates a residential retirement facility located in Claremont, California which provides housing and related services to approximately 355 residents under continuing care contracts.

Net Asset Classes - Pilgrim Place classifies its net assets into three categories; unrestricted, temporarily restricted and permanently restricted.

Unrestricted net assets generally result from revenues from providing services, receiving unrestricted contributions, and receiving dividend and interest income, less expenses incurred in providing services, raising contributions, and performing administrative functions. The only limits on the use of unrestricted net assets are the broad limits resulting from Pilgrim Place's mission as defined in its articles of incorporation and bylaws.

Temporarily restricted net assets are those whose use by Pilgrim Place has been limited by donors to a specific time period or purpose.

Permanently restricted net assets have been restricted by donors to be maintained by Pilgrim Place in perpetuity.

Board Designated Amounts - The Board of Directors has designated certain unrestricted amounts which are recorded in the Endowment Fund. These amounts are included in unrestricted cash, money market funds and investments and totaled \$2,674,793 and \$2,681,273 as of December 31, 2015 and 2014, respectively. In as much as these amounts have no donor restrictions, the Board may undesignate these amounts at any time. Additionally, \$70,996 and \$57,682 has been designated for specific resident programs as of December 31, 2015 and 2014, respectively.

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES: (continued)

Split-Interest Agreements - Pilgrim Place has gift annuities and charitable remainder trusts. The terms and discount rates for these agreements are based upon the life expectancy of the donor(s) and present value tables provided by the Internal Revenue Service for determining the amount of the charitable contribution. Gift annuity contracts are a general liability of Pilgrim Place and are not limited to the assets in the separate fund. The actuarially determined liability is calculated annually and is adjusted accordingly. As a qualifying not-for-profit corporation, Pilgrim Place is authorized by the State of California to issue gift annuity contracts and is accordingly subject to applicable State laws and regulations. Under these laws, Pilgrim Place has met the legal reserve requirement. The charitable remainder trusts are administered by a third-party. Assets associated with the split-interest agreements are recognized at fair market value.

Use of Estimates - The preparation of financial statements in conformity with U.S. generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements. Estimates also affect the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Cash and Cash Equivalents - Cash and cash equivalents include certain investments in highly liquid debt instruments with original maturities of three months or less.

At December 31, 2015 and 2014, Pilgrim Place had cash balances in various financial institutions that exceed the Federal Depository Insurance Limits (FDIC) by \$5,625,908 and \$5,452,527, respectively.

Pilgrim Place routinely invests its surplus operating funds in money market mutual funds. These funds generally invest in highly liquid U.S. government and agency obligations. Investments in money market funds are not insured or guaranteed by the U.S. government.

Inventory - Inventory consists of office, food and kitchen supplies and is valued at cost on the first in/first out basis.

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES: (continued)

Accounts and Pledges Receivable - Accounts receivable represents amounts due from residents and third-party payers such as Medi-Cal and Medicare for services provided. Unconditional promises to give are recorded at fair value using present value techniques at a 2.5% discount rate. Amortization of the discount is included in contribution revenue.

Management has reviewed the collectability of accounts and pledges receivable and has determined the balances to be fully collectable. A plan to regularly evaluate accounts and pledges receivable and the potential collectability is in place and reviewed throughout the year.

Investments - Investments in marketable securities with readily determinable fair values and all investments in debt securities are reported at their fair values in the statement of financial position (see Note 4).

Realized gains and losses on dispositions are based on the net proceeds and the adjusted carrying value of the securities sold.

Unrealized gains and losses represent the net change in fair value of the securities and are recorded as an increase or decrease to net assets.

Capitalized Fees - Amounts paid for fees and underwriting costs associated with long-term debt are capitalized and amortized to interest expense over the life of the liability. These costs are amortized using the straight-line method.

Property and Equipment - Property and equipment are stated at cost. Donated property is recorded at its estimated fair value at the date of receipt, which is then treated as cost. For equipment, Pilgrim Place's capitalization policy includes all items with a unit cost of \$1,000 or more and an estimated useful life of greater than five years. Renovation projects with small individual job costs with a cumulative total exceeding \$1,000 are also capitalized if they benefit future periods. Buildings as well as renovations to buildings, infrastructure, and land improvements that significantly increase the value or extend the useful life of the structure are capitalized. Interest costs incurred on borrowed funds during the period of construction of capital assets are capitalized as a component of the cost of acquiring those assets.

Depreciation is computed on the straight-line method based on the following useful lives:

Land improvements	20-50 years
Buildings and improvements	10-50 years
Furniture and equipment	5-20 years

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES: (continued)

Property and Equipment - (continued) Gifts of long-lived assets such as land, buildings, or equipment are reported as unrestricted support unless explicit donor stipulations specify how the donated assets must be used. Gifts of long-lived assets with explicit restrictions that specify how the assets are to be used and gifts of cash or other assets that must be used to acquire long-lived assets are reported as restricted support. Absent explicit donor stipulations about how long those long-lived assets must be maintained, expirations of donor restrictions are reported when the donated or acquired long-lived assets are placed in service.

Museum Collection - The Museum collection includes paintings and fine and decorative art objects. All items in the collection are deemed inexhaustible assets and therefore are not depreciated. According to Museum policy, any proceeds from the sale of the collection items will be reinvested in other collection items.

Deferred Revenue and Repayment from Entrance Fees - Entrance fees paid by a resident upon entering into a Classic Care and Residence Agreement are recorded as deferred revenue and amortized to income over a 50 month period. Under this type of resident contract the full amount of the entrance fee is refundable if a resident leaves Pilgrim Place within the first 90 days after entering; otherwise the remaining unamortized entrance fee is refunded if a resident leaves. Unamortized entrance fees for this residence agreement type are \$3,051,177 and \$3,716,423 as of December 31, 2015 and 2014, respectively.

Entrance fees paid by a resident upon entering into a 90% Deferred Repayment Care and Residence Agreement are recorded as deferred revenue with ten percent of the fee amortized to income over a 50 month period. Under this type of resident contract the full amount of the entrance fee is refundable if a resident leaves Pilgrim Place within the first 90 days after entering; otherwise 90% of the entrance fee is refunded if the resident leaves. This refundable portion is recorded as deferred repayment entrance fees and totaled \$3,710,480 and \$3,074,716 as of December 31, 2015 and 2014, respectively. Unamortized entrance fees on the 10% portion totaled \$133,689 and \$123,099 as of December 31, 2015 and 2014, respectively.

Management believes the estimated amount of entrance fees that are expected to be refunded to current residents under the terms of these contracts and based on previous attrition experience is not material and, as such, a provision for the liability has not been reported separately as a current liability.

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES: (continued)

Charity Care - Residents of Pilgrim Place enter without an admission means test. As a result, at any given time, nearly 10% to 20% of residents lack the resources to provide for their daily needs. Their lifetime service to religious or charitable non-profit organizations has meant financial sacrifice for many residents. Together they built churches, ministered to the needy, visited the sick and supported their communities. Their need for care is a direct result of their lifetime of service to others and the world.

Services were provided to residents with a demonstrated inability to pay through the Resident Health and Support Program. Funds released from net assets from gifts to subsidize this program were \$432,304 and \$403,000 for the years ended December 31, 2015 and 2014, respectively. The subsidy reported for this program does not meet the accounting standards definition of charity care; therefore, costs associated with this program have not been estimated.

Deferred Revenue from Capital Gifts - Prior to 2003, Pilgrim Place issued rental credits to those residents who had paid for authorized improvements of more than \$5,000 or who completely paid for the construction of a new unit. The present value of estimated future rental credits was calculated and recorded as deferred revenue. Amounts received from residents exceeding this amount were recorded as donated property. Deferred revenue resulting from these gifts is amortized over the remaining life expectancy of the residents, beginning at the date of completion.

Effective in 2003, rental credits are no longer issued on the builder/donor projects and amounts received from residents for authorized improvements and construction of new units are recorded as capital gifts in the year received.

Obligation to Provide Future Services - Pilgrim Place annually calculates the present value of the net cost of future services and use of facilities to be provided to current continuing care contract residents and compares that amount with the future cash inflows from monthly fees and the balance of deferred revenue from advance fees. If the estimated present value of the net cost of future services and use of facilities exceeds the deferred revenue from advance fees, a liability will be recorded with the corresponding charge to income. For the years ended December 31, 2015 and 2014, the calculation resulted in no future service liability. The discounted rate used for both years was 4.0%, based on the expected long term rate of return on governmental obligations.

Pilgrim Place estimates the cost of future services and the use of facilities in calculating the future obligation. The estimated amount of the obligation is based on actuarial assumptions such as life expectancy, projected future monthly resident fees, projected future operating costs and estimated future inflation rates. It is anticipated that actual results may differ from those estimates.

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES: (continued)

Net Patient Service Revenue - Pilgrim Place has agreements with third-party payors that provide for payments to Pilgrim Place at amounts different from its established rates. Payment arrangements include prospectively determined rates per discharge, reimbursed costs, discounted charges and per diem payments. Net patient service revenue is reported at the estimated net realizable amounts from patients, third-party payors, and others for services rendered, including estimated retroactive adjustments under reimbursement agreements with third-party payors. Retroactive adjustments are accrued on an estimated basis in the period the related services are rendered and adjusted in future periods as final settlements are determined.

Contributions and Donor-Restricted Gifts - Contributions, including unconditional promises to give, are recognized as revenues in the period the contribution or unconditional promise is received. Contributions of assets other than cash are recorded at their estimated fair value at the time of the gift.

The gifts are reported as either temporarily or permanently restricted support if they are received with donor stipulations that limit the use of the donated assets. When a donor restriction expires, that is, when a stipulated time restriction ends or purpose restriction is accomplished, temporarily restricted net assets are reclassified as unrestricted net assets and reported in the statement of activities as net assets released from restrictions. When a donor's restriction is met within the same year as the donation, the donation is reported as unrestricted.

Functional Allocations of Expenses - The costs of providing the various programs and support services have been summarized on a functional basis in the statement of operations. Accordingly, certain costs have been allocated among the programs and supporting services benefited.

Income Taxes - Pilgrim Place has evaluated its tax positions and the certainty as to whether those positions will be sustained in the event of an audit by taxing authorities at the federal and state levels. The primary tax positions evaluated are related to Pilgrim Place's continued qualification as a tax-exempt organization and whether there are unrelated business income activities conducted that would be taxable. Management has determined that all income tax positions are more likely than not of being sustained upon potential audit or examination; therefore, no disclosures of uncertain income tax positions are required.

Pilgrim Place files informational returns in the U.S. federal jurisdiction and the state of California. With few exceptions, Pilgrim Place is no longer subject to U.S. federal and state examinations by tax authorities for generally three and four years, respectively.

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES: (continued)

Reclassifications - Certain amounts in the 2014 financial statements have been reclassified to conform with the 2015 presentation.

Subsequent Events - Pilgrim Place has evaluated subsequent events through April 18, 2016, which is the date these financial statements were available to be issued. There were no subsequent events requiring recognition or disclosure.

NOTE 2 - PLEDGES RECEIVABLE:

Unconditional promises to give related to the Napier and Centennial Campaign at December 31, 2015 and 2014 are as follows:

	2015		
	Napier	Centennial	Total
Receivable - less than one year	\$ 15,469	\$ 289,511	\$ 304,980
Receivable - one to five years		352,077	352,077
Gross unconditional pledges	15,469	641,588	657,057
Less: discount	(368)	(32,392)	(32,760)
Net pledges receivable	<u>\$ 15,101</u>	<u>\$ 609,196</u>	<u>\$ 624,297</u>
	2014		
	Napier	Centennial	Total
Receivable - less than one year	\$ 16,948	\$ 242,604	\$ 259,552
Receivable - one to five years	4,406	691,995	696,401
Gross unconditional pledges	21,354	934,599	955,953
Less: discount	(726)	(69,365)	(70,091)
Net pledges receivable	<u>\$ 20,628</u>	<u>\$ 865,234</u>	<u>\$ 885,862</u>

Pledges receivable have been discounted to present value using a discount rate of 2.5% for both years.

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 3 - SPLIT-INTEREST AGREEMENTS:

Gift Annuities - Pilgrim Place sponsors a charitable gift annuity program as part of its fund raising activities. All amounts received in exchange for these annuity contracts are segregated for investment in a separate fund. At December 31, 2015 and 2014, respectively, Pilgrim Place managed a total of \$767,620 and \$850,990 in assets under this program. Management has interpreted the agreements to require investment of the entire contract amount until the annuitant dies. All required payments to annuitants are made from this separate fund. At the time of death of the annuitant, the residuum is distributed from this fund to the designated net asset class as specified by the annuitant at the time the agreement was issued. If no designation was made, the residuum is distributed to the unrestricted net asset class.

Charitable Remainder Trust - Pilgrim Place is the beneficiary of two charitable remainder trust agreements (the "Trusts"). The Trusts are irrevocable and the beneficiary designation may not be changed. The Trusts are reported at fair value determined based on the present value of the net proceeds that are expected to be available to Pilgrim Place at the Trusts' maturity dates, discounted using Pilgrim Place's ten year U.S. Treasury Bill rate over the periods until the estimated maturity dates. The contribution revenue is recorded in the statements of changes in net assets. The irrevocable portion of these Trusts at December 31, 2015 and 2014 amounted to \$65,518. The contribution will be collected after the contributor's death. Pilgrim Place classifies all receivables related to charitable remainder trusts as temporarily restricted.

NOTE 4 - INVESTMENTS:

Investment income and a schedule of net realized and unrealized gains for the years ended December 31, 2015 and 2014 are as follows:

	<u>2015</u>	<u>2014</u>
Investment income, net of expense of \$22,136 and \$29,746 , respectively	\$ 265,316	\$ 73,474
Net realized and unrealized gain (loss):		
Opportunity Fund	1,656	2,202
Gift Annuity Fund	(9,408)	23,525
Endowment and Specific Purpose Funds	(259,302)	423,132

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 4 - INVESTMENTS: (continued)

The following is a schedule of aggregate cost and fair values for Pilgrim Place's marketable securities. Investments are segregated into two portfolios. One portfolio is for gift annuity investments. The other portfolio is for Board designated, endowment and specific purpose resources.

	2015		2014	
	Cost	Fair Value	Cost	Fair Value
General Fund:				
Equity securities (Level 1)	\$ 45,760	\$ 46,173	\$ 45,760	\$ 44,721
Land (Level 3)	45,000	45,000	45,000	45,000
	<u>90,760</u>	<u>91,173</u>	<u>90,760</u>	<u>89,721</u>
Gift Annuity Fund:				
Equity securities (Level 1)	245,588	378,216	209,461	344,353
Governmental securities (Level 1)	<u>348,228</u>	<u>348,411</u>	<u>424,159</u>	<u>424,113</u>
	<u>593,816</u>	<u>726,627</u>	<u>633,620</u>	<u>768,466</u>
Endowment and Specific Purpose Funds:				
Equity securities (Level 1)	5,607,409	6,629,397	5,947,188	7,341,409
Governmental securities (Level 1)	<u>1,700,451</u>	<u>1,673,818</u>	<u>1,575,221</u>	<u>1,576,003</u>
	<u>7,307,860</u>	<u>8,303,215</u>	<u>7,522,409</u>	<u>8,917,412</u>
Total investments	<u>\$ 7,992,436</u>	<u>\$ 9,121,015</u>	<u>\$ 8,246,789</u>	<u>\$ 9,775,599</u>

Levels 1 through 3 have been assigned to the fair value measurement of investments. The fair value level of measurement is determined as follows:

Level 1 - quoted prices in an active market for identical assets.

Level 2 - quoted prices for similar assets and market-corroborated inputs.

Level 3 - the organization's own assumptions about market participation, including assumptions about risk, developed based on the best information available in the circumstances.

All investments held by Pilgrim Place are Level 1 - quoted prices in an active market for identical assets, with the exception of the donated land. The fair value of land, measured at Level 3, is the 2004 appraised value at the time received. Pilgrim Place intends to hold the land as a long-term investment and has not obtained a more recent appraisal.

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 5 - PROPERTY, PLANT AND EQUIPMENT:

A summary of property and equipment at December 31, 2015 and 2014 follows:

	<u>2015</u>	<u>2014</u>
Non-depreciable:		
Land	\$ 1,529,334	\$ 1,529,334
Museum collection	489,796	479,018
Construction in progress	<u>284,343</u>	<u>168,814</u>
Total non-depreciable	<u>2,303,473</u>	<u>2,177,166</u>
Depreciable:		
Permanent grounds improvement	1,112,635	1,095,065
Housing and central facilities	64,487,746	63,076,223
Equipment	<u>5,521,700</u>	<u>5,030,211</u>
Total depreciable	<u>71,122,081</u>	<u>69,201,499</u>
Less accumulated depreciation	<u>(29,722,079)</u>	<u>(27,641,633)</u>
Total depreciable, net	<u>41,400,002</u>	<u>41,559,866</u>
Property, plant and equipment, net	<u>\$ 43,703,475</u>	<u>\$ 43,737,032</u>

No capitalized interest was included in construction in progress for 2015 and 2014. Depreciation expense for the years ended December 31, 2015 and 2014 was \$2,080,446 and \$2,007,472.

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 6 - INTER-FUND BORROWING:

Pitzer Expansion Project:

The General Fund borrowed \$1,000,000, during 1998, from the Unrestricted Endowment Fund to fund the Pitzer Expansion Project. The note was originally payable over a 25-year term and bears interest at a variable rate based upon a five-year treasury note yield as of each July 31st. Interest is due quarterly beginning September 1999 upon completion of the project. No principal payments have been made on this note since 2009. The Board of Directors is in the process of evaluating the pay off and repayment of this note. The outstanding balance at December 31, 2015 and 2014 is \$640,000.

Interest paid to the Endowment Fund for both the years ended December 31, 2015 and 2014 totaled \$1,178 and \$4,713, respectively.

Health Service Center Project:

The General Fund borrowed \$1,750,000 during 2004 and \$1,550,000 during 2006 from the Undesignated Endowment Fund to fund the Health Service Center Project. The note was originally payable over a 10-year term and bears interest at a variable rate starting at a rate of 4.0% based upon a five-year treasury note yield. Interest is due quarterly beginning March 2008 upon the completion of the project. No principal payments have been made on this note since 2009. The Board of Directors is in the process of evaluating the pay off and repayment of this note. The outstanding balance at December 31, 2015 and 2014 is \$2,805,000.

Interest paid to the Endowment Fund for both the years ended December 31, 2015 and 2014 totaled \$30,964 and \$20,503, respectively.

Inter-fund Borrowing Elimination:

Inter-fund borrowing transactions are not reflected in the financial statements as U.S. generally accepted accounting principles require inter-fund activity to be eliminated. For both 2015 and 2014, outstanding balances on inter-fund borrowing totaling \$3,445,000 were eliminated. However, reported in the statements of operations and statements of changes in net assets are the transactions that occur between unrestricted and temporarily restricted net assets. The allocation of interest expense on restricted endowment borrowing is recognized as an expense for the assisted living and skilled nursing program services reported on the schedule of functional expenses, while investment income is recognized in unrestricted and temporarily restricted activities.

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 7 - PROMISSORY NOTES:

On December 16, 2015, Pilgrim Place issued unsecured promissory notes, as allowed by the Commissioner of Corporations of the State of California, to its residents and supporters to finance structural upgrades to Porter Hall. The notes pay interest at a rate of 3.0% per annum, interest is due annually beginning January 2017. The principal is due on or before January 15, 2019. The outstanding balance at December 31, 2015 is \$460,000.

NOTE 8 - LINE OF CREDIT:

Pilgrim Place maintains an agreement for a line of credit with a maximum available principal amount of \$700,000 during the fiscal years ended December 31, 2015 and 2014. The current agreement matures on July 1, 2017. It is subject to further extension at the agreement of the parties. The line of credit is secured with collateral of personal assets owned by Pilgrim Place. Interest is payable monthly on outstanding amounts at the bank's base rate plus 0.5%. The outstanding balance at December 31, 2015 and 2014 was \$500,000. The interest rate at December 31, 2015 and 2014 was 4.25%.

NOTE 9 - PENSION PLAN:

Pilgrim Place sponsors a Section 403(b) Retirement Savings Plan (the Plan), a defined-contribution plan, for its employees. Full-time employees who are at least 18 years of age are eligible to participate. Employees may contribute up to a maximum of \$17,500 of their gross pay as a salary deferral based on age restrictions. Pilgrim Place matches 62.5% of the employee's contribution, not to exceed 3.75% of the employee's compensation. Amounts incurred by Pilgrim Place for matching contributions totaled \$131,556 and \$123,468 for the years ended December 31, 2015 and 2014, respectively. Pilgrim Place has no liability for the administration or payment of benefits of the plan and, accordingly, the present value of the related vested benefits is not reflected in these financial statements.

The Plan was administered by American United Life Insurance Company through September 2014. Beginning in November 2014, the plan is administered by The Standard. In accordance with Department of Labor's Rules and Regulations for Reporting and Disclosure under the Employee Retirement Income Security Act of 1974 a limited scope audit is performed annually. Separate financial statements for the Plan can be obtained through Pilgrim Place.

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 10 - INSURED SENIOR LIVING REVENUE BONDS:

In August 2009, California Municipal Finance Authority (the Authority) issued \$25,730,000 of tax-exempt and \$770,000 taxable Insured Senior Living Revenue Bonds (Series 2009A and 2009B, respectively). The Authority then loaned the proceeds to Pilgrim Place pursuant to a loan agreement dated August 1, 2009. The Authority, in the case of the bonds, is merely a conduit for payment, in that the bonds do not constitute a general debt, liability, or obligation of the Authority, but are instead secured by and payable from payments of Pilgrim Place under the loan agreement.

Subject to the terms of the loan agreement and the regulatory agreement, the gross revenues of Pilgrim Place are pledged to the payment of the loan repayments and to secure the payments of the principal or the interest on the bonds and parity debt. Pilgrim Place has complied with the various covenants, conditions and restrictions required by the regulatory agreement.

Terms of the loan agreement require Pilgrim Place to make annual payments into a sinking fund that accumulates funds for payment of the bonds upon maturity. The bonds are payable beginning May 15, 2013, with annual payments scheduled through May 15, 2039. Interest rates range from 5.0% to 6.125%. A Reserve Fund was established to make any principal and interest payments if a shortage occurs in the required payments. The Reserve Fund balance at December 31, 2015 and 2014 was \$1,993,314 and \$2,006,877, respectively.

Interest paid during the construction phase, less associated interest income on bond proceeds was capitalized.

The maturity amount is less the discount on bonds which is amortized over the life of the liability. The bonds included a discount of \$69,525. At December 31, 2015 and 2014, the unamortized bond discount was \$54,857 and \$57,173, respectively.

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 10 - INSURED SENIOR LIVING REVENUE BONDS: (continued)

Associated issuance costs are recorded as capitalized fees on the statements of financial position. The bonds included issuance costs of \$2,422,502. This amount is amortized using the straight-line method. Amortization recognized during the fiscal years ended December 31, 2015 and December 31, 2014 was \$80,050.

Required payments into the sinking fund are as follows:

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest</u>	<u>Total Payments</u>
2016	\$ 520,000	\$ 1,473,287	\$ 1,993,287
2017	545,000	1,446,663	1,991,663
2018	570,000	1,418,787	1,988,787
2019	600,000	1,389,537	1,989,537
2020	630,000	1,357,213	1,987,213
Thereafter	<u>22,225,000</u>	<u>15,178,500</u>	<u>37,403,500</u>
Total	25,090,000	<u>\$ 22,263,987</u>	<u>\$ 47,353,987</u>
Discount on bonds	<u>(54,857)</u>		
Total bonds payable	<u>\$ 25,035,143</u>		

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 11 - TEMPORARILY RESTRICTED AND PERMANENTLY RESTRICTED NET ASSETS:

Temporarily restricted net assets are available for the following purposes or periods:

	<u>2015</u>	<u>2014</u>
Residents' Health and Support Program - resident supplements	\$ 250,558	\$ 168,755
Resident supplements	3,245,538	3,868,116
Resident account - Festival	23,664	23,664
Burton Piano Fund	(6,759)	(4,807)
Fixed asset acquisition	23,260	23,260
Split Interest Agreements:		
Annuities	(20,445)	(5,180)
Charitable remainder trust	65,518	65,518
Petterson Museum Friends - Petterson Museum of Intercultural Art	<u>161,756</u>	<u>148,405</u>
Total	<u>\$3,743,090</u>	<u>\$4,287,731</u>

Permanently restricted net assets are for the following purposes:

	<u>2015</u>	<u>2014</u>
Undesignated endowment	\$2,300,291	\$2,251,118
Resident supplements	2,318,566	2,328,407
Health Services Center support	774,751	774,751
Independent rental supplements	291,975	291,975
General operations	73,263	73,263
Split Interest Agreements - Annuities	139,363	117,837
Petterson Museum of Intercultural Art	<u>31,785</u>	<u>31,785</u>
Totals	<u>\$5,929,994</u>	<u>\$5,869,136</u>

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 12 - ENDOWMENT:

Pilgrim Place's endowment consists of approximately 10 individual endowments established for its charitable purpose. Its endowment includes both donor-restricted endowment funds and funds designated by the Board of Directors to function as endowments. As required by U.S. generally accepted accounting principles, net assets associated with endowment funds, including funds designated by the Board of Directors to function as endowments, are classified and reported based on the existence or absence of donor-imposed restrictions.

Interpretation of Relevant Law

The Board of Directors of Pilgrim Place has interpreted the Uniform Prudent Management of Institutional Funds Act (UPMIFA) as requiring the preservation of the fair value of the original gift as of the gift date of the donor-restricted endowment funds absent explicit donor stipulations to the contrary. As a result of this interpretation, Pilgrim Place classifies as permanently restricted net assets (a) the original value of gifts donated to the permanent endowment, (b) the original value of subsequent gifts to the permanent endowment, and (c) accumulations to the permanent endowment made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund. The remaining portion of the donor-restricted endowment fund that is not classified in permanently restricted net assets is classified as temporarily restricted net assets until those amounts are appropriated for expenditure by the organization in a manner consistent with the standard of prudence prescribed by UPMIFA. As such, the Board has adopted a policy which treats realized and unrealized gains and losses as income on all Endowment Funds.

In making a determination to appropriate or accumulate donor-restricted endowment funds, the Board considers the long-term needs of Pilgrim Place in carrying out its charitable purpose, its present and anticipated financial requirements, its expected total return on investments, general economic conditions, as well as other factors.

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 12 - ENDOWMENT: (continued)

Return Objectives, Risk Parameters and Strategies

Pilgrim Place has adopted an investment policy which maximizes return at an appropriate level of risk within the constraints of general economic conditions. The primary investment objective of the portfolio is to earn a total return over time, sufficient to meet the budgetary need for current income plus preserve the real (inflation adjusted) purchasing power of the endowment. The endowment portfolio is diversified both by asset class (equities and fixed-income securities) and within asset classes (within equities by economic sector, geographic area, industry, quality, and size). The purpose of diversification is to provide reasonable assurance that no single security or class of securities will have a disproportionate impact on the portfolio's aggregate results.

Spending Policy and How the Investment Objectives Relate to Spending Policy

Pilgrim Place has a policy of appropriating for distribution each year 5.5% from the General Endowment and up to 5.5% as needed from the Davis Health Endowment of the average portfolio market value for the preceding three years.

Endowment Net Asset Composition by Type of Fund as of December 31, 2015

	<u>Unrestricted</u>	<u>Temporarily Restricted</u>	<u>Permanently Restricted</u>	<u>Total</u>
Donor-restricted endowment funds	\$	\$ 3,479,765	\$ 2,985,630	\$ 6,465,395
Endowment funds-borrowed	640,000		2,805,000	3,445,000
Board-designated endowment funds	2,034,793			2,034,793
	<u>\$ 2,674,793</u>	<u>\$ 3,479,765</u>	<u>\$ 5,790,630</u>	<u>\$ 11,945,188</u>

Endowment Net Asset Composition by Type of Fund as of December 31, 2014

	<u>Unrestricted</u>	<u>Temporarily Restricted</u>	<u>Permanently Restricted</u>	<u>Total</u>
Donor-restricted endowment funds	\$	\$ 4,023,560	\$ 2,946,298	\$ 6,969,858
Donor-restricted endowment funds-borrowed	640,000		2,805,000	3,445,000
Board-designated endowment funds	2,041,273			2,041,273
	<u>\$ 2,681,273</u>	<u>\$ 4,023,560</u>	<u>\$ 5,751,298</u>	<u>\$ 12,456,131</u>

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 12 - ENDOWMENT: (continued)

Changes in Endowment Net Assets for the Fiscal Year Ended December 31, 2015

	<u>Unrestricted</u>	<u>Temporarily Restricted</u>	<u>Permanently Restricted</u>	<u>Total</u>
Endowment net assets, beginning of year	\$ 2,681,273	\$ 4,023,560	\$ 5,751,298	\$ 12,456,131
Investment return:				
Internal loan investment income	1,178	30,964		32,142
Investment income, net of expenses	(258)	178,738		178,480
Net depreciation (realized and unrealized)	<u>(7,400)</u>	<u>(256,301)</u>		<u>(263,701)</u>
Total investment return	<u>(6,480)</u>	<u>(46,599)</u>	<u>-</u>	<u>(53,079)</u>
Other changes:				
Contributions			1,367	1,367
Matured gift annuities			37,965	37,965
Distributions		<u>(497,196)</u>		<u>(497,196)</u>
Total other changes	<u>-</u>	<u>(497,196)</u>	<u>39,332</u>	<u>(457,864)</u>
Endowment net assets, end of year	<u>\$ 2,674,793</u>	<u>\$ 3,479,765</u>	<u>\$ 5,790,630</u>	<u>\$ 11,945,188</u>

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 12 - ENDOWMENT: (continued)

Changes in Endowment Net Assets for the Fiscal Year Ended December 31, 2014

	<u>Unrestricted</u>	<u>Temporarily Restricted</u>	<u>Permanently Restricted</u>	<u>Total</u>
Endowment net assets, beginning of year	\$ 2,628,302	\$ 3,817,421	\$ 5,730,057	\$ 12,175,780
Investment return:				
Internal loan investment income	4,713	20,503		25,216
Investment income, net of expenses	3,192	17,979		21,171
Net appreciation (realized and unrealized)	184,048	213,868		397,916
Total investment return	191,953	252,350	-	444,303
Other changes:				
Contributions	44,721		2,087	46,808
Matured gift annuities			19,154	19,154
Transfers	(183,703)	312,666		128,963
Distributions		(358,877)		(358,877)
Total other changes	(138,982)	(46,211)	21,241	(163,952)
Endowment net assets, end of year	\$ 2,681,273	\$ 4,023,560	\$ 5,751,298	\$ 12,456,131

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 13 - PATIENT SERVICE REVENUE:

Patient service revenue at December 31, 2015 and 2014 is as follows:

	2015	2014
Skilled nursing	\$ 7,580,082	\$ 7,029,740
Less contractual provisions	(1,370,431)	(1,025,170)
Skilled nursing, net	<u>\$ 6,209,651</u>	<u>\$ 6,004,570</u>

During 2015 and 2014, there were no bad debt expenses related to skilled nursing.

NOTE 14 - RELATED PARTY:

Beginning in fiscal year 2003, Pilgrim Place purchased workers' compensation insurance through a group self-insurance program in which Pilgrim Place is a member, and which is regulated by the California Department of Industrial Relations. A Pilgrim Place officer is an officer of the group self-insurance program and is a member of its Board of Directors. Workers' compensation insurance purchased during the years ended December 31, 2015 and 2014 totaled \$814,384 and \$786,263, respectively.

NOTE 15 - REDEVELOPMENT PLAN OBLIGATION (AB 1169 Disclosure):

Master Plan

The bonded debt issuance of \$26.5 million was primarily used to complete Pilgrim Place's master plan projects. The master plan projects were designed to meet the needs of the organization by providing additional housing and facilities for residents, which is consistent with the organization's tax exempt status. As part of the plan, Pilgrim Place applied for CCRC licensure for its existing campus and for a proposed campus expansion. The expansion project added independent living units, assisted living units, administrative offices and other campus improvements. Construction began in 2009 and was substantially completed by May 2011. Pilgrim Place used a combination of internal cash and tax-exempt and taxable debt to fund project costs.

As of December 31, 2012, approximately \$24.5 million had been expended to retire outstanding debt of \$2.8 million, to fund prior construction costs of \$15.6 million, to pay bond issuance costs of \$2.6 million and to make debt service payments of \$3.5 million; thereby leaving a balance of \$2.0 million for the final debt service payment.

PILGRIM PLACE IN CLAREMONT

NOTES TO FINANCIAL STATEMENTS

December 31, 2015 and 2014

NOTE 15 - REDEVELOPMENT PLAN OBLIGATION (AB 1169 Disclosure): (continued)

Master Plan (continued)

During fiscal year ended December 31, 2015, \$495 thousand in principal and \$1.5 million in interest payments were made. During fiscal year ended December 31, 2014 \$470 thousand in principal and \$1.5 million in interest payments were made.

Porter Hall

As discussed in Note 7, the promissory note debt issuance of \$460 thousand was obtained for the Porter Hall renovation project. Construction on this project began in 2016 and will be substantially completed by 2017.

As of December 31, 2015, none of the proceeds had been used for construction costs and no principal or interest payments have been paid.

SUPPLEMENTAL INFORMATION

LGRIM PLACE IN CLAREMONT

SCHEDULE OF FUNCTIONAL EXPENSES

for the Year Ended December 31, 2015

(with comparative totals for the year ended December 31, 2014)

	PROGRAM SERVICES						SUPPORTING SERVICES				Total Expenses 2015	Total Expenses 2014
	Independent Living	Assisted Living	Skilled Nursing	Housekeeping, Laundry & Dietary	Resident Activities	Total Program Services	General Administration	Plant Operations & Maintenance	Fundraising	Total Supporting Services		
Salaries and wages	\$ 145,059	\$ 1,059,578	\$ 2,544,043	\$ 1,365,126	\$	\$ 5,113,806	\$ 942,237	\$ 942,203	\$ 154,280	\$ 2,038,720	\$ 7,152,526	\$ 7,178,629
Pension	3,200	18,779	38,968	20,356		81,303	24,120	21,136	4,997	50,253	131,556	123,468
Employee benefits	28,688	332,054	500,783	386,472		1,247,997	177,881	220,731	8,755	407,367	1,655,364	1,668,683
Payroll taxes	10,459	96,630	206,893	112,868		426,850	56,823	77,243	11,707	145,773	572,623	573,215
Accounting fees			4,050			4,050	120,183			120,183	124,233	70,126
Auty shop			17,138			17,138				-	17,138	18,079
Conferences and meetings			9,771			9,771	18,725	186	96	19,007	28,778	32,842
Contract services and food				1,383,498		1,383,498				-	1,383,498	1,352,741
Fees, licenses and taxes		10,226	24,676	4,131		39,033	115,985	2,941	6,850	125,776	164,809	133,602
Employment advertising						-	4,840			4,840	4,840	5,491
Equipment rental	882	15,475	14,195	5,141		35,693	26,478	7,225		33,703	69,396	62,940
Insurance	186,015	32,316		6,306		224,637	253	31,528		31,781	256,418	248,406
Legal fees						-	6,688			6,688	6,688	12,185
Loan costs, amortization						-	80,050			80,050	80,050	80,050
Medical supplies and equipment			71,582			71,582				-	71,582	53,266
Stage	120		1,070			1,190	7,309		7,745	15,054	16,244	17,204
Printing		1,578	(9,814)	6,192		(2,044)	1,841	(2,822)	35,848	34,867	32,823	20,157
Professional services			985,634			985,634	90,049			90,049	1,075,683	878,907
Public relations		7,291	27,859			35,150	12,192		37,406	49,598	84,748	69,566
Purchased services	64,238	44,082	181,893	54,116		344,329	86,140	345,596	56,692	488,428	832,757	998,467
Repairs and maintenance	94,791	26,310	68,500	35,608		225,209	6,641	32,115		38,756	263,965	238,714
Resident activities					32,362	32,362				-	32,362	26,221
Staff development		2,131	4,252	165		6,548	4,295		184	4,479	11,027	15,733
Supplies and equipment	20,077	22,918	137,001	248,125	4,068	432,189	2,130	41,535	18,542	62,207	494,396	431,190
Telephone	5,596	6,656	22,324	6,342		40,918	26,652	8,912	-	35,564	76,482	87,117
Travel	740	-				740	4,408	3,845	122	8,375	9,115	7,969
Utilities	133,659	100,136	245,715	49,268		528,778	17,317	66,538	3,940	87,795	616,573	682,285
Miscellaneous expenses	721	330	31,174	442	3,203	35,870	7,909	11,030	58,302	77,241	113,111	120,946
Net expense before depreciation and interest	<u>694,245</u>	<u>1,776,490</u>	<u>5,127,707</u>	<u>3,684,156</u>	<u>39,633</u>	<u>11,322,231</u>	<u>1,841,146</u>	<u>1,809,942</u>	<u>405,466</u>	<u>4,056,554</u>	<u>15,378,785</u>	<u>15,208,199</u>
Interest - external							1,538,927			1,538,927	1,538,927	1,538,160
Interest - internal		1,178	50,495			51,673				-	51,673	12,885
Net interest	-	1,178	50,495	-	-	51,673	1,538,927	-	-	1,538,927	1,590,600	1,551,045
Depreciation	<u>1,707,511</u>	<u>-</u>	<u>410,906</u>	<u>-</u>	<u>-</u>	<u>2,118,417</u>	<u>-</u>	<u>(37,971)</u>	<u>-</u>	<u>(37,971)</u>	<u>2,080,446</u>	<u>2,007,472</u>
Total expense	<u>\$ 2,401,756</u>	<u>\$ 1,777,668</u>	<u>\$ 5,589,108</u>	<u>\$ 3,684,156</u>	<u>\$ 39,633</u>	<u>\$ 13,492,321</u>	<u>\$ 3,380,073</u>	<u>\$ 1,771,971</u>	<u>\$ 405,466</u>	<u>\$ 5,557,510</u>	<u>\$ 19,049,831</u>	<u>\$ 18,766,716</u>

See Independent Auditors' Report

APPENDIX C
SUMMARY OF PRINCIPAL DOCUMENTS

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APPENDIX C

SUMMARY OF PRINCIPAL DOCUMENTS

The following is a summary of certain provisions of the Indenture, the Loan Agreement, the Regulatory Agreement, the Deed of Trust and the Contract of Insurance, which are not described elsewhere in this Official Statement. *These summaries do not purport to be complete or definitive and are qualified in their entirety by reference to the full terms of the Loan Agreement, the Indenture, the Regulatory Agreement, the Deed of Trust and the Contract of Insurance.* All capitalized terms not defined in this Official Statement have the meaning set forth in the Indenture or in the Regulatory Agreement. The definitions set forth below are derived from the Indenture and the Regulatory Agreement. Certain terms defined for purposes of the Indenture are defined differently in the Regulatory Agreement. Reference should be made to the Regulatory Agreement for definitions of terms used therein.

DEFINITIONS OF CERTAIN TERMS

“Accountant” means any Independent certified public accountant or firm of such accountants with a national or regional reputation selected by the Corporation, and so long as such Accountant is acceptable to the Office. The initial Accountant of Vicenti, Lloyd & Stutzman LLP, Glendora, CA, is acceptable to the Office.

“Act” means Articles 1 through 4 (commencing with section 6500) of Chapter 5 of Division 7 of Title 1 of the California Government Code, as now in effect and as it may from time to time hereafter be amended or supplemented.

“Additional Payments” means payments so designated and required to be made by the Corporation pursuant to the Loan Agreement, being generally, the annual fee of the Trustee and the reasonable fees, charges and expenses of the Trustee for services rendered with respect to the Bonds, the reasonable fees and expenses of such accountants, consultants, attorneys and other experts as may be engaged by the Authority or the Trustee to prepare audits, financial statements, reports, opinions or provide such other services required pursuant to the Loan Agreement or the Indenture, and the annual fee of the Authority and the reasonable fees and expenses of the Authority or any agent or attorney selected by the Authority to act on its behalf in connection with the Loan Agreement, the Bonds or the Indenture.

“Adjusted Annual Operating Revenues” means operating revenue and investment income of the Corporation, less contractual allowances, allowance for bad debts and free services for any Fiscal Year, all as determined in accordance with generally accepted accounting principles.

“Affiliate” means a Person which, directly or indirectly through one or more intermediaries, controls, is controlled by or is under common control with the Corporation.

“Aggregate Debt Service” means, as of any date of calculation and with respect to any period, the sum of amounts of Debt Service for all Long-Term Indebtedness for such period.

“ALTA” means American Land Title Association.

“Authority” means the California Municipal Finance Authority, a joint exercise of powers authority duly organized and existing under the laws of the State.

“Authorized Denomination” means \$5,000 or any integral multiple thereof.

“Authorized Representative” means, (a) with respect to the Authority, any member of the Board of Directors of the Authority, or any other person designated as an Authority Representative by a certificate signed by a member of the Board and filed with the Trustee; (b) with respect to the Corporation, its Board Chairman, its Board Treasurer, its Chief Executive Officer, its Chief Financial Officer or any other person designated as an Authorized Representative of the Corporation by a Certificate of the Corporation signed by its Chief Executive Officer or its Chief Financial Officer and filed with the Trustee; and (c) with respect to the Office, the Director of the Office or the Deputy Director of the Cal Mortgage Loan Insurance Division or any other person designated as an Authorized Representative of the Office by a Statement of the Office signed by its Director or the Deputy Director of the Cal Mortgage Loan Insurance Division and filed with the Trustee.

“Beneficial Owner” means any person which has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries).

“Board of Directors” or **“Board”** means, with respect to the Authority, the Board of Directors of the Authority and, with respect to the Corporation, the Board of Directors of the Corporation.

“Bond Counsel” means Independent counsel of recognized national standing in the field of obligations the interest on which is excluded from gross income for federal income tax purposes, selected by the Corporation and acceptable to the Authority and the Office.

“Bondholder” or **“Holder,”** or **“holder,”** whenever used with respect to a Bond, means the Person in whose name such Bond is registered.

“Bonds” means, collectively, the Series 2016A Bonds and the Series 2016B Bonds.

“Business Day” means any day other than a Saturday, Sunday, or a day on which banking institutions in the city in which the Principal Corporate Trust Office of the Trustee is located are authorized or obligated by law or executive order to be closed or a day on which the Federal Reserve System is closed.

“CERCLA” means the Comprehensive Environmental Response, Compensation and Liability Act of 1980 (42 U.S.C. § 9601 et seq.), as heretofore or hereafter amended from time to time.

“Certificate,” “Statement,” “Request,” “Requisition” and **“Order”** of the Authority, the Office or the Corporation mean, respectively, a written certificate, statement, request, requisition or order signed in the name of the Authority by an Authorized Representative of the Authority, or in the name of the Corporation or the Office by an Authorized Representative of the Corporation or the Office, respectively, and delivered to the Trustee. Any such instrument and supporting opinions or representations, if any, may, but need not, be combined in a single instrument with any other instrument, opinion or representation, and the two or more so combined shall be read and construed as a single instrument. If and to the extent required by the Indenture, each such instrument shall include the statements provided for in the Indenture.

“Closing Date” means the date upon which there is a physical delivery of the Bonds in exchange for the amount representing the purchase price of the Bonds by the Original Purchaser.

“Code” means the Internal Revenue Code of 1986 and the regulations issued thereunder or any successor thereto. Reference to any particular Code section shall, in the event of such successor Code, be deemed to be reference to the successor to such Code section.

“Continuing Disclosure Certificate” means that certain Continuing Disclosure Certificate, dated the date of issuance and delivery of the Bonds, of the Corporation, as originally executed and as it may be amended from time to time in accordance with the terms thereof.

“Contract of Insurance” means that contract of insurance entered into by and among the Corporation, the Office and the Authority dated as of the same date as the Regulatory Agreement, as amended, modified and supplemented from time to time.

“Corporation” means the Borrowing Corporation named in the Regulatory Agreement, which is a corporation formed under or subject to the Nonprofit Public Benefit Corporation Law of the State that is organized for the purpose of owning and operating a health facility and that also meets the requirements of section 501(c)(3) of the Code, as required by Insurance Law section 129010(o), and any corporation which may become obligated under the Loan Agreement pursuant to the Regulatory Agreement, or any corporation which is the surviving, resulting or transferee corporation in any merger, consolidation or transfer of assets permitted under the Regulatory Agreement.

“Costs of Issuance” means all items of expense directly or indirectly payable by or reimbursable to the Corporation and related to the authorization, issuance, sale and delivery of the Bonds, including but not limited to the upfront premium and certification and inspection fees payable to the Office on the Closing Date, advertising and printing costs, costs of preparation and reproduction of documents, filing and recording fees, initial fees and charges of the Trustee and the Authority (including legal fees and charges of their respective counsel), legal fees and charges, fees and disbursements of consultants and professionals, rating agency fees, fees and charges for preparation, execution, transportation and safekeeping of Bonds, and any other cost, charge or fee in connection with the original issuance of Bonds.

“Costs of Issuance Fund” means the fund by that name established pursuant to the Indenture.

“Current Ratio” means a ratio of current assets to current liabilities, as determined in accordance with generally accepted accounting principles and as shown on the Corporation’s audited financial statements.

“Days Cash on Hand” shall mean, for any Fiscal Year, the quotient obtained by dividing (1) the Corporation’s cash and cash equivalents (including board designated funds and funded depreciation but excluding donor restricted funds and proceeds of short term debt), as of the end of such Fiscal Year by (2) the quotient of dividing (a) the Corporation’s operating expenses including interest expense (excluding depreciation, amortization, allowance for bad debts, and any other noncash expenses) for such Fiscal Year by (b) the number of days in such Fiscal Year.

“Debt Service” when used with respect to any Long-Term Indebtedness, means, as of any date of calculation and with respect to any period, the sum of

- a. the interest falling due on such Long-Term Indebtedness during such period (except to the extent that such interest is payable from the proceeds of such Long-Term Indebtedness set aside for such purpose), and
- b. the scheduled principal (or mandatory sinking fund or installment purchase price or lease rental or similar) payments or deposits required with respect to such Long-Term Indebtedness during such period (except to the extent such principal is payable from the proceeds of such Long-Term Indebtedness set aside for such purpose), computed on the assumption that no portion of such Long-Term Indebtedness shall cease

to be outstanding during such period except by reason of the application of such scheduled payments, *provided, however*, that for purposes of such computation:

(1) if Long-Term Indebtedness is

(a) secured by an irrevocable letter of credit or irrevocable line of credit issued by a financial institution having a combined capital and surplus of at least fifty million dollars (\$50,000,000) and whose unsecured securities are rated in one of the two highest short-term or long-term Rating Categories (without regard to numerical or other modifier) by each rating agency then rating the Bonds, or

(b) insured by an insurance policy or surety bond issued by an insurance company rated at least A+ by Alfred M. Best Company in Best's Insurance Reports,

principal payments or deposits with respect to such Long-Term Indebtedness nominally due in the last Fiscal Year in which such Long-Term Indebtedness matures may, at the option of the Corporation, be treated as if they were due as specified in any loan agreement or installment sale/purchase agreement issued in connection with such letter of credit, line of credit, insurance policy or surety bond or pursuant to the repayment provisions of such letter of credit, line of credit, insurance policy or surety bond (or, if such loan agreement or installment sale/purchase agreement or repayment provisions provide for repayment over less than 20 years and the Trustee receives a Statement of the Corporation to the effect that the Corporation intends to refinance such Long-Term Indebtedness prior to maturity, as if they were amortized over a 20-year period with substantially level debt service) and interest on such Long-Term Indebtedness after such Fiscal Year shall be assumed to be payable at an interest rate equal to a rate per annum equal to the 25-year revenue bond index most recently published preceding the date of calculation in *The Bond Buyer* (subject to any adjustment for errors therein which may be acknowledged by the publishers thereof);

(2) if interest on Long-Term Indebtedness is payable pursuant to a variable interest rate formula, the interest rate on such Long-Term Indebtedness for periods when the actual interest rate cannot yet be determined shall be assumed to be equal to the greater of

(a) the average rate of interest borne (or which would have been borne) by such Long-Term Indebtedness during the Fiscal Year immediately preceding the date of calculation plus one percent (1%), or

(b) the average rate of interest borne by such Long-Term Indebtedness during the three full calendar months immediately preceding the date of calculation plus one percent (1%);

(3) if interest is capitalized with respect to Long-Term Indebtedness, Debt Service on such Long-Term Indebtedness shall be included in computations of Maximum Aggregate Annual Debt Service under the Regulatory Agreement only in proportion to the amount of interest payable in the then-current Fiscal Year from sources other than amounts funded to pay such capitalized interest;

(4) with respect to a Guarantee, there shall be included in the Debt Service of the Corporation

(a) twenty-five percent (25%) of the Corporation's maximum possible monetary liability under the Guarantee in any Fiscal Year unless the Guarantee is drawn upon, in which case, then;

(b) one hundred percent (100%) of the Corporation's monetary liability under the Guarantee which has been drawn upon, until such time as all amounts drawn upon the Guarantee have been repaid to the Corporation, and for two Fiscal Years thereafter; and

(5) if moneys or Investment Securities described in Subsections (a), (b), (c) or (f) of the definition below (not callable by the issuer thereof prior to maturity) have been deposited with a trustee or escrow agent in an amount, together with earnings thereon, sufficient to pay the principal of or interest on Long-Term Indebtedness as it comes due, such principal or interest, as the case may be, shall not be included in computations of Debt Service.

“Debt Service Coverage Ratio” means, for any period of time, the ratio determined by dividing Net Income Available for Debt Service by Maximum Aggregate Annual Debt Service.

“Debt Service Reserve Account” means the account by that name in the Revenue Fund established pursuant to the Indenture.

“Debt Service Reserve Account Requirement” means, as of any date of calculation, an amount equal to the least of (a) Fifty percent (50%) of Maximum Annual Debt Service, (b) 125% of average annual debt service, and (c) 10% of the principal amount of all Bonds Outstanding as of such date. As of the Closing Date, the Debt Service Reserve Account Requirement is an amount equal to \$1,994,711.91.

“Deed of Trust” means the Deed of Trust with Fixture Filing and Security Agreement, dated November 1, 2016 but effective the date of recording, to be executed by the Corporation, as trustor, in favor of the Deed Trustee for the benefit of the Office and the Trustee for the benefit of the Owners, as beneficiaries, as amended, modified and supplemented from time to time, and such other deeds of trust as the Office may require.

“Deed Trustee” means the Person at the time serving as such under the Deed of Trust.

“Depository” means The Depository Trust Company and its successors and assigns, or any other Securities Depository selected as set forth in the Indenture, which agrees to follow the procedures required to be followed by such depository in connection with the Bonds.

“Depository Bank(s)” means a banking institution or institutions designated by the Corporation in writing to the Trustee and the Office in which the Corporation establishes and maintains an account or accounts in which the Gross Revenues are held pursuant to the Loan Agreement.

“Environmental Regulations” means any federal, state or local law, statute, code, ordinance, regulation, requirement or rule relating to dangerous, toxic or hazardous pollutants, Hazardous Substances, chemical waste, materials or substances.

“Event of Default” means any of the events specified in the Indenture and described below in “Indenture – Events of Default under the Indenture and Remedies – Events of Default.”

“Facilities” means:

(a) the real property described in Exhibit A attached to the Regulatory Agreement and all real property required to be added, from time to time, to the definition of Facilities pursuant to the Regulatory Agreement;

(b) all buildings and structures thereon and fixtures and improvements thereto, whether now existing or hereafter constructed, installed or acquired; and

(c) all tangible personal property owned by the Corporation, whether now existing or hereafter constructed, installed or acquired, and used in, around or about the aforesaid real property, including but not limited to the personal property described in Exhibit B attached to the Regulatory Agreement.

“Fiscal Year” means the period beginning on January 1 of each year and ending on the next succeeding December 31 or any other twelve-month period hereafter selected and designated as the official fiscal year period of the Corporation.

“Governmental Unit” shall have the meaning set forth in Section 150 of the Code.

“Gross Revenue Fund” means the fund by that name established pursuant to the Loan Agreement.

“Gross Revenues” means all revenues, income, receipts and money received in any period by the Corporation, including, but without limiting the generality of the foregoing, the following:

a. gross revenues derived from its operation and possession of and pertaining to its properties,

b. proceeds with respect to, arising from, or relating to its properties and derived from (1) insurance (including business interruption insurance) or condemnation proceeds (except to the extent such proceeds are required by the terms of the Regulatory Agreement or other agreements with respect to the Indebtedness which the Corporation is permitted to incur pursuant to the terms of the Regulatory Agreement) to be used for purposes inconsistent with their use for the payment of Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (2) accounts, including but not limited to, accounts receivable, (3) securities and other investments, (4) inventory and intangible property, (5) payment/reimbursement programs and agreements, and (6) contract rights, accounts, instruments, claims for the payment of moneys and other rights and assets now or hereafter owned, held or possessed by or on behalf of the Corporation, and

c. rentals received from the lease of the Corporation’s properties or space in its facilities.

provided, however, that there shall be excluded from Gross Revenues (i) any amounts received by the Corporation as a billing agent for another entity, except for fees received for serving as billing agent, (ii) gifts, grants, bequests, donations and contributions to the Corporation heretofore or hereafter made,

and the income and gains derived therefrom, which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use for Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (iii) any moneys received by the Corporation from prospective residents or commercial tenants in order to pay for customized improvements to those independent living units or other areas of the Corporation's facilities to be occupied or leased to such residents or tenants, (iv) payments or deposits under a residency agreement that by its terms or applicable law are required to be held in escrow or trust for the benefit of a resident until the conditions for the release of such payment or deposit have been satisfied, and (v) all deposits and/or advance payments made in connection with any residency of the independent living units or other areas of the Corporation's facilities to be occupied by residents or tenants and received prior to receipt of such certificate and licenses for occupancy of such units.

“Guarantee” means any obligation of the Corporation guaranteeing in any manner, whether directly or indirectly, any obligation of any Persons which would, if such Persons were the Corporation, constitute Long-Term Indebtedness.

“Hazardous Substances” means (a) any oil, flammable substances, explosives, radioactive materials, hazardous wastes or substances, toxic wastes or substances or any other wastes, materials or pollutants which (i) pose a hazard to the Project or to persons on or about the Project or (ii) cause the Project to be in violation of any Environmental Regulation; (b) asbestos in any form which is or could become friable, urea formaldehyde foam insulation, transformers or other equipment which contain dielectric fluid containing levels of polychlorinated biphenyls, or radon gas; (c) any chemical, material or substance defined as or included in the definition of “waste,” “hazardous substances,” “hazardous wastes,” “hazardous materials,” extremely hazardous waste,” “restricted hazardous waste,” or “toxic substances” or words of similar import under any Environmental Regulation including, but not limited to, the Comprehensive Environmental Response, Compensation and Liability Act (“CERCLA”), 42 USC §§ 9601 *et seq.*; the Resource Conservation and Recovery Act (“RCRA”), 42 USC §§ 6901 *et seq.*; the Hazardous Materials Transportation Act, 49 USC §§ 1801 *et seq.*; the Federal Water Pollution Control Act, 33 USC §§ 1251 *et seq.*; the California Hazardous Waste Control Law (“HWCL”), Cal. Health & Safety §§ 25100 *et seq.*; the Hazardous Substance Account Act (“HSAA”), Cal. Health & Safety Code §§ 25300 *et seq.*; the Underground Storage of Hazardous Substances Act, Cal. Health & Safety §§ 25280 *et seq.*; the Porter-Cologne Water Quality Control Act (the “Porter-Cologne Act”), Cal. Water Code §§ 13000 *et seq.*, the Safe Drinking Water and Toxic Enforcement Act of 1986 (Proposition 65); and Title 22 of the California Code of Regulations, Division 4, Chapter 30; (d) any other chemical, material or substance, exposure to which is prohibited, limited or regulated by any governmental authority or agency or may or could pose a hazard to the health and safety of the occupants of the Project or the owners and/or occupants of property adjacent to or surrounding the Project, or any other person coming upon the Project or adjacent property; or (e) any other chemical, materials or substance which may or could pose a hazard to the environment.

“Indebtedness” means (a) any Guarantee, and (b) any indebtedness or obligation of the Corporation (other than accounts payable and accruals), as determined in accordance with generally accepted accounting principles, including obligations under conditional sales contracts or other title retention contracts, and rental obligations under leases which are considered capital leases under generally accepted accounting principles. Indebtedness shall not include Non-recourse Indebtedness.

“Indenture” means that certain Indenture, dated as of November 1, 2016, by and between the Authority and the Trustee, as amended, modified and supplemented from time to time.

“Independent,” when referring to an Accountant, counsel, Management Consultant or Person, means an Accountant, counsel, Management Consultant or Person who is independent of and not under

the control of the Corporation, does not have any substantial interest, direct or indirect, in the Corporation, and, in the case of an individual, is not connected, including through a spouse, with the Corporation as a director, officer or employee of the Corporation, and in the case of a firm, is not connected with the Corporation as a partner, director, officer or employee of the Corporation, but who may be regularly retained by the Corporation.

“Insurance and Condemnation Proceeds Fund” means the fund by that name established pursuant to the Indenture.

“Insurance Law” means Chapter 1, Part 6, Division 107 of the Health and Safety Code of the State, cited as the “California Health Facility Construction Loan Insurance Law” as now in effect and as it may from time to time hereafter be amended or supplemented.

“Interest Account” means the account by that name in the Revenue Fund established pursuant to the Indenture.

“Interest Payment Date” means May 15 and November 15 of each year, commencing May 15, 2017.

“Investment Securities” means any of the following:

(a) Direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States of America (“Treasury”)) or obligations the timely payment of the principal of and interest on which are fully guaranteed by the United States of America, including instruments evidencing an ownership interest in securities described in this clause (a) such as CATS, TIGRs, Treasury Receipts, Stripped Treasury Coupons, and Resolution Funding Corporation (REFCORP) Interest Strips that have been stripped by Treasury;

(b) Obligations of any of the following federal agencies which obligations represent the full faith and credit of the United States of America (including stripped securities if the agency has stripped them itself);

(i) U.S. Export-Import Bank;

(ii) Farmers Home Administration;

(iii) Federal Financing Bank;

(iv) Federal Housing Administration;

(v) General Services Administration;

(vi) Government National Mortgage Association (“GNMA”) (including guaranteed mortgage-backed bonds and guaranteed pass-through obligations);

(vii) Rural Economic Community Development Administration;

(viii) Small Business Administration;

(ix) U.S. Maritime Administration (guaranteed Title XI financing); and

(x) U.S. Department of Housing and Urban Development (including project notes, local authority bonds, new communities debentures, U.S. government guaranteed debentures, U.S. Public Housing Notes and Bonds and U.S. government guaranteed public housing notes and bonds;

(c) Debentures, bonds, notes or other evidence of indebtedness issued or guaranteed by any of the following U.S. government agencies which obligations are not fully guaranteed by the full faith and credit of the United States of America (including stripped securities if the agency has stripped them itself):

(i) Federal Home Loan Bank System (senior debt obligations);

(ii) Resolution Funding Corporation (REFCORP) obligations;

(iii) Federal Home Loan Mortgage Corporation (FHLMC or “Freddie Mac”) senior debt obligations or participation certificates;

(iv) Federal National Mortgage Association (FNMA or “Fannie Mae”) mortgage-backed securities and senior debt obligations;

(v) Senior debt obligations of other government sponsored agencies approved by the Office.

(d) Investments in money market funds registered under the Federal Investment Company Act of 1940, whose shares are registered under the Federal Securities Act of 1933, and having a rating by S&P of AAAm-G, AAAm or better (including funds for which the Trustee, its parent holding company, if any, or any affiliates or subsidiaries of the Trustee provide investment advisory or other management services);

(e) Pre-refunded municipal obligations defined as follows: any bonds or other obligations of any state of the United States of America or of any agency, instrumentality or local governmental unit of any such state which are not callable at the option of the obligor prior to maturity or as to which irrevocable instructions have been given by the obligor to call on the date specified in the notice; and

(i) which are rated, based on an irrevocable escrow account or fund (the “Escrow”), in the highest rating category of Moody’s or S&P or any successors thereto; or

(ii) (A) which are fully secured as to principal, interest and redemption premium, if any, by an Escrow consisting only of cash or obligations described in paragraph (a) above, which Escrow may be applied only to the payment of such principal of and interest and redemption premium, if any, on such bonds or other obligations on the maturity date or dates thereof or the specified redemption date or dates pursuant to such irrevocable instructions, as appropriate, and (B) which Escrow is sufficient, as verified by a nationally recognized independent certified public accountant, to pay principal of and interest and redemption premium, if any on the bonds or other obligations described in this paragraph on the maturity date or dates specified in the irrevocable instructions referred to above, as appropriate;

(f) Repurchase agreements with respect to obligations described in clauses (a) (b), (c), or (h) of this definition, which obligations (i) are held by the Trustee or a third party agent during the term of such repurchase agreement, (ii) are not, pursuant to the terms of such agreement, subject to liens or claims of third parties and (iii) have a market value (determined at least every five days) at least equal to the amount so invested;

(g) demand deposits, including trust accounts, trust funds, interest bearing money market accounts, overnight bank deposits, interest bearing deposits, banker's acceptances or certificates of deposit of, or time deposits in, any bank (including the Trustee or any of its affiliates) or savings and loan association (i) which certificates of deposit or time deposits are fully insured by the Federal Deposit Insurance Corporation or (ii) which certificates of deposit (including those placed by a third party pursuant to an agreement between the Trustee and the Corporation) or time deposits are secured at all times, in the manner and to the extent provided by law, by collateral security (described in clauses (a), (b), (c), or (h) of this definition) with a market value (valued at least quarterly) of no less than the original amount of moneys so invested;

(h) Municipal obligations rated "Aaa/AAA" on the basis of insurance or credit enhancement, provided the underlying rating of the municipal obligation must be at least "Baa/BBB," uninsured or unenhanced municipal obligations rated at least Aa2/AA or general obligations of states with a rating of "A2/A" by Moody's or S&P;

(i) U.S. dollar denominated deposit accounts, federal funds or bankers acceptances with domestic commercial banks which may include the Trustee and its affiliates which have a rating on their short term certificates of deposit on the date of purchase of "P-1" by Moody's and "A-1" or "A-1+" by S&P (for purposes of rating, ratings on holding companies are not considered as the rating of the bank) and maturing not more than 360 calendar days after the date of purchase;

(j) the Local Agency Investment Fund of the State, created pursuant to Section 16429.1 of the California Government Code, to the extent the Trustee is authorized to register such investment in its name;

(k) direct obligations of the State of California (including obligations issued or held in book-entry form on the books of the Office of the Treasurer of the State of California) or obligations the timely payment of the principal of and interest on which are fully guaranteed by the State of California; and

(l) Other forms of investments approved in writing by the Office.

"Loan Agreement" means that certain Loan Agreement, dated as of November 1, 2016, by and between the Authority and the Corporation, as amended, modified and supplemented from time to time.

"Loan Default Event" means any of the events specified in the Loan Agreement and described below in "Loan Agreement – Loan Default Events."

"Loan Repayments" means the payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

"Long-Term Indebtedness" means Indebtedness having an original maturity greater than one (1) year or renewable at the option of the Corporation for a period greater than one (1) year from the date of original incurrence or issuance thereof unless, by the terms of such Indebtedness, no Indebtedness is

permitted to be outstanding thereunder for a period of at least thirty (30) consecutive days during each calendar year.

“Management Agent” means that Person or those Persons with whom the Corporation has entered into a contract, whether as an independent contractor or employee, for managerial services, relating to the management or operation of all or substantially all of the Facilities. In the event the Corporation does not have a separate management contract, then “Management Agent” shall mean all of those Persons serving as the Corporation’s chief executive officer, chief financial officer, chief operating officer, or other similar officers. In the event the Corporation does not have such officers, then “Management Agent” shall mean all of those Persons that manage or operate all or substantially all of the Facilities.

“Management Consultant” means an Independent Person of national or regional reputation qualified to report on questions relating to the financial condition and projections of continuing care retirement communities, selected by the Corporation and so long as such Management Consultant is acceptable to the Office.

“Mandatory Sinking Account Payment” means, with respect to Term Bonds of any maturity, the amount required by the Indenture to be paid on any single date for the retirement of Term Bonds of such maturity.

“Maximum Aggregate Annual Debt Service” means, as of any date of calculation, the Aggregate Debt Service as computed for the then current or any future Fiscal Year in which such sum shall be largest.

“Maximum Annual Debt Service” means, as of any date of calculation, the sum of (a) the interest falling due on then Outstanding Bonds (assuming that all then Outstanding Serial Bonds are retired on their respective maturity dates and that all then Outstanding Term Bonds are retired at the times and in the amounts provided for by Mandatory Sinking Account Payments), (b) the principal amount of then Outstanding Serial Bonds falling due by their terms, and (c) the aggregate amount of all Mandatory Sinking Account Payments required; all as computed for the Fiscal Year in which such sum shall be largest.

“Moody’s” means Moody’s Investors Service, a corporation organized and existing under the laws of the State of Delaware, its successors and their assigns, or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Authority.

“Net Income Available for Debt Service” means, with respect to any period, the excess of revenues (including non-operating revenues) over expenses from operations of the Corporation for such period, determined in accordance with generally accepted accounting principles, to which shall be added interest, amortization, depreciation expense and other non-cash charges, each item determined in accordance with generally accepted accounting principles, and excluding (a) any profits or losses on the sale or other disposition, not in the ordinary course of business, of investments or fixed or capital assets or resulting from the early extinguishment of debt or any other extraordinary non-recurring items, (b) gifts, grants, bequests, donations and contributions, to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of Debt Service or operating expenses, (c) the net proceeds of insurance (other than business interruption insurance) and condemnation awards, (d) changes in net unrealized gain (loss) on investments, and (e) non cash revenues.

“Non-recourse Indebtedness” means any indebtedness of the Corporation, which is not a general obligation of the Corporation and is secured by a lien on property of the Corporation, liability for which is effectively limited to the property subject to such lien (which property is not integral to the operation of the Facilities) with no recourse, directly or indirectly, to any other property of the Corporation.

“Office” means the Office of Statewide Health Planning and Development of the Health and Human Services Agency of the State, or its successors.

“Opinion of Counsel” means a written opinion of counsel (including, without limitation, counsel for the Authority) selected by the Authority and delivered to the Trustee. If and to the extent required by the Indenture, each Opinion of Counsel shall include the statements provided for in the Indenture.

“Optional Redemption Account” means the account by that name in the Redemption Fund established pursuant to the Indenture.

“Original Purchaser” means Cain Brothers & Company LLC, as underwriters of the Bonds.

“Outstanding,” when used as of any particular time with reference to Bonds, means (subject to the provisions of the Indenture) all Bonds theretofore, or thereupon being, authenticated and delivered by the Trustee under the Indenture except (a) Bonds theretofore canceled by the Trustee or surrendered to the Trustee for cancellation; (b) Bonds with respect to which all liability of the Authority shall have been discharged in accordance with the Indenture; and (c) Bonds for the transfer or exchange of or in lieu of or in substitution for which other Bonds shall have been authenticated and delivered by the Trustee pursuant to the Indenture.

“Owner” or **“Bondowner,”** whenever used with respect to a Bond, means the Person in whose name such Bond is registered.

“Parity Debt” means Long-Term Indebtedness which is incurred by the Corporation in accordance with the provisions of the Regulatory Agreement and secured equally and ratably with the obligations of the Corporation under the Loan Agreement by a lien on and security interest in the Gross Revenues and the Deed of Trust.

“Permitted Encumbrances” means and includes:

- a. undetermined liens and charges incident to construction or maintenance, and liens and charges incident to construction or maintenance now or hereafter filed of record which are being contested in good faith and have not proceeded to final judgment (and for which all applicable periods for appeal or review have not expired), provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Office, are adequate;
- b. notices of lis pendens or other notices of or liens with respect to pending actions which are being contested in good faith and have not proceeded to final judgment (and for which all applicable periods for appeal or review have not expired), provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Office, are adequate;
- c. the lien of taxes and assessments which are not delinquent, or, if delinquent, are being contested in good faith, provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Board, are adequate;

d. minor defects and irregularities in title to the Facilities which in the aggregate do not materially adversely affect the value or operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

e. easements, exceptions or reservations for the purpose of ingress and egress, parking, pipelines, telephone lines, telegraph lines, power lines and substations, roads, streets, alleys, highways, railroad purposes, drainage and sewerage purposes, dikes, canals, laterals, ditches, the removal of oil, gas, coal or other minerals, and other like purposes, or for the joint or common use of real property, facilities and equipment, which in the aggregate do not materially interfere with or impair the operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

f. rights reserved to or vested in any municipality or governmental or other public authority to control or regulate or use in any manner any portion of the Facilities which do not materially impair the operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

g. present or future valid zoning laws and ordinances;

h. the rights of the Authority, the Corporation, the Office, the Trustee and holders of the Bonds and Parity Debt incurred in accordance with the Loan Agreement, the Indenture, the Regulatory Agreement and the Deed of Trust and the lien and charge of the Indenture, the Regulatory Agreement and the Deed of Trust;

i. liens securing indebtedness for the payment, redemption or satisfaction of which money (or evidences of indebtedness) in the necessary amount shall have been deposited in trust with a trustee or other holder of such indebtedness;

j. purchase money security interests and security interests existing on any personal property prior to the time of its acquisition by the Corporation through purchase, merger, consolidation or otherwise, whether or not assumed by the Corporation, or placed upon property being acquired by the Corporation to secure a portion of the purchase price thereof, or lessor's interests in leases required to be capitalized in accordance with generally accepted accounting principles;

k. statutory liens arising in the ordinary course of business which are not delinquent or are being contested in good faith by the Corporation;

l. the lease or license of the use of a part of the Facilities for use in performing professional or other services necessary for the proper and economical operation of the Facilities in accordance with customary business practices in the health and residential care industry;

m. liens or encumbrances existing as of the date of initial execution and delivery of the Bonds as listed on Exhibit D attached to the Regulatory Agreement;

n. liens securing Parity Debt on a parity with the obligations of the Corporation under the Regulatory Agreement;

o. statutory rights of the United States of America to recover against the Corporation by reason of federal funds made available under 42 U.S.C. § 291 et seq., and similar rights under other federal and state statutes;

p. a security interest in the Corporation's accounts receivable to provide short term borrowing as permitted under the Regulatory Agreement, subject to the prior consent of the Office;

q. any liens arising from or in connection with assistance provided by the Federal Emergency Management Agency; and

r. other liens and encumbrances specifically approved in writing by the Office and encumbrances specifically approved in writing by the Office.

"Person" means a person, individual, company, firm, association, organization, partnership, trust, corporation or other legal entity or group of entities, including a governmental entity or any agency or political subdivision thereof.

"Principal Account" means the account by that name in the Revenue Fund established pursuant to the Indenture.

"Principal Corporate Trust Office" means the office of the Trustee at 633 West Fifth Street, 24th Floor, Los Angeles, CA 90071, Attention: Corporate Trust Services, or such other or additional offices as may be specified to the Authority by the Trustee except that, with respect to presentation of Bonds for payment or for registration of transfer and exchange, such term shall mean the office or agency of the Trustee at which at any particular time, its corporate trust agency shall be conducted, or such other office designated by the Trustee from time to time, or at such other or additional offices as may be specified by the Trustee in writing to the Authority.

"Principal Payment Date" means each May 15 on which principal is due on the Bonds.

"Prior Bonds" means the Authority's \$25,730,000 Insured Senior Living Revenue Bonds (Pilgrim Place in Claremont) Series 2009A currently outstanding in the principal amount of \$24,570,000.

"Project" means the refinancing of the Prior Bonds and the financing of various improvements to and rehabilitation of certain of the Facilities, as described in the Loan Agreement.

"Project Fund" means the fund by that name established under the Indenture.

"Purchase Contract" means the Bond Purchase Contract, dated as of November 22, 2016 by and among the Corporation, Cain Brothers & Company LLC, the Authority, and the Treasurer of State, as agent of sale, entered into with respect to the Bonds.

"Rating Category" means (a) with respect to any long-term rating category, all ratings designated by a particular letter or combination of letters, without regard to any numerical modifier, plus or minus sign or other modifier and (b) with respect to any short-term or commercial paper rating category, all ratings designated by a particular letter or combination of letters and taking into account any numerical modifier, but not any plus or minus sign or other modifier.

"Rebate Fund" means the fund by that name established pursuant to the Indenture.

“Rebate Requirement” means the Rebate Requirement as defined in the Tax Agreement.

“Record Date” means, with respect to any Interest Payment Date for the Bonds, the first day of the calendar month in which such Interest Payment Date occurs, whether or not such day is a Business Day.

“Redemption Fund” means the fund by that name established pursuant to the Indenture.

“Redemption Price” means, with respect to any Bond (or portion thereof), the principal amount of such Bond (or portion thereof) plus the applicable premium, if any, payable upon redemption thereof pursuant to the provisions of such Bond and the Indenture.

“Regulatory Agreement” means that certain Regulatory Agreement, dated as of November 1, 2016, and effective as of the date of issuance of the Bonds, among the Authority, the Office and the Corporation, as originally executed and as amended from time to time in accordance with its terms.

“Revenue Fund” means the fund by that name established pursuant to the Indenture.

“Revenues” means all amounts received by the Authority or the Trustee pursuant or with respect to the Loan Agreement, including, without limiting the generality of the foregoing, Loan Repayments (including both timely and delinquent payments and any late charges, and regardless of source), prepayments, insurance proceeds, payments received pursuant to the Insurance Law, condemnation proceeds, and all interest, profits or other income derived from the investment of amounts in any fund or account established pursuant to the Indenture (except the Rebate Fund), but not including any expenses or any amounts paid to the Authority or the Trustee pursuant to rights of indemnification or any Additional Payments.

“Risk Management Consultant” means an Independent Person having experience and a favorable reputation in consulting on the insurance requirements of continuing care retirement communities in the State of the general size and character of the Facilities, selected by the Corporation, and so long as such Risk Management Consultant is acceptable to the Office. The initial Risk Management Consultant of Heffernan Insurance Brokers and Lewis & Associates, is acceptable to the Office.

“Rule” means Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“S&P” means Standard & Poor’s Ratings Services, a Standard & Poor’s Financial Services LLC business, New York, New York, or its successors.

“Securities Depositories” means The Depository Trust Company, 55 Water Street, 50th Floor, New York, NY 10041-0099, Attention: Call Notification Department, Fax (212) 855-7232; or to such other addresses and/or such other registered securities depositories holding substantial amounts of obligations of types similar to the Bonds as the Authority may designate in a Written Certificate of the Authority delivered to the Trustee.

“Serial Bonds” means the Bonds, falling due by their terms in specified years, for which no Mandatory Sinking Account Payments are provided.

“Series 2016A Bonds” means the \$25,130,000 California Municipal Finance Authority Insured Senior Living Refunding Revenue Bonds (Pilgrim Place in Claremont), Series 2016A Bonds authorized by, and at any time Outstanding pursuant to, the Indenture.

“Series 2016B Bonds” means the \$10,925,000 California Municipal Finance Authority Insured Senior Living Revenue Bonds (Pilgrim Place in Claremont), Series 2016B Bonds authorized by, and at any time Outstanding pursuant to, the Indenture.

“Short-Term Indebtedness” means Indebtedness having an original maturity less than or equal to one year and not renewable at the option of the Corporation for a term greater than one year from the date of original incurrence or issuance unless, by the terms of such Indebtedness, no Short-Term Indebtedness is permitted to be outstanding thereunder for a period of at least thirty (30) consecutive days during each Fiscal Year.

“Sinking Accounts” means the subaccounts in the Principal Account so designated and established pursuant to the Indenture.

“Special Record Date” means the date established by the Trustee pursuant to the provisions of the Indenture as a record date for the payment of defaulted interest on Bonds.

“Special Redemption Account” means the account by that name in the Redemption Fund established pursuant to the Indenture.

“State” means the State of California.

“Statement” means a written certification, certificate or statement or other appropriate written instrument normally provided in the applicable circumstance where required by the Regulatory Agreement to be provided or delivered by the Accountant, counsel, insurance agent, the Risk Management Consultant, the Management Consultant, the Corporation, the Office or other appropriate Person. The Statement shall be dated and signed by a person authorized to execute the Statement.

“Supplemental Indenture” means any indenture hereafter duly authorized and entered into between the Authority and the Trustee, supplementing, modifying or amending the Indenture; but only if and to the extent that such Supplemental Indenture is specifically authorized under the Indenture.

“Tax Agreement” means the Tax Certificate and Agreement with respect to the Bonds executed and delivered by the Authority, the Corporation and the Trustee, as originally executed and as the same may be amended and supplemented from time to time in accordance with the terms thereof.

“Term Bonds” means the Bonds payable at or before their specified maturity date or dates from Mandatory Sinking Account Payments established for that purpose and calculated to retire such Bonds on or before their specified maturity date or dates.

“Trustee” means U.S. Bank National Association, in its capacity as trustee, and its successors and assigns, and any other corporation or association which may at any time be substituted in its place as provided in the Indenture.

INDENTURE

General

The Indenture sets forth the terms of the Bonds, the application of the Bond proceeds, the nature and extent of the security, various rights of the Bondholders, rights, duties and immunities of the Trustee and the rights and obligations of the Authority. Certain provisions of the Indenture are summarized below. Other provisions are summarized in this Official Statement under the captions “THE BONDS” and “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS.” These summaries do not purport to be complete or definitive and are qualified in their entirety by reference to the full terms of the Indenture.

Pledge and Assignment

Pursuant to the provisions of the Indenture, the Authority transfers in trust, grants a security interest in and assigns to the Trustee, for the benefit of the Owners from time to time of the Bonds, all of the Revenues and any other amounts (including proceeds of the sale of Bonds), held in any fund or accounts established pursuant to the Indenture (other than the Rebate Fund) and all of the right, title and interest of the Authority in the Loan Agreement (except for its rights to give consent or approval under the Indenture and the right to receive, in all cases to the extent payable to the Authority or the Trustee, (i) any amounts paid by the Corporation (a) as Additional Payments (b) as the payment of the compensation and expenses of the Trustee and Authority under the Loan Agreement, (c) the right of the Trustee to indemnification pursuant to the Loan Agreement, and (c) as payment of expenses in relation to an Event of Default under the Loan Agreement, and (ii) the right of the Authority to indemnification, to receive notices, to consent to amendments and to receive the Certificate of the Corporation required by the Loan Agreement). The Trustee shall be entitled to and shall collect and receive all of the Revenues, and any Revenues collected or received by the Authority shall be deemed to be held, and to have been collected or received, by the Authority as the agent of the Trustee and shall forthwith be paid by the Authority to the Trustee. The Trustee also shall be entitled to and, subject to the provisions of the Indenture, shall take all steps, actions and proceedings reasonably necessary in its judgment to enforce all of the rights of the Authority and all of the obligations of the Corporation under the Loan Agreement, the Deed of Trust, the Contract of Insurance and the Regulatory Agreement.

Establishment of Funds and Accounts; Allocation of Revenues

The Indenture creates the Revenue Fund, including the Interest Account, the Principal Account and the Debt Service Reserve Account, each established within the Revenue Fund, the Insurance and Condemnation Proceeds Fund, the Redemption Fund, the Costs of Issuance Fund, the Project Fund and the Rebate Fund. All of such funds and accounts shall be established, maintained and held in trust by the Trustee and applied in accordance with the provisions set forth in the Indenture.

Revenue Fund. All Revenues shall be promptly deposited by the Trustee upon receipt thereof in a special fund designated as the “Revenue Fund,” which the Trustee shall establish, maintain and hold in trust, except as otherwise provided in the Indenture and except that all moneys received by the Trustee and required by the Loan Agreement to be deposited in the Redemption Fund shall be promptly deposited in the Redemption Fund, which the Trustee shall establish, maintain and hold in trust, and that all moneys received by the Trustee and required by the Loan Agreement to be deposited in the Debt Service Reserve Account shall be promptly deposited in such account. All Revenues deposited with the Trustee shall be held, disbursed, allocated and applied by the Trustee only as provided in the Indenture.

Allocation of Revenues. On or before the twenty-fifth (25th) day of each month, the Trustee shall transfer from the Revenue Fund and deposit into the following respective accounts (each of which

the Trustee shall establish and maintain within the Revenue Fund), the following amounts, in the following order of priority, the requirements of each such account or fund (including the making up of any deficiencies in any such account resulting from lack of Revenues sufficient to make any earlier required deposit) at the time of deposit to be satisfied before any transfer is made to any account or fund subsequent in priority:

First: to the Interest Account, one-sixth of the aggregate amount of interest becoming due and payable during the next succeeding six months on all Bonds then Outstanding, until the balance in said account is equal to said aggregate amount of interest; *provided, however*, that from the date of delivery of the Bonds until the first interest payment date with respect to the Bonds (if less than six months), transfers to the Interest Account shall be sufficient on a monthly pro rata basis to pay the interest becoming due and payable on said interest payment date;

Second: to the Principal Account, one-twelfth of the aggregate amount of principal becoming due and payable on the Outstanding Serial Bonds plus one-twelfth of the aggregate amount of Mandatory Sinking Account Payments required to be paid into the respective Sinking Accounts for Outstanding Term Bonds, in each case during the next ensuing twelve months, until the balance in said Principal Account is equal to said aggregate amount of such principal and Mandatory Sinking Account Payments; *provided, however*, that from the date of delivery of the Bonds until the first principal payment date with respect to the Bonds (if less than twelve months), transfers to the Principal Account shall be sufficient on a monthly pro rata basis to pay the principal becoming due and payable on said principal payment date;

Third: to the respective Subaccount of the Debt Service Reserve Account, (i) one-twelfth of the aggregate amount of each prior withdrawal from the respective Subaccount of the Debt Service Reserve Account for the purpose of making up a deficiency in the Interest Account or Principal Account (until deposits on account of such withdrawal are sufficient to fully restore the amount withdrawn), provided that no deposit need be made into the Debt Service Reserve Account if the balance in said subaccount is at least equal to the Debt Service Reserve Account Requirement, and (ii) in the event the balance in said account shall be less than the Debt Service Reserve Account Requirement due to valuation of the Investment Securities deposited therein in accordance with the Indenture, the amount necessary to increase the balance in said account to an amount at least equal to the Debt Service Reserve Account Requirement (until deposits on account of such valuation deficiency are sufficient to increase the balance in said subaccount to said amount); and

Fourth: to the Rebate Fund, such amounts as are required to be deposited therein by the Indenture (including the Tax Agreement).

Any moneys remaining in the Revenue Fund after the foregoing transfers shall be transferred first to the Office to the extent necessary to repay insurance advances made by the Office, including interest thereon as specified in the Regulatory Agreement, as certified to the Trustee by the Office, and thereafter to the Corporation.

Interest Account. All amounts in the Interest Account shall be used and withdrawn by the Trustee solely for the purpose of paying interest on the Bonds as it shall become due and payable (including accrued interest on any Bonds purchased or redeemed prior to maturity pursuant to the Indenture).

Principal Account.

(a) All amounts in the Principal Account shall be used and withdrawn by the Trustee solely for the purpose of paying the principal of the Bonds when due and payable, as provided in the Indenture.

(b) The Trustee shall establish and maintain within the Principal Account a separate subaccount for each of the Term Bonds, designated as the “Sinking Account.” On or before the twenty-fifth (25th) day of each month, the Trustee shall transfer the amount deposited in the Principal Account in that month pursuant to the Indenture for the purpose of making a Mandatory Sinking Account Payment (if such deposit is required in such month) from the Principal Account to the Sinking Account. On each Mandatory Sinking Account Payment date established for the Sinking Account, the Trustee shall transfer the amount deposited in the Sinking Account pursuant to the Indenture for the purpose of applying the Mandatory Sinking Account Payment required on that date to the redemption (or payment at maturity, as the case may be) of Term Bonds, upon the notice and in the manner provided in the Indenture; provided that, at any time prior to giving such notice of such redemption, the Trustee shall apply such moneys to the purchase of Term Bonds at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as the Corporation may direct, except that the purchase price (excluding accrued interest) shall not exceed the par amount of such Term Bonds. If, during the twelve-month period immediately preceding said Mandatory Sinking Account Payment date, the Trustee has purchased Term Bonds with moneys in the Sinking Account, or, during said period and prior to giving said notice of redemption, the Corporation has deposited Term Bonds with the Trustee, or Term Bonds were at any time purchased or redeemed by the Trustee from the Redemption Fund and allocable to said Mandatory Sinking Account Payment, such Term Bonds so purchased or deposited or redeemed shall be applied, to the extent of the full principal amount thereof, to reduce said Mandatory Sinking Account Payment. All Term Bonds purchased or deposited pursuant to this subsection shall be delivered to the Trustee and canceled. Any amounts remaining in the Sinking Account when all of the Term Bonds are no longer Outstanding shall be withdrawn by the Trustee and transferred to the Revenue Fund. All Term Bonds purchased from the Sinking Account or deposited by the Corporation with the Trustee shall be allocated first to the next succeeding Mandatory Sinking Account Payment, then to the remaining Mandatory Sinking Account Payments as the Corporation directs.

Insurance and Condemnation Proceeds Fund. The Trustee shall establish, maintain and hold in trust when deposits thereto are required a separate fund designated as the “Insurance and Condemnation Proceeds Fund,” and administer said fund as set forth in the Regulatory Agreement.

Redemption Fund. The Trustee shall establish and maintain within the Redemption Fund a separate Optional Redemption Account and a separate Special Redemption Account. The Trustee shall accept all moneys deposited for redemption and shall deposit such moneys into the Optional Redemption Account or the Special Redemption Account, as applicable. All amounts deposited in the Optional Redemption Account and in the Special Redemption Account shall be accepted and used and withdrawn by the Trustee solely for the purpose of redeeming Bonds, in the manner and upon the terms and conditions specified in the Indenture, at the next succeeding date of redemption for which notice has been given and at the Redemption Prices then applicable to redemptions from the Optional Redemption Account and the Special Redemption Account, respectively; provided that, at any time prior to giving such notice of redemption, the Trustee shall, upon written direction of the Corporation with the consent of the Office, apply such amounts to the purchase of Bonds at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as the Corporation may direct, except that the purchase price (exclusive of accrued interest) may not exceed the Redemption Price then applicable to such Bonds (or, if such Bonds are not then subject to redemption, the par value of such Bonds); and provided further that in the case of the

Optional Redemption Account in lieu of redemption at such next succeeding date of redemption, or in combination therewith, amounts in such account may be transferred to the Revenue Fund and credited against Loan Repayments in order of their due date as set forth in a Request of the Corporation. All Term Bonds purchased or redeemed from the Redemption Fund shall be allocated to applicable Mandatory Sinking Account Payments designated in a Certificate of the Corporation (or if the Corporation fails to deliver such a Certificate to the Trustee, in inverse order of their payment dates).

Debt Service Reserve Account. All amounts in the Debt Service Reserve Account shall be used and withdrawn by the Trustee solely for the purpose of making up any deficiency in the Interest Account or Principal Account (but, in each case, only with the consent of the Office, provided the Office is not in default of its obligations under the Contract of Insurance) or (together with any other moneys available therefor) for the payment or redemption of all Bonds then Outstanding.

All Investment Securities in the Debt Service Reserve Account shall be valued by the Trustee on or before each June 1 and December 1. On the fifth day of the month in which a valuation is made pursuant to the Indenture, any amount in the Debt Service Reserve Account in excess of the Debt Service Reserve Account Requirement shall be transferred to the Revenue Fund. To the extent that amounts in the Debt Service Reserve Account are less than 100% of the Debt Service Reserve Account Requirement, the Corporation shall pay to the Trustee amounts required by the Indenture. The Trustee may engage an independent consultant, at the expense of the Corporation, such expense to be reasonable and customary in the general market, to make this valuation.

Rebate Fund. The Trustee shall establish and maintain, when required, a fund separate from any other fund established and maintained under the Indenture designated as the Rebate Fund. Within the Rebate Fund, the Trustee shall maintain such accounts as shall be necessary to comply with instructions of the Corporation given pursuant to the terms and conditions of the Tax Agreement. Subject to the transfer provisions provided in the Indenture, all money at any time deposited in the Rebate Fund shall be held by the Trustee in trust, to the extent required to satisfy the Rebate Requirement (as defined in the Tax Agreement), for payment to the federal government of the United States of America. Neither the Authority, the Corporation nor the Owner of any Bonds shall have any rights in or claim to such money. All amounts deposited into or on deposit in the Rebate Fund shall be governed by the Indenture and by the Tax Agreement.

Investment of Moneys in Funds and Accounts

All moneys in any of the funds and accounts established pursuant to the Indenture shall be invested by, and in the name of, the Trustee, upon the written direction of the Corporation, solely in Investment Securities, and in accordance with the Indenture.

Certain Covenants

Against Encumbrances. The Authority shall not create, or permit the creation of, any pledge, lien, charge or other encumbrance upon the Revenues and other assets pledged or assigned under the Indenture while any of the Bonds are Outstanding, except the pledge and assignment created by the Indenture. Subject to this limitation, the Authority expressly reserves the right to enter into one or more other indentures for any of its corporate purposes, including other programs under the Act, and reserves the right to issue other obligations for such purposes.

Enforcement of Loan Agreement and Other Covenants. The Trustee shall promptly collect all amounts due from the Corporation pursuant to the Loan Agreement, and subject to the provisions of the Indenture, shall exercise all rights assigned to it pursuant to the Loan Agreement and shall enforce, and

take all steps, actions and proceedings reasonably necessary, as directed by the Authority, for the enforcement of all of the rights of the Authority and all of the obligations of the Corporation.

The Authority shall not amend, modify or terminate any of the terms of the Loan Agreement, or consent to any such amendment, modification or termination, without the written consent of the Office. The Authority shall not amend, modify or terminate the Loan Agreement in any manner materially adverse to the interests of the Trustee without the written consent of the Trustee.

The Trustee shall take all actions required by the terms of the Contract of Insurance to maintain, and, subject to the provisions of the Indenture, shall enforce by appropriate legal action, for the benefit of the Owners, the Contract of Insurance.

If (i) a Loan Default Event has occurred and is continuing under the Loan Agreement or (ii) debentures have been issued by the Treasurer of the State in satisfaction of the Office's obligations under the Contract of Insurance, and the Office is not in default of its obligations under the Contract of Insurance, the Trustee shall, within three Business Days of receipt of a Request of the Office, transfer to the Office all of the Trustee's right, title and interest in the Loan Agreement, the Regulatory Agreement and the Deed of Trust other than the right of the Trustee to receive Additional Payments and the indemnity pursuant to the Loan Agreement.

Events of Default under the Indenture and Remedies

Events of Default. The following events shall be Events of Default:

(a) default in the due and punctual payment of the principal or Redemption Price of any Bond when and as the same shall become due and payable, whether at maturity as therein expressed, by proceedings for redemption, by declaration or otherwise;

(b) default in the due and punctual payment of any installment of interest on any Bond when and as such interest installment shall become due and payable;

(c) default by the Authority in the observance of any of the other covenants, agreements or conditions on its part in the Indenture or in the Bonds contained, if such default shall have continued for a period of sixty (60) days after written notice thereof, specifying such default and requiring the same to be remedied, shall have been given to the Authority and the Corporation by the Trustee or the Office, or to the Authority, the Corporation and the Trustee by the Owners of not less than twenty-five percent (25%) in aggregate principal amount of the Bonds at the time Outstanding; or

(d) a Loan Default Event.

Acceleration of Maturities. If an Event of Default shall occur, then, and in each and every such case during the continuance of such Event of Default, the Trustee may and, upon receipt of instructions from the Owners of not less than a majority in aggregate principal amount of the Bonds at the time Outstanding or the Office, shall, upon notice in writing to the Authority, the Office and the Corporation, declare the principal of all of the Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately, and upon any such declaration the same shall become and shall be immediately due and payable, anything in the Indenture or in the Bonds contained to the contrary notwithstanding; provided, however, that no such declaration may be made unless (i) the Trustee is required to make such declaration pursuant to provisions of the Indenture described below under the caption "Collection Upon Insurance" or (ii) the Office consents to such acceleration and agrees to pay an amount equal to the full

principal amount of Bonds then Outstanding and interest thereon at the stated interest rates on the Bonds to the date of acceleration.

Any such declaration, however, is subject to the condition that if, at any time after such declaration and before any judgment or decree for the payment of the moneys due shall have been obtained or entered, the Authority, the Office or the Corporation shall deposit with the Trustee a sum sufficient to pay all the principal or Redemption Price of and installments of interest on the Bonds payment of which is overdue, with interest on such overdue principal at the rate borne by the respective Bonds, and the reasonable fees, charges and expenses of the Trustee, and any and all other defaults actually known to the Trustee (other than in the payment of principal of and interest on the Bonds due and payable solely by reason of such declaration) shall have been made good or cured to the satisfaction of the Trustee or provision deemed by the Trustee to be adequate shall have been made therefor, then, and in every such case, the Trustee may, if such declaration was made by the Trustee without instruction from the Owners, and the Trustee shall, upon receipt of written notice by the Owners of not less than a majority in aggregate principal amount of the Bonds then Outstanding, which written notice shall also be delivered to the Authority, the Office and the Corporation, on behalf of the Owners of all of the Bonds, rescind and annul such declaration and its consequences and waive such default; but no such rescission and annulment shall extend to or shall affect any subsequent default, or shall impair or exhaust any right or power consequent thereon. Notwithstanding the foregoing, the Trustee shall waive any Event of Default which is caused solely by a default under the Regulatory Agreement if the Office waives such default in writing.

Collection Upon Insurance. Upon the occurrence and continuance of an Event of Default, the Trustee shall proceed to take such steps as are necessary, in the reasonable judgment of the Trustee, to collect upon the insurance required by the Insurance Law. If the Office and the Treasurer of the State have notified the Trustee in writing that they elect to pay such insurance by means of debentures of the Office's Health Facility Construction Loan Insurance Fund, the Trustee shall as soon as practicable provide notice to each Owner of the exchange of such debentures for the Bonds then Outstanding in the same manner as for notice of redemption pursuant to the Indenture, and shall deliver to each Owner, as soon as practicable after surrender of such Owner's Bonds, debentures received from the Office in a principal amount equal to the principal amount of such Bonds plus accrued interest thereon and having maturities the same as such Bonds, bearing interest at such rate or rates equal to the rates on the respective Bonds. Bonds not delivered for exchange are no longer entitled to payment and become evidence of only the right to receive the related debenture, Bonds shall be delivered to the Office as required by the Act, and upon redelivery to the Trustee by the Office in accordance with the provisions of the Contract of Insurance, Bonds shall be cancelled and destroyed by the Trustee.

Application of Revenues and Other Funds After Default. If an Event of Default shall occur and be continuing, all Revenues and any other funds then held or thereafter received by the Trustee under any of the provisions of the Indenture shall be applied by the Trustee as follows and in the following order:

(1) To the payment of the principal or Redemption Price of and interest then due on the Bonds (upon presentation of the Bonds to be paid, and stamping thereon of the payment if only partially paid, or surrender thereof if fully paid) subject to the provisions of the Indenture, as follows:

(i) Unless the principal of all of the Bonds shall have become or have been declared due and payable,

First: To the payment to the persons entitled thereto of all installments of interest then due in the order of the maturity of such installments, and, if the amount available

shall not be sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the persons entitled thereto, without any discrimination or preference;

Second: To the payment to the persons entitled thereto of the unpaid principal or Redemption Price of any Bonds which shall have become due, whether at maturity or by call for redemption, in the order of their due dates, with interest on the overdue principal at the rate borne by the respective Bonds, and, if the amount available shall not be sufficient to pay in full all the Bonds due on any date, together with such interest, then to the payment thereof ratably, according to the amounts of principal or Redemption Price due on such date to the persons entitled thereto, without any discrimination or preference.

(ii) If the principal of all of the Bonds shall have become or have been declared due and payable, to the payment of the principal or Redemption Price and interest then due and unpaid upon the Bonds, with interest on the overdue principal at the rate borne by the respective Bonds, and, if the amount available shall not be sufficient to pay in full the whole amount so due and unpaid, then to the payment thereof ratably, without preference or priority of principal over interest or Redemption Price, or of interest over principal or Redemption Price, or of Redemption Price over principal or interest, or of any installment of interest over any other installment of interest, or of any Bond over any other Bond, according to the amounts due respectively for principal, Redemption Price, and interest, to the persons entitled thereto without any discrimination or preference;

(2) To the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Owners of the Bonds under the Indenture and payment of reasonable fees, charges and expenses of the Trustee (including reasonable fees and disbursements of its counsel) incurred, with the consent of the Office, in and about the performance of its powers and duties under the Indenture; and

(3) To the Office to the extent necessary to repay insurance advances, if any, made by the Office as such amounts are certified to the Trustee.

Trustee to Represent Bondholders. Pursuant to the Indenture, the Trustee is irrevocably appointed (and the successive respective Owners of the Bonds by taking and holding the same shall be conclusively deemed to have so appointed the Trustee) as trustee and true and lawful attorney in fact of the Owners of the Bonds for the purpose of exercising and prosecuting on their behalf such rights and remedies as may be available to such Owners under the provisions of the Bonds, the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act and applicable provisions of any other law. Upon the occurrence and continuance of an Event of Default or other occasion giving rise to a right in the Trustee to represent the Owners, the Trustee in its discretion may, and upon the written request of the Office or the Holders of not less than twenty-five percent (25%) in aggregate principal amount of the Bonds then Outstanding (provided, however, that if more than one such request is received by the Trustee from the Owners, the Trustee shall follow the request executed by the Owners of the greater percentage of Bonds then Outstanding in excess of twenty-five percent (25%)), and upon being indemnified to its satisfaction therefor, shall, with the written consent of the Office (so long as the Contract of Insurance is in effect and the Office is not in default thereunder), proceed to protect or enforce its rights or the rights of the Owners by such appropriate action, suit, mandamus or other proceedings as it shall deem most effectual to protect and enforce any such right, at law or in equity, either for the specific performance of any covenant or agreement contained in the Indenture, or in aid of the execution of any power granted in the Indenture, or for the enforcement of any other appropriate legal or equitable right or remedy vested in the Trustee or in such Owners under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act or any other

law; and upon instituting such proceeding, the Trustee shall be entitled, as a matter of right, to the appointment of a receiver of the Revenues and other assets pledged under the Indenture, pending such proceedings. All rights of action under the Indenture or the Bonds or the production thereof in any proceeding related thereto, and any such suit, action or proceeding instituted by the Trustee shall be brought in the name of the Trustee for the benefit and protection of all Owners of such Bonds, subject to the provisions of the Indenture.

Notwithstanding anything to the contrary in the Indenture, the Authority shall have no obligation to and instead the Trustee may, without further direction from the Authority, take any and all steps, actions and proceedings, to enforce any or all rights of the Authority (other than those specifically retained by the Authority pursuant to the Indenture) under the Indenture and the Loan Agreement, including, without limitation, the rights to enforce the remedies upon the occurrence and continuation of an Event of Default and the obligations of the Corporation under the Loan Agreement.

Office and Bondholders' Direction of Proceedings. Anything in the Indenture to the contrary notwithstanding, the Office, or the Owners of a majority in aggregate principal amount of the Bonds then Outstanding, in each case where the Owners seek to direct proceedings with the written consent of the Office shall have the right, by an instrument or concurrent instruments in writing executed and delivered to the Trustee, to direct the method of conducting all remedial proceedings taken by the Trustee under the Indenture, provided that such direction shall not be otherwise than in accordance with law and the provisions of the Indenture, and that, unless the Office is the Owner of all Bonds or has caused all Bonds to be paid in full, the Trustee shall have the right to decline to follow any such direction (i) that in the opinion of the Trustee would be unjustly prejudicial to Owners not parties to such direction, it being understood that the Trustee shall have no duty to ascertain whether or not such actions are unduly prejudicial to such Owners, (ii) if the party tendering such direction to the Trustee has not furnished the Trustee with indemnity reasonably satisfactory to the Trustee against any and all liability, damage, loss, cost or expense (including reasonable attorneys' fees and expenses) arising directly or indirectly from the Trustee's compliance with such direction (collectively, "Indemnified Liabilities") or (iii) if it may involve the Trustee in personal liability.

Anything in the Indenture to the contrary notwithstanding, in the event that any of the following has occurred and is continuing:

(a) the Corporation files a petition in voluntary bankruptcy, for the composition of its affairs or for its corporate reorganization under any state or federal bankruptcy or insolvency law, or makes an assignment for the benefit of creditors, or admits in writing to its insolvency or inability to pay debts as they mature, or consents in writing to the appointment of a trustee or receiver for itself or for the whole or any substantial part of the Facilities;

(b) a court of competent jurisdiction shall enter an order, judgment or decree declaring the Corporation an insolvent, or adjudging it bankrupt, or appointing a trustee or receiver of the Corporation or of the whole or any substantial part of the Facilities, or approving a petition filed against the Corporation seeking reorganization of the Corporation under any applicable law or statute of the United States of America or any state thereof, and such order, judgment or decree shall not be vacated or set aside or stayed within 60 days from the date of the entry thereof; or

(c) under the provisions of any other law for the relief or aid of debtors any court of competent jurisdiction shall assume custody or control of the Corporation or of the whole or any substantial part of the Facilities, and such custody or control shall not be terminated within 60 days from the date of assumption of such custody or control;

then, so long as the Contract of Insurance is in effect and the Office is not in default thereunder, the Office shall have the right to vote in the place and stead of all Owners with respect to any plan of reorganization or liquidation, any agreement for composition of creditors, and any assignment for the benefit of the creditors.

The Office shall represent Bondholders in all bankruptcy proceedings and may take such action or consent to any agreement on behalf of Bondholders, provided that any such action or consent shall in no way impair the rights and benefits due Bondholders under the Contract of Insurance.

Limitation on Bondholders' Right to Sue. No Owner of any Bond shall have the right to institute any suit, action or proceeding at law or in equity, for the protection or enforcement of any right or remedy under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act or any other applicable law with respect to such Bond, unless (1) such Owner shall have given to the Trustee written notice of the occurrence of an Event of Default; (2) the Owners of not less than twenty-five percent (25%) in aggregate principal amount of the Bonds then Outstanding (or if more than one such request is received, the written request executed by the Owners of the greatest percentage of Bonds then Outstanding in excess of twenty-five percent (25%)) shall have made written request upon the Trustee to exercise the powers granted by the Indenture or to institute such suit, action or proceeding in its own name; (3) such Owner or said Owners shall have tendered to the Trustee reasonable indemnity against the costs, expenses and liabilities to be incurred in compliance with such request; (4) the Trustee shall have refused or omitted to comply with such request for a period of sixty (60) days after such written request shall have been received by, and said tender of indemnity shall have been made to, the Trustee; and (5) the Office consents in writing to the action specified in such request (provided that such consent shall be required only so long as the Contract of Insurance is in effect and the Office is not in default thereunder).

Such notification, request, tender of indemnity and refusal or omission are declared, in every case, to be conditions precedent to the exercise by any Owner of Bonds of any remedy under the Indenture or under law; it being understood and intended that no one or more Owners of Bonds shall have any right in any manner whatever by his or their action to affect, disturb or prejudice the security of the Indenture or the rights of any other Owners of Bonds, or to enforce any right under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act or any other applicable law with respect to the Bonds, except in the manner provided in the Indenture, and that all proceedings at law or in equity to enforce any such right shall be instituted, had and maintained in the manner provided in the Indenture and for the benefit and protection of all Owners of the Outstanding Bonds, subject to the provisions of the Indenture.

Additional Requirements Concerning Foreclosure. Anything to the contrary notwithstanding, the Trustee shall not be required to enter, take possession of, or take any other action whatsoever with respect to the Facilities, and shall not be required to initiate foreclosure proceedings with respect to the Facilities and the Deed of Trust unless the Trustee is satisfied that the Trustee will not be subject to any liability (i) under any Environmental Regulations, or (ii) from any circumstances present at the Facilities relating to the presence, use, management, disposal of or contamination by any Hazardous Substance. The Trustee shall not be required to take any foreclosure action if the approval of a government regulator shall be a condition precedent to taking such action, and such approval cannot be obtained.

Control Rights of the Office

So long as the Contract of Insurance is in effect and the Office is not in default thereunder:

(a) The Office shall be deemed to be the Owner of all of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the Owners of such Bonds.

(b) Anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and continuance of an Event of Default, the Office shall be entitled to control and direct the enforcement of all rights and remedies granted to the Owners or the Trustee for the benefit of the Owners.

(c) The rights granted to the Office under the Indenture and/or the Loan Agreement to request, consent to or direct any action are rights granted to the Office in consideration of its issuance of its insurance for the Bonds. Any exercise by the Office of such rights is merely an exercise of the Office's contractual rights and shall not be construed or deemed to be taken for the benefit, or on behalf, of the Owners and such action does not evidence any position of the Office, affirmative or negative, as to whether the consent of the Owners or any other person is required in addition to the consent of the Office.

Amendment of Indenture

The Indenture and the rights and obligations of the Authority and of the Owners of the Bonds and of the Trustee may be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the Authority and the Trustee may enter into when the written consent of (i) the Office or (ii) the Owners of a majority in aggregate principal amount of the Bonds then Outstanding shall have been filed with the Trustee; provided that if such modification or amendment will, by its terms, not take effect so long as any Bonds of any particular maturity remain Outstanding, the consent of the Owners of such Bonds shall not be required and such Bonds shall not be deemed to be Outstanding for the purpose of any calculation of Bonds Outstanding under the Indenture. No such modification or amendment shall (1) extend the fixed maturity of any Bond, or reduce the amount of principal thereof, or extend the time of payment or reduce the amount of any Mandatory Sinking Account Payment, provided in the Indenture for the payment of any Bond, or reduce the rate of interest thereon, or extend the time of payment of interest thereon, or reduce any premium payable upon the redemption thereof, without the consent of the Owner of each Bond so affected, or (2) reduce the aforesaid percentage of Bonds the consent of the Owners of which is required to effect any such modification or amendment, or permit the creation of any lien on the Revenues and other assets pledged under the Indenture prior to or on a parity with the lien created by the Indenture, or deprive the Owners of the Bonds of the lien created by the Indenture on such Revenues and other assets (except as expressly provided in the Indenture and the Loan Agreement), without the consent of the Owners of all of the Bonds then Outstanding. It shall not be necessary for the consent of the Owners to approve the particular form of any Supplemental Indenture, but it shall be sufficient if such consent shall approve the substance thereof. Promptly after the execution by the Authority and the Trustee of any Supplemental Indenture entered into with the consent of the Office and the Owners of a majority in aggregate principal amount of the Bonds then Outstanding, the Trustee shall mail a notice, setting forth in general terms the substance of such Supplemental Indenture, to the Owners at the addresses shown on the bond registration books maintained by the Trustee. Any failure to give such notice, or any defect therein, shall not, however, in any way impair or affect the validity of any such Supplemental Indenture.

The Indenture and the rights and obligations of the Authority, of the Trustee and of the Owners of the Bonds may also be modified or amended from time to time and at any time by an indenture or indentures supplemental hereto, which the Authority and the Trustee may enter into without the consent of any Owners, but only with the consent of the Corporation and the Office if the Trustee has been

furnished an Opinion of Counsel, that the provisions of such Supplemental Indenture shall not materially adversely affect the interests of the Owners, including, without limitation, for any one or more of the following purposes:

(1) to add to the covenants and agreements of the Authority contained in the Indenture other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power herein reserved to or conferred upon the Authority;

(2) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Indenture, or in regard to matters or questions arising under the Indenture, as the Authority may deem necessary or desirable and not inconsistent with the Indenture;

(3) to make such additions, deletions or modifications as may be necessary to assure compliance with sections 145 or 148 of the Code, or otherwise to assure the exclusion from gross income under federal tax law of interest on the Bonds;

(4) to modify, amend or supplement the Indenture in such manner as to permit the qualification of the Indenture under the Trust Indenture Act of 1939, as amended, or any similar federal statute hereafter in effect, and to add such other terms, conditions and provisions as may be permitted by said act or similar federal statute; or

(5) to modify, amend or supplement the provisions relating to the giving of notices of redemption in such manner as to comply with Securities and Exchange Commission guidelines on the giving of such notices.

The Trustee shall give notice of any modification or amendment entered into with the consent of the Office and the Owners of a majority in aggregate principal amount of the Bonds then Outstanding to the Owners of all Bonds then Outstanding at the addresses shown on the registration books maintained by the Trustee provided the Trustee shall incur no liability for failure to do so.

Defeasance

Discharge of Indenture. Bonds may be paid by the Authority in any of the following ways; provided that the Authority also pays or causes to be paid any other sums payable under the Indenture by the Authority and related to the Bonds: (a) by paying or causing to be paid the principal or Redemption Price of and interest on all Bonds then Outstanding, as and when the same become due and payable; (b) by depositing with the Trustee, in trust, at or before maturity, moneys or securities in the necessary amount to pay or redeem all Bonds then Outstanding; or (c) by delivering to the Trustee, for cancellation by it, all Bonds then Outstanding.

If the Authority shall pay all Bonds then Outstanding and shall also pay or cause to be paid all other sums payable under the Indenture by the Authority, then and in that case, at the election of the Authority (evidenced by a Certificate of the Authority, filed with the Trustee, signifying the intention of the Authority to discharge all such indebtedness and the Indenture), and notwithstanding that any Bonds shall not have been surrendered for payment, the Indenture and the pledge of Revenues and other assets made under the Indenture and all covenants, agreements and other obligations of the Authority under the Indenture shall cease, terminate, become void and be completely discharged and satisfied, except only as provided pursuant to the provisions of the Indenture described below under the caption "Discharge of Liability on Bonds."

Discharge of Liability on Bonds. Upon the deposit with the Trustee, in trust, at or before maturity, of money or securities in the necessary amount (as provided in the Indenture) to pay or redeem any Outstanding Bond (whether upon or prior to its maturity or the redemption date of such Bond), provided that, if such Bond is to be redeemed prior to maturity, notice of such redemption shall have been given as in the Indenture provided or provision satisfactory to the Trustee shall have been made for the giving of such notice, then all liability of the Authority in respect of such Bond shall cease, terminate and be completely discharged, except only that thereafter the Owner thereof shall be entitled to payment of the principal of and interest on such Bond by the Authority and the Authority shall remain liable for such payment, but only out of such money or securities deposited with the Trustee as aforesaid for their payment, provided further, however, that the provisions of the Indenture shall apply in all events.

Deposit of Money or Securities With Trustee. Whenever in the Indenture it is provided or permitted that there be deposited with or held in trust by the Trustee money or securities in the necessary amount to pay or redeem any Bonds, the money or securities to be deposited or held may include money or securities held by the Trustee in the funds and accounts established pursuant to the Indenture (exclusive of the Rebate Fund) and shall be:

(a) lawful money of the United States of America in an amount equal to the principal amount of such Bonds and all unpaid interest thereon to maturity, except that, in the case of Bonds which are to be redeemed prior to maturity and in respect of which notice of such redemption shall have been given as in the Indenture provided or provision satisfactory to the Trustee shall have been made for the giving of such notice, the amount to be deposited or held shall be the principal amount or Redemption Price of such Bonds and all unpaid interest thereon to the redemption date; or

(b) Investment Securities described in clause (a) of the definition thereof (not callable by the issuer thereof prior to maturity) the principal of and interest on which when due will provide money sufficient, as verified by an independent certified public accountant, to pay the principal or Redemption Price of and all unpaid interest to maturity, or to the redemption date, as the case may be, on the Bonds to be paid or redeemed, as such principal or Redemption Price and interest become due, provided that, in the case of Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption shall have been given as in the Indenture provided or provision satisfactory to the Trustee shall have been made for the giving of such notice;

provided, in each case, that the Trustee shall have been irrevocably instructed (by the terms of the Indenture or by Request of the Authority) to apply such money to the payment of such principal or Redemption Price and interest with respect to such Bonds.

LOAN AGREEMENT

General

The Loan Agreement is an agreement between the Authority and the Corporation whereby the Authority agrees to lend the proceeds of the Bonds to the Corporation and the Corporation agrees to make payments to the Trustee sufficient to pay debt service on the Bonds. Certain of the provisions of the Loan Agreement are summarized below. This summary does not purport to be complete or definitive and is qualified in its entirety by reference to the full terms of the Loan Agreement.

Loan of Proceeds; Loan Repayments

The Authority lends and advances to the Corporation, and the Corporation borrows and accepts from the Authority, the net proceeds received from the sale of the Bonds, such proceeds to be applied

under the terms and conditions of the Loan Agreement and the Indenture. In consideration of the loan of the proceeds of the Bonds to the Corporation, the Corporation agrees that, on or before the first day of each month and as long as any of the Bonds remain Outstanding, it shall pay to the Trustee for deposit in the Revenue Fund such amount as is required by the Trustee to make the transfers and deposits required on or before the twenty-fifth (25th) day of such month by the Indenture, including, without limitation, amounts required to replenish the Debt Service Reserve Account to the Debt Service Reserve Account Requirement in the event of deficiencies therein. Notwithstanding the foregoing, if five (5) Business Days prior to any interest or principal payment date with respect to the Bonds, the aggregate amount in the Revenue Fund is for any reason other than a clerical error on the part of the Trustee insufficient or unavailable to make the required payments of principal (or Redemption Price) of or interest on the Bonds then becoming due (whether by maturity, redemption or acceleration), the Corporation shall forthwith pay the amount of any such deficiency to the Trustee. Each payment by the Corporation to the Trustee under the Loan Agreement shall be in lawful money of the United States of America and paid to the Trustee at its Trust Office, and shall be held, invested, disbursed and applied as provided in the Indenture. The Loan Repayments set forth in the Loan Agreement represent the amounts required to pay debt service on the Bonds.

Except as otherwise expressly provided in the Loan Agreement, all amounts payable thereunder by the Corporation to the Authority shall be paid to the Trustee as assignee of the Authority and the Loan Agreement and all right, title and interest of the Authority in any such payments are thereby assigned and pledged to the Trustee so long as any Bonds remain Outstanding.

Additional Payments

In addition to the Loan Repayments, the Corporation shall also pay to the Authority or to the Trustee, as the case may be, "Additional Payments," as follows:

(a) All taxes and assessments of any type or character charged to the Authority or to the Trustee affecting the amount available to the Authority or the Trustee from payments to be received under the Loan Agreement or in any way arising due to the transactions contemplated thereby (including taxes and assessments assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments) but excluding franchise taxes based upon the capital and/or income of the Trustee and taxes based upon or measured by the net income of the Trustee; provided, however, that the Corporation shall have the right to protest any such taxes or assessments and to require the Authority or the Trustee, as the case may be, at the Corporation's expense, to protest and contest any such taxes or assessments assessed or levied upon them and that the Corporation shall have the right to withhold payment of any such taxes or assessments pending disposition of any such protest or contest unless such withholding, protest or contest would adversely affect the rights or interests of the Authority or the Trustee;

(b) The annual fee of the Trustee, and all reasonable fees, charges and expenses of the Trustee for services rendered under the Indenture, as and when the same become due and payable;

(c) The reasonable and documented fees and expenses of such accountants, consultants, attorneys and other experts as may be engaged by the Authority or the Trustee to prepare audits, financial statements, reports, opinions or provide such other services required under the Loan Agreement or the Indenture;

(d) The Authority Annual Fee and the reasonable fees and expenses of the Authority or any agent or attorney selected by the Authority to act on its behalf in connection with the Loan Agreement, the Bonds or the Indenture, including, without limitation, any and all reasonable expenses incurred in connection with the authorization, issuance, sale and delivery of any such Bonds or in connection with any litigation, investigation or other proceeding which may at any time be instituted involving the Loan Agreement, the Bonds or the Indenture or any of the other documents contemplated thereby, or in connection with the reasonable supervision or inspection of the Corporation, its properties, assets or operations or otherwise in connection with the administration of the Loan Agreement or the Indenture; and

(e) Any amounts due and payable by the Corporation as arbitrage rebate under section 148 of the Code, pursuant to Corporation's covenants and agreements with respect thereto in the Loan Agreement.

Such Additional Payments shall be billed to the Corporation by the Authority or the Trustee from time to time, together with a statement certifying that the amount billed has been incurred or paid by the Authority or the Trustee for one or more of the above items. After such a demand, amounts so billed shall be paid by the Corporation within thirty (30) days after the date of invoice.

Security For Corporation's Obligations

In consideration of the issuance of the Bonds and the loan of the proceeds thereof to the Corporation under the Loan Agreement and to secure the payment of Loan Repayments and the performance of the other obligations of the Corporation thereunder, the Corporation pledges and grants a security interest (subject to Permitted Encumbrances) to the Office and the Authority in the Facilities. The Corporation has entered into the Deed of Trust to further secure the Corporation's obligations under the Loan Agreement. The Corporation agrees to execute and cause to be filed Uniform Commercial Code financing statements in form and substance satisfactory to the Office, to execute a deposit account control agreement with the Depository Bank(s) with respect to the security interest granted under the Loan Agreement and to execute and deliver such other documents (including, but not limited to, subordination agreements and continuation statements) as the Authority or the Office may reasonably require in order to perfect or maintain as perfected such security interest or give public notice thereof. The Deed of Trust, pursuant to its terms, may be amended and property released therefrom upon written notice to the Trustee with the consent of the Office without the necessity of obtaining the consent of the Authority, the Trustee or the Bondowners.

Obligations of the Corporation Unconditional

The obligations of the Corporation to make the Loan Repayments and Additional Payments required under the Loan Agreement and to perform and observe the other agreements on its part contained therein shall be absolute and unconditional, and shall not be abated, rebated, setoff, reduced, abrogated, terminated, waived, diminished, postponed or otherwise modified in any manner or to any extent whatsoever, while any Bonds remain Outstanding or any Additional Payments remain unpaid, regardless of any contingency, act of God, event or cause whatsoever, including, without limiting the generality of the foregoing, any acts or circumstances that may constitute failure of consideration, eviction or constructive eviction, the taking by eminent domain or destruction of or damage to the Facilities, commercial frustration of purpose, any changes in the laws of the United States of America or of the State or any political subdivision of either or in the rules or regulations of any governmental authority, or any failure of the Authority or the Trustee to perform and observe any agreement, whether express or implied, or any duty, liability or obligation arising out of or connected with the Loan Agreement or the Indenture. The Loan Agreement shall be deemed and constructed to be a "net contract," and the Corporation shall

pay absolutely net the Loan Repayments, Additional Payments and all other payments required thereunder, regardless of any rights of setoff, recoupment, abatement or counterclaim that the Corporation might otherwise have against the Authority or the Trustee or any other party or parties.

Prepayment

The Corporation shall have the right at any time or from time to time to prepay all or any part of the Loan Repayments and the Authority agrees that the Trustee shall accept such prepayments when the same are tendered by the Corporation. All such prepayments (and the additional payment of any amount necessary to pay the applicable premiums, if any, payable upon the redemption of Bonds) shall be deposited upon receipt in the Redemption Fund established pursuant to the Indenture and used for the redemption or purchase of Outstanding Bonds in the manner and subject to the terms and conditions set forth in the Indenture.

Tax Covenant

The Corporation has covenanted and agreed to at all times do and perform all acts and things permitted by law and the Loan Agreement and the Indenture which are necessary or desirable in order to assure that interest paid on the Bonds will be excluded from gross income of the Owners thereof for federal income tax purposes and shall take no action that would result in such interest not being so excluded. Without limiting the generality of the foregoing, the Authority and the Corporation agree that it will comply with the provisions of the Tax Agreement which are incorporated in the Loan Agreement. This covenant shall survive termination of the Loan Agreement and the defeasance or redemption of the Bonds.

Continuing Disclosure

The Corporation covenants and agrees that it will comply with and carry out all of the provisions of the Continuing Disclosure Certificate. Notwithstanding any other provision of the Loan Agreement, failure of the Corporation to comply with the Continuing Disclosure Certificate shall not be considered a Loan Default Event; however, the Trustee may, at the request of the Holders of at least 25% aggregate principal amount in Outstanding Bonds, to the extent indemnified to its satisfaction from any liability, cost or expense, including reasonable, documented fees and expenses of its attorneys, or any Bondowner or Beneficial Owner may take such actions as may be necessary and appropriate, including seeking specific performance by court order, to cause the Corporation to comply with its continuing disclosure obligations under the Loan Agreement.

Loan Default Events

The following events shall be "Loan Default Events:"

(a) Failure by the Corporation to pay in full any payment required under the Loan Agreement when due, whether at maturity, upon a date fixed for prepayment, by declaration or otherwise pursuant to the terms hereof;

(b) If any representation or warranty made by the Corporation under the Loan Agreement or in any document, instrument or certificate furnished to the Trustee or the Authority in connection with the issuance of the Bonds shall at any time prove to have been incorrect in any material respect as of the time made;

(c) If the Corporation shall fail to observe or perform any covenant, condition, agreement or provision in the Loan Agreement or the Regulatory Agreement on its part to be observed or performed, other than as referred to in subsection (a) or (b) above for a period of thirty-five (35) days after written notice, specifying such failure or breach and requesting that it be remedied, has been given to the Corporation by the Authority, the Office or the Trustee; except that, if such failure or breach can be remedied but not within such thirty-five (35) day period and if the Corporation has taken all action reasonably possible to remedy such failure or breach within such thirty-five (35) day period, such failure or breach shall not become a Loan Default Event for so long as the Corporation shall diligently proceed to remedy same in accordance with and subject to any directions or limitations of time established by the Office;

(d) If the Corporation shall abandon the Facilities, or any substantial part thereof and such abandonment shall continue for a period of thirty (30) days after written notice thereof shall have been given to the Corporation by the Authority or the Trustee;

(e) If any default shall exist under any agreement respecting Long-Term Indebtedness (other than Parity Debt) and if, as a result thereof, Long-Term Indebtedness in an aggregate principal amount in excess of ten percent (10%) of the Corporation's Adjusted Annual Operating Revenues shall be declared immediately due and payable or a proceeding is brought for enforcement thereof; *provided, however*, that a Loan Default Event shall not exist as described in this clause (e) if the Corporation establishes cash reserves acceptable to the Office for the payment of such Long-Term Indebtedness which, in the reasonable opinion of the Office, are adequate;

(f) If any default shall exist under any instrument pursuant to which Parity Debt was issued and is Outstanding, and such default shall continue after the applicable grace period;

(g) If the Corporation files a petition in voluntary bankruptcy, for the composition of its affairs or for its corporate reorganization under any state or federal bankruptcy or insolvency law, or makes an assignment for the benefit of creditors, or admits in writing to its insolvency or inability to pay debts as they mature, or consents in writing to the appointment of a trustee or receiver for itself or for the whole or any substantial part of the Facilities;

(h) If a court of competent jurisdiction shall enter an order, judgment or decree declaring the Corporation an insolvent, or adjudging it bankrupt, or appointing a trustee or receiver of the Corporation or of the whole or any substantial part of the Facilities, or approving a petition filed against the Corporation seeking reorganization of the Corporation under any applicable law or statute of the United States of America or any state thereof, and such order, judgment or decree shall not be vacated or set aside or stayed within ninety (90) days from the date of the entry thereof;

(i) If, under the provisions of any other law for the relief or aid of debtors, any court of competent jurisdiction shall assume custody or control of the Corporation or of the whole or any substantial part of the Facilities, and such custody or control shall not be terminated within ninety (90) days from the date of assumption of such custody or control; or

(j) If any Event of Default under the Indenture shall occur.

Remedies on Default

If a Loan Default Event shall occur, then, and in each and every such case during the continuance of such Loan Default Event, the Authority or the Trustee, to the extent the Trustee has actual knowledge (as defined in the Indenture) of such Loan Default Event, may, subject to its rights and protections under

the Indenture, with the consent of the Office provided that such consent shall otherwise be required only so long as the Contract of Insurance is in effect and the Office is not in default of its obligations thereunder, take any one or more of the following remedial steps:

(a) The Authority or the Trustee may, upon notice in writing to the Corporation, declare all installments of Loan Repayments and Additional Payments payable for the remainder of the term of the Loan Agreement to be immediately due and payable, whereupon the same shall be immediately due and payable, anything in the Loan Agreement to the contrary notwithstanding; “all installments” as used in this subsection shall mean an amount equal to the entire principal amount of the then Outstanding Bonds, together with all interest accrued or to accrue on and prior to the next succeeding redemption date or dates on which the Bonds can be redeemed after giving notice to the Holders thereof as required by the Indenture.

(b) The Authority or the Trustee may take whatever action, at law or in equity, as may appear necessary or desirable to collect the Loan Repayments, Additional Payments and any other payments then due and thereafter to become due under the Loan Agreement or to enforce the performance and observance of any obligation, covenant, agreement or provision contained in the Loan Agreement to be observed or performed by the Corporation.

(c) The Authority and the Trustee as its assignee shall have all the rights and remedies of a secured party or creditor under the Uniform Commercial Code of the State, and the general laws of the State, with respect to the enforcement of the security interests granted or reserved under the Loan Agreement, including without limitation to the extent permitted by law the right to require that all or a portion of the personal property portion of the Facilities be assembled and delivered to the Trustee and the Trustee may, to the extent permitted by law, impound books and records evidencing the Corporation’s accounts, accounts receivable and other similar claims for the payment of money and take possession of all notes and other documents which evidence such accounts, accounts receivable and claims for money and give notice to obligors thereunder of its interest therein and make direct collections on such accounts, accounts receivable and claims for money.

(d) The Authority or the Trustee may take whatever legal action may appear necessary or desirable to enforce their rights and the rights of the Holders of the Bonds under the Deed of Trust.

Loan Agreement Represents Complete Agreement; Amendments

The Loan Agreement represents the entire contract between the parties as to the Corporation’s obligation to repay the loan made pursuant to the Loan Agreement. The Loan Agreement may not be effectively amended, changed, modified, altered or terminated except by the written agreement of the Corporation and the Authority and the concurring written consent of the Trustee and the Office, given in accordance with the provisions of the Indenture.

REGULATORY AGREEMENT

General

The Regulatory Agreement is an agreement among the Office, the Authority and the Corporation to establish the requirements of the Office with respect to certain details of the financing transaction. The Regulatory Agreement also sets out certain business covenants of the Corporation, including maintenance, operation and management of the Facilities and limitations on encumbrances, assignment and transfer of any part of the Facilities and other matters. The Regulatory Agreement also provides for the rights and obligations of the parties in the event of a default and provides for the manner in which the

benefits of the insurance are to be paid. Although certain provisions of the Regulatory Agreement are summarized below, this summary does not purport to be complete or definitive and is qualified in its entirety by reference to the full terms of the Regulatory Agreement.

Security of Gross Revenues Pledged and Deed of Trust

The performance of the obligations of the Corporation to the Office under the Regulatory Agreement and the Contract of Insurance is secured by, among other things, the Gross Revenues pledged by the Corporation under the Regulatory Agreement, including, but not limited to, future interest on any and all revenues or incomes of any nature or kind which accrue to the Corporation or Facilities, as well as other collateral and by the lien on the Facilities created by the Deed of Trust. The Corporation covenants and agrees that the lien of the Deed of Trust shall be subject only to liens, conditions, covenants and restrictions, easements, taxes, and assessments of record approved by the Office as exceptions to the ALTA title insurance policy identified in the Regulatory Agreement, and Permitted Encumbrances.

Use of Proceeds of Bonds

The proceeds of the Bonds together with other available funds shall be used exclusively by the Corporation for the following purposes: to finance the Project, to fund a Debt Service Reserve Account and to pay the insurance premium and other expenses related to the execution and issuance of the Bonds.

Negative Covenants

The Corporation covenants not to, without the prior written consent of the Office: (a) remodel, reconstruct, or demolish any part of the Facilities (except in the ordinary course of business) or subtract from any real property of the Corporation except for the maintenance described in the regulations of the relevant State licensing agencies, which may be accomplished without limitation; (b) pay any compensation or make any distribution of income or other assets to any of its officers or directors other than as compensation to such persons in their capacities as officers, directors, employees, contractors or suppliers of the Corporation or the reimbursement of ordinary out-of-pocket expenses; (c) amend the Corporation's articles of incorporation or bylaws in any material respect, except as required by applicable law; (d) except for affiliations or contracts with public agencies, health maintenance organizations and other health care plans and providers entered into by the Corporation in its ordinary course of business, establish, maintain, or affiliate with a Person in conjunction with which the Corporation will carry on its activities; transfer control of any of the Facilities to any other Person; or assume, either directly, indirectly or through intermediaries, the management or control of any other Person, unless in each such case (1) the Contract of Insurance remains in full force and effect after such act, and (2) no event of default under the Regulatory Agreement has occurred and is continuing or will, as a result of such act, occur; (e) cease to operate the Facilities, such that the Facilities no longer qualify as a "health facility" as defined in Insurance Law Section 129010, except to the extent permitted by the Insurance Law; and (f) any architectural or construction contract for the Project except for customary change orders for which moneys are available in the Project Fund.

Maintenance of the Facilities

The Corporation shall maintain the Facilities in good and substantial repair and condition; provided that, in the event all or any of the Facilities shall be destroyed or damaged by fire or other casualty, the money derived from any insurance on the property shall be applied in accordance with the terms of the Regulatory Agreement and the Indenture.

Bankruptcy; Insolvency; Receiver

The Corporation shall not file any petition in bankruptcy or in insolvency, or for a receiver or reorganization or composition; or make any assignment for the benefit of creditors or to a trustee for creditors; or permit an adjudication in bankruptcy, the taking possession of the Facilities or any part thereof by a receiver, or the seizure and sale of the Facilities or any part thereof under judicial process or pursuant to any power of sale (except as provided in the Deed of Trust) and fail to have such adverse actions set aside within forty-five (45) days.

The Corporation immediately shall give notice to the Office of the filing of any petition, or commencement of any proceedings, in bankruptcy, or for a receiver or insolvency or for reorganization or composition, or any assignment for the benefit of creditors to a trustee for the benefit of creditors, relating to the Corporation or the Facilities.

If the Corporation, or its creditors, file a petition alleging insolvency, requesting reorganization or a composition of creditors, or for an assignment for the benefit of creditors, in any court, the Office shall have the right to participate in, or vote on, any plan or reorganization, agreement for a composition of creditors, and on any assignment for the benefit of creditors. If there is a proceeding to effect a receivership for the Corporation, the Office shall have the right to select the receiver.

So long as the Contract of Insurance is in full force and effect and the Office is not in default thereunder, the Office shall represent the Owners in all bankruptcy proceedings and may take such action or consent to any agreement on behalf of Owners, provided that any such action or consent shall in no way impair the rights and benefits due Owners under the Contract of Insurance.

Maintenance of Existence; Affiliation, Merger, Consolidation Sale or Transfer Under Certain Conditions

The Corporation shall maintain its existence as a nonprofit public benefit corporation of the State, operating a health facility and meeting the requirements of Section 501(c)(3) of the Code, and shall not dissolve, sell or otherwise dispose of all or substantially all of its assets or affiliate with, consolidate with or merge into another Person or permit one or more other Persons to affiliate with, consolidate with or merge into it; provided, that the Corporation may, without violating the covenants described in this Section, affiliate with, consolidate with or merge into another Person, or permit one or more other Persons to affiliate with, consolidate with or merge into it, or sell or otherwise transfer to another Person such assets, if:

(1) The Corporation obtains the written consent of the Office to such transaction and a Statement of the Office to the effect that the Contract of Insurance remains in full force and effect after such transaction;

(2) The Office, the Authority and the Trustee shall have received an Opinion of Bond Counsel to the effect that such affiliation, merger, consolidation, sale or other transfer will not cause the interest on the Bonds to be included in gross income for federal income tax purposes under Section 103 of the Code;

(3) The surviving, resulting or transferee Person: (a) assumes in writing, if such Person is not the Corporation, all of the obligations of the Corporation under the Regulatory Agreement, the Loan Agreement and the Contract of Insurance, and agrees to fulfill and comply with the terms, covenants and conditions thereof, and further consents to the terms of the Indenture; (b) is not, after such transaction, otherwise in default under any provision of the Regulatory Agreement, the Loan Agreement or the

Indenture; (c) is an organization meeting the requirements of Section 501(c)(3) of the Code, or a corresponding provision of the federal income tax laws then in effect; and (d) shall have net assets at least equal to the net assets of the Corporation prior to such transaction;

(4) The Trustee and the Office shall have received the report of a Management Consultant to the effect that Net Income Available for Debt Service of the surviving, resulting or transferee Person (after giving effect to such merger, consolidation, sale or other transfer) for each of the first two full Fiscal Years following such merger, consolidation, sale or other transfer is projected to be not less than the greater of Net Income Available for Debt Service of the Corporation for each of the two most recent Fiscal Years for which audited financial statements are available, as certified by an Accountant;

(5) The Trustee and the Office shall have received a report of an Accountant to the effect that the net worth of the surviving, resulting or transferee Person, after giving effect to such merger, consolidation, sale or other transfer, is at least equal to 100 percent of the net worth of the Corporation immediately prior to such merger, consolidation, sale or other transfer; and

(6) The Trustee, the Authority and the Office shall have received an Opinion of Counsel to the effect that the Loan Agreement, the Contract of Insurance and the Regulatory Agreement constitute the legal, valid and binding obligations of the surviving, resulting or transferee Person, as the case may be, enforceable against such Person in accordance with their respective terms.

Notwithstanding the foregoing, the Corporation may, without complying with the provisions described above in this section, transfer substantially all of its assets to an Affiliate provided that:

(1) The Corporation obtain the written consent of the Office to such transaction and a statement of the Office confirming that the Contract of Insurance remain in full force and effect after such transaction;

(2) The Office, the Authority and the Trustee shall have received an Opinion of Bond Counsel to the effect that such proposed transfer(s) will not cause the interest on the Bonds to be included in the gross income for federal income tax purposes under Section 103 of the Code;

(3) Such Affiliate agrees to become a co-obligor and jointly and severally liable with the Corporation under the Regulatory Agreement, the Contract of Insurance and the Loan Agreement; and

(4) After such transaction, the Corporation and the Affiliate are in compliance with the provisions of the Regulatory Agreement and the Loan Agreement.

In the event of such a transfer to an Affiliate, references in the Regulatory Agreement to indebtedness of the Corporation shall apply to the combined indebtedness of the Corporation and the Affiliate, and references to the financial condition or forecasted results of operations of the Corporation shall apply to the consolidated financial condition or results of operations of the Corporation and the Affiliate.

Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand

(A) The Corporation shall operate the Facilities as revenue producing health care facilities. The Corporation shall fix, charge and collect, or cause to be fixed, charged and collected, subject to applicable requirements or restrictions imposed by law, such rates, fees and charges which, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year to produce a Net Income Available for Debt Service equal

to at least 1.25 times Maximum Aggregate Annual Debt Service for such Fiscal Year, beginning with the Fiscal Year ending December 31, 2017.

(B) The Corporation shall maintain, as of the end of each Fiscal Year, beginning with the Fiscal Year ending December 31, 2017, a Current Ratio of at least 1.50:1.0.

(C) The Corporation shall maintain, as of the end of each Fiscal Year, beginning with the Fiscal Year ending December 31, 2017, at least one hundred fifty (150) Days Cash on Hand, as shown on the Corporation's audited financial statements for such Fiscal Year.

(D) Within one hundred twenty (120) days after the end of each Fiscal Year, the Corporation shall compute (1) the Net Income Available for Debt Service and Maximum Aggregate Annual Debt Service, (2) the Current Ratio and (3) the Days Cash on Hand for such Fiscal Year and promptly furnish to the Authority, the Trustee and the Office a Statement setting forth the results of such computation.

The Corporation further covenants and agrees that if, at the end of such Fiscal Year, (i) Net Income Available for Debt Service shall have been less than as described in paragraph (A) above, (ii) the Current Ratio shall have been less than the Current Ratio as described in Subsection B above, or (iii) the Days Cash on Hand shall have been less than the amount required in Subsection C above, it will promptly employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Corporation or the methods of operation of the Corporation which will result in producing (x) Net Income Available for Debt Service at least equal to 1.25 times Maximum Aggregate Annual Debt Service in the current Fiscal Year, (y) a Current Ratio as described in Subsection B above in the current Fiscal Year and (z) Days Cash on Hand as described in Subsection C above in the current Fiscal Year; *provided, however*, the Corporation need not so employ a Management Consultant if the Office consents, in writing, to a waiver of said covenant to employ a Management Consultant. Copies of the recommendations of the Management Consultant shall be filed with the Authority, the Trustee and the Office. The Corporation shall, to the extent feasible, promptly upon its receipt of such recommendations, subject to applicable requirements or restrictions imposed by law, revise its rates, fees and charges or its methods of operation or collections and shall take such other action as shall be in conformity with such recommendations; *provided, however*, the Corporation need not make such revisions or take such actions in conformity with such recommendations if (1) the Board makes a good faith determination that such recommendations, in whole or in part, are not in the best interests of the Corporation, and (2) the Office gives its written consent to the effect that the Corporation need not comply, in whole or in part, with such recommendations. In the event that the Corporation fails to comply with the recommendations of the Management Consultant, the Office may replace existing management with new management, which shall be chosen unilaterally by the Office.

If the Corporation complies in all material respects with the reasonable recommendations of the Management Consultant in respect to said rates, fees, charges and methods of operation or collection, the Corporation will be deemed to have complied with the covenants described in this section for such Fiscal Year, notwithstanding that Net Income Available for Debt Service, the Current Ratio or the Days Cash on Hand shall be less than the amount required as described in Subsections A, B or C above; *provided*, that (1) this sentence shall not be construed as in any way excusing the Corporation from taking any action or performing any duty required under the Regulatory Agreement or be construed as constituting a waiver of any other event of default under the Regulatory Agreement and (2) Net Income Available for Debt Service shall be at least equal to 1.0 times Aggregate Debt Service for such Fiscal Year.

(E) Notwithstanding the foregoing, the Corporation may permit the rendering of service at, or the use of, the Facilities without charge or at reduced charges, at the discretion of the Board, to the extent necessary for maintaining its tax-exempt status or to establish or maintain its eligibility for grants, loans,

subsidies or payments from the United States of America, any instrumentality thereof, or the State or any political subdivision or instrumentality thereof, or in compliance with any recommendation for free services that may be made by the Management Consultant.

Limitation on Encumbrances

The Corporation shall not create, assume or suffer to exist and shall immediately satisfy or release any mortgage, deed of trust, pledge, security interest, encumbrance, lien, attachment or charge of any kind (including the charge upon property purchased under conditional sales or other title retention agreements) upon the Facilities or the Gross Revenues; *provided, however*, that notwithstanding the foregoing limitation, the Corporation may create, assume or suffer to exist Permitted Encumbrances.

Limitation on Indebtedness

The Corporation shall not incur any Indebtedness or financial obligations, including without limitation, by borrowing money, by assuming or guaranteeing the obligations of others, and by entering into installment purchase contracts or leases required to be capitalized in accordance with generally accepted accounting principles, except the Corporation may incur the following:

1. Obligations and liabilities under the Regulatory Agreement, the Loan Agreement, or the Indenture, including any supplements or amendments thereto in connection with the issuance of any additional series of Bonds;
2. Contractual liabilities (other than liabilities for borrowed money or liabilities which would otherwise be considered indebtedness under generally accepted accounting principles) incurred in the ordinary course of business for which moneys are available;
3. Short-Term Indebtedness with the prior written consent of the Office and provided that no amount of Short-Term Indebtedness shall be outstanding for a period of thirty (30) consecutive days during each Fiscal Year. The aggregate amount incurred by the Corporation as described in this paragraph shall not exceed at the time of incurrence ten percent (10%) of the Corporation's Adjusted Annual Operating Revenues for the most recent Fiscal Year for which audited financial statements are available;
4. Liabilities for contributions to self-insurance programs;
5. Long-Term Indebtedness (which may be Parity Debt) incurred for the purpose of refinancing outstanding Long-Term Indebtedness provided that (a) the Office has consented in writing to the incurring of such indebtedness, and (b) the issuance of such Long-Term Indebtedness does not increase Maximum Aggregate Annual Debt Service by more than ten percent (10%), as certified by a written report of an Accountant which shall be filed with the Authority, the Trustee and the Office prior to such transaction;
6. Long-Term Indebtedness (which may be Parity Debt), provided that
 - (a) the Office has consented in writing to the incurring of such indebtedness, and
 - (b) (1) Net Income Available for Debt Service, as certified by a written report of an Accountant which shall be filed with the Authority, the Trustee and the Office for the most recent Fiscal Year for which audited financial statements are available immediately preceding the date of incurrence of such Long-Term Indebtedness was at least equal to

the applicable requirement described in paragraph (A) under the caption “Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand” above on all outstanding Long-Term Indebtedness and the Long-Term Indebtedness proposed to be incurred, or (2) (a) Net Income Available for Debt Service, as certified by a written report of an Accountant which shall be filed with the Trustee and the Office prior to such transaction, for the most recent Fiscal Year for which audited financial statements are available immediately preceding the date of incurrence of such Long-Term Indebtedness was at least equal to the applicable requirement described in paragraph (A) under the caption “Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand” above on all Long-Term Indebtedness then outstanding, and (b) Net Income Available for Debt Service, as shown in a written feasibility report prepared by a Management Consultant and filed with the Authority, the Trustee and the Office prior to such transaction, for each of the first two Fiscal Years following the incurrence of such Long-Term Indebtedness (or, if such Long-Term Indebtedness is incurred to finance additional facilities, in each of the first three Fiscal Years following the Fiscal Year when it is proposed that such Facilities will be completed and placed in service) is forecasted to be at least equal to the applicable requirement in paragraph (A) under the caption “Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand” above on all Long-Term Indebtedness proposed to be outstanding at the end of each such Fiscal Year;

7. Long-Term Indebtedness (which may be Parity Debt) incurred to complete a project if the Board certifies that the Corporation cannot complete such project unless such Long-Term Indebtedness is incurred, provided that (a) the Office has consented in writing to the incurring of such Indebtedness, and (b) the aggregate principal amount of such indebtedness does not exceed ten percent (10%) of the principal amount of Long-Term Indebtedness incurred to finance such project;

8. Long-Term Indebtedness (excluding Parity Debt) provided that (a) the Office has consented in writing to the incurring of such Indebtedness, and (b) the aggregate amount incurred by the Corporation under the provisions of the Regulatory Agreement described in this subsection, subsection 3 above and subsection 9 below and outstanding shall not exceed at the time of incurrence ten percent (10%) of the Corporation’s Adjusted Annual Operating Revenues for the most recent Fiscal Year for which audited financial statements are available;

9. Liabilities under capitalized lease agreements for the lease of, or indebtedness for money borrowed or liabilities under instruments evidencing deferred payment arrangements for the purchase of, equipment, tangible personal property or real property; provided that the aggregate amount incurred by the Corporation under the provisions of the Regulatory Agreement described in this subsection, subsection 3 and subsection 8 above and outstanding shall not exceed at the time of incurrence ten percent (10%) of the Corporation’s Adjusted Annual Operating Revenues for the latest Fiscal Year for which audited financial statements are available;

10. Non-recourse Indebtedness, provided that the Office has approved in writing the incurrence of such indebtedness and such indebtedness does not encumber the Facilities;

11. Repayment obligations under reimbursement or similar agreements with banks or insurance companies relating to letters or lines of credit or other credit facilities used to secure Long-Term Indebtedness;

12. Indebtedness, not for borrowed money, incurred in the ordinary course of business; and

13. Any indebtedness or obligations of the Corporation consented to in writing by the Office.

Limitations on Disposition of Property

The Corporation shall not dispose of any cash or cash equivalents unless, and: (1) the Corporation receives an asset or service of reasonably equivalent value for such cash or cash equivalents; or (2) prior to such disposition, there is filed with the Authority, the Office and the Trustee a Statement of the Corporation, which Statement is satisfactory to the Office, to the effect that either (a) the ratio of Net Income Available for Debt Service to Maximum Aggregate Annual Debt Service for the most recent Fiscal Year for which audited financial statements are available next preceding such disposition would not be reduced or, if reduced, would not be reduced below a ratio of 2.0:1.0 (such calculation to be made assuming such disposition had occurred at the beginning of such Fiscal Year), or (b) the average ratio of Net Income Available for Debt Service to Maximum Aggregate Annual Debt Service, as forecasted in such Statement of the Corporation for the two Fiscal Years immediately following such disposition, will be not less than a ratio of 2.0:1.0; and (c) such disposition has been consented to by the Office in writing.

The Corporation shall not sell, lease, sublease, assign, transfer, encumber or otherwise dispose of all or any part or parts of the real property comprising the Facilities, including the buildings and structures thereon and fixtures and improvements of such real property, without the prior written consent of the Office.

The Corporation shall not sell, lease, sublease, assign, transfer, encumber or otherwise dispose of all or any part or parts of the Facilities not included in the two preceding paragraphs, other than in the "ordinary course of business," unless the Office gives its prior written consent to such disposition. "Ordinary course of business" shall be defined during the term of the Regulatory Agreement by the Office in the exercise of its sound and reasonable discretion, by the Office giving written notice thereof to the Corporation, which determination will become effective on receipt of such notice by the Corporation.

Except as provided in the Regulatory Agreement concerning a disposition of substantially all of the Corporation's assets, in no event shall the Corporation dispose of any part or parts of its Facilities in any Fiscal Year aggregating in excess of two and one-half percent (2-1/2%) of the Corporation's net property, plant and equipment (as shown on the Corporation's most recent audited financial statements), unless the Office gives its prior written consent to such disposition.

Limitation on Acquisition of Property, Plant and Equipment

The Corporation shall not acquire additional property, plant and equipment (except (1) in the ordinary course of business, (2) with the proceeds of indebtedness permitted by the Regulatory Agreement, or (3) as part of a merger or consolidation permitted by the Regulatory Agreement) by gift (other than gifts of cash or personal property or gifts of real property if either (i) its use is residential or (ii) it is subject of a Phase I report indicating no contaminants), purchase, construction, merger or consolidation, unless the Office gives its prior written consent to such acquisition.

Parity Debt

The Corporation may incur Parity Debt, subject, however to compliance with the provisions of the Regulatory Agreement described above under the caption "Limitation on Indebtedness," and subject

to the following conditions: (1) the Trustee shall act as trustee for the Parity Debt; (2) the agreement under which Parity Debt is issued shall require that: (a) a Loan Default Event shall constitute an event of default under such agreement and the Regulatory Agreement; (b) rights and obligations of the holders of Parity Debt shall be substantially the same as the rights and obligations of the Owners of Bonds under the Indenture, except that if the Parity Debt is not covered under the Contract of Insurance, the holders of Parity Debt shall have no rights under the Contract of Insurance or to payments made with respect thereto; and (c) remedies upon an event of default shall be substantially the same as the remedies provided in the Indenture, the Regulatory Agreement and the Loan Agreement, and, prior to exercising any such remedies, the holders of such Parity Debt (or a trustee representing their interest) shall be required to cooperate with the Trustee to the end that the interests of such holders and the Bondowners shall be equally protected; (3) any collateral given or to be given to secure Parity Debt shall also secure the Bonds on a pari passu basis; provided that the Debt Service Reserve Account shall only secure the Bonds and the Corporation may, but need not, establish similar reserve accounts for debt service of Parity Debt; (4) the Parity Debt shall be prepayable in accordance with terms substantially in the form of and under the conditions prescribed in the Indenture; (5) any Parity Debt shall be insured by the Office under the Insurance Law or, if the Parity Debt can be issued as such without being insured under the Insurance Law, with the consent of the Office; and (6) in the case of any Parity Debt which will not be insured by the Office, the Corporation shall pay any associated legal document review costs incurred by the Office, including fees for outside counsel.

Insurance

The Corporation shall keep the Facilities and its operations adequately insured at all times, and, shall carry and maintain, or cause to be carried and maintained, and will pay, or cause to be paid, in timely fashion the premiums for the coverages specified in the Regulatory Agreement. The coverages and limits may be varied only with the prior written consent of the Office.

The Corporation shall employ a Risk Management Consultant to review the insurance requirements of the Corporation from time to time (but not less frequently than once every twenty-four (24) months). If the Risk Management Consultant makes recommendations for the increase of any of the coverage required by the Regulatory Agreement, the Corporation shall increase such coverage in accordance with such recommendations, subject to a good faith determination of the Board that such recommendations, in whole or in part, are in the best interests of the Corporation. Notwithstanding anything in this paragraph to the contrary, the Corporation shall have the right, without giving rise to an event of default under the Regulatory Agreement solely on such account; (1) with the prior written consent of the Office, to maintain insurance coverage below that required by the Regulatory Agreement, provided further that the Corporation shall furnish to the Trustee and the Office a Statement of the Risk Management Consultant or other evidence, satisfactory to the Office, that the insurance so provided affords the greatest amount of coverage available for the risk being insured against at rates which in the judgment of the Risk Management Consultant are reasonable in connection with reasonable and appropriate risk management; or (2) with the prior written consent of the Office, to adopt alternative risk management programs which the Board determines to be reasonable and which shall not have a material adverse impact on the Corporation's reimbursement from third party payers, including, without limitation, to self-insure in whole or in part, to participate in programs of captive insurance companies, to participate with other health care institutions in mutual or other cooperative insurance or other risk management programs, to participate in state or federal insurance programs, to take advantage of state or federal laws now or hereafter in existence limiting medical and malpractice liability, or to establish or participate in other alternative risk management programs; all as may be approved in writing as reasonable and appropriate risk management by the Risk Management Consultant.

The Corporation shall obtain such insurance coverage as is required by the Regulatory Agreement only from insurers admitted to do business in the State by the Department of Insurance of the State, unless the Office gives its prior written consent.

Title Insurance

The Corporation shall obtain, at its own cost and expense, an ALTA Lender's policy of title insurance, with such endorsements as may be required by the Office, at the time of and dated as of the date of delivery of the Bonds or Parity Debt, in an aggregate amount not less than the aggregate principal amount of the Bonds and Parity Debt to be outstanding after the issuance of such Bonds or Parity Debt, payable to the Office, the Trustee and the Authority, insuring the title of the Corporation to the site of the Facilities, subject only to Permitted Encumbrances, issued by a title insurance company admitted to do business in the State by the Department of Insurance of the State, and which is acceptable to the Office.

Disposition of Insurance and Condemnation Proceeds

The proceeds of property and builders risk insurance maintained by the Corporation pursuant to the Regulatory Agreement, the proceeds of any title insurance obtained pursuant to the Regulatory Agreement and the proceeds of any condemnation awards with respect to the Facilities, shall be paid immediately upon receipt by the Corporation or other named insured parties to the Trustee, as assignee of the Authority, for deposit in a special fund which the Trustee shall establish and maintain and hold in trust, to be known as the "Insurance and Condemnation Proceeds Fund." In the event the Corporation elects to repair or replace the property damaged, destroyed or taken, it shall furnish to the Office plans of the contemplated repair or replacement, accompanied by a Statement (a copy of which statement shall be delivered to the Trustee) of an architect or other qualified expert satisfactory to the Office estimating the reasonable cost of such repair or replacement and a Statement of the Corporation stating that amounts in the Insurance and Condemnation Proceeds Fund, together with investment income reasonably expected to be received with respect thereto and any other funds available or reasonably expected to become available therefor (and which the Corporation shall agree to deposit in said fund when so available), shall be sufficient to repair or replace the property damaged, destroyed or taken in accordance with said plans. After deducting therefrom the reasonable charges and expenses of the Trustee in connection with the collection and disbursement of such moneys, moneys in the Insurance and Condemnation Proceeds Fund shall be disbursed by the Trustee for the purpose of repairing or replacing the property damaged, destroyed or taken in the manner and subject to the conditions set forth in the Indenture with respect to disbursements from the Project Fund to the extent the provisions thereof may reasonably be made applicable. In the event that the proceeds of any loss or damage to or condemnation of the Facilities shall be less than one and one-half percent (1-1/2%) of the Corporation's Adjusted Annual Operating Revenues (as shown on the Corporation's most recent audited financial statements), and so long as an event of default under the Regulatory Agreement has not occurred and is not then continuing, the Trustee shall pay over such proceeds to the Corporation without requiring any of the documents referred to in this Subsection and without any formality whatsoever.

In the event the Corporation, with the consent of the Office, shall elect not to repair or replace the property damaged, destroyed or taken, as provided in provisions of the Regulatory Agreement described in the above paragraph, the Trustee shall transfer all amounts in the Insurance and Condemnation Proceeds Fund on account of such damage, destruction or condemnation to the Special Redemption Account in order to prepay the Loan Repayments and redeem the Bonds; provided that if any Parity Debt is then outstanding, any such transfer from the Insurance and Condemnation Proceeds Fund shall be deposited in part in the Special Redemption Account and in part in such other fund or account as may be appropriate (and used for the retirement of such Parity Debt) in the same proportion which the aggregate

principal amount of Outstanding Bonds then bears to the aggregate unpaid principal amount of such Parity Debt.

If all amounts in the Insurance and Condemnation Proceeds Fund and any special redemption account for the retirement of Parity Debt exceed one and one-half percent (1-1/2%) of the Corporation's Adjusted Annual Operating Revenues (as shown on the Corporation's most recent audited financial statements) but are not sufficient to retire all Bonds and Parity Debt then outstanding, the Trustee, shall not transfer said amounts to the Special Redemption Account unless the Corporation shall file with the Trustee a report of a Management Consultant showing that projected Net Income Available for Debt Service will be sufficient to pay Aggregate Debt Service for the three full Fiscal Years immediately following such transfer after giving effect to the retirement of such Bonds and Parity Debt. In the event such report of a Management Consultant shows that projected Net Income Available for Debt Service will not be sufficient to pay Aggregate Debt Service for the three full Fiscal Years immediately following such transfer after giving effect to the retirement of such Bonds and Parity Debt, the Corporation shall apply all amounts in the Insurance and Condemnation Proceeds Fund to the repair or replacement of the property damaged, destroyed or taken, as described in the first paragraph of this section entitled "Disposition of Insurance and Condemnation Proceeds," unless the Corporation shall file a further report of a Management Consultant showing that even after making such repair and replacement, projected Net Income Available for Debt Service will not be sufficient to pay Aggregate Debt Service for the three Fiscal Years immediately following such repair and replacement, in which event the Trustee shall transfer all moneys in the Insurance and Condemnation Proceeds Fund to the Special Redemption Account and/or such other trust account for the retirement of Bonds and Parity Debt, as provided in the above paragraph.

Certain Covenants Relating to Operations

Indebtedness on Loan Default Event. During the continuance of a default under the Regulatory Agreement, a Loan Default Event under the Loan Agreement or an Event of Default under the Indenture, the Corporation shall not incur any additional Indebtedness or make any additional capital acquisition without the prior written consent of the Office.

Lien on Future Acquired Real Property. If the Corporation acquires any real property to be used or usable in connection with the operation of the Corporation while the Regulatory Agreement is in effect, such acquired real property ("Acquired Property") shall be deemed to fall within the definition of Facilities and therefore shall be subject to the Regulatory Agreement. The Corporation shall convey a security interest (which need not give the Office a first lien position) in the Acquired Property for the benefit of the Office under the Deed of Trust, unless such requirement is waived in writing by the Office.

Default; Remedies Upon Default

Notice and Declaration of a Default. Upon a violation of any of the provisions of the Regulatory Agreement by the Corporation, the Office may give written notice thereof to the Corporation by registered or certified mail, addressed to the address stated in the Regulatory Agreement, or such other address as may subsequently, upon appropriate written notice thereof to the Office, be designated by the Corporation as its legal business address. If such violation is not corrected to the satisfaction of the Office within thirty (30) days, or in the event the default is the result of the failure of the Corporation to make a payment required to be made to the Trustee or the result of the loss or threatened loss of the license of the Corporation, then five (5) days, after the date such notice is mailed or within such further time as the Office determines in the Office's sole discretion is necessary to correct the violation, without further notice the Office may declare a default under the Regulatory Agreement effective on the date of such declaration of default.

Office Directives to the Corporation. Upon an event of default under the Regulatory Agreement, the Deed of Trust, the Indenture, or the Loan Agreement, the Office shall have the remedies provided by California Health and Safety Code section 129173 which are incorporated the Regulatory Agreement, as well as the following: The Office may conduct an evaluation of, and direct the Corporation with respect to, the management and operation of the Facilities and the expenses of the Office or any consultants associated with such evaluation and direction shall be reimbursed by the Corporation. The Corporation shall follow all such directives, which may at the option of the Office include immediately terminating and replacing any existing Management Agent with a new Management Agent selected by the Office at the expense of the Corporation. In the event of any such termination, the Management Agent shall not be entitled to compensation for more than thirty (30) days from the date of such termination. The Office may retain attorneys and consultants to assist in such evaluation and the Corporation shall pay the reasonable and documented fees and expenses of such attorneys and consultants and any other expenses incurred by the Office in that connection. These remedies are in addition to those provided under Insurance Law Section 129173. The Office reserves its rights to exercise all its remedies under Insurance Law Section 129173, including, but not limited to, subsection (b) wherein the Office may remove and appoint members of the governing body of the Corporation sufficient such that the new members constitute a voting majority of the governing body.

Payment from the Health Facility Construction Loan Insurance Fund. (1) In any case in which an Event of Default under the Indenture shall have occurred and the Trustee shall have given notice to the Office at least 30 days prior to an interest payment date, or a principal payment date that: (a) available moneys in the Principal and Interest Accounts held by the Trustee pursuant to the Indenture will be insufficient to pay in full the next succeeding payment of interest and/or principal when due to the Owners under the Indenture, and (b) the amount by which the obligation to make such payment exceeds the amount available (Shortfall), the Office shall cause an amount equal to the Shortfall to be deposited into the Principal Account and/or Interest Account at least three (3) Business Days prior to the date on which said payment is due, as pursuant to the Indenture as described in the following paragraphs (2) and (3).

(2) Said deposit shall be made by the Office directing the Trustee to transfer an amount equal to the Shortfall out of the Bond Reserve Account into the Principal Account and/or Interest Account. (However, if there are funds in the Bond Reserve Account at the time the Office receives such notice of the Shortfall from the Trustee, nothing contained in the Regulatory Agreement shall prevent the Office from then determining pursuant to Insurance Law Section 129145 that the lender and borrower have exhausted all reasonable means of curing the Event of Default and that it would be in the best interest of the State, the borrower and the lender to pay a portion or all of the Shortfall from the Health Facility Construction Loan Insurance Fund instead of the Debt Service Reserve Account, and from paying such amount from the Health Facility Construction Loan Insurance Fund.)

(3) If the Office, pursuant to Insurance Law Section 129145, determines, in the event the funds in the Bond Reserve Account are insufficient to meet the Shortfall as described in the preceding paragraph (2), that (a) the lender and borrower will have exhausted all reasonable means of curing the Event of Default, and (b) a payment or payments from the Health Facility Construction Loan Insurance Fund to cure the Event of Default is now and will be at the time of the Event of Default in the best interest of the State, the borrower and the lender, the Office may pay such amount required to meet the Shortfall from the Health Facility Construction Loan Insurance Fund to the Principal Account and/or Interest Account for the benefit of the lender within the time as described in paragraph (1) above.

(4) Any payment made by the Office from the Health Facility Construction Loan Insurance Fund shall be secured pursuant to Insurance Law Section 129145 by a pro rata share of the security held by the Trustee through the Deed of Trust and all applicable UCC-1s, and, upon such payment, the

Corporation shall become liable for repayment of the amount thereof to the Office upon demand and shall be liable for interest on the unpaid balance thereof at the rate of ten percent (10%) per annum.

(5) If the principal of all Bonds at the time Outstanding, and the interest accrued thereon have been declared immediately due and payable pursuant to the terms of the Indenture, the Office shall make payment from the Health Facility Construction Loan Insurance Fund, or, if the Health Facility Construction Loan Insurance Fund is insufficient to make such payment, or if the Office determines it to be in the best interest of the State, the Corporation and the Authority, the Office shall request issuance of debentures as provided below under the caption "Issuance of Debentures."

Issuance of Debentures.

(1) In any case in which (a) the Trustee shall have directed the foreclosure and taking possession of the Facilities under the Deed of Trust and under applicable statutes, (b) the Trustee, with the consent of the Office, shall have otherwise acquired the Facilities from the Corporation after default, (c) the Trustee, with the consent of the Office, shall have assigned to the Office the security interest created by the Deed of Trust, (d) the Trustee shall have tendered to the Office a satisfactory conveyance of title and transfer of possession of the Facilities directly from the Corporation, or other appropriate grantor, or (e) it has been determined that debentures should be issued as described in the paragraph above under the caption entitled "Payment from the Health Facility Construction Loan Insurance Fund," the Trustee shall be entitled to receive the benefit of the insurance as provided in Insurance Law Sections 129125 through 129160, upon (i) the prompt conveyance to the Office of title to the Facilities or, with the consent of the Office, the security interest created by the Deed of Trust, (ii) the assignment to the Office of all claims of the Trustee against the Corporation or others arising out of the sale of the Bonds, the loan transaction or the foreclosure proceedings, except such claims as may have been released with the consent of the Office, and (iii) surrender to the Office of each Bond which has been surrendered to the Trustee, which Bond shall be returned to the Trustee upon issuance of debentures and canceled by the Trustee.

(2) Upon such conveyance, assignment and surrender, the Office shall request the State Treasurer to issue to the Trustee for the benefit of the Owners so surrendered, a debenture or debentures having a total face value of and bearing interest at the rate on the respective surrendered Bonds which they replace and additional debentures equal to all additional amounts due under the Indenture as provided by Insurance Law Sections 129125 through 129160.

Additional Remedies Available to the Office. Notwithstanding any other provision in the Regulatory Agreement or provision of law relating to the acquisition, management or disposal of real property by the State, the Office shall have the power to do any or all of the following: (a) possess, operate, complete, lease, rent, renovate, modernize, insure, or sell for cash or credit, in its sole discretion, any properties conveyed to it in exchange for debentures as provided in the Insurance Law; (b) pursue to final collection by way of compromise or otherwise all claims against the Corporation assigned by the Trustee to the Office; or (c) convey and execute in the name of the Office deeds of conveyance, deeds of release, assignments and satisfactions of the Deed of Trust, and any other written instrument relating to real or personal property or any interest therein acquired by the Office.

Capital Replacement

A. The Corporation shall maintain the Facilities in good and substantial repair and condition. The Corporation shall prepare a long-term capital replacement budget, as required by the Regulatory Agreement, for capital improvements, major remodeling, and for new and replacement items necessary and appropriate to maintain the Facilities for the purposes for which they are or may reasonably be expected to be used. Capital replacement costs may include, but are not limited to, carpet, flooring, roofing, windows, painting exterior and interior, major appliances, cabinets, bathrooms, walkways, fencing, stairways, exterior siding, drainage, sewage, security and alarm systems, HVAC systems,

elevators, and fire sprinkler systems for the Facilities. The Corporation shall deposit the required annual budget amount for long-term capital replacement into a reserve account to be used solely for capital replacement costs as they are incurred.

B. Upon demand of the Office, the Corporation shall perform or cause to be performed a formal inspection of its Facilities resulting in a written report by a qualified professional recommending replacement and repairs necessary to maintain the Facilities in good and substantial repair and condition. The long-term capital replacement budget shall be revised to reflect the recommended replacement and repairs included in the inspection report. The Corporation shall deliver a copy of its Board approved revised long-term capital replacement budget and the inspection report to the Office. The Corporation shall deposit the revised required annual budget amount for long-term capital replacement into a reserve account to be used solely for capital replacement costs as they are incurred.

Debt Coverage Ratio Reporting

Within forty-five (45) days after each March 31, June 30, September 30 and December 31 each three-month period ending on each such date being referred to herein as a “Fiscal Quarter”) commencing with the Fiscal Quarter ending December 31, 2016, the Corporation shall compute the Net Income Available for Debt Service for such Fiscal Quarter and for the twelve-month period ending on the last day of such Fiscal Quarter (“Running Twelve-Month Period”) and promptly furnish to the Office a Statement setting forth the results of such computation. If at the end of such Fiscal Quarter the Net Income Available for Debt Service shall have been less than the applicable requirement described in paragraph (A) under the caption “Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand” above for such Running Twelve-Month Period, the Corporation shall, upon the request of the Office, employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Facilities or the methods of operation of the Facilities which will result in producing Net Income Available for Debt Service equal to at least the applicable requirement described in paragraph (A) under the caption “Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand” above for such Fiscal Quarter. Copies of the recommendations of the Management Consultant shall be provided to the Office. The Office also may retain attorneys and consultants to assist in an evaluation of the operation and management of the Facilities and the Corporation shall pay the reasonable fees and expenses of such attorneys and consultants and any expenses incurred by the Office in that connection.

DEED OF TRUST

The obligations of the Corporation pursuant to the Loan Agreement, the Regulatory Agreement and the Contract of Insurance are secured by the liens of the Deed of Trust upon the Facilities. With the written consent of the Office and the Corporation, the Deed of Trust may be amended or terminated at any time, without the necessity of obtaining the consent of the Trustee, the Authority or the holders of the Bonds or of Parity Debt. To the extent permitted under the Regulatory Agreement, certain Property may be removed from the lien and security interest of the Deed of Trust upon written request by the Office.

Upon the failure of the Corporation to perform its obligations as required under the Deed of Trust, the Trustee (as assignee of the Authority) and the Office, as beneficiaries under the Deed of Trust, may elect to do any or all of the following: (1) make any such payment or do any such act in such manner and to the extent necessary to protect the security of such Deed of Trust; (2) pay, purchase, contest or compromise any claim, debt, lien, charge or encumbrance which may affect or appear to affect the security of such Deed of Trust, or the interest of the beneficiary or the rights powers or duties of the Deed Trustee or the beneficiary; (3) take possession of, and manage, operate or lease, the property under the Deed of Trust; and (4) declare all sums secured by such Deed of Trust, to be immediately due and payable and sell the Facilities to satisfy the lien of said Deed of Trust. If the beneficiary elects to foreclose and

sell the Facilities, there are certain applicable statutory time periods which must expire before such proceedings will be effective.

The Regulatory Agreement and the Deed of Trust confer certain powers and rights upon the Office which may limit the discretion of the Deed Trustee under the Deed of Trust. So long as the Office is obligated under the Contract of Insurance, all rights of beneficiaries under the Deed of Trust shall be exercised solely by the Office for the equal and ratable benefit of the Office and the Trustee. All rights and proceeds inuring to the benefit of the Trustee under the Deed of Trust are for the benefit of the holders of the Bonds and Parity Debt. Before the benefits of the insurance are to be paid, the Office may require the Deed Trustee to (1) foreclose on the Deed of Trust, and convey title to the Facilities to the Office; or (2) assign all security interests of the Bondholders under the Deed of Trust, to the Office.

CONTRACT OF INSURANCE

The Contract of Insurance is an agreement among the Office, the Corporation and the Authority whereby the Corporation and the Authority agree to abide by the terms of the Bonds, the Loan Agreement, the Indenture, the Deed of Trust, the Regulatory Agreement and the Contract of Insurance, as the terms of each such agreement apply to each of them, and the Office agrees that the Bonds are eligible for insurance and are thereby insured under the Insurance Law. The Contract of Insurance provides that the insurance may be terminated only (1) upon payment in full of the insurance of the Bonds pursuant to the Insurance Law, (2) upon the payment in full of the principal of and the accrued and unpaid interest on the Bonds (including defeasance of the Bonds) so that all principal and interest payments that have or may come due under the Loan Agreement are paid, (3) upon joint written request of the Corporation, the Authority, and all the Bondholders as provided in the Insurance Law, or (4) if a Deed of Trust is judicially foreclosed as to the property subject to such Deed of Trust, or the Authority, the Trustee or the Owners non-judicially foreclose or otherwise acquire such property after a Loan Default Event and the Authority and the Trustee do not execute and deliver to the Office a grant deed, trustee deed or quitclaim deed covering such property within sixty (60) days of such foreclosure or other acquisition; or if any Bonds are surrendered to the Trustee to be exchanged for debentures and such Bonds are not surrendered to the Office within sixty (60) days of receipt by the Trustee; provided that, if the required conveyance or surrender is restrained, enjoined, or otherwise prevented by any court or governmental body or agency, then the Authority and the Trustee shall have sixty (60) days to make the conveyance or surrender from the date such restraint or injunction is vacated, dismissed or discharged.

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APPENDIX D
FORM OF CONTRACT OF INSURANCE

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CONTRACT OF INSURANCE

LOAN NO. 1038

STATE OF CALIFORNIA
OFFICE OF STATEWIDE HEALTH PLANNING AND DEVELOPMENT

THIS CONTRACT OF INSURANCE, dated as of November 1, 2016, and effective as of November 30, 2016, is by and among PILGRIM PLACE IN CLAREMONT, a California nonprofit public benefit corporation (the "Corporation"), the OFFICE OF STATEWIDE HEALTH PLANNING AND DEVELOPMENT OF THE STATE OF CALIFORNIA (the "Office") and the CALIFORNIA MUNICIPAL FINANCE AUTHORITY, a joint exercise of powers entity organized and existing under and by virtue of the laws of the State of California (the "Authority");

WHEREAS, the Office is authorized to enter into this Contract of Insurance pursuant to California Health and Safety Code Sections 127045 and 129105;

WHEREAS, the Director of the Office is authorized to enter into this Contract of Insurance on behalf of the Office pursuant to California Health and Safety Code Section 127010 and California Government Code Section 11150, *et seq.*;

WHEREAS, the undersigned Deputy Director of the Office was appointed by the Director of the Office to act on the Director's behalf pursuant to Delegation Order 16-03, effective April 25, 2016, and is so authorized by California Health and Safety Code Section 7 and California Government Code Sections 1194, 7 and 18572;

WHEREAS, the Corporation is authorized to enter into this Contract of Insurance pursuant to the Corporation's resolution dated November 16, 2016;

WHEREAS, the Authority is authorized to enter into this Contract of Insurance pursuant to the Authority's resolution dated October 28, 2016;

WHEREAS, the Authority desires to issue its Insured Senior Living Refunding Revenue Bonds (Pilgrim Place in Claremont), Series 2016A, in the aggregate principal amount of Twenty-Five Million One Hundred Thirty Thousand Dollars (\$25,130,000) (the "Series 2016A Senior Living Revenue Bonds (Pilgrim Place in Claremont), Series 2016B, in the aggregate principal Bonds") and its Insured amount of Ten Million Nine Hundred Twenty-Five Thousand Dollars

(\$10,925,000) (the "Series 2016B Bonds" and, together with the Series 2016A Bonds, the "Bonds"), pursuant to an Indenture, dated as of November 1, 2016 (the "Indenture"), by and between the Authority and U.S. Bank National Association, as trustee (the "Trustee"), and to lend the proceeds of the Bonds to the Corporation pursuant to a Loan Agreement, dated as of November 1, 2016 (the "Loan Agreement"), between the Authority and the Corporation, which shall be secured by a deed of trust, dated as of November 1, 2016 (the "Deed of Trust"), on certain of the Corporation's property and a pledge of the Corporation's Gross Revenues;

WHEREAS, the Authority and the Corporation desire to obtain the Health Facility Construction Loan Insurance (the "Insurance") insuring the payment of the Bonds, and the Office is willing to extend the Insurance;

WHEREAS, the Office has reviewed the final form of the Bonds, the Indenture, the Loan Agreement, the Deed of Trust and the American Land Title Association title insurance policy (issued by Commonwealth Land Title Company) insuring the Corporation's fee title to that property which is subject to the Deed of Trust and naming the Trustee and the Office as beneficiaries, as their respective interests may appear;

WHEREAS, the Office has approved the Corporation's application for insurance of the Bonds; and

WHEREAS, in consideration of the Insurance and in order to comply with the requirements of Chapter 1, Part 6, Division 107 of the Health and Safety Code of the State of California, cited as the "California Health Facility Construction Loan Insurance Law," as now in effect and as it may, from time to time, hereafter be amended or supplemented (the "Insurance Law"), the Corporation, the Office and the Authority have entered into a regulatory agreement, dated as of November 1, 2016, and effective as of November 30, 2016 (the "Regulatory Agreement"), regulating the terms and conditions of the Insurance of the Bonds;

NOW, THEREFORE, in consideration of these presents and for other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the parties hereto mutually agree, and agree for the benefit of the Owners of the Bonds from time to time and the Trustee, as follows:

Section 1. Definitions. Unless the context clearly otherwise requires, all capitalized terms used herein shall have the meanings assigned to such terms in the Regulatory Agreement, or, if not defined therein, in the Indenture.

Section 2. Insurance. The Office hereby declares and agrees that the Bonds are eligible for the Insurance under the Insurance Law and that the payment to the Trustee of the principal of and the accrued and unpaid interest on the insured principal of the Bonds and, such other costs and expenses required by the Insurance Law, are insured. However, payments from the Trustee to the Bondowners are not insured.

Section 3. Incontestability. Pursuant to Insurance Law Section 129110, such Insurance shall be incontestable from the date of the execution of this Contract of Insurance except in case

of fraud or misrepresentation on the part of the lender (as defined in Insurance Law Section 129010(j)).

Section 4. Approval of Documents. The Office approves the execution and delivery of the Loan Agreement, the Indenture and the Deed of Trust.

Section 5. Completion of Project. The Corporation shall accomplish the Project with all practical dispatch and in an economic manner.

Section 6. Disbursement of Proceeds. Prior to each disbursement of funds to the Corporation pursuant to the provisions of the Indenture, the Corporation shall apply to the Office by submission of the Office's Form OSH-CM-134 and supporting documentation, for an authorization of the disbursement of funds to the Corporation pursuant to the Indenture, pursuant to Insurance Law Section 129030. Certification by the Office of the Form OSH-CM-134 submitted to the Office by the Corporation shall constitute the Office's authorization and consent to the disbursement of funds to the Corporation.

Section 7. Compliance with Law and Documents. The Authority and the Corporation shall, to the extent they are respectively obligated thereunder, comply with the Insurance Law and the terms, conditions and covenants of the Bonds, the Loan Agreement, the Indenture, the Deed of Trust, the Regulatory Agreement and this Contract of Insurance.

Section 8. Premium Payment. The Corporation has paid all premiums required for the Insurance on the effective date hereof. Insurance of the Bonds shall not be canceled or terminated for any reason, including any failure by the Corporation to comply with the provisions of the Regulatory Agreement or any other agreement or failure by the Trustee to enforce such compliance, except as provided in Section 9 hereof.

Section 9. Termination of Insurance. The Insurance provided herein may be terminated by the Office only upon the occurrence of any of the following:

(a) *Payment of Insurance by the Office*. Upon the payment in full by the Office of the Insurance of the Bonds pursuant to the Insurance Law.

(b) *Payment of Bonds; Defeasance*. Upon the payment in full of the principal of and the accrued and unpaid interest on the Bonds (including defeasance of the Bonds) so that all principal and interest components of the Bonds that have or may come due to the Owners of the Bonds and the Trustee under the Indenture are paid.

(c) *Joint Request*. Upon the joint written request of the Authority, the Corporation and all the Owners as provided in Insurance Law Section 129185.

(d) *Foreclosure or Conveyance; Surrender of Bonds*. If the Deed of Trust is judicially foreclosed as to such property, or the Authority, the Trustee or the Bondowners non-judicially foreclose or otherwise acquire such property after a Loan Default Event and the Authority and the Trustee do not execute and deliver to the Office a grant deed, trustee deed or quitclaim deed covering such property within sixty (60) days of such foreclosure or other acquisition; or if any

Bonds are surrendered to the Trustee to be exchanged for debentures and such Bonds are not surrendered to the Office within sixty (60) days of receipt by the Trustee; provided that, if the required conveyance or surrender is restrained, enjoined, or otherwise prevented by any court or governmental body or agency, then the Authority and the Trustee shall have sixty (60) days to make the conveyance or surrender from the date such restraint or injunction is vacated, dismissed or discharged.

Section 10. Successors Bound. This Contract of Insurance shall bind, and the benefits shall inure to, the respective parties hereto, their legal representatives, successors in office or interest, and assigns, and shall be directly enforceable by the Trustee. The Office hereby consents to the Authority's assignment of its rights under this Contract of Insurance to the Trustee.

Section 11. Severability of Invalid Provisions. The invalidity of any clause, part, or provision of this Contract of Insurance shall not affect the validity of the remaining portions hereof so long as the Insurance remains in effect.

Section 12. Agreement Represents Complete Agreement; Amendments. Except as otherwise provided herein, this Contract of Insurance represents the entire contract among the parties. This Contract of Insurance may be amended, changed or modified by the written agreement of the Office and the Corporation, provided that such amendment, change or modification shall not materially adversely affect the Owners of the Bonds.

Section 13. Headings and References. The headings or titles of the several sections, subsections and subdivisions hereof shall be solely for convenience of reference and shall not affect the meaning, construction or effect of this Contract of Insurance. All references herein to "sections," "subsections" and other subdivisions are to the corresponding sections, subsections or subdivisions of this Contract of Insurance. The words "herein," "hereof," "hereby," "hereunder" and other words of similar import refer to this Contract of Insurance as a whole and not to any particular section, subsection or subdivision hereof. Words of the masculine gender shall mean and include words of the feminine and neuter genders.

Section 14. Governing Law; Venue. The laws of the State of California shall govern this Contract of Insurance, the interpretation thereof and any right or liability arising hereunder. Any action or proceeding to enforce or interpret any provision of this Contract of Insurance shall be brought, commenced or prosecuted in Sacramento County Superior Court, Sacramento, California.

Section 15. Attorneys' Fees. In the event of any action at law or in equity between the parties hereto to interpret or enforce any of the provisions of this Contract of Insurance, the non-prevailing party or parties to such litigation shall pay to the prevailing party or parties all costs and expenses, including reasonable fees of the Trustee for Bondowners, and actual attorneys' fees, incurred therein by such prevailing party or parties; and if such prevailing party or parties shall recover judgment in any such action or proceeding, such costs, expenses and attorneys' fees may be included in and as part of such judgment. The prevailing party shall be the party who is entitled to recover its costs of suit, whether or not the suit proceeds to final judgment. A party not entitled to recover its costs of suit shall not recover attorneys' fees.

Section 16. Execution in Counterparts. This Contract of Insurance may be executed in any number of counterparts, each of which shall be deemed for all purposes to be an original and all of which shall together constitute but one and the same instrument.

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IN WITNESS WHEREOF, the parties hereto have duly executed this Contract of Insurance as of the day and year first above written.

PILGRIM PLACE IN CLAREMONT

By _____
Audrey Morabito
Vice President and Chief Financial Officer

Signature Page to Contract of Insurance

California Municipal Finance Authority
Insured Senior Living Refunding Revenue Bonds
(Pilgrim Place in Claremont), Series 2016A

California Municipal Finance Authority
Insured Senior Living Revenue Bonds
(Pilgrim Place in Claremont), Series 2016B

OFFICE OF STATEWIDE HEALTH
PLANNING AND DEVELOPMENT

By: Robert P. David, Director

By _____
Jeremy P. Marion
Deputy Director

Signature Page to Contract of Insurance

California Municipal Finance Authority
Insured Senior Living Refunding Revenue Bonds
(Pilgrim Place in Claremont), Series 2016A

California Municipal Finance Authority
Insured Senior Living Revenue Bonds
(Pilgrim Place in Claremont), Series 2016B

CALIFORNIA MUNICIPAL FINANCE
AUTHORITY

By _____
Authorized Signatory

Signature Page to Contract of Insurance

California Municipal Finance Authority
Insured Senior Living Refunding Revenue Bonds
(Pilgrim Place in Claremont), Series 2016A

California Municipal Finance Authority
Insured Senior Living Revenue Bonds
(Pilgrim Place in Claremont), Series 2016B

APPENDIX E
FORM OF CONTINUING DISCLOSURE AGREEMENT

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CONTINUING DISCLOSURE AGREEMENT

\$25,130,000

**CALIFORNIA MUNICIPAL FINANCE AUTHORITY
INSURED SENIOR LIVING REFUNDING REVENUE BONDS
(PILGRIM PLACE IN CLAREMONT), SERIES 2016A**

and

\$10,925,000

**CALIFORNIA MUNICIPAL FINANCE AUTHORITY
INSURED SENIOR LIVING REVENUE BONDS
(PILGRIM PLACE IN CLAREMONT), SERIES 2016B**

This Continuing Disclosure Agreement (this “Disclosure Agreement”) is executed and delivered by Pilgrim Place in Claremont, a California nonprofit public benefit corporation (the “Corporation”), and U.S. Bank National Association, as dissemination agent (the “Dissemination Agent”), in connection with the issuance of the above-named bonds (the “Bonds”). The Bonds are being issued pursuant to an Indenture (the “Indenture”) dated as of November 1, 2016, by and between the California Municipal Finance Authority (the “Issuer”) and U.S. Bank National Association, as bond trustee (the “Bond Trustee”). The proceeds of the Bonds are being loaned to the Corporation pursuant to a Loan Agreement (the “Loan Agreement”) dated as of November 1, 2016, by and between the Issuer and the Corporation. In connection with the insurance of the principal of and interest on the Bonds by the Office of Statewide Health Planning and Development of the State of California (the “Office”), the Corporation and the Office are entering into a Regulatory Agreement dated as of November 1, 2016 (the “Regulatory Agreement”).

The Corporation covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Agreement. This Disclosure Agreement is being executed and delivered by the Corporation pursuant to the Loan Agreement for the benefit of the Owners and Beneficial Owners of the Bonds and in order to assist the Participating Underwriter in complying with Securities and Exchange Commission (“S.E.C.”) Rule 15c2-12(b)(5).

SECTION 2. Definitions. In addition to the definitions set forth in the Indenture, which apply to any capitalized term used in this Disclosure Agreement unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“Annual Investor Call” shall mean an annual informational conference call which shall be open to Owners, Beneficial Owners and other interested parties and hosted by the Corporation.

“Annual Report” shall mean an Annual Report provided by the Corporation pursuant to, and as described in, Sections 3 and 4 of this Disclosure Agreement.

“Beneficial Owner” shall mean any person which has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries).

“Dissemination Agent” shall mean U.S. Bank National Association, or any successor Dissemination Agent designated in writing by the Corporation and which has filed with the Corporation a written acceptance of such designation.

“Listed Events” shall mean any of the events listed in Section 7(a) or (b) of this Disclosure Agreement.

“MSRB” shall mean the Municipal Securities Rulemaking Board or any other entity designated or authorized by the Securities and Exchange Commission to receive reports pursuant to the Rule. Until otherwise designated by the MSRB or the Securities and Exchange Commission, filings with the MSRB are to be made through the Electronic Municipal Market Access (EMMA) website of the MSRB, currently located at <http://emma.msrb.org>.

“Official Statement” shall mean the Official Statement dated November __, 2016, prepared in connection with the issuance of the Bonds.

“Owner” shall mean the person in whose name any Bond is registered on the books of the Bond Trustee.

“Participating Underwriter” shall mean the original underwriter of the Bonds required to comply with the Rule in connection with offering of the Bonds.

“Quarterly Report” shall mean any Quarterly Report provided by the Corporation pursuant to, and as described in, Sections 5 and 6 of this Disclosure Agreement.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

SECTION 3. Provision of Annual Reports.

(a) The Corporation shall, or shall cause the Dissemination Agent to, not later than 120 days after the end of the Corporation’s fiscal year, commencing with the fiscal year ending December 31, 2016, file with the MSRB an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Agreement. The Annual Report may cross-reference other information as provided in Section 4 of this Disclosure Agreement. Notwithstanding the foregoing, the Corporation may submit its audited financial statements separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if the audited financial statements are not available by that date. If the Corporation’s fiscal year changes, it shall give notice of such change in a filing with the MSRB. The Annual Report shall identify the Bonds by name and CUSIP numbers.

(b) Not later than five (5) business days prior to the date specified in subsection (a) of this Section for provision of an Annual Report to the MSRB and to the extent

the Corporation has not otherwise already filed or intends to file with the MSRB directly, the Corporation shall provide the Annual Report to the Dissemination Agent, and the Dissemination Agent shall file the Annual Report with the MSRB by the date specified in subsection (a). If the Corporation fails to provide an Annual Report to the Dissemination Agent so that it may be provided to the MSRB by the date specified in subsection (a), the Corporation shall, in a timely manner, either: (i) file the Annual Report with the MSRB directly and provide the Dissemination Agent with written notice that the Annual Report has been filed with the MSRB; or (ii) send (or cause to be sent) to the MSRB a notice in substantially the form attached as Exhibit B, with a copy to the Dissemination Agent.

(c) After it has provided an Annual Report to the MSRB, the Dissemination Agent shall file a written notice with the Corporation certifying that the Annual Report has been filed with the MSRB pursuant to this Disclosure Agreement, and the date it was so provided.

(d) Within thirty (30) days of posting each Annual Report, commencing with the Annual Report for the fiscal year ending December 31, 2016, the Corporation shall host an Annual Investor Call, which call shall be open to Owners, Beneficial Owners and other interested parties.

SECTION 4. Content of Annual Reports. The Corporation's Annual Report shall contain or include by reference the following:

(a) Financial statements for the Corporation for the fiscal year, certified by a firm of independent public accountants, prepared in accordance with generally accepted accounting principles and containing an audited balance sheet as of the end of such fiscal year, an audited statement of operations and changes in net assets for such fiscal year and an audited statement of cash flows for such fiscal year, together with (to the extent included in the audited statements), in each case in comparative form, the financial figures for the preceding fiscal year;

(b) A calculation of the Debt Service Coverage Ratio for such fiscal year (as such term is defined in the Regulatory Agreement), the Current Ratio (as such term is defined in the Regulatory Agreement) as of the end of such fiscal year, and the Corporation's Days Cash on Hand (as such term is defined in the Regulatory Agreement) as of the end of such fiscal year; and

(c) Unless otherwise provided in the audited financial statements described in Section 4(a), the following additional information: (1) the approximate number of total employees and total seniors served and (2) an update of the information contained in Appendix A to the Official Statement relating to the Bonds contained in Tables 4, 8, and 14 for the most recently completed fiscal year.

Any or all of the items listed above may be set forth in one or a set of documents or may be included by specific reference to other documents, including official statements of debt issues of the Corporation or related entities, which have been made available to the public on the MSRB's website. The Corporation shall clearly identify each such other document so included by reference.

SECTION 5. Provision of Quarterly Reports.

(a) Not later than 45 days after the end of each fiscal quarter, commencing with the close of the fiscal quarter ending December 31, 2016, the Corporation shall, or shall cause the Dissemination Agent to, file with the MSRB a Quarterly Report which is consistent with the requirements of Section 6 of this Disclosure Agreement. Each Quarterly Report shall identify the Bonds by name and CUSIP numbers.

(b) Not later than five (5) business days prior to the date specified in subsection (a) of this Section for filing a Quarterly Report to the MSRB, the Corporation shall provide the Quarterly Report to the Dissemination Agent, and the Dissemination Agent shall file the Quarterly Report with the MSRB by the date specified in subsection (a). If the Corporation fails to provide a Quarterly Report to the Dissemination Agent so that it may be filed with the MSRB by the date specified in subsection (a), the Corporation shall, in a timely manner, either: (i) file the Quarterly Report with the MSRB directly and provide the Dissemination Agent with written notice that the Quarterly Report has been filed with the MSRB; or (ii) send (or cause to be sent) to the MSRB a notice in substantially the form attached as Exhibit B with a copy to the Dissemination Agent.

(c) After it has filed a Quarterly Report with the MSRB, the Dissemination Agent shall provide a written notice with the Corporation certifying that the Quarterly Report has been provided to the MSRB pursuant to this Disclosure Agreement, and the date it was so provided.

SECTION 6. Content of Quarterly Reports. The Corporation's Quarterly Report shall contain or include by reference the following:

(a) Unaudited financial statements for the Corporation for such fiscal quarter containing a balance sheet as of the end of such fiscal quarter and a statement of operations and changes in net assets and a statement of cash flows, in each case for the fiscal year to date through the end of the fiscal quarter, compared to (i) the budget of the Corporation for such fiscal year and (ii) the same fiscal quarter for the prior fiscal year with management's explanation of material variances and trends;

(b) Occupancy statistics for the Corporations' facilities as of the end of such fiscal quarter (by level of care and unit type);

(c) Marketing data regarding residential living turnover including move-ins, deaths, transfers, withdrawals and waiting list size and activity (new deposits, cancellation and conversion to resident status);

(d) Description of any facility acquisitions or dispositions;

(e) Description of any program expansions or terminations; and

(f) A calculation of the Debt Service Coverage Ratio for the trailing 12-month period ending as of the end of such fiscal quarter (as such term is defined in the Regulatory Agreement), the Current Ratio as of the end of such fiscal quarter (as such term is

defined in the Regulatory Agreement), and the Corporation's Days Cash on Hand as of the end of such fiscal quarter (as such term is defined in the Regulatory Agreement).

SECTION 7. Reporting of Significant Events.

(a) The Corporation shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds in a timely manner not later than ten (10) business days after the occurrence of the event:

- (1) Principal and interest payment delinquencies;
- (2) Unscheduled draws on debt service reserves;
- (3) Unscheduled draws on credit enhancements reflecting financial difficulties;
- (4) Substitution of credit or liquidity providers, or their failure to perform;
- (5) Adverse tax opinions or issuance by the Internal Revenue Service of proposed or final determination of taxability or of a Notice of Proposed Issue (IRS Form 5701 TEB);
- (6) Tender offers;
- (7) Defeasances;
- (8) Rating changes; or
- (9) Bankruptcy, insolvency, receivership or similar event of the Corporation.

Note: for the purposes of the event identified in subparagraph (9), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the obligated person.

(b) The Corporation shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material, in a timely manner not later than ten (10) business days after the occurrence of the event:

(1) Unless described in paragraph 7(a)(5), other material notices or determinations by the Internal Revenue Service with respect to the tax status of the Bonds or other material events affecting the tax status of the Bonds;

(2) Modifications to rights of Owners;

(3) Optional, unscheduled or contingent Bond calls;

(4) Release, substitution, or sale of property securing repayment of the Bonds;

(5) Non-payment related defaults;

(6) The consummation of a merger, consolidation, or acquisition involving the Corporation or the sale of all or substantially all of the assets of the Corporation, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms; or

(7) Appointment of a successor or additional trustee or the change of name of a trustee.

(c) Upon the occurrence of a Listed Event described in Section 7(a), or upon the occurrence of a Listed Event described in Section 7(b) which the Corporation determines would be material under applicable federal securities laws, the Corporation shall within ten business days of occurrence file a notice of such occurrence with the MSRB. Notwithstanding the foregoing, notice of the Listed Event described in subsections (a)(7) or (b)(3) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Owners of affected Bonds pursuant to the Indenture.

SECTION 8. Format for Filings with MSRB. Any report or filing with the MSRB pursuant to this Disclosure Agreement must be submitted in electronic format, accompanied by such identifying information as is prescribed by the MSRB.

SECTION 9. Termination of Reporting Obligation. The Corporation's obligations under this Disclosure Agreement shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the Corporation shall give notice of such termination in a filing with the MSRB.

SECTION 10. Dissemination Agent. The Corporation may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Agreement, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent shall not be responsible in any manner

for the content of any notice or report prepared by the Corporation pursuant to this Disclosure Agreement.

SECTION 11. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Agreement, the Corporation may amend this Disclosure Agreement, and any provision of this Disclosure Agreement may be waived, provided that the following conditions are satisfied:

(a) If the amendment or waiver relates to the provisions of Sections 3(a), 4, or 7(a) or (b), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an obligated person with respect to the Bonds, or the type of business conducted;

(b) The undertaking, as amended or taking into account such waiver, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the original issuance of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) The amendment or waiver does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the Owners or Beneficial Owners of the Bonds.

In the event of any amendment or waiver of a provision of this Disclosure Agreement, the Corporation shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the Corporation. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in a filing with the MSRB, and (ii) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

SECTION 12. Additional Information. Nothing in this Disclosure Agreement shall be deemed to prevent the Corporation from disseminating any other information, using the means of dissemination set forth in this Disclosure Agreement or any other means of communication, or including any other information in any Annual Report or notice required to be filed pursuant to this Disclosure Agreement, in addition to that which is required by this Disclosure Agreement. If the Corporation chooses to include any information in any Annual Report or notice in addition to that which is specifically required by this Disclosure Agreement, the Corporation shall have no obligation under this Disclosure Agreement to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event or any other event required to be reported.

SECTION 13. Default. In the event of a failure of the Corporation to comply with any provision of this Disclosure Agreement, any Owner or Beneficial Owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific

performance by court order, to cause the Corporation to comply with its obligations under this Disclosure Agreement; provided, that any such action may be instituted only in Los Angeles County Superior Court of the State of California or in U.S. District Court for the Central District of California. The sole remedy under this Disclosure Agreement in the event of any failure of the Corporation to comply with this Disclosure Agreement shall be an action to compel performance.

SECTION 14. Duties, Immunities and Liabilities of Dissemination Agent.

(a) The Dissemination Agent may conclusively rely upon any Annual Report, Quarterly Report or notice of Listed Events provided by the Corporation pursuant to this Disclosure Agreement and shall have no duty or obligation to review such information. The Dissemination Agent has no power to enforce nonperformance by the Corporation on the part of the Corporation. The Dissemination Agent is not responsible in any manner for the content of any notice or report prepared by the Corporation pursuant to this Disclosure Agreement. The Dissemination Agent shall receive reasonable compensation for its services provided under this Disclosure Agreement. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Agreement, and no implied duties or obligations shall be read into this Disclosure Agreement against the Dissemination Agent. The Corporation agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys' fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or willful misconduct.

(b) The obligations of the Corporation under this Section 14 shall survive resignation or removal of the Dissemination Agent and payment of the Bonds.

(c) Liability of Dissemination Agent; Indemnity. The Dissemination Agent shall accept no liability in connection with its duties under this Disclosure Agreement unless it is negligent or engages in willful misconduct. Notwithstanding any provision contained herein to the contrary, the Dissemination Agent, including its officers, directors, employees and agents shall be indemnified and saved harmless by the Corporation from all losses, liabilities, costs and expenses, including reasonable attorney fees and expenses, which may be incurred by the Dissemination Agent as a result of its acceptance or the performance of its duties hereunder, unless such losses, liabilities, costs and expenses shall have been finally adjudicated to have resulted from the willful misconduct or negligence of the Dissemination Agent, and such indemnification shall survive its resignation or removal, or the termination of this Disclosure Agreement.

SECTION 15. Beneficiaries.

(a) This Disclosure Agreement shall inure solely to the benefit of the Corporation, the Dissemination Agent, the Participating Underwriter and Owners and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

(b) The parties hereto acknowledge that the Issuer is intended as a third party beneficiary of this Disclosure Agreement, and that the Issuer shall have the right, but not the obligation, to enforce this Disclosure Agreement as if the Issuer were the sole Owner. Exercise by the Issuer of its rights hereunder shall be at the sole and exclusive discretion of the Issuer.

[SIGNATURE PAGE FOLLOWS]

Date: November __, 2016.

PILGRIM PLACE IN CLAREMONT

By: _____
Audrey Morabito
Vice President and CFO

U.S. BANK NATIONAL ASSOCIATION, as
Dissemination Agent

By: _____
Authorized Officer

EXHIBIT A

OPTIONAL FORM OF QUARTERLY AND ANNUAL REPORTS

Name of Corporation: Pilgrim Place in Claremont, a California nonprofit public benefit corporation (the “Corporation”)

Name of Issuer: California Municipal Finance Authority

Name of Bond Issue: California Municipal Finance Authority Insured Senior Living Refunding Revenue Bonds (Pilgrim Place in Claremont), Series 2016A and the California Municipal Finance Authority Insured Senior Living Revenue Bonds (Pilgrim Place in Claremont), Series 2016B

Date of Issue: November __, 2016

CUSIP Nos.

[For Annual Report]

The Corporation’s audited financial statements for the fiscal year ended _____ and containing a balance sheet, a statement of operations and changes in net assets for such fiscal year and a statement of cash flows for such fiscal year, together with (to the extent included in the audited statements) in each case in comparative form, the financial figures for the preceding fiscal year.

The Debt Service Coverage Ratio for the fiscal year as reflected in the Corporation’s audited financial statements for such fiscal year is _____;

The Current Ratio as of the end of the fiscal year as reflected in the Corporation’s audited financial statements for such fiscal year is _____; and

The Corporation’s Days Cash on Hand as of the end of the fiscal year as reflected in the Corporation’s audited financial statements for such fiscal year is _____.

[For Quarterly Report]

The Corporation’s unaudited financial statements for the Corporation for such fiscal quarter containing a balance sheet as of the end of such fiscal quarter and a statement of operations and changes in net assets and a statement of cash flows, in each case for the fiscal year to date through the end of the fiscal quarter, compared to (i) the budget of the Corporation for such fiscal year and (ii) the same fiscal quarter for the prior fiscal year with management’s explanation of material variances and trends, are attached.

The Debt Service Coverage Ratio for the for the trailing 12-month period ending as of the end of such fiscal quarter is _____;

The Current Ratio as of the end of the fiscal quarter is _____; and

The Corporation's Days Cash on Hand as of the end of the fiscal quarter is _____ days.

Occupancy statistics for the Corporations' facilities as of the end of such fiscal quarter are as follows:

Description of any facility acquisitions or dispositions:

Descriptions of any program expansions or terminations:

EXHIBIT B

FORM OF NOTICE TO THE MUNICIPAL SECURITIES RULEMAKING BOARD OF FAILURE TO FILE [QUARTERLY/ANNUAL] REPORT

Name of Corporation: Pilgrim Place in Claremont, a California nonprofit public benefit corporation (the “Corporation”)

Name of Issuer: California Municipal Finance Authority

Name of Bond Issue: California Municipal Finance Authority Insured Senior Living Refunding Revenue Bonds (Pilgrim Place in Claremont), Series 2016A and the California Municipal Finance Authority Insured Senior Living Revenue Bonds (Pilgrim Place in Claremont), Series 2016B

Date of Issuance: November __, 2016
CUSIP Nos.

NOTICE IS HEREBY GIVEN that the Corporation has not provided a[n] [Quarterly/Annual] Report with respect to the above-named Bonds as required by Section [4/6] of the Continuing Disclosure Agreement of the Corporation, dated the Date of Issuance. The Corporation anticipates that the [Quarterly/Annual] Report will be filed by _____.

Dated: _____

PILGRIM PLACE IN CLAREMONT

By: _____
Its President and Chief Executive Officer

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APPENDIX F
FORM OF OPINION OF BOND COUNSEL

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November 30, 2016

To: California Municipal Finance Authority
Carlsbad, California

**California Municipal Finance Authority
Insured Senior Living Refunding Revenue Bonds
(Pilgrim Place in Claremont), Series 2016A**

**California Municipal Finance Authority
Insured Senior Living Revenue Bonds
(Pilgrim Place in Claremont), Series 2016B**

Ladies and Gentlemen:

We have served as bond counsel to our client Pilgrim Place in Claremont (the “Borrower”) and not as counsel to any other person in connection with the issuance by the California Municipal Finance Authority (the “Authority”) of its Insured Senior Living Refunding Revenue Bonds (Pilgrim Place in Claremont), Series 2016A (the “Series 2016A Bonds”) and its Insured Senior Living Revenue Bonds (Pilgrim Place in Claremont), Series 2016B (the “Series 2016B Bonds” and together with the Series 2016A Bonds the “Bonds”), dated the date of this letter.

The Bonds are issued pursuant to the provisions of the Joint Exercise of Powers Act, comprising Chapter 5 of Division 7 of Title 1 (commencing with Section 6500) of the California Government Code (the “Act”), an Indenture of Trust dated as of November 1, 2016 (the “Indenture”), between the Authority and U.S. Bank National Association, as trustee (the “Trustee”). The Indenture provides that the Bonds are being issued for the purpose of making a loan of the proceeds thereof to the Borrower pursuant to a Loan Agreement, dated as of November 1, 2016 (the “Loan Agreement”), between the Authority and the Borrower. Capitalized terms not otherwise defined in this letter are used as defined in the Indenture.

In our capacity as bond counsel, we have examined the transcript of proceedings relating to the issuance of the Bonds, the Indenture, the Loan Agreement, the Tax Certificate and Agreement dated the date hereof among the Authority, the Borrower and the Trustee, opinions of counsel to the Authority and the Borrower, certificates of the Authority, the Borrower, the Trustee and others as to certain factual matters, and such other certificates, documents, opinions and matters to the extent we have deemed necessary to render the opinions expressed herein.

Based on that examination and subject to the limitations stated below, we are of the opinion that under existing law:

1. The Bonds, the Indenture, and the Loan Agreement have been duly authorized and executed and are valid and binding limited obligations of the Authority, enforceable in accordance with their respective terms.

2. The Bonds constitute limited obligations of the Authority, and the principal of and interest on the Bonds are payable solely from Revenues and any other amounts (including proceeds of the sale of the Bonds) held by the Trustee in any fund or account established pursuant to the Indenture, except the Rebate Fund, subject to the provisions of the Indenture permitting the application thereof for the purposes and on the terms and conditions set forth in the Indenture. The Indenture also creates a valid assignment to the Trustee, for the benefit of the holders from time to time of the Bonds, of the right, title and interest of the Authority in the Loan Agreement (to the extent more particularly described in the Indenture). The Bonds are not a lien or charge upon the funds or property of the Authority except to the extent of the aforementioned pledge and assignment. Neither the State of California nor any political subdivision thereof (other than the Authority to the extent provided in the Indenture) shall be obligated to pay the Bonds, and neither the faith and credit nor the taxing power of the State of California or any political subdivision thereof is pledged to the payment of the Bonds.

3. Interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986, as amended (the "Code"), and is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations; however, portions of the interest on the Bonds earned by certain corporations may be subject to a corporate alternative minimum tax.

4. Interest on the Bonds is exempt from State of California personal income taxes.

We express no opinion as to any other tax consequences regarding the Bonds.

The opinions stated above are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. In rendering all such opinions, we assume, without independent verification, and rely upon (i) the accuracy of the factual matters represented, warranted or certified in the proceedings and documents we have examined, and (ii) the due and legal authorization, execution and delivery of those documents by, and the valid, binding and enforceable nature of those documents upon, any parties other than the Authority.

In rendering those opinions with respect to the treatment of the interest on the Bonds under the federal tax laws, we further assume and rely upon compliance with the covenants in the proceedings and documents we have examined, including those of the Authority and the Borrower. Failure to comply with certain of those covenants subsequent to issuance of the Bonds may cause interest on the Bonds to be included in gross income for federal income tax purposes retroactively to their date of issuance.

In rendering those opinions with respect to the treatment of the interest on the Bonds under the federal tax laws, we also further assume the correctness of, and rely on, the opinion of Hanson Bridgett LLP, counsel to the Borrower, regarding the current legal status of the Borrower as an organization described in Section 501(c)(3) of the Code and the use of the facilities financed with the Bonds in activities that are not considered "unrelated trade or business" activities of the Borrower, as defined in Section 513(a) of the Code. Failure of the Borrower to

maintain its qualification as an organization described in Section 501(c)(3) of the Code, or to use the facilities financed by the Bonds in a manner that is substantially related to the Borrower's exempt purpose under Section 513(a) of the Code, may cause interest on the Bonds to be included in gross income retroactively to the date of the issuance of the Bonds.

The rights of the owners of the Bonds and the enforceability of the Bonds, the Indenture and the Loan Agreement are subject to bankruptcy, insolvency, arrangement, fraudulent conveyance or transfer, reorganization, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion, and to limitations on legal remedies against public entities.

We express no opinion with respect to any indemnification, contribution, penalty, choice of law, choice of forum, choice of venue, waiver or severability provisions contained in the Bonds, the Indenture or the Loan Agreement.

The opinions rendered in this letter are stated only as of this date, and no other opinion shall be implied or inferred as a result of anything contained in or omitted from this letter. Our engagement as bond counsel with respect to the Bonds has concluded on this date.

Respectfully submitted,

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APPENDIX G
BOOK-ENTRY SYSTEM

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BOOK-ENTRY SYSTEM

The Depository Trust Company ("DTC"), New York, New York; will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued in the aggregate principal amount of each maturity of the Bonds, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934, as amended. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company of DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their beneficial ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co. or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their

registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the Bond Trustee and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such Bonds to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's Money Market Instrument Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the Authority as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Principal, premium, redemption proceeds, and interest payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Authority or the Bond Trustee, on a payment date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participants and not of DTC nor of its nominee, the Bond Trustee, the Corporation or the Authority, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal, premium, redemption proceeds and interest to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Corporation, the Authority or the Bond Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the Authority or the Bond Trustee. Under such

circumstances, in the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered.

The Authority may decide to discontinue use of the system of book-entry only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the Authority and the Corporation believe to be reliable, but neither the Authority nor the Corporation takes responsibility for the accuracy thereof.

The Authority and the Corporation cannot and do not give any assurances that DTC will distribute to Participants or that Participants or others will distribute to the Beneficial Owners payments of principal of, premium, if any, and interest on the Bonds paid or any redemption or other notices or that they will do so on a timely basis or will serve and act in the manner described in this Official Statement. Neither the Authority nor the Corporation is responsible or liable for the failure of DTC or any Direct Participant or Indirect Participant to make any payments or give any notice to a Beneficial Owner with respect to the Bonds or any error or delay relating thereto.

None of the Authority, the Corporation, the Underwriter, or the Bond Trustee will have any responsibility or obligation to Direct Participants, to Indirect Participants or to any Beneficial Owner with respect to (i) the accuracy of any records maintained by DTC, any Direct Participant, or any Indirect Participant; (ii) the payment by DTC or any Direct Participant or Indirect Participant of any amount with respect to the principal of or premium, if any, or interest on the Bonds; (iii) any notice that is permitted or required to be given to Holders under the Bond Indenture; (iv) the selection by DTC, any Direct Participant or any Indirect Participant of any person to receive payment in the event of a partial redemption of the Bonds; (v) any consent given or other action taken by DTC as Bondholder; or (vi) any other procedures or obligations of DTC, Direct Participants or Indirect Participants under the book-entry system.

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APPENDIX H
FEASIBILITY STUDY

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HENDRICKSON CONSULTING

1505 Bridgeway – Suite 101, Sausalito, California 94965 - (415) 332-7169 – Bill.Hendrickson@SBCGlobal.net

FINAL REPORT

PILGRIM PLACE

FINANCIAL FEASIBILITY REPORT

SEPTEMBER 6, 2016

HENDRICKSON CONSULTING

1505 Bridgeway, Suite 101, Sausalito, CA 94965 – (415) 332-7169 – [Bill.Hendrickson @ SBCGlobal.net](mailto:Bill.Hendrickson@SBCGlobal.net)

September 6, 2016

Ann R. Schiff
President/Chief Executive Officer
Pilgrim Place
660 Avery Road
Claremont, CA 91711

Dear Ms. Schiff:

We are pleased to submit this feasibility study for Pilgrim Place (PP), a 501(c)(3) corporation. PP is a multi-level retirement community located in the City of Claremont and was founded in 1915 to provide retirement services to professionals from other charitable non-profit organizations. PP is located on a 32-acre campus and consists of 182 operating independent living (IL), 56 assisted living (AL) units, and a 62-bed skilled nursing facility (SNF). PP is licensed as a continuing care retirement community (CCRC) by the Department of Social Services (DSS).

The proceeds of \$37.5 million 2016 Bonds (with premium) will be used to refinance \$24.6 million remaining of 2009 Insured Senior Living Revenue Bonds and for \$9.0 million in maintenance and upgrade improvements to the PP campus. All improvements are estimated to be completed by the end of 2019.

The Bonds are anticipated to be issued in December 2016 and insured through the Cal Mortgage Loan Program. The Bonds are expected to have a 30-year term and a maximum average yield rate of 3.0%. Interest and principal payments to bondholders will begin on May 15, 2017.

To evaluate the financial feasibility of the project we have reviewed critical information sources, including the following:

- the key revenue sources for PP;
- the key expenses for PP;
- the estimated costs and timing of the projects, and
- the terms and structure of the proposed bond issue.

The information obtained through this review has been used to forecast financial statements for the fiscal years ending December 31, 2016 to 2021. Based on our evaluation, the debt coverage ratio is expected to equal or exceed 1.69x maximum annual debt service in all forecast years beginning in FY 2017. In addition, the sources of funds will be adequate to meet operating expenses, working capital, and other capital requirements.

The forecasts contained in this report are based on several assumptions. To the extent that these assumptions are not realized, the actual results may vary accordingly. Implementation of policies and procedures to attain the forecast results is the responsibility of PP and its management. Since forecasts of future events are subject to uncertainty, we cannot guarantee these forecasts as specific results that will be achieved.

We appreciate the assistance provided by PP management during the preparation of this study.

Sincerely,

William D. Hendrickson

William D. Hendrickson
Hendrickson Consulting

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SECTION A
PILGRIM PLACE
STATEMENT OF ACTIVITIES
(\$000s)

Fiscal Year Ending December 31	2014	2015	2016	2017	2018	2019	2020	2021
<u>REVENUE</u>								
Homes & Apartments	\$6,193	\$6,222	\$6,300	\$6,552	\$6,814	\$7,087	\$7,299	\$7,518
Pitzer Lodge	2,277	2,387	2,450	2,524	2,886	3,169	3,568	3,884
Health Center	6,005	6,210	6,318	6,506	6,700	6,901	7,107	7,320
Other Income	175	133	125	129	133	137	141	145
Amortized Entrance Fees	2,093	1,914	1,971	2,031	2,091	2,154	2,219	2,285
Net Released Assets - Operations	403	432	400	400	400	400	400	400
Net Released Assets - Endow./Other	231	319	250	250	250	250	250	250
Contributions - Unrestricted	386	602	500	500	500	500	500	500
Contributions - Restricted	1,761	819	400	530	400	400	400	400
Investment Income	69	55	100	95	115	132	144	151
Total Revenue	\$19,593	\$19,093	\$18,815	\$19,517	\$20,290	\$21,129	\$22,028	\$22,853
<u>EXPENSES</u>								
Skilled Nursing	\$4,929	\$5,128	\$5,190	\$5,346	\$5,506	\$5,671	\$5,841	\$6,017
Assisted Living	1,777	1,776	1,700	1,751	2,104	2,317	2,586	2,764
Independent Living	708	694	700	721	743	765	788	811
Dietary/Housekeeping	3,582	3,684	3,600	3,708	3,869	4,025	4,176	4,321
Plant	1,888	1,810	1,800	1,854	1,910	1,967	2,026	2,087
Administration/Other	2,244	2,206	2,260	2,328	2,398	2,470	2,544	2,620
Depreciation/Amortization	2,089	2,162	2,058	2,085	2,218	2,376	2,511	2,550
Interest/Premium Amort. - External	1,538	1,539	1,487	1,295	1,348	1,313	1,289	1,255
Interest - Internal	12	51	37	37	37	37	37	37
Total Expenses	\$18,767	\$19,050	\$18,832	\$19,125	\$20,132	\$20,940	\$21,798	\$22,462
Change in Unrestricted Net Assets	\$826	\$43	(\$18)	\$391	\$158	\$190	\$230	\$391
Change in T. Restricted Net Assets	\$161	(\$545)	\$0	\$0	\$0	\$0	\$0	\$0
Change in P. Restricted Net Assets	23	61	0	0	0	0	0	0
Other	0	0	(3,016)	0	0	0	0	0
Increase in Net Assets	\$1,010	(\$441)	(\$3,034)	\$391	\$158	\$190	\$230	\$391
Net Assets - End of Year	\$30,680	\$30,240	\$27,207	\$27,599	\$27,756	\$27,946	\$28,176	\$28,567

SECTION A
PILGRIM PLACE
STATEMENTS OF FINANCIAL POSITION
(\$000s)

Fiscal Year Ending December 31	2014	2015	2016	2017	2018	2019	2020	2021
<u>ASSETS</u>								
Cash & Equivalents - Unrestricted	\$6,005	\$6,037	\$6,000	\$6,000	\$6,000	\$6,000	\$6,000	\$6,000
Accounts Receivable	1,501	1,894	2,081	2,152	2,265	2,369	2,482	2,585
Other Current Assets	73	159	200	200	200	200	200	200
Total Current Assets	\$7,579	\$8,090	\$8,281	\$8,352	\$8,465	\$8,569	\$8,682	\$8,785
Net Property, Plant, Equip.	\$45,759	\$45,645	\$47,630	\$49,045	\$50,227	\$51,551	\$50,840	\$50,090
Restr. Investments - Gift Annuity	768	727	727	727	727	727	727	727
Restr. Investments - Endowment/Other	6,331	6,123	6,123	6,123	6,123	6,123	6,123	6,123
Restr. Investments - Bonds	2,254	2,420	10,087	7,087	4,087	1,087	1,087	1,087
Investments - Unrestricted	2,738	2,371	1,904	3,912	5,602	6,739	7,432	8,310
Pledges Receivable/Other	952	690	590	490	390	290	190	90
TOTAL ASSETS	\$66,381	\$66,066	\$75,342	\$75,736	\$75,620	\$75,086	\$75,081	\$75,212
<u>LIABILITIES</u>								
Accts. Payable/Accr. Exp.	\$1,289	\$1,109	\$1,188	\$1,221	\$1,287	\$1,344	\$1,405	\$1,453
Deposits/Other	549	1,073	1,073	1,073	1,073	1,073	1,073	1,073
Current Portion - LOC	500	500	0	0	0	0	0	0
Current Portion Long-term Debt	495	520	310	680	1,190	720	750	785
Total Current Liabilities	\$2,833	\$3,202	\$2,571	\$2,974	\$3,550	\$3,137	\$3,228	\$3,311
Deferred Revenue	\$7,096	\$7,001	\$7,266	\$7,695	\$8,185	\$8,743	\$9,317	\$9,908
Promissory Note	0	460	490	490	0	0	0	0
Long-term Debt	25,033	24,515	32,680	32,000	31,300	30,580	29,830	29,045
2016 Bond Premium	0	0	4,481	4,332	4,182	4,033	3,884	3,734
Annuities Payable	738	648	648	648	648	648	648	648
TOTAL LIABILITIES	\$35,700	\$35,826	\$48,136	\$48,139	\$47,865	\$47,141	\$46,906	\$46,646
<u>NET ASSETS</u>								
Unrestricted	\$20,524	\$20,567	\$17,533	\$17,925	\$18,082	\$18,272	\$18,502	\$18,893
T. Restricted	4,288	3,743	3,743	3,743	3,743	3,743	3,743	3,743
P. Restricted	5,869	5,930	5,930	5,930	5,930	5,930	5,930	5,930
TOTAL LIAB. & NET ASSETS	\$66,381	\$66,066	\$75,342	\$75,737	\$75,621	\$75,086	\$75,081	\$75,212

SECTION A
PILGRIM PLACE
STATEMENTS OF CASH FLOWS
(\$000s)

Fiscal Year Ending December 31	2014	2015	2016	2017	2018	2019	2020	2021
<u>OPERATING ACTIVITIES</u>								
Change in Net Assets	\$1,010	(\$441)	(\$3,034)	\$391	\$158	\$190	\$230	\$391
Depreciation and Amortization	2,089	2,162	2,058	2,085	2,218	2,376	2,511	2,550
Amortized Entrance Fees	(2,093)	(1,914)	(1,971)	(2,031)	(2,091)	(2,154)	(2,219)	(2,285)
Amortized 2016 Bond Premium	0	0	0	(149)	(149)	(149)	(149)	(149)
Other Adjustments	(123)	(373)	3,047	0	0	0	0	0
Changes in Assets/Liabilities	(786)	245	(49)	62	53	54	48	45
Cash From Operating Act.	\$97	(\$321)	\$51	\$359	\$188	\$315	\$421	\$552
<u>INVESTING ACTIVITIES</u>								
Project Expenditures	\$0	\$0	\$0	(\$3,000)	(\$3,000)	(\$3,000)	\$0	\$0
Capital Expenditures	(1,138)	(1,671)	(1,800)	(500)	(400)	(700)	(1,800)	(1,800)
Other	0	0	0	0	0	0	0	0
Cash From Investing Act.	(\$1,138)	(\$1,671)	(\$1,800)	(\$3,500)	(\$3,400)	(\$3,700)	(\$1,800)	(\$1,800)
<u>FINANCING ACTIVITIES</u>								
Net Entrance Fees	\$1,740	\$1,818	\$2,236	\$2,460	\$2,582	\$2,711	\$2,793	\$2,877
Debt Proceeds/Related	0	460	37,500	0	0	0	0	0
Net Line of Credit	(100)	0	(500)	0	0	0	0	0
Refinancing	0	0	(27,586)	0	0	0	0	0
Change in Restricted Funds	0	0	25	0	0	0	0	0
External Debt Principal Payments	(470)	(495)	(520)	(310)	(680)	(1,190)	(720)	(750)
Issuance Costs	0	0	(2,243)	0	0	0	0	0
Other	(55)	(210)	0	0	0	0	0	0
Cash From Financing Act.	\$1,115	\$1,573	\$8,912	\$2,150	\$1,902	\$1,521	\$2,073	\$2,127
Net Change in Cash/Equiv.	\$74	(\$419)	\$7,163	(\$991)	(\$1,310)	(\$1,863)	\$694	\$878
End Of Year Cash & Invest.	\$18,097	\$17,678	\$24,841	\$23,849	\$22,539	\$20,676	\$21,369	\$22,247
Unrestricted/Bd. Designated	8,743	8,408	7,904	9,912	11,602	12,739	13,432	14,310
Restricted - Endowment/Annuities	7,100	6,850	6,850	6,850	6,850	6,850	6,850	6,850
Restricted - Bonds	2,254	2,420	10,087	7,087	4,087	1,087	1,087	1,087

B. BACKGROUND

Pilgrim Place (PP) is a multi-level retirement community located in the City of Claremont and was founded in 1915 to provide retirement services to non-profit organization professionals. PP is located on a 32-acre campus and consists of 182 independent living (IL) units, 56 assisted living (AL) units, and a 62-bed skilled nursing facility (SNF). PP received its continuing care retirement community (CCRC) license from the Department of Social Services (DSS) in 2009.

In 2009 PP issued \$26.5 million in Insured Senior Living Revenue Bonds (2009 Bonds) insured by Cal Mortgage for an expansion project, which added 19 IL units and 14 AL units, and upgrades to administrative offices and the fitness center. These projects were completed in 2011. The 2009 Bonds were issued at a maximum interest rate of 6.125%. Current interest rates are at a level which provides PP with significant cash flow benefits from a refinancing. PP intends on issuing 2016 Bonds to refinance the 2009 Bonds and to provide \$9.0 million for maintenance and upgrade projects, with a small expansion of memory care (MC) services. The resulting annual debt payments are estimated to be \$2.2 million, slightly above current levels.

LEGAL STRUCTURE/PROGRAM

The current CCRC Residency Agreement replaced the previous rental agreement in 2009. PP now offers the Agreement to all existing residents and new IL entrants. The conversion of existing and new residents to the new Residency Agreement began in February 2009. Nearly all of the existing IL residents are now covered by a CCRC Residency Agreement.

The Residency Agreement includes one meal per day, partial utilities, social activities, and other services for IL residents. Housekeeping is provided at the request of the resident at an extra charge. Residents transferring to AL or SNF care pay a rate approximately 5% below the market rate with no free-day benefit. Entrants have a choice to enter under a non-refundable “Classic” fee (amortized over 50 months for voluntary termination) or a 90% repayable entrance fee. The 90% repayable entrance fee will be repaid to residents contingent upon resale of their unit and at the time of their contract termination. A “no-entrance fee” contract option is available to a limited number of entrants, to the extent that they do not have sufficient assets to afford the entrance fee but do have sufficient income for the higher monthly fee.

Currently 154 of the approximately 180 occupied IL units (86%) are covered by the Classic Agreement, 16 units (9%) by the 90% repayable contract, and 10 units (5%) by the “no-entrance fee” contract.

C. PROJECT DESCRIPTION

The 2016 Bonds will be used for two purposes; refinancing of 2009 Bonds and the funding of \$9.0 million in capital improvements. A summary of the Sources and Uses of funds and annual debt payment schedule are shown in **Tables 1 and 2**. Bond assumptions have been provided by Cain Brothers, PP's investment banker. Like the 2009 Bonds, the 2016 Bonds are proposed to be insured through the State's Cal Mortgage Loan Insurance program.

REFUNDING OF 2009 INSURED SENIOR LIVING REVENUE BONDS

The 2009 Bonds have a maximum interest rate of 6.125% and average \$2.01 million in annual payments. As of December 1, 2016, the remaining par total will be \$24.57 million. To refinance the 2009 Bonds PP will issue a total of \$27.35 million in new debt (\$24.29 million par plus a \$3.06 million premium) at a maximum coupon rate of 5.0% and a maximum yield rate of 3.0%. This will lower the annual debt payments to \$1.74 million, approximately \$270,000 below current levels. Principal and interest payments will begin on May 15, 2017 and end on May 15, 2039. The 2016 Bond proceeds related to the refunding will be used to purchase \$27.59 million in state and local government securities (SLGS) to fund the defeasance escrow which will exist through May 15, 2019, the par call date of the 2009 Bonds.

CAPITAL IMPROVEMENTS

PP has identified \$9.0 million in maintenance and upgrade projects, and a 6-bed MC expansion, that it proposes to finance with the proceeds of the 2016 Bonds. The projects and estimated costs include:

- Phone, Data, and Wi-Fi - \$1.8 million
- Solar Panel Installation - \$1.3 million
- Annual Capital Expenditures - \$4.5 million
- Second Memory Care (MC) House - \$450,000
- Chiller System - \$500,000
- Electronic Monitoring System - \$450,000

Of these, the Second MC House has the highest potential impact on operating cash flows from the addition of up to six occupants. The proposed MC House is expected to be the second house converted to MC uses. PP is currently planning a "first" MC House, which would convert an existing unoccupied single residence into a 6-unit MC House. PP expects to submit drawings to the City of Claremont for the first MC House in 2016 and expects to complete construction at a cost of \$300,000 by the end of FY 2017. Construction will be funded with cash and donations. The second MC House should be completed by the end of FY 2019.

The phone, data, and wi-fi project is expected to be the first to begin work in June 2017 with the last project (Second MC House) completed by November 2019, 36 months after 2016 Bond issuance. Project cost estimates are based on PP discussions with manufacturers and contractors. None of the projects have received specific and committed guaranteed maximum price (GMP) contracts at this time. PP recognizes that the price estimates may change. To the extent they increase above current estimates, PP will either eliminate lower priority projects (e.g. Solar Panel Installation, Second MC House) or use cash reserves to meet expenditures above the \$9.0 million.

The combined bond proceeds (par and premium) for the \$9.0 million new expenditures is estimated at \$10.12 million by Cain Brothers. Annual debt payments are estimated at approximately \$435,000 during the forecast period. Principal payments begin May 15, 2040 and end May 15, 2046, during which period annual debt payments will average approximately \$1.5 million. Principal amortization of the new money portion will be structured to “wrap” around the refunding portion of the 2016 Bonds.

DEBT PAYMENTS

The 2016 Bonds include a six-month debt service reserve fund versus the traditional 12-month fund, per Cal Mortgage requirements. Annual debt payments for all debt is shown in **Table 2**. In addition to the debt on the 2016 Bonds, PP currently has a balance of \$490,000 in promissory notes issued to 26 individuals at a 3.0% interest rate and due no later than January 2019. PP also maintains a line of credit which was paid off in early 2016. Interest payments for the 2016 Bonds also include amortization of the Bond premium over 30 years.

TABLE 1
PILGRIM PLACE
SOURCES/USES OF FUNDS
(\$000s)

Fiscal Year Ending 12/31	TOTAL	2016	2017	2018	2019
<u>SOURCES</u>					
Debt - Permanent	\$32,990	\$32,990	\$0	\$0	\$0
Premium	4,481	4,481	0	0	0
PP Cash Equity	-	0	0	0	0
Debt Reserve - 2009 Bonds	2,007	2,007	0	0	0
Principal/Interest Fund	438	438	0	0	0
Other	-	0	0	0	0
TOTAL SOURCES	\$39,916	\$39,916	\$0	\$0	\$0
<u>USES</u>					
Construction	\$9,000	\$0	\$3,000	\$3,000	\$3,000
Refunding - SLGS Purchase	\$27,586	\$27,586	0	0	0
Debt Reserve	1,087	1,087	0	0	0
Cal Mortgage Fees	1,501	1,501	0	0	0
Discount/Issuance Fees	742	742	0	0	0
TOTAL USES	\$39,916	\$30,916	\$3,000	\$3,000	\$3,000
BALANCE	\$0	\$9,000	\$6,000	\$3,000	\$0

TABLE 2
PILGRIM PLACE
EXTERNAL DEBT PAYMENTS
(\$000s)

Fiscal Year Ending 12/31	2014	2015	2016	2017	2018	2019	2020	2021
<u>EXPENSED INTEREST</u>								
2009 Bonds	\$1,500	\$1,480	\$1,338	\$0	\$0	\$0	\$0	\$0
2016 Bonds	\$0	\$0	\$114	\$1,430	\$1,483	\$1,462	\$1,438	\$1,404
Promissory Notes/Other	\$18	\$38	\$14	\$15	\$15	\$0	\$0	\$0
Credit Lines	\$20	\$21	\$21	\$0	\$0	\$0	\$0	\$0
Non-cash Bonds Premium Amort.	\$0	\$0	\$0	(\$149)	(\$149)	(\$149)	(\$149)	(\$149)
Total	\$1,538	\$1,539	\$1,487	\$1,295	\$1,348	\$1,313	\$1,289	\$1,255
<u>PRINCIPAL</u>								
2009 Bonds	\$470	\$495	\$520	\$0	\$0	\$0	\$0	\$0
2016 Bonds	\$0	\$0	\$0	\$310	\$680	\$700	\$720	\$750
Promissory Notes/Other	\$0	\$0	\$0	\$0	\$0	\$490	\$0	\$0
Credit Lines	\$0	\$0	\$500	\$0	\$0	\$0	\$0	\$0
Total	\$470	\$495	\$1,020	\$310	\$680	\$1,190	\$720	\$750
<u>BALANCE</u>								
2009 Bonds	\$25,528	\$25,035	\$0	\$0	\$0	\$0	\$0	\$0
2016 Bonds	\$0	\$0	\$32,990	\$32,680	\$32,000	\$31,300	\$30,580	\$29,830
Promissory Notes/Other	\$0	\$460	\$490	\$490	\$490	\$0	\$0	\$0
Credit Lines	\$500	\$500	\$0	\$0	\$0	\$0	\$0	\$0
Total	\$26,028	\$25,995	\$33,480	\$33,170	\$32,490	\$31,300	\$30,580	\$29,830

D. OPERATING ASSUMPTIONS

The following is a discussion of key utilization, revenue, and expense assumptions for PP. Assumptions are based on a review of fiscal year (FY) 2014 and 2015 audits, FY 2016 internal financials through June 30, the FY 2016 budget, and discussions with management.

KEY MONTHLY/DAILY FEE ASSUMPTIONS

Table 3 shows a summary of current rates for IL units classified by square footage. The monthly fee shown represents a combination of three fees:

1. Rent,
2. Residential Fee for utilities, City assessments, and other common expenses
3. “Abernethy Fee” for dining services

Rent levels are based on square footage, while the Residential and Dining Fees are set at the same rates for all units (currently \$426 and \$352 respectively for a total of \$778). In FY 2016 IL rents are set at \$1.73 per square foot for units with entrance fees and \$2.85 per square foot (a 65% premium) for “no entrance fee” units. Couples (about 40% of total occupants) pay an additional Residential and Dining fee (combined \$778).

For purposes of analysis the three fees are combined into one monthly fee. PP increased its monthly fees by 4.0% effective January 1, 2015 and by an additional 3.5% on January 1, 2016. For forecasting purposes IL monthly fees are assumed to increase by 4.0% (1.0% above projected expense inflation) annually for three years beginning on January 1, 2017 through January 1, 2019, and then by 3.0% per year thereafter. PP intends on extending the 4.0% (or 1.0% above expense inflation) for at least five years (through FY 2021), and the three year assumption is considered by management to be conservative. IL monthly fees at PP are well below those of its two nearest competitors; Hillcrest Homes and Mount San Antonio Gardens. IL occupancy at PP has averaged 98%-99% (average 2-4 vacant units of 182 total IL units) for the last several years, and is not expected to be impacted by these rate increases.

As shown in **Table 4**, AL unit occupancy has averaged over 95% for the last three years but is expected to decrease slightly to 93% based on recent utilization trends. AL rates are increased by 3.0% per year. The SNF occupancy averages about 54 beds for the 62 operated beds, with about 50%-60% private pay, 35%-40% Medi-Cal, and 5%-10% Medicare. All of the AL beds and approximately 20% of the SNF beds on average are occupied by IL resident transfers. For forecasting purposes, private and insurance SNF rates are increased by 3.5% per year and Medicare and Medi-Cal rates by 2.0% per year.

The first six-bed MC House is expected to open by January 2018 and to fill by mid-2018. Rates are estimated to average \$7,500 per month in FY 2016 dollars and to increase by 3.0% per year.

Occupancy is conservatively estimated to average 5.0 units (83%) at stabilization. As will be discussed below, the first MC House expenses are expected to roughly equal revenues, with the second MC House expected to generate a surplus. The second MC House is estimated to fill by the end of FY 2020, and have similar rates to the first MC House.

TABLE 3
PILGRIM PLACE
KEY INDEPENDENT LIVING UNIT/FEE ASSUMPTIONS
FISCAL YEAR 2016 DOLLARS

UNITS BY SIZE	Total Units	Average Sq. Ft.	NO E.FEE		0% E.FEE		90% E.FEE		Resid. /Unit	Total Resid.
			E.Fee	M.Fee	E.Fee	M.Fee	E.Fee	M.Fee		
Under 1,000 SF	75	895	\$0	\$3,330	\$163,000	\$2,330	\$276,000	\$2,330	1.20	90
1,000-1,200 SF	37	1,105	\$0	\$3,930	\$201,000	\$2,690	\$341,000	\$2,690	1.30	48
1,200-1,300 SF	18	1,220	\$0	\$4,260	\$222,000	\$2,890	\$377,000	\$2,890	1.50	27
Above 1,300 SF	52	1,325	\$0	\$4,550	\$241,000	\$3,070	\$409,000	\$3,070	1.70	88
TOTAL/AVERAGE	182	1,093	\$0	\$3,890	\$198,800	\$2,670	\$337,500	\$2,670	1.39	254
Average Second Fee	72			\$778	\$53,900	\$778	\$91,700	\$778		

TABLE 4
PILGRIM PLACE
REVENUE ASSUMPTIONS
(\$000s)

Fiscal Year Ending December 31	2014	2015	2016	2017	2018	2019	2020	2021
<u>HOMES & APARTMENTS</u>								
Available Units	182.0	182.0	182.0	182.0	182.0	182.0	182.0	182.0
Occupied Units	180.0	180.0	180.0	180.0	180.0	180.0	180.0	180.0
Percent Occupancy	98.9%	98.9%	98.9%	98.9%	98.9%	98.9%	98.9%	98.9%
Average Monthly Rent/Fees	\$2,867	\$2,881	\$2,917	\$3,033	\$3,155	\$3,281	\$3,379	\$3,481
ANNUAL REVENUES	\$6,193	\$6,222	\$6,300	\$6,552	\$6,814	\$7,087	\$7,299	\$7,518
<u>ASSISTED LIVING</u>								
Available Units	56.0	56.0	56.0	56.0	62.0	62.0	68.0	68.0
Occupied Units	54.0	54.0	52.0	52.0	55.0	57.0	60.0	62.0
Percent Occupancy	96.4%	96.4%	92.9%	92.9%	88.7%	91.9%	88.2%	91.2%
Average Monthly Rent & Fees	\$3,514	\$3,684	\$3,926	\$4,044	\$4,372	\$4,633	\$4,955	\$5,220
ANNUAL REVENUES	\$2,277	\$2,387	\$2,450	\$2,524	\$2,886	\$3,169	\$3,568	\$3,884
<u>HEALTH CENTER</u>								
Available Beds	62.0	62.0	62.0	62.0	62.0	62.0	62.0	62.0
Occupied Beds - Perm. Residents	54.3	54.1	54.0	54.0	54.0	54.0	54.0	54.0
Percent Occupancy	87.7%	87.3%	87.1%	87.1%	87.1%	87.1%	87.1%	87.1%
<u>Payor Mix</u>								
Private/Other	29.5	32.8	30.0	30.0	30.0	30.0	30.0	30.0
Medi-Cal	20.5	17.9	20.0	20.0	20.0	20.0	20.0	20.0
Medicare	4.3	3.3	4.0	4.0	4.0	4.0	4.0	4.0
<u>Rates Per Day</u>								
Private/Other	\$351	\$362	\$376	\$390	\$403	\$417	\$432	\$447
Medi-Cal	\$172	\$163	\$166	\$170	\$173	\$176	\$180	\$184
Medicare	\$602	\$660	\$673	\$686	\$700	\$714	\$729	\$743
<u>Revenues</u>								
Private/Other	\$3,781	\$4,337	\$4,122	\$4,266	\$4,415	\$4,570	\$4,730	\$4,895
Medi-Cal	\$1,287	\$1,068	\$1,214	\$1,238	\$1,263	\$1,288	\$1,314	\$1,340
Medicare	\$937	\$805	\$983	\$1,002	\$1,022	\$1,043	\$1,064	\$1,085
ANNUAL REVENUES	\$6,005	\$6,210	\$6,318	\$6,506	\$6,700	\$6,901	\$7,107	\$7,320

KEY ENTRANCE FEE ASSUMPTIONS

The two main entrance fee options are the “Classic” (declining refund over 50 months) and the 90% repayable fees. A third option for a limited number of IL entrants excludes the entrance fee but charges higher monthly fees. Like monthly rental fees, entrance fees are set on a per square foot basis; currently \$182 for a single occupant selecting the Classic option and 70% higher for the 90% Repayable option. Second occupants are charged at a rate of \$45 per square foot for the Classic and 70% higher for the 90% Repayable options.

The current proportion of these options is approximately 86% Classic, 9% repayable, and 5% no entrance fee. As shown in **Table 5**, PP estimates that new entrants will select contracts at a comparable proportion (82%, 9%, and 9%) for 11 annual new move-ins. PP has averaged under one unit move-in per month in the last few years. The average age at entry is approximately 70 years, significantly less than the typical CCRC average of 78-80 years, and residents spend an average of 18 years in IL. As such, unit turnovers are relatively low (about 6% per year) compared to industry standards (about 10% per year) and are expected to continue at this lower level. New entrants are required to be no older than 78 years.

All entrance fees are increased by 10.0% effective January 1, 2017, and 5.0% per year for the next two years. PP intends on continuing the 5.0% increases, but to be conservative increases are held at 3.0% per year after the third year increase. PP entrance fees are approximately 30%-50% below the levels of its primary competitors; Hillcrest Homes and Mount San Antonio Gardens. Refunds are estimated at 5.0% of gross revenues, primarily reflecting expected payments on 90% repayable fees.

TABLE 5
PILGRIM PLACE
ENTRANCE FEE REVENUES
(000s)

Fiscal Year Ending December 31	2014	2015	2016	2017	2018	2019	2020	2021
Move-Ins - No Entrance Fee	-	-	1.0	1.0	1.0	1.0	1.0	1.0
Move-Ins - Classic Fee	5.0	8.0	9.0	9.0	9.0	9.0	9.0	9.0
Move-Ins - 90% Repayable Fee	1.0	2.0	1.0	1.0	1.0	1.0	1.0	1.0
Move-Ins - Total	6.0	10.0	11.0	11.0	11.0	11.0	11.0	11.0
Average Entrance Fee/ E.Fee Unit	\$290,000	\$181,800	\$235,400	\$258,900	\$271,800	\$285,400	\$294,000	\$302,800
Gross Revenues	\$1,740	\$1,818	\$2,354	\$2,589	\$2,718	\$2,854	\$2,940	\$3,028
Refunds	\$0	\$0	(\$118)	(\$129)	(\$136)	(\$143)	(\$147)	(\$151)
NET ENTRANCE FEES	\$1,740	\$1,818	\$2,236	\$2,460	\$2,582	\$2,711	\$2,793	\$2,877

CONTRIBUTION ASSUMPTIONS

PP has a prominent charitable mission and over the last five years has received about \$1.0 million per year in contributions from individuals, estates, and foundations, aside from major capital campaigns (e.g. recent Centennial Campaign). In the audit contributions are separated into six categories; four unrestricted, and one each temporarily and permanently restricted. These are shown in **Table 6**.

Designated Contributions include the Centennial capital campaign and the MC House. The Centennial campaign began in 2013 for the purpose of raising funds for Porter Hall, Pitzer kitchen, and the Endowment. A total of \$1.46 million was recognized in 2014 and \$650,000 in 2015. The Centennial campaign ended in 2015, although small amounts of contributions are still being received. PP is expected to continue to receive about \$300,000 per year for miscellaneous projects, with additional \$130,000 funding for the first MC House received in FY 2017.

Annual Giving is divided into designated and undesignated categories, and averaged \$340,000 per year in FY 2014 and FY 2015. These include contributions to the resident's annual fund, the Resident's Health and Support Program (RHSP), and for staff bonuses. Annual Giving contributions are forecast to remain at current levels.

Capital Project and Housing Agreement Gifts include contributions for miscellaneous capital projects and payments by residents for unit upgrades paid for by PP. Under the current arrangement, new entrants who want more than the planned basic upgrades to their IL units will contribute the difference between the higher and basic upgrades. In 2015, the total \$365,000 of contributions included \$1,000 for capital projects and \$364,000 for unit upgrades. Over the last five years (FY 2011 to FY 2015) these gifts have averaged \$310,000 per year and are expected to total \$260,000 in FY 2016. Housing gifts are forecast to average \$260,000 over the forecast period.

Other Unrestricted Gifts primarily include non-cash contributions to the Museum (collections) and average about \$10,000 per year.

Temporarily Restricted Contributions include net revenues from the Annual resident's festival and other contributions. These funds are typically used for resident support and for general operations. Over the last five years temporarily restricted contributions have averaged \$330,000, and are forecast at \$300,000 per year over the forecast period.

Permanently Restricted Contributions have recently averaged about \$2,000 per year (excluding gift annuities) and are typically restricted to the Endowment Fund. For forecasting purposes no contributions are included.

TABLE 6
PILGRIM PLACE
CONTRIBUTIONS
(\$000s)

Fiscal Year Ending December 31	2014	2015	2016	2017	2018	2019	2020	2021
<u>UNRESTRICTED</u>								
Annual Giving - Undesignated	\$286	\$238	\$250	\$250	\$250	\$250	\$250	\$250
Annual Giving - Designated	76	75	80	80	80	80	80	80
Contributions - Designated	1,648	731	300	430	300	300	300	300
Gifts - Housing Agreements	100	364	250	250	250	250	250	250
Gifts - Capital	30	1	10	10	10	10	10	10
Gifts - Collections/Other	7	12	10	10	10	10	10	10
Subtotal - Unrestricted Contributions	\$2,147	\$1,421	\$900	\$1,030	\$900	\$900	\$900	\$900
<u>TEMPORARILY RESTRICTED</u>								
Annual Festival	\$195	\$179	\$200	\$200	\$200	\$200	\$200	\$200
Contributions	171	81	100	100	100	100	100	100
Subtotal - T. Restricted Contributions	\$366	\$260	\$300	\$300	\$300	\$300	\$300	\$300
<u>PERMANENTLY RESTRICTED</u>								
Contributions	\$2	\$1	\$0	\$0	\$0	\$0	\$0	\$0
Other	0	0	0	0	0	0	0	0
Subtotal - P. Restricted Contributions	\$2	\$1	\$0	\$0	\$0	\$0	\$0	\$0
TOTAL CONTRIBUTIONS	\$2,515	\$1,682	\$1,200	\$1,330	\$1,200	\$1,200	\$1,200	\$1,200

NET RELEASED ASSETS

PP's RHSP provides financial assistance for residents, primarily in IL and AL care. These funds are transferred from Endowment and other temporarily and permanently restricted funds. They have averaged over \$400,000 per year over the last few years and held at this level over the forecast period.

Assets are also released for capital and other purposes, and primarily consist of Board transfers from the Endowment Fund for purposes of general operations. There are years in which the Board does not authorize transfers, but over the last few years transfers have averaged \$250,000, and are expected to continue at this level over the forecast period.

INTEREST EARNINGS

Investment earnings are estimated at 1.0% per year on prior year cash and investment balances, and 1.5% per year on the 2016 Bond reserve fund.

KEY EXPENSE ASSUMPTIONS

Table 7 shows a summary of staffing, salaries and other expenses. PP currently employs 177 full-time equivalent (FTE) employees and is estimating \$15.3 million in departmental expenditures (excludes depreciation and interest) for FY 2016. Benefits are estimated at 33.0% of total salaries and include holidays, sick leave, vacation, pension, health insurance, payroll taxes, and workers compensation. Expense inflation is estimated at 3.0% per year thereafter. No staffing increases are estimated to result from the proposed \$9.0 million projects. Some of the projects (e.g. Solar) should reduce expenses, but these are not reflected in the forecasts.

Expenses for the first MC House, scheduled to open in early FY 2018, are estimated at approximately \$500,000 in FY 2016 dollars, roughly equal to the projected revenues. PP expects to hire eight caregiver FTEs. Additional costs will be incurred for food, supplies, and utilities. The second MC is expected to open in late 2019 and add another four FTEs and approximately \$300,000 in additional annual expenses in FY 2016 dollars at stabilization in FY 2021.

**TABLE 7
PILGRIM PLACE
EXISTING EXPENSE SUMMARY
FISCAL YEAR 2016 DOLLARS**

DEPARTMENT	Paid FTEs	Hr. Rate	Salaries	Benefits	Other	TOTAL
Skilled Nursing	55.0	\$24.40	\$2,550,000	\$840,000	\$1,800,000	\$5,190,000
Assisted Living	30.0	\$18.42	\$1,050,000	\$350,000	\$300,000	\$1,700,000
Independent Living	5.0	\$15.79	\$150,000	\$50,000	\$500,000	\$700,000
Dietary/Housekeeping	30.0	\$23.68	\$1,350,000	\$450,000	\$1,800,000	\$3,600,000
Plant	15.0	\$33.33	\$950,000	\$310,000	\$540,000	\$1,800,000
Administration/Other	15.0	\$38.60	\$1,100,000	\$360,000	\$800,000	\$2,260,000
TOTAL/AVERAGE	150.0	\$25.09	\$7,150,000	\$2,360,000	\$5,740,000	\$15,250,000

Interest Expenses

In addition to the external interest expenses shown on **Table 2**, PP pays “internal” interest payments to the Endowment Fund. Historically PP has used monies from its Endowment, consisting of unrestricted and restricted investments, to fund capital improvements. Total Endowment loans are currently about \$3.5 million and most recently were borrowed for AL and SNF improvements. Principal payments for inter-fund Endowment loans are excluded from these financial forecasts. Interest payments are reflected in the **Section A** financial statements with restricted Endowment loan interest expensed and shown in the Statement of Activities. Interest is currently averaging 1.1% per year. Endowment loan balances are expected to remain at \$3.5 million.

External interest payments also include non-cash amortization of the 2016 Bond premium over a 30-year period.

E. FORECAST OF FINANCIAL STATEMENTS

Section A shows the forecasts of financial statements for PP from FY 2014 through FY 2021. FY 2014 and FY 2015 information is derived from the audits.

STATEMENTS OF ACTIVITIES

In addition to the cash revenue and expense assumptions discussed above, there are several accrual categories. Depreciation estimates are based on an average useful life of 15 years for all improvements. 2016 Bond issuance costs are amortized over 30 years. Non-cash entrance fee amortization is increased by 3.0% per year from FY 2015 levels. The 2016 Bond premium is amortized over 30 years and included in the interest expense line. The net assets in FY 2016 are reduced by the difference between the SLGS purchases for the refinancing and the par amount of 2009 Bonds to be refinanced.

STATEMENTS OF FINANCIAL POSITION

Accounts receivable are estimated at 50 days of monthly fees and related revenues. Accounts payable and accrued expenses are projected at 25 days of annual expenses less depreciation. Un-amortized entrance fees are calculated by adding net entrance fees less amortization to the prior year total.

STATEMENTS OF CASH FLOWS

In addition to other assumptions discussed above, the Statement of Cash Flows includes forecasts of ongoing capital expenses. These are expected to total \$1.6 million over the three years between FY 2017 and FY 2019 since an estimated \$4.5 million of the \$9.0 million projects funded from 2016 Bond proceeds will be for capital maintenance projects. Thereafter ongoing expenditures are estimated at \$1.8 million per year.

F. SUMMARY OF KEY RATIOS

Table 8 shows a summary of debt coverage and other key ratio forecasts. As shown, debt coverage is projected to exceed 1.69x in all years after FY 2016, and days cash is projected to gradually increase to 260+days. PP's goal is to exceed 300 days cash on hand, which it should be able to accomplish if, as PP intends, it continues its higher entrance fee and monthly fee increases beyond the three year period used in these forecasts. The net cash available for debt service excludes designated contributions and gifts.

TABLE 8
PILGRIM PLACE
DEBT COVERAGE AND OTHER KEY RATIOS
(\$000s)

Fiscal Year Ending 12/31	2014	2015	2016	2017	2018	2019	2020	2021
<u>CASH AVAILABLE FOR DEBT SERVICE</u>								
Increase in Unrestricted Net Assets	\$826	\$43	(\$18)	\$391	\$158	\$190	\$230	\$391
Unrealized Losses (Gains)	(13)	1	-	-	-	-	-	-
Specific Purpose Revenues	(1,761)	(819)	(400)	(530)	(400)	(400)	(400)	(400)
Depreciation and Amortization	2,089	2,162	2,058	2,085	2,218	2,376	2,511	2,550
Amortized Entrance Fees	(2,093)	(1,914)	(1,971)	(2,031)	(2,091)	(2,154)	(2,219)	(2,285)
Net Entrance Fees	1,740	1,818	2,236	2,460	2,582	2,711	2,793	2,877
Interest/Premium Amort.-Internal/External	1,550	1,590	1,524	1,332	1,385	1,350	1,326	1,292
Net Cash for Debt Service	\$2,338	\$2,881	\$3,429	\$3,708	\$3,852	\$4,072	\$4,241	\$4,424
<u>DEBT SERVICE</u>								
Interest - External	\$1,538	\$1,539	\$1,487	\$1,445	\$1,498	\$1,462	\$1,438	\$1,404
Principal	470	495	520	310	680	1,190	720	750
Total Debt Service	\$2,008	\$2,034	\$2,007	\$1,755	\$2,178	\$2,652	\$2,158	\$2,154
Maximum Annual Debt Service (MADS)	\$2,030	\$2,030	\$2,030	\$2,190	\$2,190	\$2,175	\$2,175	\$2,175
Unrestricted Cash/Investments	\$8,743	\$8,408	\$7,904	\$9,912	\$11,602	\$12,739	\$13,432	\$14,310
Annual Operating Expenses	\$16,666	\$16,837	\$16,737	\$17,152	\$18,026	\$18,677	\$19,399	\$20,024
<u>KEY RATIOS</u>								
Debt Coverage Ratio - MADS	1.15	1.42	1.69	1.69	1.76	1.87	1.95	2.03
Days Cash on Hand	191	182	172	211	235	249	253	261

G. SENSITIVITY FORECASTS

The base case ratio forecasts are shown in **Section F**. The following are debt coverage and days cash on hand calculations under three alternative scenarios (**Table 9**). All cash flow and covenant impacts occur after FY 2016.

Scenario 1 – The proposed three-year FY 2017 to FY 2019 rate increases (1.0% above expense inflation for monthly fees, and 10.0% in 2017 and 5.0% in 2018 and 2019), are reduced to 3.0% for monthly fees (similar to expense inflation) and 3.0% for entrance fees.

Scenario 2 – In this scenario neither of the proposed MC Houses are completed. As shown, this has a negligible impact on debt coverages and actually increases days cash on hand since the additional \$800,000 of operating expenses are eliminated.

Scenario 3 – Annual debt payments are increased by \$300,000, the approximate equivalent of a 1.0% increase in interest rates.

TABLE 9
PILGRIM PLACE
SENSITIVITY SCENARIOS
(\$000s)

Fiscal Year Ending 12/31	2017	2018	2019	2020	2021
<u>Base Case</u>					
Debt Coverage	1.69	1.76	1.87	1.95	2.03
Days Cash	211	235	249	253	261
<u>Sensitivity 1 - Lower Rate Increases</u>					
Debt Coverage	1.59	1.60	1.64	1.71	1.79
Days Cash	206	224	230	223	224
<u>Sensitivity 3 - No MC Houses</u>					
Debt Coverage	1.69	1.79	1.90	1.94	1.99
Days Cash	217	248	266	274	28
<u>Sensitivity 3 - Higher Interest</u>					
Debt Coverage	1.48	1.53	1.62	1.69	1.77
Days Cash	201	219	228	227	229

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